

April 2021

The European Bathroom & Kitchen Product Markets

- 2021 Edition -

Poland

BRG
BUILDING SOLUTIONS

© BRG BUILDING SOLUTIONS

CP House, 97-107 Uxbridge Road, Ealing, London, W5 5TL, United Kingdom

Tel: +44 (0) 208 832 7860 Fax: +44 (0) 208 566 4931

Email: europe@brgbuildingsolutions.com

Website: www.brgbuildingsolutions.com

All rights reserved. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form, or by any means, electronic, mechanical, photocopying, recording or otherwise without the prior permission of the copyright owner.

Table of Contents

The Polish Bathroom and Kitchen Market

I.1 Introduction : Bathroom & Kitchen

Background : Poland - Bathroom & Kitchen

II.0	PL - Background	14
II.1	Background : Overview	15
II.2	Key Figures	25
II.3	Macroeconomic Trends and Forecasts	25
II.4	Historical and Current Exchange Rates	26
II.5	New Dwelling Construction	27
II.6	Dwelling Stock by Type and Tenure	28

Distribution : Poland - Bathroom & Kitchen

III.0	PL - Distribution	29
III.1	Distribution : Bathroom & Kitchen	30
III.2	Summary of Leading Distributors	37

Baths and Shower Trays - Poland

1.0	PL - Baths and Shower Trays	38
1.1	Market Overview : Baths and Shower Trays	39
1.2	Historical Trends and Forecasts	47
1.3.1	Prices and Market Values : Baths and Shower Trays	48
1.3.2	Prices and Market Values : Synthetic Baths	49
1.3.3	Prices and Market Values : Synthetic Shower Trays	50
1.3.4	Price Segmentation : Cast Iron Baths	51
1.3.5	Price Segmentation : Steel Baths	52
1.3.6	Price Segmentation : Synthetic Baths	53
1.3.7	Price Segmentation : Hydromassage Baths	54
1.3.8	Price Segmentation : Ceramic Shower Trays	55
1.3.9	Price Segmentation : Steel/ Cast Iron Shower Trays	56
1.3.10	Price Segmentation : Synthetic Shower Trays	57
1.4.1	End Use : Base Year	58
1.4.2	End Use : Historical and Forecasts	59
1.4.3	Sales by Type : Baths	60
1.4.4	Sales by Shape : Shower Trays	61
1.5.1	Market Shares : Cast Iron Baths	62

1.5.2	Market Shares : Steel Baths	62
1.5.3	Market Shares : Synthetic Baths	63
1.5.4	Market Shares : Hydromassage Baths	63
1.5.5	Market Shares : Ceramic Shower Trays	64
1.5.6	Market Shares : Steel / Cast Iron Shower Trays	64
1.5.7	Market Shares : Synthetic Shower Trays	65
1.6.1/2	Imports & Exports : Cast Iron Baths	66
1.6.3/4	Imports & Exports : Steel Baths	67
1.6.5/6	Imports & Exports : Synthetic Baths / Shower Trays	68
1.7.1/2	Route to Market : Baths	69
1.7.3/4	Consolidated View : Baths	70
1.7.5/6	Route to Market : Shower Trays	71
1.7.7/8	Consolidated View : Shower Trays	72
1.8	Market Revision : Baths and Shower Trays	73

Sanitary Ware - Poland

2.0	PL - Sanitary Ware	74
2.1	Market Sector Overview : Sanitary Ware	75
2.2.1	Historical Trends and Forecasts : Sanitary Ware	82
2.2.2	Historical Trend and Forecasts: Installation Mod.	83
2.3.1	Prices and Market Values : Sanitary Ware	84
2.3.2	Prices and Market Values by Type : CSW	85
2.3.3	Prices and Market Values by Type of Rim : WCs	86
2.3.4	Prices and Market Values by Type : Conc. Cisterns	87
2.3.5	Prices and Market Values : Non-Ceramic Washbasins	88
2.3.6	Price Segmentation : WCs	89
2.3.7	Price Segmentation : Ceramic Washbasins	90
2.3.8	Price Segmentation : Concealed Plastic Cisterns	91
2.3.9	Price Segmentation : Exposed Plastic Cisterns	92
2.3.10	Price Segmentation : Non Ceramic Washbasins	93
2.4.1	End Use : Base Year	94
2.4.2	End Use : Historical and Forecasts	95
2.5.1	Market Shares : All Ceramic Sanitary Ware	96
2.5.2	Market Shares : WCs	96
2.5.3	Market Shares : Ceramic Washbasins	97
2.5.4	Market Shares : Other Ceramic Sanitary Ware	97
2.5.5	Market Shares : Concealed Plastic Cisterns	98

2.5.6	Market Shares : Exposed Plastic Cisterns	98
2.6.1/2	Imports & Exports : CSW All	99
2.6.3/4	Imports & Exports: Plastic Cisterns	100
2.7.1/2	Route to Market : Ceramic Sanitary Ware	101
2.7.3/4	Consolidated View : Ceramic Sanitary Ware	102
2.7.5/6	Route to Market : Plastic Cisterns	103
2.7.7/8	Consolidated View : Plastic Cisterns	104
2.8	Market Revision : Sanitary Ware	105
Taps and Mixers - Poland		
3.0	PL - Taps and Mixers	106
3.1	Market Sector Overview : Taps and Mixers	107
3.2	Historical Trends and Forecasts : Taps and Mixers	115
3.3.1	Prices and Market Values : Taps and Mixers	116
3.3.2	Prices and Market Values by Type : Taps & Mixers	117
3.3.3	Price Segmentation : Bath Taps and Mixers	118
3.3.4	Price Segmentation : Bidet Taps and Mixers	119
3.3.5	Price Segmentation : Kitchen Taps and Mixers	120
3.3.6	Price Segmentation : Shower Taps and Mixers	121
3.3.7	Price Segmentation : Washbasin Taps and Mixers	122
3.4.1	End Use : Base Year	123
3.4.2	End Use : Historical and Forecasts	124
3.4.3	Sales by Type and Application : Taps and Mixers	125
3.4.4	Sales by Type of Finish : Taps and Mixers	126
3.4.5	Sales by Type of Installation : Taps and Mixers	127
3.4.6	Sales by Type of Mounting : Taps and Mixers	128
3.5	Market Shares : Taps and Mixers	129
3.6.1/2	Imports & Exports : Taps and Mixers	130
3.7.1/2	Route to Market : Kitchen Taps and Mixers	131
3.7.3/4	Consolidated View : Kitchen Taps and Mixers	132
3.7.5/6	Route to Market : Sanitary Taps and Mixers	133
3.7.7/8	Consolidated View : Sanitary Taps and Mixers	134
3.8	Market Revision : Taps and Mixers	135
3.9.1	Historical Trends and Forecasts : Flushing Valves	136
3.9.2	Prices and Market Values : Flushing Valves	137
3.9.3	Market Shares : Urinal Flushing Valves	138
3.9.4	Market Shares : WC Flushing Valves	138

3.10	Market Revision : Flushing Valves	139
Shower Wall - Poland		
4.0	PL - Shower Wall	140
4.1	Market Sector Overview : Shower Wall	141
4.2	Historical Trends and Forecasts : Shower Wall	148
4.3.1	Prices and Market Values : Shower Wall	149
4.3.2	Price Segmentation : Bath Screens	150
4.3.3	Price Segmentation : Conventional Shower Cubicles	151
4.3.4	Price Segmentation : Hydrotherapy Shower Cubicles	152
4.3.5	Price Segmentation : Shower Enclosures	153
4.4.1	End Use : Base Year	154
4.4.2	End Use : Historical and Forecasts	155
4.4.3	Sales by Type : Bath Screens	156
4.4.4	Sales by Type : Shower Enclosures	156
4.4.5	Sales by Type of Door : Shower Enclosures	157
4.5.1	Market Shares : Bath Screens	158
4.5.2	Market Shares : Hydrotherapy Shower Cubicles	158
4.5.3	Market Shares : Shower Enclosures	159
4.6.1/2	Route to Market : Shower Wall	160
4.6.3/4	Consolidated View : Shower Wall	161
4.7	Market Revision : Shower Wall	162
Bathroom Furniture - Poland		
5.0	PL - Bathroom Furniture	163
5.1	Market Overview : Bathroom Furniture	164
5.2	Historical Trends & Forecasts : Bathroom Furniture	169
5.3.1	Prices and Market Values : Bathroom Furniture	170
5.3.2	Price Segmentation : Base Units	171
5.3.3	Price Segmentation : Mirrors and Mirror Cabinets	172
5.3.4	Price Segmentation : Separate Cabinets	173
5.4.1	End Use : Base Year	174
5.4.2	End Use : Historical and Forecasts	175
5.4.3	Sales by Type of Washbasin Material : Base Units	176
5.4.4	Sales by Type of Material : Base Units	176
5.4.5	Sales by Type of Washbasin : Base Units	177
5.4.6	Sales by Type of Colour : Base Units	177
5.4.7	Sales by Width : Base Units	178

5.4.8	Sales by Type : Mirror and Mirror Cabinets	178
5.4.9	Sales by Type of Material : Mirror Cabinets	179
5.4.10	Sales by Type of Material : Separate Cabinets	179
5.4.11	Sales by Type of Installation : Separate Cabinets	180
5.4.12	Sales by Type of Colour : Separate Cabinets	180
5.4.13	Sales by Height : Separate Cabinets	181
5.5.1	Market Shares : Base Units	182
5.5.2	Market Shares : Mirror and Mirror Cabinets	182
5.5.3	Market Shares : Separate Cabinets	183
5.6.1/2	Route to Market : Bathroom Furniture	184
5.6.3/4	Consolidated View : Bathroom Furniture	185
5.7	Market Revision : Bathroom Furniture	186

Bathroom Accessories - Poland

6.0	PL - Bathroom Accessories	187
6.1	Market Overview : Bathroom Accessories	188
6.2	Historical Trends and Forecasts	192
6.3	Prices and Market Values : Bathroom Accessories	193
6.4.1	End Use : Base Year	194
6.4.2	End Use : Historical and Forecasts	195
6.4.3	Sales by Type of Material : Bathroom Accessories	196
6.4.4	Sales by Price Segment : Bathroom Accessories	196
6.5	Market Shares : Bathroom Accessories	197
6.6.1/2	Route to Market : Bathroom Accessories	198
6.6.3/4	Consolidated View : Bathroom Accessories	199
6.7	Market Revision : Bathroom Accessories	200

Shower Accessories - Poland

7.0	PL - Shower Accessories	201
7.1	Market Sector Overview : Shower Accessories	202
7.2.1	Historical Trends & Forecasts : Shower Accessories	208
7.2.2	Historical Trends & Forecasts : Shower Sets	209
7.3.1	Prices and Market Values : Shower Accessories	210
7.3.2	Prices and Market Values by Type : Shower Heads	211
7.3.3	Price Segmentation : Flexible Hoses	212
7.3.4	Price Segmentation : Shower Heads	213
7.3.5	Price Segmentation : Shower Panels	214
7.3.6	Price Segmentation : Shower Pipes	215

7.3.7	Price Segmentation : Shower Supports	216
7.4.1	End Use : Base Year	217
7.4.2	End Use : Historical and Forecasts	218
7.4.3	Sales By Type of Material : Flexible Hoses	219
7.4.4	Sales by Type of Finish : Shower Heads	219
7.4.5	Sales By Type of Function : Shower Heads	220
7.4.6	Sales by Type of Installation : Shower Heads	220
7.4.7	Sales By Type of Shape : Shower Heads	221
7.4.8	Sales by Type of Application : Shower Pipes	221
7.4.9	Sales by Type of Mixer : Shower Pipes	222
7.4.10	Sales by Type of Finish: Shower Panels	222
7.4.11	Sales By Type : Shower Supports	223
7.5.1	Market Shares : Flexible Hoses	224
7.5.2	Market Shares : Shower Heads	224
7.5.3	Market Shares : Shower Panels	225
7.5.4	Market Shares : Shower Pipes	225
7.6.1/2	Route to Market : Shower Accessories	226
7.6.3/4	Consolidated View : Shower Accessories	227
7.7	Market Revision : Shower Accessories	228

Kitchen Sinks - Poland

8.0	PL - Kitchen Sinks	229
8.1	Market Sector Overview : Kitchen Sinks	230
8.2	Historical Trends and Forecasts : Kitchen Sinks	235
8.3.1	Prices and Market Values : Kitchen Sinks	236
8.3.2	Price Segmentation : Cast Iron Kitchen Sinks	237
8.3.3	Price Segmentation : Ceramic Kitchen Sinks	238
8.3.4	Price Segmentation : Enamelled Steel Kitchen Sinks	239
8.3.5	Price Segmentation : Stainless Steel Kitchen Sinks	240
8.3.6	Price Segmentation : Synthetic Kitchen Sinks	241
8.4.1	End Use : Base Year	242
8.4.2	End Use : Historical and Forecasts	243
8.4.3	Sales by Type of Installation : Kitchen Sinks	244
8.4.4	Sales by Type of Configuration : Kitchen Sinks	245
8.5.1	Market Shares : Ceramic Kitchen Sinks	246
8.5.2	Market Shares : Stainless Steel Kitchen Sinks	246
8.5.3	Market Shares : Synthetic Sinks	247

8.6.1/2	Route to Market : Kitchen Sinks	248
8.6.3/4	Consolidated View : Kitchen Sinks	249
8.7	Market Revision : Kitchen Sinks	250

Kitchen Tap and Mixers - Poland

9.0	PL - Kitchen Taps & Mixers	251
9.1	Market Sector Overview : Kitchen TM	252
9.2	Historical Trends and Forecasts : Kitchen TM	257
9.3.1	Prices and Market Values : Kitchen Taps & Mixers	258
9.3.2	Price Segmentation : Kitchen Taps & Mixers	259
9.4.1	End Use : Base Year	260
9.4.2	End Use : Historical and Forecasts	261
9.5	Market Shares : Kitchen Taps & Mixers	262
9.6.1/2	Route to Market : Kitchen Taps & Mixers	263
9.6.3/4	Consolidated View : Kitchen Taps & Mixers	264
9.7	Market Revision : Kitchen Taps & Mixers	265

Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

For further information, please contact us:

BRG Building Solutions
CP House
97-107 Uxbridge Road
Ealing, London, W5 5TL
United Kingdom

Website: www.brgbuildingsolutions.com
Email: europe@brgbuildingsolutions.com

POLAND

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Poland, officially the Republic of Poland, is the largest Central European country and the 71st-largest country in the world, with a land area of 312,679 km². It shares borders with Germany to the west, the Czech Republic and Slovakia to the south, Ukraine and Belarus to the east, and Lithuania, Russia (Kaliningrad Region), and the Baltic Sea (528 km of coastline) to the north. Poland is divided into 16 semi-autonomous counties – voivodeships (województwa), 66 towns with province status and 314 provinces. Each province is further subdivided into municipalities.

The population of Poland, like most other European countries, is ageing rapidly; in the 1950s, the median age was 25.8 but, according to the latest data known, by 2017 this had risen to 40.6. Alongside an ageing population, population growth has also started to decline, mainly due to low birth rates and continued emigration, which is impacting the economic performance of the country. The number of children born in Polish families (total fertility rate of 1.42 in 2019, down from 2.0 in 1990) is one of the lowest in Central Europe.

Macroeconomic Overview

The outbreak of the COVID-19 pandemic in March 2020 drastically affected Poland's economy, although compared to most EU countries its impact was considerably less severe. In 2020, for the first time in 30 years of continued growth the country's GDP contracted showing a 2.7% decline at the EU average of 6.6% decrease, according to Eurostat.

The anti-pandemic restrictions launched in the second half of March, with a full lockdown in place from the beginning of April to mid-May, shook practically all branches of the domestic economy, as was the case with all economies around the world. Several types of businesses had to stop operating during the lockdown period (e.g. hotels, cinemas etc.) with many others working at a reduced productivity. Only 'essential' businesses were running, all implementing several safety measures; however, the DIY stores and specialist retail outlets located in separate buildings remained open, with some limits put on the number of visitors, while the DIY stores located in shopping malls typically were closed. Similarly, most wholesalers and manufacturers kept their activities going, although at a reduced productivity level.

Due to a very high level of uncertainty a great many investments, particularly in the commercial segment, were put on hold or cancelled, while businesses were trying to adapt to the new circumstances, often experiencing problems with supplies (especially from the Far East) and distribution. As a result, in the second quarter several market segments recorded a considerable slowdown; nonetheless many, particularly those vital for the bathroom industry, saw a relatively mild decline. Most importantly, construction works, as well as installations, generally continued, although at a lower productivity level.

The governmental anti-crisis programme was first announced in March, then amended in early April. The overall aid-package of over PLN 300 billion included PLN 7.5 billion (about EUR 1.7 billion) subsidies for the Polish healthcare system; PLN 30 billion (about EUR 7 billion) subsidies for salaries, including subsidies for contractors and self-employed, as well as parents who have to look after their children; PLN 74.2 billion (about EUR 17.3 billion) to mitigate the impact of the crisis on companies, such as preferential loans for companies that kept employment unchanged, micro-loans for companies with less than nine employees, as well as suspension, exemption etc. of various administration or insurance fees and taxes. (e.g. companies with 1-49 staff could get 50% relief as to insurance payments). Only Polish-owned companies were entitled to receive any aid from the state (paying taxes in Poland did not suffice). According to the Social Insurance Institution (ZUS), by 9 July short of 2.2 million applications for total PLN 4.27 billion subsidies from self-employers and people with civil contracts were dealt with; by September the number reached 2.5 million with a total short of PLN 5 billion paid.

The relaxation of the anti-pandemic restrictions in May was followed by a gradual, but palpable improvement in all market segments. Relaunching restrictions at the end of October, due to the increasing number of COVID-19 infections and fatal cases, followed by the second lockdown implemented in November, had a softer impact on the economy and most businesses than in April, as by then the companies were better prepared to cope with the effects of the anti-pandemic measures, with the government extending the aid programme for the most affected businesses.

The construction and installation activities in the new dwellings segment already in June showed an increase in the number of completions in the first half of the year by 3% compared to 2019, according to the Statistical Office (GUS). The acceleration continued in the second half of the year and the increase in new dwelling completions for the whole of 2020 reached 7%, compared to 2019.

In the aftermath of the pandemic outbreak, the Polish currency, zloty, weakened against euro and US dollar, which had its impact on the overall import and export – by the GUS data, in 2020 import (in zlotys) recorded a 2% decline, while export saw a 2.8% increase (also in zlotys). Both export and import play a key role in the country's GDP, each with over 40% share, although in recent years export dominated over import and so it was in 2020. The positive dynamics in export helped to reduce the overall decline in the GDP. In addition, the most affected by the pandemic segments, such as accommodation and gastronomy, account for a relatively small portion of the GDP.

At the same time, the impact of the pandemic on the labour market was relatively soft, among other factors due to the governmental aid-package, with the unemployment rate growing from 5.5% in February 2020, to 6.1% in September, and 6.2% in December. Average gross salaries in the enterprise sector, although slightly declining in the aftermath of the COVID-19 outbreak, showed growth on an annual basis (e.g. in September by 5.6% and 6.6% in December).

Overall, several economic indicators showed a good recovery in the months following the relaxation of the anti-pandemic restrictions. For example, according to the GUS, industrial output recorded in 2020 a slight 1% drop on an annual basis and retail sales showed a relatively small 3.1% decline with private consumption, driving the economy for several years before the pandemic (e.g. with a 4% increase in 2019), down by 3%, which was partially offset by growth recorded in the public consumption segment so that the consumption overall saw a 1.5% decline on an annual basis. Also, in 2020 the average inflation ratio grew from 2.3% in 2019 to 3.4%, considerably decreasing at the end of the year.

On the other hand, investments saw a drastic decline in 2020. In the aftermath of the COVID-19 outbreak total investments in fixed assets declined by 8.4% after growing by 7.2% in 2019. Non-housing construction recorded a considerable decrease, with a number of projects postponed or cancelled, in particular in the hospitality segment. According to the GUS, the total commercial area of the new non-residential buildings completed in 2020, including expansions, was by 5.5% lower than in 2019. As the value of construction works on residential and non-residential buildings decreased in 2020 by 4.9%, considering a very good growth rate in the new dwellings market, it can be assumed that the non-housing market was severely hit also in terms of value. Moreover, according to the GUS data, the renovation market suffered in terms of value as compared to 2019, recording a 4% drop.

At the beginning of 2021, Poland's economy continued to struggle against the effects of the pandemic. With shopping malls remaining closed in January, the retail sales recorded a 6% drop on an annual basis, which then improved to a 3.1% decline in February. The unemployment rate increased to 6.5% in January and February. Industrial output, although considerably decelerating after December 2020, recorded a 0.9% growth rate in January and 2.7% in February compared to 2020. On the 27 March, with the number of COVID-19 infections growing fast, the third lockdown began intended by the government to last for two weeks until the 9 April.

In 2021, the country's economy is expected to return to growth with GDP projected to see around a 3% increase (e.g. 3.5% by the World Bank, 3.1% projected by the European Commission, 2.7% by the IMF) with a positive outlook for 2022 (GDP growth is anticipated by the European Commission and the IMF to reach 5.1%). Growth should again be driven by private consumption and export is expected to show a considerable improvement, with the progress in the vaccination process and the world economy regaining momentum.

The first vaccinations against COVID-19 took place in Poland at the end of December. In the first quarter of 2021 the process of vaccination was relatively slow – by the end of March only about 10% of the country's population had received the first dose of vaccine. According to the government, in the first half of the year 20 million people, or 53% of the population, should receive the first dose of vaccine and by the end of September the whole population of Poland should be

vaccinated.

Historically, between 2010 and 2020 Poland's economy showed good growth driven primarily by export and private consumption, with GDP growth falling below 3% only in 2016 (2.9%). Continued improvement seen on the labour market with increasing average salaries and lowering unemployment boosted consumption, while exporters, as well as importers, enjoyed the free trade within the EU with the economic conditions gradually improving after the 2008-2009 crisis. Additionally, the Family 500 Plus social care programme, launched in 2016, contributed to aggregated demand for goods.

Also, the overall financial situation of the non-financial businesses in Poland in 2019 continued improving. According to the GUS, total revenues of the segment grew in 2019 by 5.8%, sales of products, goods and materials were up even by 6.0%, and net profitability was up by 3.7% (in local currency). Companies in some market sectors have been facing strong financial headwinds since the beginning of 2017, particularly construction and installation enterprises, which had to struggle against considerable increases in material and labour costs, as well as the lack of workforce. In 2017, the average profitability of construction companies, 2.8%, was among the lowest of all business sectors, in 2018 improving to 3.7%, remaining at a similar level in 2019.

A decrease in foreign direct investments (FDI), which drastically declined in 2016 and never reached the level from 2015, was another issue for Poland's economy. The decline reflected investors' uncertainty related to the changes made since the end of 2015 to the judiciary system, as well as amendments to the tax laws which, inter alia, included changes in the Criminal Code, tightening the penalties for VAT fraud, the amendment to the public procurement law, and the law on retail sales tax.

In the last quarter of 2019 several main economic indicators considerably worsened compared to first three quarters of the year, which has been generally seen as an introduction to the anticipated slowdown in growth of the local economy, following the decelerating trend observed in the European and global markets. Still, the state of Poland's economy was generally perceived as relatively good, with fairly positive short- and long-term forecasts by major international financial and economic organisations, expecting it would continue to grow in the coming years, although at a slower pace.

Residential Construction

Overview

The overall construction sector has been growing for the last three years. In 2017, according to the GUS, total construction output grew by 11.5% (local currency, constant prices), making up for an 8.5% drop in 2016. In 2018, the sector continued recovery growing even faster than in 2017 and recording a 17.9% increase y-o-y and the trend continued in 2019.

The residential construction sector considerably improved in 2017-19, with growth driven primarily by: continued low interest rates kept by the NBP; high popularity of investing in real estate; high demand observed in the multi-family housing, and, until the end of 2018, the governmental housing support programme Housing for the Young (*Mieszkanie dla Młodych*; MdM).

Already, since 2015, a general improvement in the financial situation of Polish households contributed to a considerable growth in demand for new dwellings. Starting from 2016, the construction outcome of the developers was considerably higher than of individual constructors, primarily due to relatively low interest rates set by the Polish National Bank (NBP), which facilitated investments in the residential segment. With the average household income continuing to grow, demand for new dwellings kept increasing, even despite the relatively fast rate of growth of the prices. In 2019, the trend continued with the number of dwellings constructed by development companies reaching 130,900 which represented 63% of the total new dwellings, compared to 61.7% in 2018, according to the data by the GUS. The multi-family construction segment in terms of dwellings accounted in 2018 for short of 55% of total new dwellings, and in 2019 already 57% of new dwellings were constructed in the multi-family sector.

In 2018, the government decided to terminate the MdM programme, intending to substitute it with a new programme, Flat Plus (*Mieszkanie Plus*), focusing more on construction for cheap rent, with the total budget of PLN 200 billion (about €47 billion) initially planned to be spent by 2030. The new programme was first introduced in September 2016 and by the beginning of 2017 it was officially launched in several cities, making, however, very slow progress in terms of construction of new dwellings.

In August 2018, the so-called Special Housing Act (SHA) came into force with the main objective being simplifying and shortening preparation works for the developers in the residential segment. The SHA made available for residential development a number of areas, formerly owned by the army, national railway, post office etc. In the case of which developers ultimately may not need to take into account the local development plans, and often may simply apply for the construction permit, having first obtained the permission from the local authorities based on the authorities' decision regarding localisation of the residential development. Initially, the SHA was planned by the government to enable construction of 100,000 new flats within the Flat Plus programme. However, although several cities had shown interest in the new programme by this time, its progress has been very limited. By the end of 2020, the SHA was used by developers many times, although it met with severe criticism from the urban planners, local authorities and eco-activists, pointing out that in many cases the new regulations allow developers to interfere considerably with the local development plans, very often creating risks for the environment.

By April 2019, only short of 500 families received keys to new dwellings constructed within the Flat Plus framework, some of which also got their rent

subsidised, and by March 2020 the number grew to about 1,000. Virtually no new dwellings have been built on any state-owned land with subsidies to rent planned for the inhabitants. As a matter of fact, by the end of 2020 the Flat Plus programme proved successful only to a very limited extent. According to local sources, the government is planning to replace it with another project, in which more stress is to be put on cooperation with local authorities.

Over the last five years Poland managed to considerably reduce and simplify construction procedures. Back in 2015, major changes in the Construction Law were implemented simplifying the construction procedures of one- and two-family houses, barns, outhouses etc. Before the amendment came into force, according to the 'World Bank Doing Business 2015 Report', obtaining a building permit in Poland required 19 different administrative procedures and could take over 200 days. The updated report issued in 2020 indicates that the number of administrative procedures has declined to 12, and the process took 137 days on average. In January 2021, the regulations regarding the application process were amended enabling several application types to be filled and submitted on-line. The new rules came in force in February, with more types of application, including the application for a construction permit, planned to be added by the end of June 2021.

New Housing

In spite of the pandemic and two lockdown periods, in 2020, the new housing segment kept growing for the fourth consecutive year. According to the GUS, the number of new dwellings completed that year reached 222,000 growing by 7% as compared to 2019. The growth rates recorded previously were: 12% in 2019, 3.6% in 2018 and 9.1% in 2017. As the result of the continued development, the number of dwellings completed in 2020 was the highest since 1980. Growth in the new housing sector was driven by developers, accounting in 2020 for about 65% of new dwellings, after recording a 9.4% increase in the number of dwellings completed as compared to 2019. In absolute figures, in 2020, developers constructed 143,800 dwellings, while individual investors completed 74,100 dwellings, and others (such as council dwellings) – 2,570 dwellings.

Behind this continued growth, which did not stop even during the pandemic in 2020, there is high demand for new dwellings and a high popularity of investing in real estate resulting, among others, from low gains offered in recent years by banks for deposits, capital investments etc. Investing in real estate appears safe and profitable, considering the continued fast growth of prices in recent years.

According to the GUS, the number of construction permits issued in 2020 grew (by 2.8%); however, the main reason for the increase was a considerably higher number of applications submitted at the end of the year due to the new regulations on building energy efficiency coming into force in January 2021. Between May and November 2020, with a high level of uncertainty experienced by investors, the number of permits issued each month was about 5% lower compared to the same month in 2019. As a matter of fact, the number of new dwelling construction works commenced in 2020 decreased by 5.7%, because of the more cautious attitude of

the investors.

After a relatively good first quarter of 2020, e.g. with a 3.3% increase recorded in the new dwellings output in the first two months of the year due to a mild winter 2019/20, enabling construction works in January and February, the development of the construction sector considerably decelerated due to the COVID-19 outbreak. Since the wake of the pandemic in Poland in the second half of March until the relaxation of the anti-pandemic restrictions in mid-May, construction works generally continued with several special measures applied (shorter shifts, night shifts etc.) and mostly on the projects which had been commenced earlier. The impact of the pandemic on the construction market was reflected in the GUS data on new dwelling completions for April with a 22.4% drop compared to April 2019. However, already in May the new dwellings segment saw a 10.1% increase in terms of completions on an annual basis, and the following months witnessed continued growth with the first half of the year ending with a 3% and the first three quarters with a 7.4% rise in new dwelling completions on an annual basis. The new restrictions launched at the end of October and the lockdown implemented in November to counteract the second wave of the pandemic hit the new dwellings segment. However, as the companies were much better prepared to continue work under these circumstances, overall, the new residential market recorded a 7% growth rate for the whole year.

In terms of supplies, during the April lockdown many companies experienced problems with finishing works as a large chunk of equipment, or components is imported from China. Also, there were problems with the supplies of stone as Polish construction companies largely depend on imports from China and Italy. Due to restrictions in transport and communication the use of existing stocks often became difficult. Moreover, many construction companies, as well as other businesses, experienced a considerable outflow of labour force, particularly at the beginning of the pandemic, with Ukrainian workers returning home in numbers – the chronic shortage of labour force, caused by a large emigration wave of Poles in the years following the adhesion of Poland to the EU, in recent years has been moderated by foreign workers, particularly from Ukraine, eventually accounting for a significant portion of the total workforce in Poland.

Sales of new dwellings during the first lockdown period dropped dramatically; however, in the months following the relaxation of the anti-pandemic restrictions a fast growth rate was observed. According to the National Bank of Poland (NBP), the prices of new dwellings per m² in the second quarter showed a decline on the previous quarter; however, they remained considerably higher than in the second quarter of 2019 due to the high growth rates observed before the pandemic. The NBP data for new dwelling prices for the third and fourth quarters indicate an overall price increase, although at a relatively low pace, with only a few cities where the prices declined. With the interest rate lowered by the National Bank in March, mortgages hit a historical low in terms of interest; however, general crediting conditions considerably deteriorated for some groups of people, particularly for young people, as banks put more stress on employment contracts, salary etc. Overall, the drop in sales of new dwellings seen in the lockdown period was not

offset by the end of the year. For example, according to JLL, sales of dwellings in the six largest cities in Poland in 2020 were down by 19%.

With a good increase recorded in new dwelling completions in 2020 there will be a number of unsold new houses and apartments, which may potentially hinder further investments in new dwelling construction in 2021. On the other hand, however, investing in real estate remains very popular and demand for new dwellings is still high. With the pandemic under control at a certain point the investors should regain confidence and also the crediting conditions should improve. According to the Bureau of Credit Information, already in March 2021 the number of mortgage applications was by one third higher than in March 2019, representing the highest number recorded in ten years, with the average amount of money applied for higher by 5.9% as compared to March 2019.

Interestingly, after a few years with relatively mild weather conditions during the winter season, for which reason construction works could and did continue, January 2021 saw a return of a cold winter reflected by the GUS statistics on new dwelling completions for that month with a 7.5% decline. However, in February the segment recorded a very good recovery with the combined data on new dwelling completions for the two months indicating just a 0.6% drop on an annual basis. Moreover, in terms of new dwellings whose construction commenced in the first two months of 2021, the GUS figures only showed a 0.7% decline compared to 2020. Overall, the new dwellings market has been showing a very high resilience to the impact of the pandemic, with works continued under difficult circumstances and good recoveries after periods of strong headwinds.

Housing RMI

A large chunk of dwellings in Poland is still in a condition below the minimum standard and should be at least partially renovated, including for example improvement of thermal insulation, replacement of facilities, or roof repair. This applies to large-panel blocks of flats built mostly in the 1970s and the 1980s, which cover almost half of the Polish urban landscape, as well as a great number of houses built before 1990.

In recent years incentives provided by the government and the local authorities have been driving the RMI construction market with several programmes aiming at improving dwelling standards, primarily in order to enhance buildings' energy efficiency and lower air pollution. Among others, since 2008 housing associations with a majority of shares owned privately and owners of multi-family buildings could apply for subsidies from the Fund for Thermal Modernisation and Renovations run by the BGK bank with grants provided for thermal insulations, doors and windows replacement etc. In April 2020, the programme was amended to include also housing associations owned by local authorities. Another programme, KAWKA, run by the National Fund for Environmental Protection and Water Management, includes subsidies for thermal insulation offered to housing associations and house owners. The main objective of the *Czyste Powietrze* programme, commenced in 2019, is improvement of building energy efficiency of about 3.5 million houses by

2029 with subsidies offered to projects involving thermal insulation and replacement of old heating systems.

Good growth seen in recent years in salaries is another RMI market driver as house or apartment owners are now more likely to invest in renovations, refurbishment etc. very often using for that purpose a bank credit, or a loan. According to the BIK 'Kredyt Trendy' report, in 2019 over 40% of Poles had an active credit or loan, one quarter of them being with a mortgage, while in terms of the number of credits given consumer credits dominate. It is estimated that in this category credits taken for home renovations come right after the most popular credits taken for purchase of home equipment, such as TV sets, fridges and washing machines. Local surveys show that home renovation is the most popular reason for taking a credit from non-bank lenders. It is worth also mentioning that the DIY networks offering tools and materials for home renovations to non-professionals hold a very strong position on the market, every year recording growth in revenues, as well as construction wholesalers and specialist retailers, typically serving professionals.

A good growth rate of 6.1% was also observed in the first two months of 2020, boosted by a mild winter enabling construction and renovation works. The COVID-19 outbreak in March, slowed down growth in the renovation segment with a 6.7% increase recorded in April, compared to 24.1% in April 2019. In the following months, renovation projects saw a decline in terms of value, nonetheless recording a slight increase, 2.9%, in the first half of 2020, compared to the first six months of 2019. Between July and September the decreasing trend continued and for the first three quarters 2020 the value of renovation projects dropped by 4.4%, compared to 5.6% growth observed between January and September 2019. The whole of 2020 ended with a 4% decline compared to a 2.1% increase recorded in 2019.

Overall, in addition to distancing rules which limited access to premises during the lockdown period in April-May and during the second lockdown at the end of the year, a general uncertainty related to the development of the pandemic and its impact on the economic conditions in Poland affected the renovation works, for both private houses and blocks of flats (or groups of houses) managed by housing associations. The 2020 report on home renovations by FIXLY showed that in 2019 lack of funds was the main reason for postponing renovation projects (46% of respondents), with lack of time (41%) coming second. According to a survey conducted for the Santander Bank, in the wake of the pandemic almost 25% of Poles postponed renovation projects planned before the COVID-19 outbreak. Another survey, conducted for the Santander Bank at the end of August 2020, indicates that almost half of respondents had not made and did not plan any changes in relation to the pandemic, while 30% were more concerned with their finances and tried to save money, with just under 10% that had done or planned to do some home renovations or furniture re-design in order to keep the work comfort. Although in a general opinion the pandemic boosted the home renovations market in Poland, one should differentiate between various kinds of renovation projects. The DIY networks saw growth in demand for home improvement products, however, depending on product categories. For example, the PSB GROUP

informed that between January and September 2020 it recorded a 25% sales increase in the 'Gardening and Hobby' department, and about 20% in sales of home appliances and paints, with tools, decorative products and electric appliances and lighting increasing by over 10%.

Non-Residential Construction

The outbreak of the COVID-19 pandemic affected severely the non-housing construction market with a number of projects put on hold or cancelled, primarily in the accommodation and office segments, due to a high level of uncertainty among the investors and a general deterioration of the economic conditions in the country.

The GUS data on the value of building construction works in 2020, comprising residential and non-housing buildings, indicate a 4.9% decline, which, considering a 7% increase recorded in new dwelling completions, suggests a substantial decrease in the non-residential construction value. The total number of new non-residential buildings completed in 2020 fell by 2.2% with expansions declining by 11.5%, while the total new commercial area of non-residential buildings, including expansions, was down by 5.5% after recording a 2.3% increase in 2019.

The hotels and tourist accommodation segment saw in 2020 an 8.1% decline in new commercial area, while, interestingly, the office market in terms of new commercial area grew by 16.2%, although in terms of the number of new buildings fell by 8.2%. The increase in the new office area was a result of several large office projects which commenced well before the pandemic and were completed in 2020, such as the Mennica Legacy Tower in Warsaw, a complex of two buildings, 140 m and 36 m tall, with total 63,800 m² commercial area, completed in autumn 2020, or The Warsaw Hub, a complex of three towers offering in total 75,000 m² office area, which was finished in July 2020. Regarding hiring commercial space in 2020, according to EY, the market declined by 28% with the office segment contracting by over 40% - while in 2019 office space hiring held about half of the transaction volume, in 2020 its share was under 40%. In terms of shares, the storage segment recorded good growth accounting for about half of the transaction volume in 2020.

With the anti-pandemic restrictions in place in the first four months of 2021, including the March-April lockdown, the level of investments in the non-residential market was still relatively low. However, it is expected that investments in non-housing construction should improve in the second half of 2021 following the restart of the economy and the progress in the vaccination process.

II.2 Key Figures

PL - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

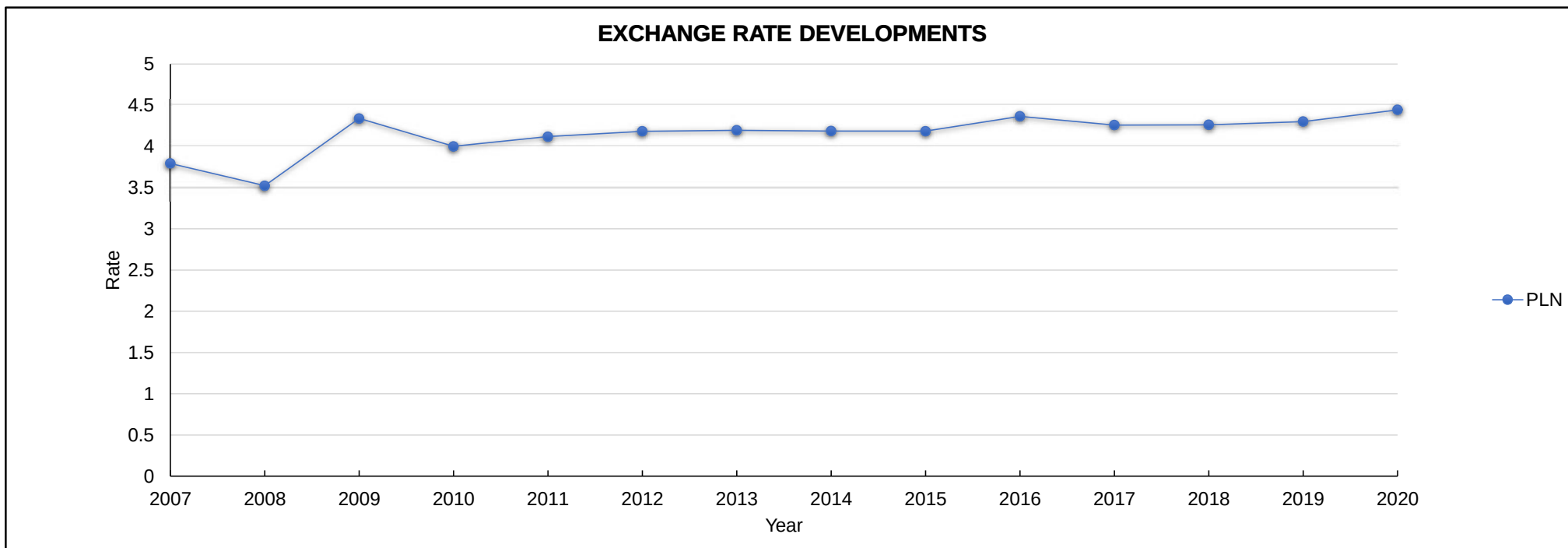
II.3 Macroeconomic Trends and Forecasts

PL - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index(% change)	0.70	1.40	4.00	3.30	3.50	3.10	4.60	2.40	0.70	- 1.00	- 0.50	0.80	2.10	1.10	3.40	2.40	2.73	2.56	2.50	2.50	2.50
GDP (% change)	3.51	6.13	7.06	4.20	2.83	3.74	4.76	1.33	1.14	3.38	4.24	3.14	4.83	5.35	4.54	- 2.72	3.47	4.54	3.98	3.01	2.86
Government Balance (% of GDP)	- 3.96	- 3.56	- 1.85	- 3.60	- 7.25	- 7.39	- 4.88	- 3.76	- 4.21	- 3.67	- 2.62	- 2.37	- 1.47	- 0.23	- 0.74	- 8.22	- 4.75	- 2.57	- 2.88	- 2.86	- 2.85
Household Saving Rate(% of Disposable Income)	2.73	2.17	2.03	2.05	0.30	2.82	2.39	- 1.08	- 1.10	- 0.06	- 0.35	- 0.43	1.47	0.31	- 1.00	1.94	13.71	0.00	0.00	0.00	0.00
Private Consumption (% change)	1.82	4.73	5.65	6.68	3.44	2.64	2.84	0.45	0.26	2.48	3.73	3.96	4.71	4.51	3.91	- 3.06	0.00	0.00	0.00	0.00	0.00
Unemployment Rate(%)	17.75	13.84	9.60	7.12	8.17	9.64	9.63	10.09	10.33	8.99	7.50	6.16	4.89	3.85	3.28	3.16	4.86	4.54	4.46	4.46	4.46

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years.

II.4 Historical and Current Exchange Rates
PL - EXCHANGE RATES : HISTORICAL AND CURRENT



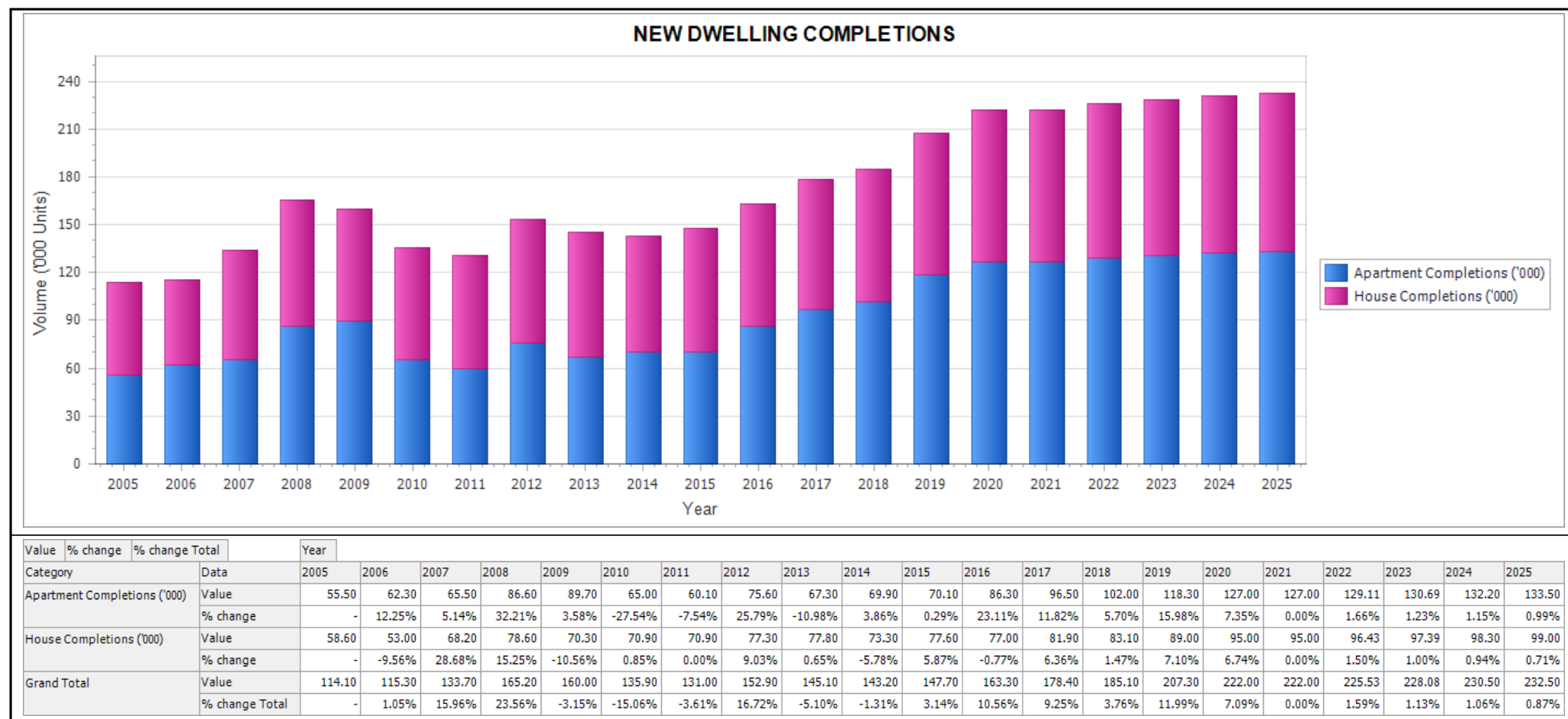
Local Currency	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
EUR / PLN	3.79	3.52	4.34	4.00	4.12	4.18	4.19	4.19	4.18	4.36	4.26	4.26	4.30	4.44
% change		-7.12%	23.13%	-7.78%	2.93%	1.59%	0.29%	-0.23%	-0.04%	4.29%	-2.43%	0.09%	0.92%	3.30%

Source: OANDA

The Polish Zlotych (PLN) is the Currency of Poland. The Exchange Rates Shown are the EUR to the PLN.

II.5 New Dwelling Construction

PL - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

II.6 Dwelling Stock by Type and Tenure
 PL - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	42.04
	Apartments ('000)	6 347.73
	Houses : Rural (%)	33.13
	Houses : Rural ('000)	5 002.02
	Houses : Urban (%)	24.83
	Houses : Urban ('000)	3 749.59
Dwelling Stock by Tenure	Primary Owned (%)	70.22
	Primary Owned ('000)	10 602.39
	Primary Rented : Private (%)	21.31
	Primary Rented : Private ('000)	3 217.81
	Secondary (%)	2.26
	Secondary ('000)	341.74
	Vacant (%)	6.21
	Vacant ('000)	937.41

Source: BRG based on Country Statistics.

POLAND

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The overall structure of the builders merchant and wholesaler sector in Poland is fragmented, with a few national groups competing with a multitude of small local retailers that operate in suburban areas. After the collapse of communism, the state distribution structures rapidly disintegrated before any new structures were ready to take their place. The former state companies fragmented into individual units, with no more than informal links between them. Those that survived became local businesses (some of which were quickly privatised).

In the late 1990s, Poland's construction market surged and so did the demand for bathroom products. Domestic distributors were unable to fill the growing gap between demand and supply, and this situation created a perfect opportunity for foreign investors to enter the market. With the advent of international wholesalers and DIYs locating their businesses in the main Polish cities where the construction boom was palpable the most, the profits of bathroom manufacturers soared.

However, the growth in the wholesale and DIY markets, dominated by companies such as TADMAR, BIMS PLUS, HYDROSOLAR, LEROY MERLIN and CASTORAMA, slowed down somewhat after the first decade of the 2000s, resulting from the slump in the construction market. To face this negative trend some companies, including PSB MRÓWKA, developed a new approach to reach consumers. PSB MRÓWKA franchises its brands to small local entrepreneurs and opens its depots in suburban areas, where the congestion of one- and two-family houses is relatively high.

Overall, a high volume of bathroom equipment sales goes through the traditional three-step distribution model with well-established partners at all levels, as Polish companies traditionally apply favourable loyalty policies. Direct sales to installers are rather rare, as the installers usually acquire specific bathroom products from retailers on the prior request of a customer. In fact, most often customers themselves buy the bathroom products. For that reason, the DIY segment holds a very strong position in the distribution channel, particularly in segments such as taps and mixers. The DIY networks buy the bathroom products from wholesalers and from manufacturers as well, in recent years gradually increasing the share of their own brands in the offerings, although primarily in the economy and middle-end price brackets.

Besides the traditional distribution model, most wholesalers and DIY stores constantly augment their internet sales and there is a growing number of retailers deriving a considerable share, often most of their revenues from online sales. This channel of distribution is particularly welcomed by installers and the end consumers, who become increasingly aware of the financial benefits that internet sales bring as the profit margin at the retail level is bypassed. E-commerce begins to play a pivotal role in sales for specialist retailers operating in the two-step channel, while allowing retailers to distribute bathroom products to a larger extent

than via showrooms only.

Wholesale Level

According to the GUS, total revenues generated by the wholesale sector after growing by 6.6% in 2019, in 2020 declined by 0.9% with a considerable drop recorded in April and May. Sales of home appliances, including radio and TV equipment, showed a 7.3% contraction compared to an 8.9% growth rate recorded in 2019 and a 4.7% increase, which retail sales saw in this product category in 2020 – due to the anti-pandemic restrictions such products were much more often purchased from on-line retailers and DIYs (the latter sourcing the chunk of their products from manufacturers).

The structure of the wholesale/merchant trade in Poland can be analysed on the basis of the width of the distribution network, as some wholesalers/merchants reach customers nationwide whereas sales of others are limited to specific areas only. The wholesaler/merchant distribution network in Poland remains dominated by three foreign companies: TADMAR, which has belonged to SAINT-GOBAIN since 2010; BIMS PLUS, belonging to the German GC GROUP since 1993; and the Finnish ONNINEN. These three players reach full national coverage. Moreover, there are several players, such as the Krakow-based HYDROSOLAR, the Warsaw-based SANITERM, and TG INSTALACJE which operate on a pan-regional basis, not covering, however, the entire territory of Poland.

In addition to national and multiregional players, there are several buying groups (GRUPY HANDLOWE) which consociate smaller firms in order to protect them from bigger and hostile companies, to gain market shares and exchange knowhow. Buying groups started to form in Poland in 1996 as a response to the foreign capital influx. Although they initially tended to be based on rather loose agreements, they are now increasing in number and importance. Firms consociated in buying groups are their sole shareholders and product acquirers. Moreover, from a legal viewpoint buying groups always choose to operate as limited entities. This legal title, according to the Polish Commercial Companies Code (*Kodeks Spółek Handlowych*), allows undertakings operating within the group to share profits as well as preserve their own companies in the case of financial loss.

With regards to bathroom products, there are three most important buying groups, each operating nationwide: GRUPA SBS, trading since 1998 and currently comprising 89 wholesalers with 178 distribution centres across the country; INSTAL KONSORCJUM, founded in 1996, since 2012 part of EDT GmbH (EUROPEAN WHOLESALE COOPERATION FOR SANITARY AND HEATING PRODUCTS) with 31 distribution companies and over 150 sales centres around the country; and SANGROUP, which has operated since 1999 and consociates 21 firms (as of April 2021).

Other buying groups include: GRUPA ABG with six members covering practically the entire Poland territory (except the Zachodniopomorskie and Lubusz

voivodeships), and total 2020 revenues exceeding PLN 1 billion (about EUR 222 million); and GRUPA CENTRUM, consolidating as of April 2021 over 20 partners, providing services across the country.

A number of the larger wholesalers have created retail networks with a pan-regional reach (e.g. companies from the GRUPA ABG: MATEX and INSTALBUD JANUSZ). Moreover, big players' offerings typically include products from more than one market segment, in addition to bathroom and kitchen equipment most frequently comprising also heating products.

Large wholesale companies and distribution buying groups actively seek and maintain relations with installers through various partnership programmes and initiatives, including education courses and training sessions, certificates and loyalty programmes, with discounts offered to partners, as well as through organising trade shows and events.

In order to strengthen their market position and increase profits, several large wholesalers have launched their own brands of bathroom products (very often complemented by own brands of heating equipment). For example, ONNINEN provides several types of bathroom products, including taps and mixers and shower pipes, under its own brand, ONNLINE; GRUPA ABG offers a wide range of bathroom and heating products under own brands RBB (Red, Blue and Base); TADMAR sells bathroom equipment branded ALTERN, as well as heating products and installation tools branded ALTECH.

Retail Level

In 2020, the overall retail segment declined by 3.6% in terms of sales after a 6.7% increase recorded in 2019, according to the GUS. Nevertheless, retail sales of home appliances, including radio and TV equipment, grew in 2020 by 4.7% compared to a 5.4% growth rate (at constant prices). In 2020, with anti-pandemic restrictions in place customers more often purchased this type of product on-line, also to the benefit of internet retailers.

Most bathroom wholesalers are somehow involved in retailing. However, it is forecast that the distinction between wholesaler and retailer should slowly increase in Poland. This process has already started in the largest towns, where the presence of the biggest wholesalers is well established.

DIY Retailers

The Polish DIY market is one of the most profitable markets for the DIY sector in the CEE region. The core activities of Poland's DIY sector are renovation and the extension of existing dwellings for non-professional customers.

DIY outlets are located in all major cities in Poland. The regions with the highest number of DIY shops are Silesia, Lesser Poland, the Wroclaw area, central Poland and the Tri-city area (Gdansk, Gdynia and Sopot). A lower congestion of DIY stores

can be seen in the Lubelskie voivodeship in central-eastern Poland, and the Zachodniopomorskie voivodeship (north-west of Poland).

The Polish DIY market in 2020 remained dominated by three companies: CASTORAMA, LEROY MERLIN and OBI.

Overall, the competition landscape of the Polish DIY sector is covered by:

- CASTORAMA, which belongs to the French KINGFISHER, controlling several other retail brands: B&Q, BRICO DEPOT, SCREWFIX and KOCTAS. At the beginning of 2021, there were 85 CASTORAMA depots located in 60 cities around Poland, others located in France (more than 100) and Russia (20 retail outlets). KINGFISHER also runs two BRICO DEPOT outlets in Poland. CASTORAMA offers a wide range of bathroom products including taps and mixers, shower trays, baths, sanitary ware, shower and bathroom accessories, and economy priced bathroom furniture.
- LEROY MERLIN, which opened its first depot in Poland in 1996. As of April 2021, there are over 470 LEROY MERLIN depots in 12 countries around the world, of which 67 are located in Poland. The company is part of the ADEO GROUP, focusing on home improvement products. The ADEO GROUP also owns the BRICOMAN network of eight wholesale/retail outlets with offerings very similar to DIY, however targeting professionals.
- PSB MRÓWKA, which is a business branch of GRUPA POLSKIE SKLADY BUDOWLANE (GRUPA PSB), at the end of 2020 comprising 397 companies with 299 building materials depots, and 327 PSB MRÓWKA and MINI MRÓWKA DIY stores, as well as 70 PSB PROFI outlets, which specialise in sales to construction and installation companies. PSB MRÓWKA is a fast-growing self-service store network that covers a whole range of products for home and garden. The group is aiming to dominate local markets in smaller towns with a population 2,000-100,000. Regarding bathroom products, PSB MRÓWKA offers mostly economy-priced products that are supplied by Polish players such as CERSANIT, NOVOTERM and DEANTE. In 2019, GRUPA PSB made PLN 7.2 billion from sales of building materials (6% up compared to 2018).
- BRICOMARCHÉ, which is part of GRUPA MUSZKIETERÓW (ITM POLSKA Sp. z o.o.) – the Polish branch of LES MOUSQUETAIRES GROUPE, at the end of 2019 among others, running 171 DIY BRICOMARCHÉ stores in Poland, of which nine opened in 2020. Back in 2014, BRICOMARCHÉ took over 14 out of 24 outlets of a DIY network, NOMI, at the time being in liquidation. In April 2017, BRICOMARCHÉ acquired a Poznań-based outlet from PRATIKER, a DIY and home improvement network experiencing serious financial difficulties, which eventually went bankrupt in September 2017. In 2018, the BRICOMARCHÉ network in Poland generated PLN 2.3 billion, compared to 2017 representing a 10.3% increase, and in 2019 its revenues grew even faster, at a 10.7% growth rate. In 2020, the BRICOMARCHÉ continued growing making PLN 2.88 billion revenues.

- The Swedish DIY retailer JULA, which entered the Polish market in 2011 and in May 2019 opened in Bydgoszcz its 13th store in Poland, in April 2020 – the 14th Polish outlet was opened in Szczecin, and in October 2020 – another store was opened in Nowy Sacz. As to bathroom equipment, JULA focuses on sales of products under its own brand, CURAQUA, ranging from shower enclosures to washbasins, to WCs and taps and mixers, in addition also offering products by manufacturers such as CERSANIT and GROHE.
- Owned by the TANGELMANN GROUP, OBI opened its first outlet in Poland in 1998 and currently has 59 shops in 41 Polish cities out of over 600 it owns across Europe. The OBI chain in Poland is run by OBI CENTRALA SYSTEMOWA Sp. z o.o. The German OBI was declared bankrupt in 2013, but the bankruptcy did not affect the Polish stores, which kept operating as usual. In addition to a wide range of products by renowned manufacturers, OBI provides a number of products under its own brands, OBI and DECO-LINE, focusing particularly on taps and mixers.
- Other small and local DIY retailers.

Specialist/Other Retailers

Furniture Retailers and Department Stores/Other Retailers

The Swedish furniture giant IKEA offers a wide range of bathroom products, such as shower and bathroom accessories as well as bathroom furniture, bathroom washbasins, and bathroom and kitchen taps and mixers, mainly sourced from domestic producers. As a fast growing and convenient store that offers a whole range of products for the home, it has become a preferable choice over traditional furniture retailers. Also, IKEA is one of very few large retailers in Poland offering complete kitchen solutions. At the beginning of 2021, IKEA runs in Poland 11 outlets located in the nine largest cities across the country.

Bathroom Specialist Retailers

Over the past few years, bathroom specialist retailers have gained popularity. At the beginning of 2019, there were no bathroom specialists operating nationwide; however, several bathroom retailers provide their services on a pan-regional basis.

The largest bathroom specialist retailers include:

- BLU, owned by BR KONSORCJUM Sp. z o.o. and active in the retail field since 2005. With the outlet the company opened in Pila, the Greater Poland voivodeship, in July 2019, it runs a total of 49 outlets. The company's network covers most of the territory of Poland (except the south-west and north-west parts of the country).

- SERVITOR, which started retail activities in Toruń in the early '90s and currently is operating five outlets in the largest cities of the Kuyavian-Pomeranian voivodeship.

- MEDIA EXPERT, focusing on radio/TV equipment and home appliances, also providing electronics, sporting and gardening products. Bathroom and kitchen offerings include taps and mixers, kitchen sinks, shower sets and bathroom accessories. As of September 2020, the company owns 480 outlets located in 390 cities across the country.

Also, a great number of wholesalers run retail outlets or even networks. The largest include:

- FEMAX, headquartered in Gdask and providing retail sales through 13 outlets located in the largest cities in northern Poland alongside its wholesale activities.

- INSTALBUD JANUSZ, established in 1990, part of the GRUPA ABG, which provides wholesale and retail sales through its 35 branches across the country.

- MATEX, also part of the GRUPA ABG, which, in addition to wholesale, also provides retail sales through its outlets in Jelenia Góra (headquarters) and 20 other cities scattered across south-western Poland.

Small, local building markets (market *budowlany*), consisting of a large number of retail outlets that sell various building, construction or design materials in close proximity, are still a popular solution.

Many specialist companies operate based on franchise or integrating franchise in their business model. One of the largest franchising companies in the bathroom segment is EXCELLENT. It was set up in 1990 as a distributor of ceramic tiles, then gradually moved to import and distribution of bathroom products to start, in 1996, selling hydromassage baths under its own brand. Currently, EXCELLENT offers a number of products under its own brand, including products it manufactures, and acts as a wholesaler of bathroom equipment for various third party manufacturers. The company runs a retail outlet in Krakow, which it franchises to about 60 retail companies located around the country. In addition, it sells through a network of 120 authorised retail outlets and through another 1,000 retailers it partnered with.

Similarly to wholesalers, several large retailers have launched their own brands of bathroom and kitchen products in order to strengthen their market position and to increase profits.

The chunk of the own-brand products are locally re-branded imports from Far Eastern countries, which ensures competitive prices as compared to European manufacturers.

Internet Retailers

According to the 2020 report by BISNODE, after a slowdown in 2018, in 2019 short of 10,000 new online shops registered in Poland which, with 2,000 internet retailers closing, brought the total number of online shops to over 36,000. As the anti-pandemic restrictions created an opportunity for online retailers, in 2020 after a 21.5% increase there were already 44,500 internet shops – the figure more than doubled compared to 21,700 in 2013. Even better grew the revenues generated by online sales. In 2019, the total internet sales market in Poland was worth about PLN 50 billion (about EUR 11.5 billion) and in 2020 the revenues increased by about one third exceeding PLN 65 billion. With the pandemic under control at a certain point growth of internet sales is likely to slightly decelerate; however, it is expected to continue growing, in the next couple of years reaching revenues of PLN 80 billion. In addition to attractive prices offered by online retailers, internet sales have been boosted by the governmental ban on the sales on Sundays, which first came into force in 2018, with the number of Sundays without trade per year gradually increasing (to 37 in 2019 and 45 in 2020).

As far as the Polish bathroom is concerned, it is estimated that in certain product categories more than 10% of sales revenues are generated through online sales. Omni-channelling is well developed for bathroom products as most wholesalers and DIY stores, besides generating on-site sales (warehouses or showrooms), devote part of their funds to developing online services which in most cases include home delivery, click & collect and at-stock availability checks. The two biggest DIYs, namely LEROY MERLIN and OBI, have contracted DHL to deliver their products (LEROY MERLIN also uses a delivery service provided by ROBEN).

Many companies generating most of their revenues from online sales, also run traditional outlets (for example LAZIENKIABC, SKLEPBATERIE). However, there are now several online platforms in the Polish bathroom market that generate profits based solely on online sales, including LAZIENKAPLUS, SANITBUY and others. As a matter of fact, most of the internet shops in the bathroom segment are currently operating nationwide due to contracts they signed with delivery firms (for example 123ARMATURA works with DACHSER, TANIALAZIENKA partnered with PEKAES). Some even offer deliveries outside of Poland (e.g. SANITBUY also covers the Czech Republic and Slovakia, and TANIALAZIENKA offers deliveries across the EU).

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage	Specific Product Orientation (all figures are in %)													
				Year End	€ million		No. of Depots	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify
ONNINEN	ONNINEN POLSKA	Specialist Merchant	Heating, Sanitary/Plumbing	2019	240	36	XXX	XXX	XXX	XXX	XXX	X		X				X	Electrics	
GRUDNIK	GRUDNIK SP. Z O.O.	Specialist Merchant	Heating, Sanitary/Plumbing	2019	73	10	XXX	XX	XX	X	X				X					
SANPOL	SANPOL SP. Z O.O.	Specialist Merchant	Heating, Sanitary/Plumbing	2019	73	4	XXX	X	XX	X		XX								
GC GROUP	HYDROSOLAR	Specialist Merchant	Heating, Sanitary/Plumbing	2019	158	67	XXX	XX	XX	XX	XXX									
INSTAL KONSORCJUM	INSTALSAN SP.J.	Specialist Merchant	Heating, Sanitary/Plumbing	2019	1	1	XXX	XXX	XXX	X										
GC GROUP	BIMS PLUS SP. Z O.O.	Specialist Merchant	Heating, Sanitary/Plumbing	2019	497	132	XXX	XXX	XXX	X	X									
BUDO-HURT	BUDO-HURT SP. Z O.O.	Specialist Merchant	Mixed Merchant	2019	3	1	XXX	X	XX			XX	XX					XXX	Building	
GROUPE ADEO	LEROY MERLIN POLSKA SP. Z O.O.	DIY Retailer	DIY Assortment	2019	1,411	66	XXX	X	XX	XX	X	XX	XXX	XX	X	X		XXX	DIY Assortment	
KINGFISHER	CASTORAMA POLSKA SP. Z O.O.	DIY Retailer	DIY Assortment	2019	1,679	85	XXX	X	XX	XX	X	XX	XXX	XX	X	X		XXX	DIY Assortment	
TENGELMANN	OBI POLSKA	DIY Retailer	DIY Assortment	2019	675	59	XXX	X	XX	XX	X	XX	XXX	XX	X	X		XXX	DIY Assortment	
TG INSTALACJE	TG INSTALACJE SP. Z O.O.	Buying Group	Heating, Sanitary/Plumbing	2019	24	13	XXX	XX	X	X										
GRUPA HANDLOWA SANGROUP	GRUPA HANDLOWA SANGROUP SP. Z O.O.	Buying Group	Heating, Sanitary/Plumbing	2019	34	21	XXX	XXX	XXX											
INSTAL KONSORCJUM	INSTAL KONSORCJUM SP. Z O.O.	Buying Group	Heating, Sanitary/Plumbing	2019	148	150	XXX	XXX	XX	XX	XX					X				
POLSKIE HURTOWNIE INSTALACYJNE	GRUPA POLSKIE HURTOWNIE INSTALACYJNE SP. Z O.O	Buying Group	Heating, Sanitary/Plumbing	2019	0.2	19	XXX	XXX	XXX											

Source: BRG based on company information and industry interviews

x = Marginal activity
xx = substantial activity
xxx = core activity

POLAND

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Although historically, back in 1990s and early 2000s, sales of baths were dominant in volume terms, sales of shower trays have commenced to gain popularity over the years, indicating that Polish customers have started to appreciate their functionality. Moreover, with the gradual rise of water prices, shower trays have become a reasonable and frugal solution for price-driven Polish consumers. In addition, wet shower rooms have started recently to experience an increasing demand. Nevertheless, this type of showering solution has remained residual and is still expected to expand in the future. In the past, shower trays were mostly displacing baths, with an increasing number of people installing walk-in showers in the second bathroom or a shower tray in their existing bathrooms.

In terms of product mix, the Polish bath and shower tray market had once been dominated by steel models. Nowadays, there is a very strong demand for synthetic products, mostly acrylics. Low-priced imports of synthetic baths and shower trays, coupled with low price levels offered by local manufacturers, have crippled the luxury image of acrylic baths and resulted in a surge of economy price products. Acrylic baths and shower trays, initially, developed due to the ease of production of a variety of shapes this fabric permits. As far as baths are concerned, however, white rectangular models quickly became a standard. Sales of shower trays are dominated by square/rectangular models installed on the floor which, apart from having aesthetic advantages, offer convenience for older and disabled users. In the past couple of years, the market saw emergence of mineral cast products, both baths and shower trays, with several players including mineral cast models in their portfolio by 2020, and some models distributed via DIY networks. Still due to relatively high prices, their sales are yet relatively small and the progress in gaining share on the highly price-oriented Polish market, rather slow. For similar reasons, even more expensive solid surface baths and shower trays, although offered by some players for a couple of years now hold even smaller share of the market.

As regards hydromassage bath sales, these were very popular on the market at the beginning of the 2000s. However, with a gradual switch in Poles' preferences towards showering products, the share of hydromassage baths in the hydrotherapy product mix has drastically declined in the last decade. With regard to the technical features of hydrotherapy products available on the Polish market, white acrylic models comprise the majority of hydromassage sales. In fact, sales of steel baths equipped with jets nowadays are a rarity.

Recent Market Trends

After recording a very good growth rate in 2019, overall combined sales of baths and shower trays showed a slight increase in 2020 driven primarily by sales of synthetic products, both shower trays and baths, with all other product types declining. In terms of end-use, the segment benefited from a good momentum observed in new housing despite the anti-pandemic restrictions and two lockdown

periods, as well as a relatively high demand from the RMI sector, which offset a drop in sales to non-housing. Last but not least, sales considerably increased at the end of the year with distributors making a strategic decision to increase their stock and purchase more products before considerable price hikes announced in the last quarter of 2020.

Like in 2019, in 2020 the increase in the new dwelling output positively affected sales of synthetic baths, which recorded slight growth, not sufficient though to make up for the drop in sales of steel and cast iron baths. Demand for steel models continued to decline due to consumer preferences changing towards synthetic models.

As in previous years, sales of acrylic products faced a growing competition from baths made of mineral casting. Sales of this relatively novel and top-notch product started to emerge rapidly due to the increasing demand from middle- and upper-income consumers. Mineral casting baths do not contain toxic substances, are more resistant to physical damage, and guarantee a modern aesthetic combined with long-lasting smoothness of the surface which prevents microbial growth. Currently, mineral cast baths can be found in the portfolios of several manufacturers operating in Poland, including the Spanish ROCA as well as the Polish SANPLAST, MARMORIN and BESCO. The last-named manufacturer produces mineral casting baths using the so-called DureBe mineral, combined with gelcoat coating. Several other players offer baths and trays made of specially developed material, too. For example, VILLEROY & BOCH manufactures bathroom products among others from quarryl, which is a specially prepared mix of acryl and quartz. Nevertheless, in the price-oriented Polish market, the price difference between acrylic and mineral cast models remains too big for the latter to gain market shares faster. Also, solid surface baths and shower trays are already available on the Polish market; however, again due to relatively high prices, they remain a premium, niche product and in 2020, like in previous years, acrylic models dominated the baths market.

With regards to size and shape, most in demand were models with a rectangular shape and of medium size (on average with a width of 70 cm, length of 160 cm and capacity of approximately 170 litres). Demand for acrylic products also continued to shape the market for shower trays with sales growing much slower than in previous years, although recording a slight increase. Overall, sales of white square-rectangular models made of acrylic dominated the shower tray market, due to their functionality and aesthetics.

Traditionally, sales of cast iron baths remained at the residual levels. Cast iron baths are typically installed in old mansions that undergo renovation works, and in individual houses with a rustic design.

Overall sales of hydrotherapy products in Poland kept decreasing in 2020, primarily due to a decline in sales of hydromassage baths with sales of hydrotherapy shower cubicles showing more resilience to tough market conditions. The segment of hydrotherapy products has been in decline since 2015 due to weakening demand

in new housing for which reason several players have ceased manufacturing this type of product (e.g. SANPLAST-owned SCANSANI).

Prices and Market Values

In 2020, despite worsening economic conditions in Poland as well as practically in all economies around the world, not to mention a higher inflation ratio and increasing production and transport cost, prices for bathroom products grew moderately, by 3-4% on average. Most importantly, the impact of the pandemic on the Polish bathroom market in terms of sales was relatively mild with practically all the segments showing a good recovery after experiencing problems in the wake of the pandemic. Moreover, like in previous years, the fierce competition seen in the price-oriented Polish market, amplified by growing sales of own brands introduced by distributors, makes any considerable price hikes rather difficult. Before the end of 2020 only a few manufacturers decided to apply an extra price increase. Nevertheless, due to dramatically increasing prices of raw materials as well as transport – the cost of shipment from the Far East increased in 2020 by 5-6 times – a higher than usual increase in price for bathroom products is expected in 2021 and was already applied by several players in the first quarter.

Growing popularity of medium and upper/luxury products to the detriment of economy/lower price-ranged models, observed also in 2020, which was boosted in recent years by rapidly rising real wages, continued to increase the average MSPs, particularly in the case of synthetic baths and shower trays. The shift towards products from higher price brackets has been palpable; nonetheless, as of 2021 price remains the decisive factor for the vast majority of customers, and the average MSPs are still considerably below the Western European values, lower also than many Eastern European EU members.

In the long run, BRG assumes that the average MSPs of baths and shower trays are likely to continue to grow, as the result of increasing costs of production and raw materials, and improving household incomes.

New Housing

The decline in mortgage prices observed in recent years, which followed a considerable decrease of the interest rates by the National Bank of Poland (NBP) in 2015, motivated developers to intensify their activities – the number of dwellings completed by developers in 2015, 62,500, more than doubled in four years to reach 130,900 in 2019.

In 2020, after the COVID-19 pandemic outbreak the NBP further lowered the interest rates, which, however, did not ease further mortgage affordability, as in the new circumstances the banks generally raised the criteria for any loans. On the other hand, people were more reluctant to buy a new house or apartment and overall sales of new dwellings in 2020 fell drastically. Nonetheless, the positive momentum on the new dwelling construction market continued driven again by developers completing 143,800 dwellings, which represented a 9.4% increase on

an annual basis.

The lion's part of their investments are made in projects in the outskirts of major cities such as Warsaw, Krakow and Wroclaw, where prices remain as much as one third lower on average than those in city centres.

A positive trend on the domestic residential construction market in 2020 benefited sales of bathroom products to new housing, particularly baths and shower trays, with the latter continuing to increase their share of the market at the expense of baths. This was not surprising, given the average size of bathrooms in apartments (approximately 6 m²).

Baths continued to be installed in bigger apartments and houses that usually have two bathrooms. Similarly to previous years, in 2020, sales of synthetic shower trays to new housing remained dominant, followed by synthetic baths and steel shower trays. The penetration of hydromassage baths into new housing remained low and was ascribed mainly to new houses. Sales of cast iron baths remained at the residual levels, due to a very limited consumer demand.

Housing RMI

The displacement of baths with shower trays has become significant in dwellings that are occupied by the elderly, as the Polish population is ageing rapidly. It is also a certain trend driven by consumer preference for space- and water-saving, as well as changes in the lifestyle on average requiring less time to spend in the bathroom.

Sales of baths to the RMI segment continued to decline in 2020, similar to previous years, while shower trays, which in recent years recorded very good growth rates in RMI sales, showed a slight decline in 2020 with less investments in replacing baths with showers on a non-distress basis. The outbreak of the COVID-19 pandemic affected the RMI segment through cancellations of or delays to larger renovation projects and lower investments in replacements as people became more concerned with their spending. For that reason, refurbishment projects that were undertaken in 2020 were very often limited to minor changes in the house or apartment design etc.

Overall, in 2020, the housing RMI market continued to absorb a significant share of sales of baths and shower trays, with synthetic products being the most popular due to their ease of installation through light materials, longer durability and the wide range of shapes available. Synthetic baths were followed by steel baths and the marginal market for cast iron models.

Like-for-like replacement of steel/cast iron shower trays is mostly observed in the poorer parts of Poland, particularly in the south-east and north-east. Like-for-like replacement of ceramic shower trays accounts for more than half of the total sales of this product. Due to the price, installation costs and aesthetic features, like-for-like replacement of ceramic shower trays is usually carried out in houses belonging to wealthier Poles, often situated in rural areas.

BRG expects that in the long run like-for-like replacement of baths will decrease slowly, whilst displacement sales and like-for-like replacements of shower trays, mostly synthetic, are set to continue gaining popularity. Sales of shower trays to RMI in the long term should grow well, with the growth rate tempered by the competition from walk-in showers, which nowadays are becoming more and more popular in Poland.

Overall, sales of hydromassage baths to housing RMI decreased in 2020 and this segment should continue to decline over the forecast period, although at a very moderate rate.

Non-Housing

After recording good results in 2018 and 2019 in terms of commercial area and the number of new buildings, particularly in the accommodation segment, the non-housing construction sector was severely hit by the outbreak of the COVID-19 pandemic in March 2020 with a number of projects postponed or cancelled. Large construction projects commenced before 2020 typically carried on, whereas new ones, large and small, were less frequent, facing delays or cancellations.

Also, non-housing modernisation projects suffered due to the COVID-19 outbreak. For example, periods without guests might seem ideal for hotel renovations; however, any investments of this kind may prove risky for businesses experiencing problems with cashflow, as was the case with a great many hotels and accommodation facilities in 2020. As a result, sales of baths and shower trays recorded a considerable decrease in 2020, with all product categories showing a decline.

Overall, in terms of market shares, in 2020 sales of synthetic shower trays continued to dominate non-housing, followed by synthetic baths, and steel/cast iron shower trays. Sales of synthetic baths and shower trays were predominant in the segment of new non-residential construction, as well as the renovation works for non-housing dwellings.

Supply Structure

As in previous years, in 2020 the cast iron bath market remained in the hands of ROCA and DEVON & DEVON, which combined held more than 40% of shares. The segment remains marginal with only foreign players active, including also the French HERBEAU and the British HERITAGE BATHROOMS.

The synthetic bath segment in 2020 was dominated by the Polish BESCO, followed by the Swiss GEBERIT and another Polish player, CERSANIT. BESCO, which in 2018 modernised its production facilities, increasing their capacity, in 2019 and 2020 strengthened its market position, further reducing OEM and focusing more and more on its own brand. Like in previous years, GEBERIT's most popular models were rectangular PERFECT, MODO and SPARK, with a length range of

150-180 cm and a width of between 75 and 90 cm. The domestic SCANSANI, owned by SANIPLAST, underwent a restructuring in 2018, as a result of which it is now focusing on manufacturing acrylic baths and shower trays, whereas SANPLAST is offering more and more mineral cast bathroom products.

The synthetic trays segment was dominated by domestic manufacturers: SCHEDPOL, RADAWAY and SANPLAST, in terms of volume together holding almost half of the segment. SCHEDPOL offers mostly shower equipment from the economy to medium price brackets, including trays, enclosures and linear drains, additionally also providing baths. Its products are widely available in the major DIY networks and the company is also an active player in the projects sector. RADAWAY, focusing more on shower enclosures, distributes its products mainly through a network of specialist shops, and is planning to increase its presence in the project sector.

Like in previous years, sales of steel baths were led by the Spanish ROCA, alone accounting for about one third of the total volume, two other players of scale being: the German specialist in steel bathroom products, KALDEWEI, and the domestic manufacturer, FERRO. KALDEWEI and FERRO are at the same time the two largest players in the steel trays segment, altogether supplying more than two thirds of the total segment's volume.

Overall, imports constituted a fair share of the market, with companies such as ROCA, RAVAK, RIHO and IDEAL STANDARD widely available to the Polish consumers. Companies such as IDEAL STANDARD, NOVELLINI, MARMITE and VILLEROY & BOCH in 2020 continued to sell their products within the middle and upper price categories.

GEBERIT's KOLO continued to lead the market for ceramic shower trays in 2020, with more than half of the segment, followed by residual sales of IDEAL STANDARD and VILLEROY & BOCH.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3% to be driven mostly by private consumption and export, and an even better outlook for mid-term. The most important factor for the 2021 rebound is the speed and the effectiveness of re-starting the economy in the second quarter of 2021, as well as

the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to return of a cold winter in January 2021 was practically offset in February. A certain drop was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the bathroom market, combined sales of baths and shower trays are expected to record a positive momentum in 2021, driven primarily by sales of synthetic shower trays.

Sales of baths are expected to decline throughout the forecast period at a slow pace. In turn, the shower tray market should continue to grow at a healthy rate until 2025. Growth rates are likely to be tempered by continued increase in the production costs, increasing the prices. Firstly, the shortage of workforce, so far only partially covered through emigration, mostly from Ukraine, should continue affecting the Polish market. Secondly, expected continued growth of prices for raw materials, affecting the MSPs, already in 2021 resulting in considerable hikes in retail prices. For that reason the average MSPs, in recent years growing primarily due to customer preference shifting to higher price brackets, in line with increasing wages and household average incomes, in 2021 may likely grow faster. In the long run, BRG also expects the market value to continue to increase due to the growing disposable incomes of Polish households, which in turn should result in growth in renovation spending and the demand's shift more towards middle and upper price categories.

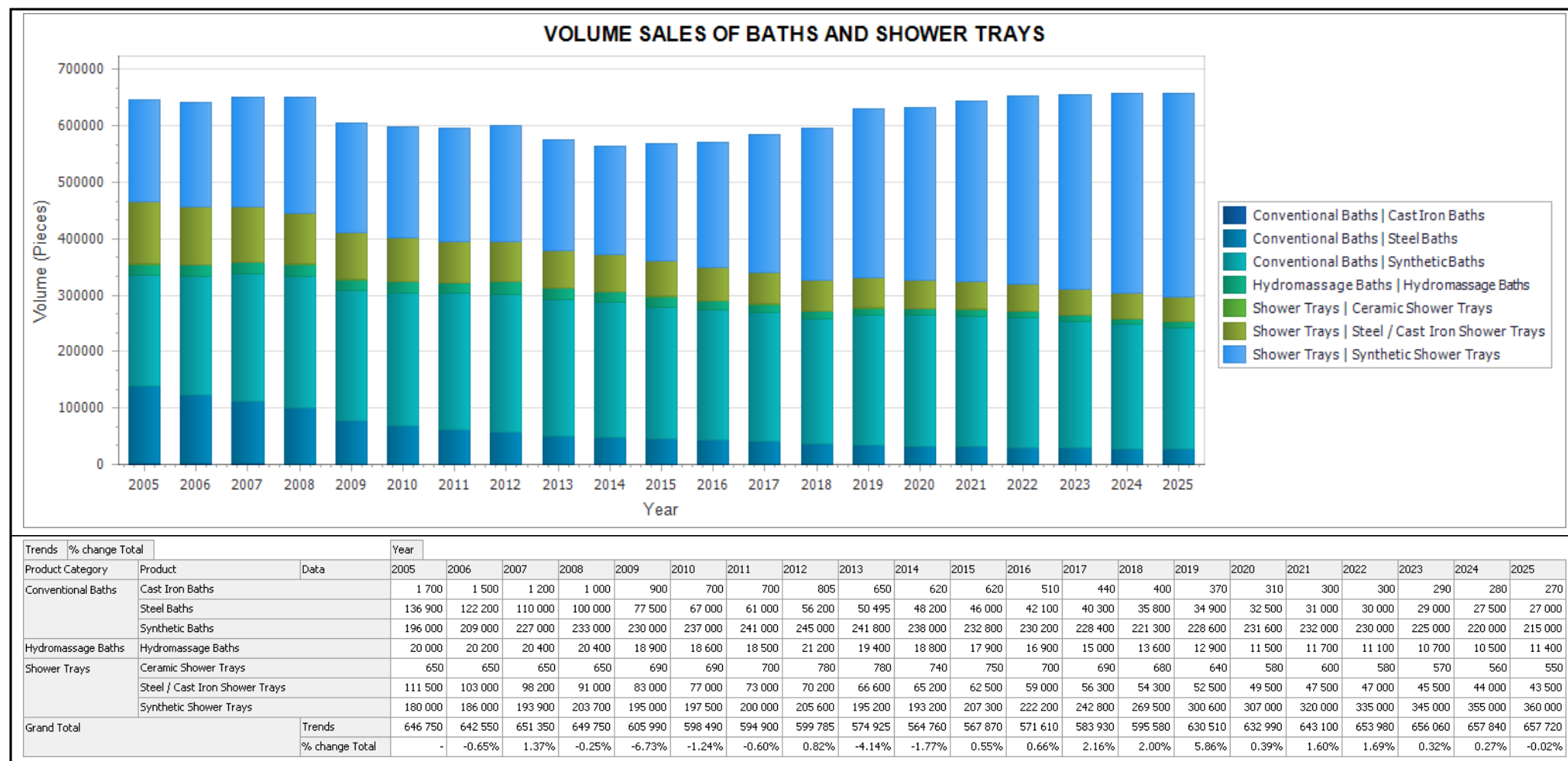
Heading to 2025, BRG forecasts that the hydromassage bath segment will be decreasing at a relatively slow rate at weakening demand in the new housing and non-housing sectors.

In terms of trends, the ongoing substitution trend from baths to showers should be a strong pattern of the market during the forecast period. Smaller bathrooms and a general consumer preference for showering should be the main drivers for this trend, with synthetic shower trays expected to gain share from steel/cast iron shower trays, while the product mix within the bath market is set to remain fairly unchanged in BRG's projections with synthetic baths slightly gaining shares at the expense of cast iron/steel models. Mineral cast and solid surface baths and shower trays are anticipated to continue to increase their shares in the product mix, however, at a relatively slow pace, due to considerably higher prices as compared to acrylic models.

Major players, as of 2020 holding the bulk of the market, are expected to continue to increase their combined shares, due to their size being better prepared to compete on the demanding Polish market. Also, the combined shares of own brands launched by distribution networks are expected to increase, however, at a relatively low pace primarily through sales of models from the economy and middle-end price segments.

1.2 Historical Trends and Forecasts

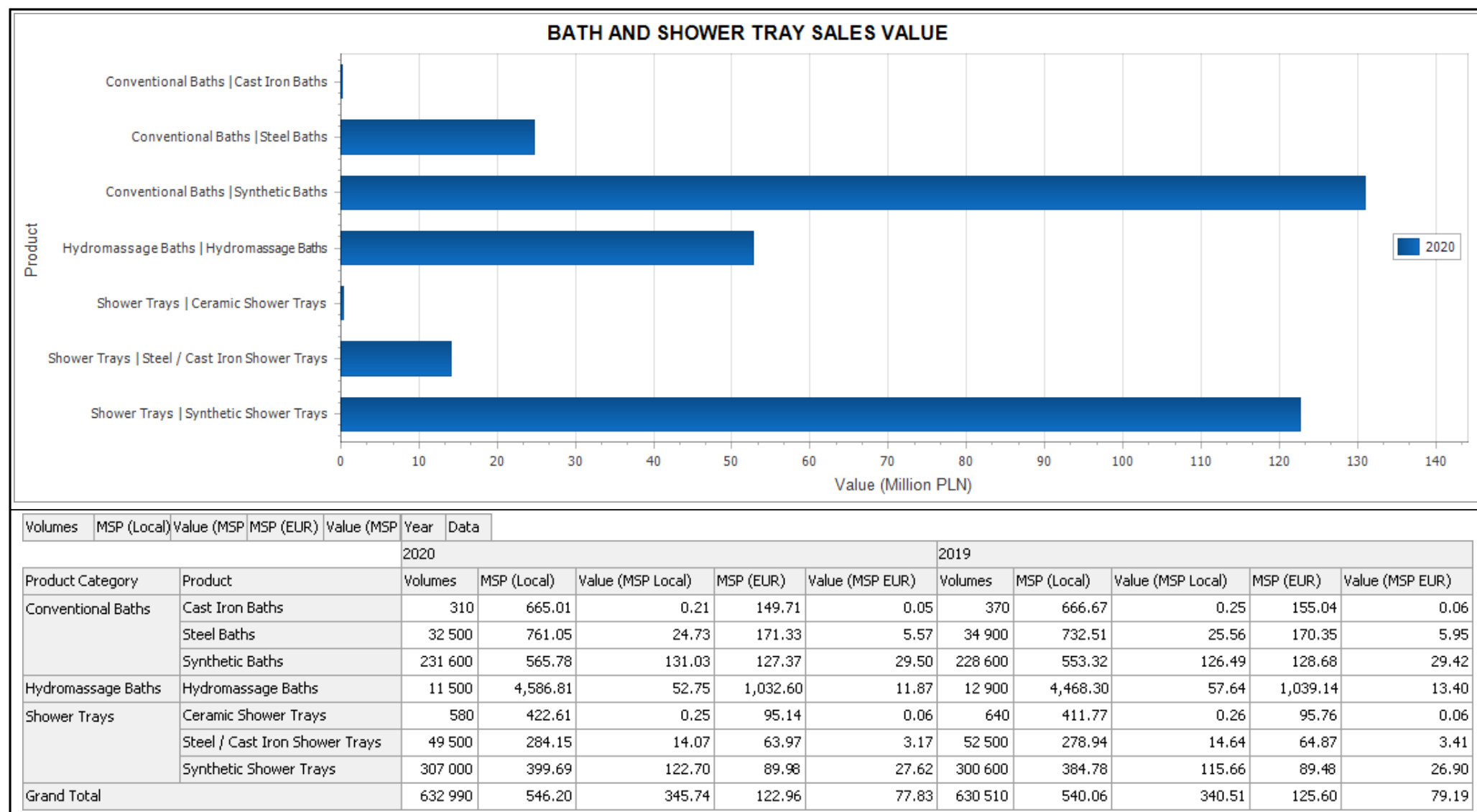
PL - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

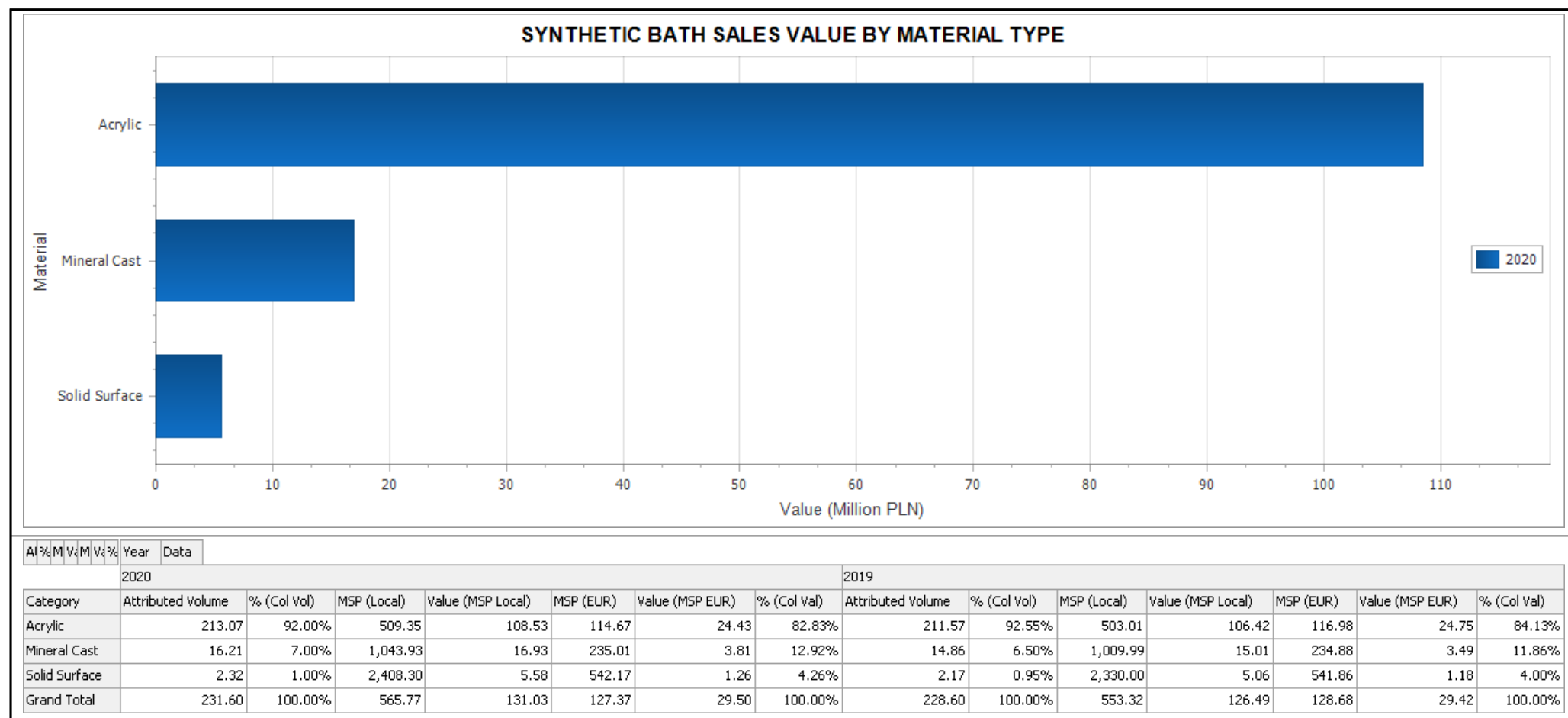
PL - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Values Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

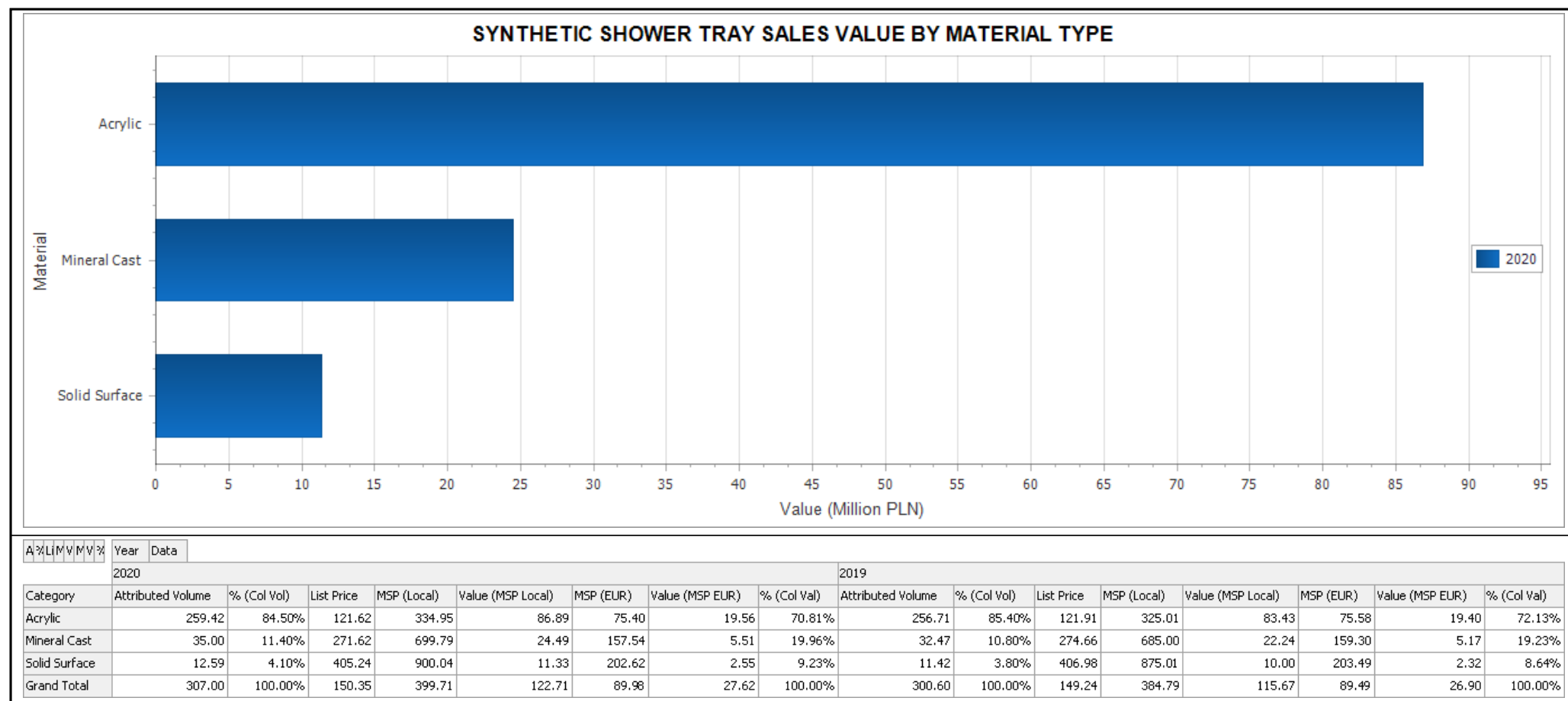
PL - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in PLN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

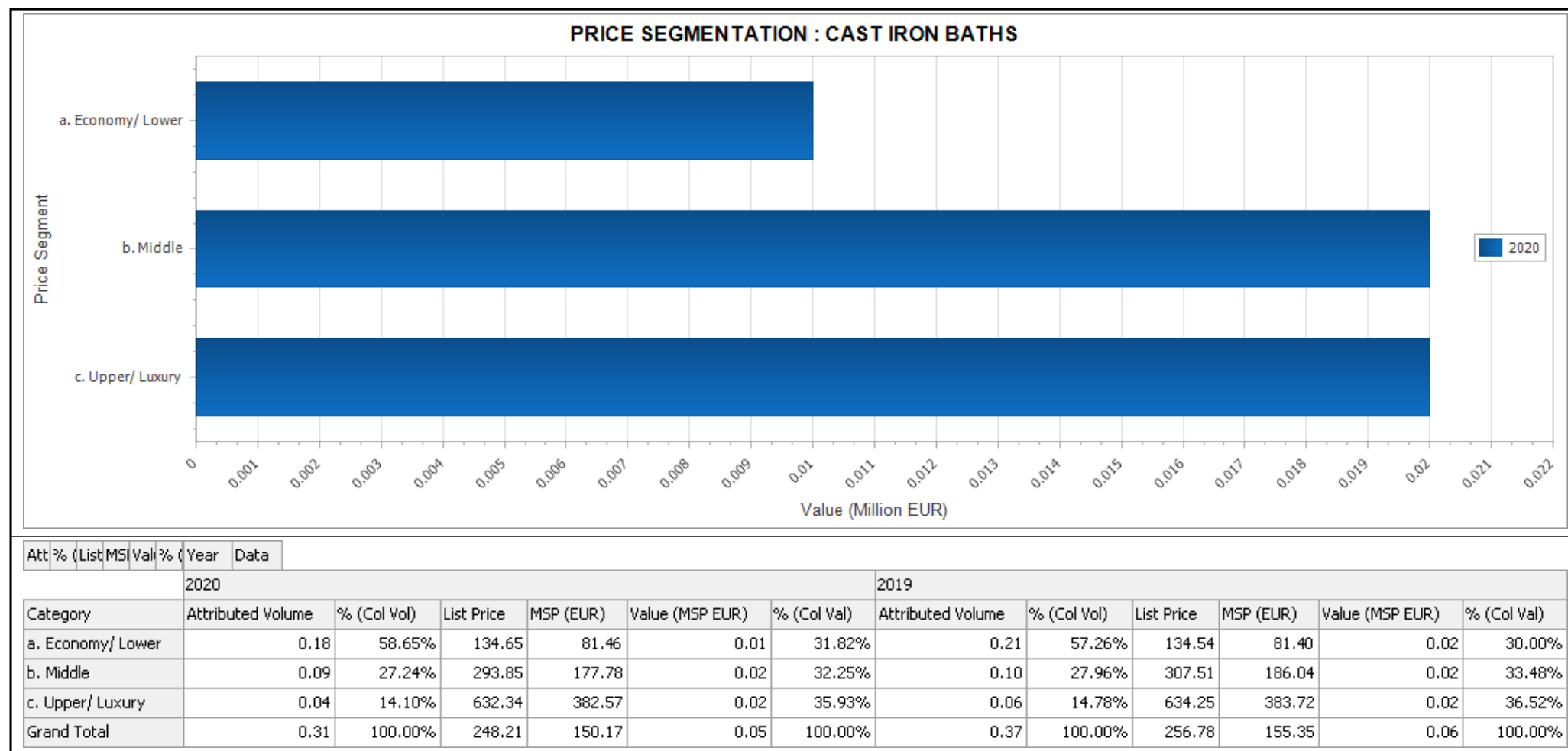
PL - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in PLN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

PL - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

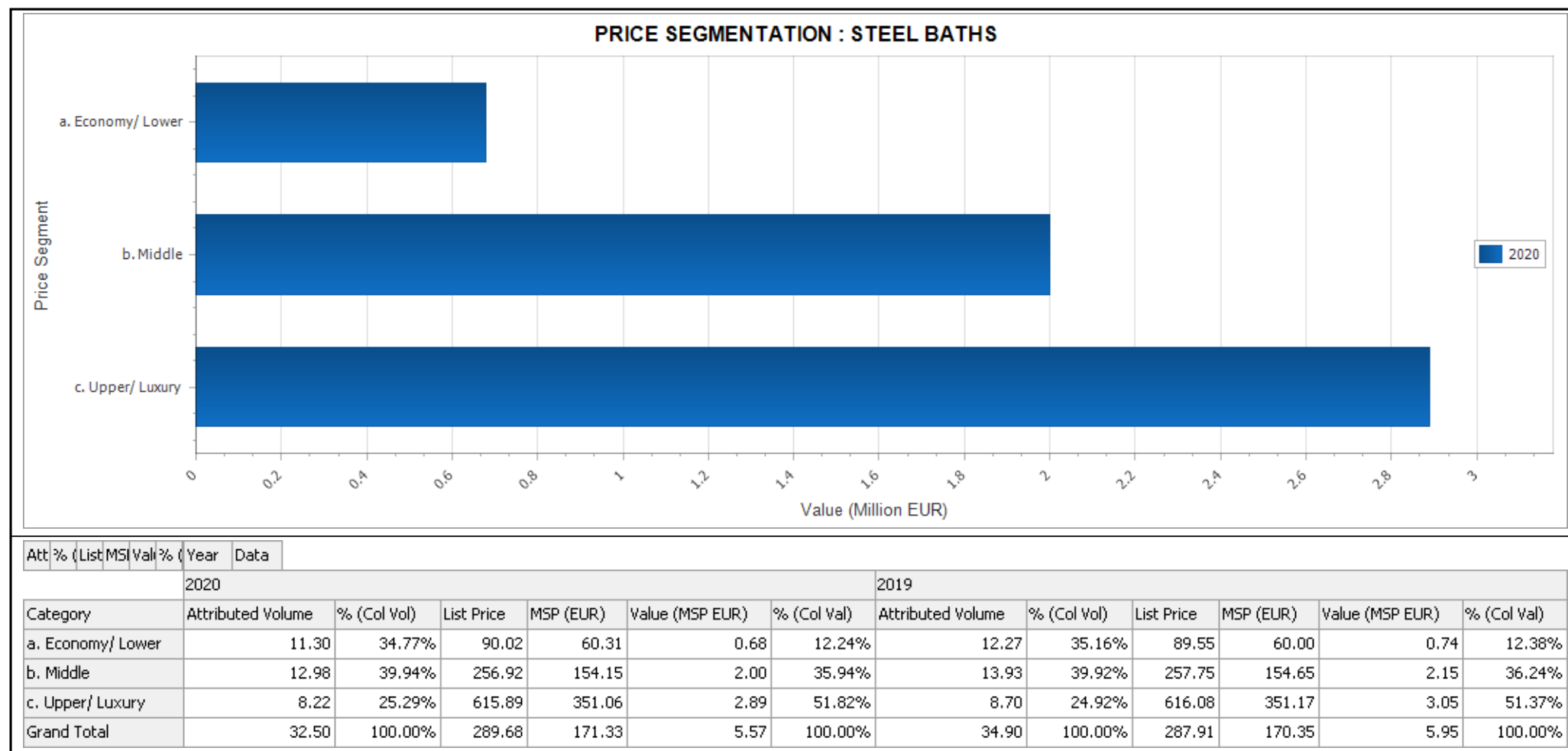


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

1.3.5 Price Segmentation : Steel Baths

PL - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

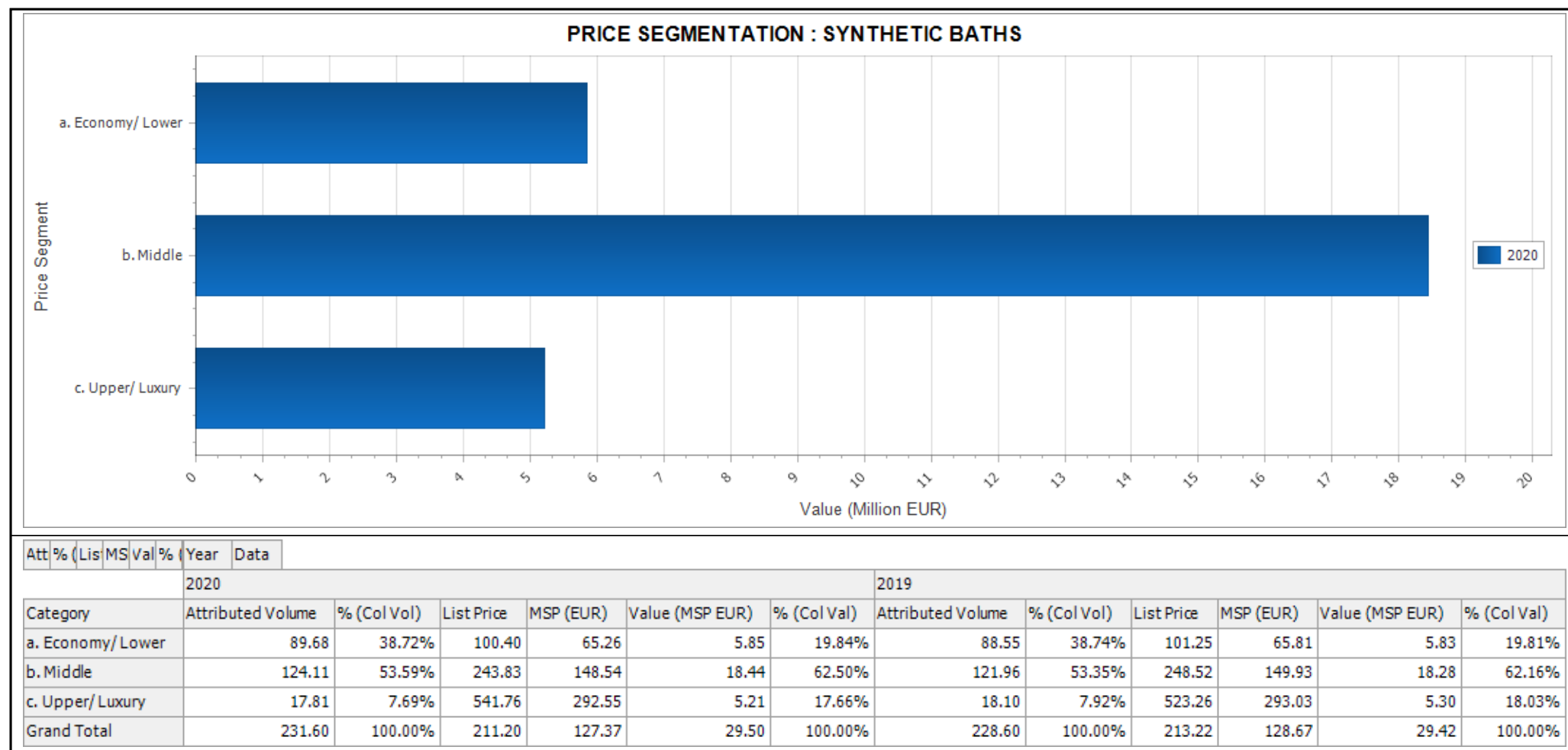


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.6 Price Segmentation : Synthetic Baths

PL - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

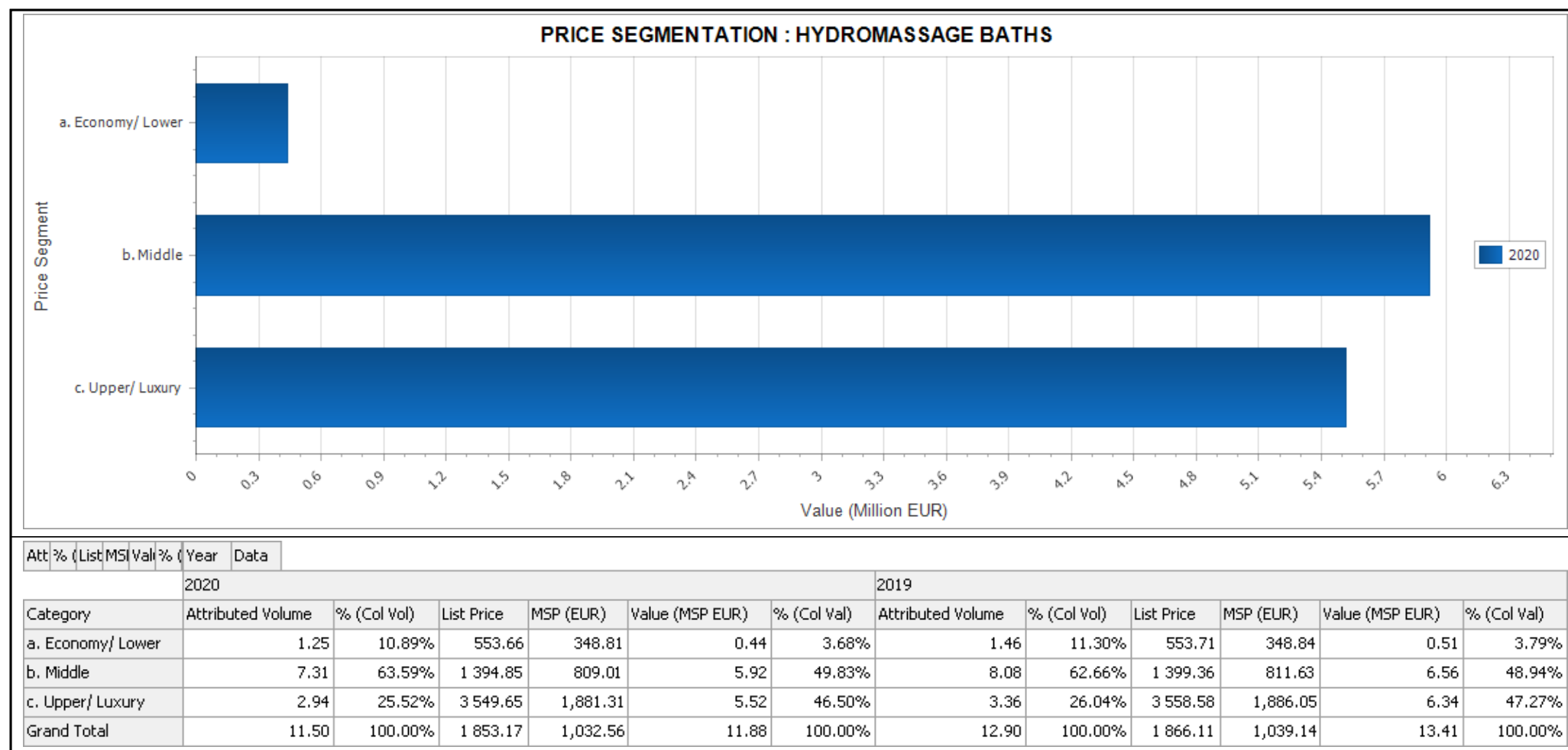


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€200, Upper/ Luxury >€200

1.3.7 Price Segmentation : Hydromassage Baths

PL - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

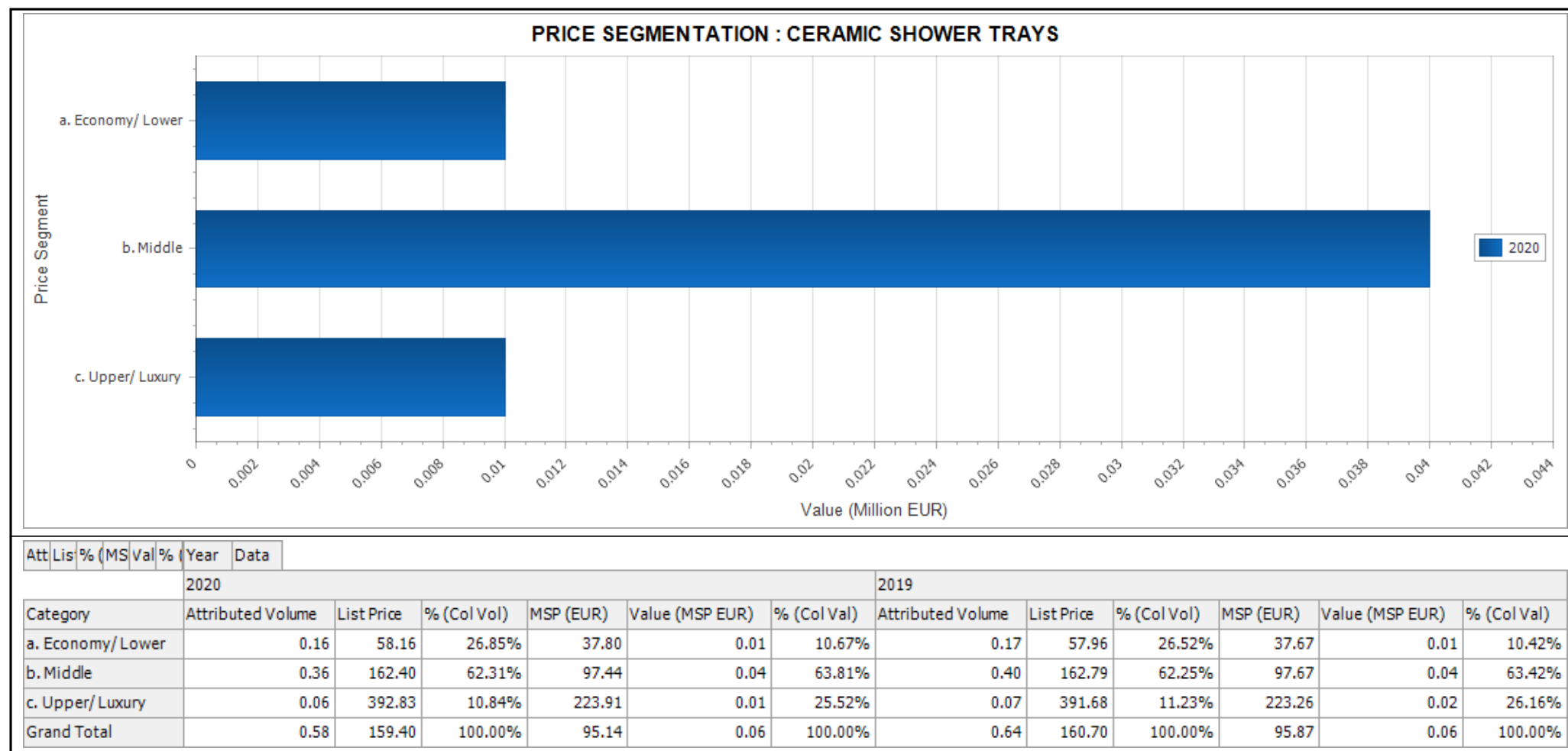


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

1.3.8 Price Segmentation : Ceramic Shower Trays

PL - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

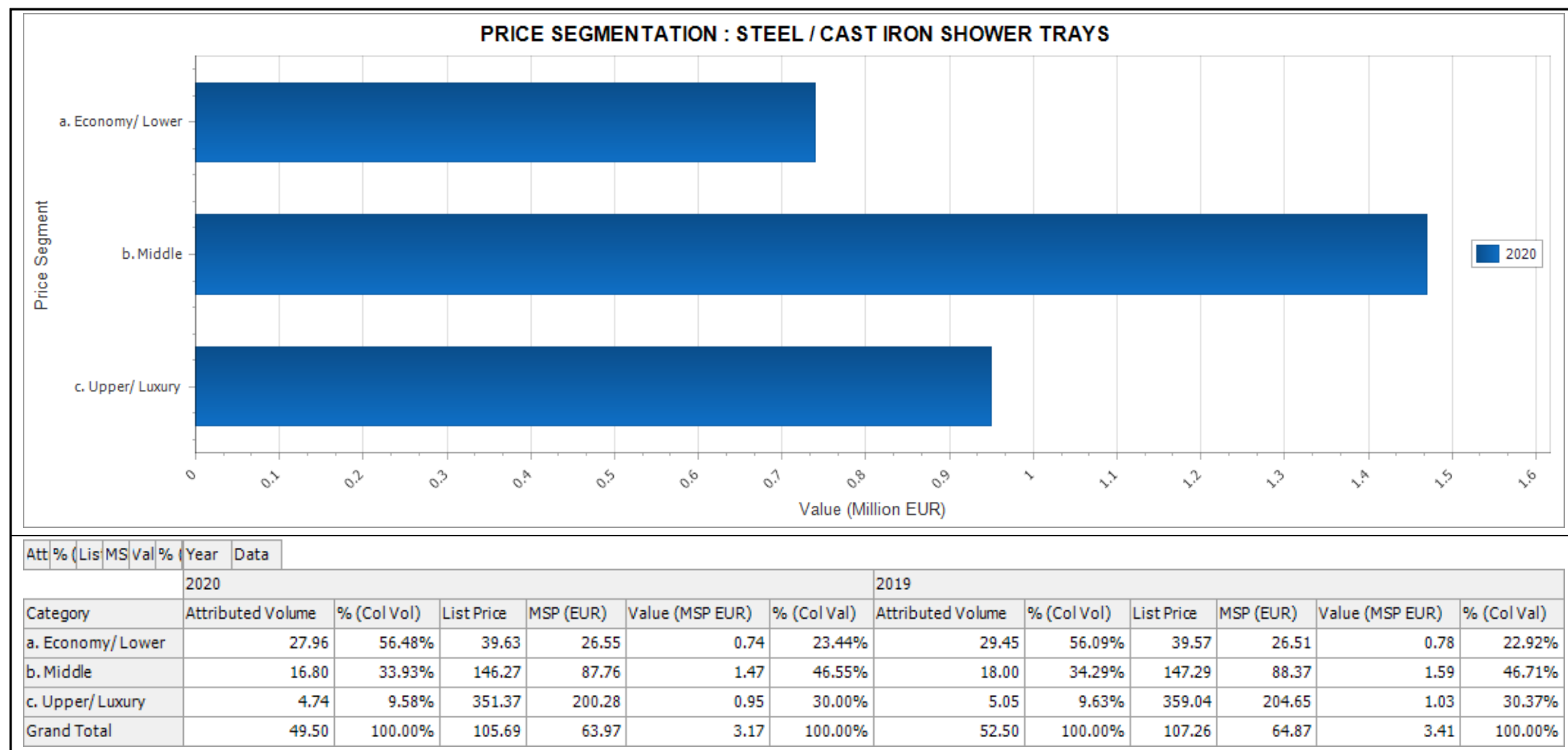


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€120, Upper/ Luxury >€120

1.3.9 Price Segmentation : Steel/ Cast Iron Shower Trays

PL - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

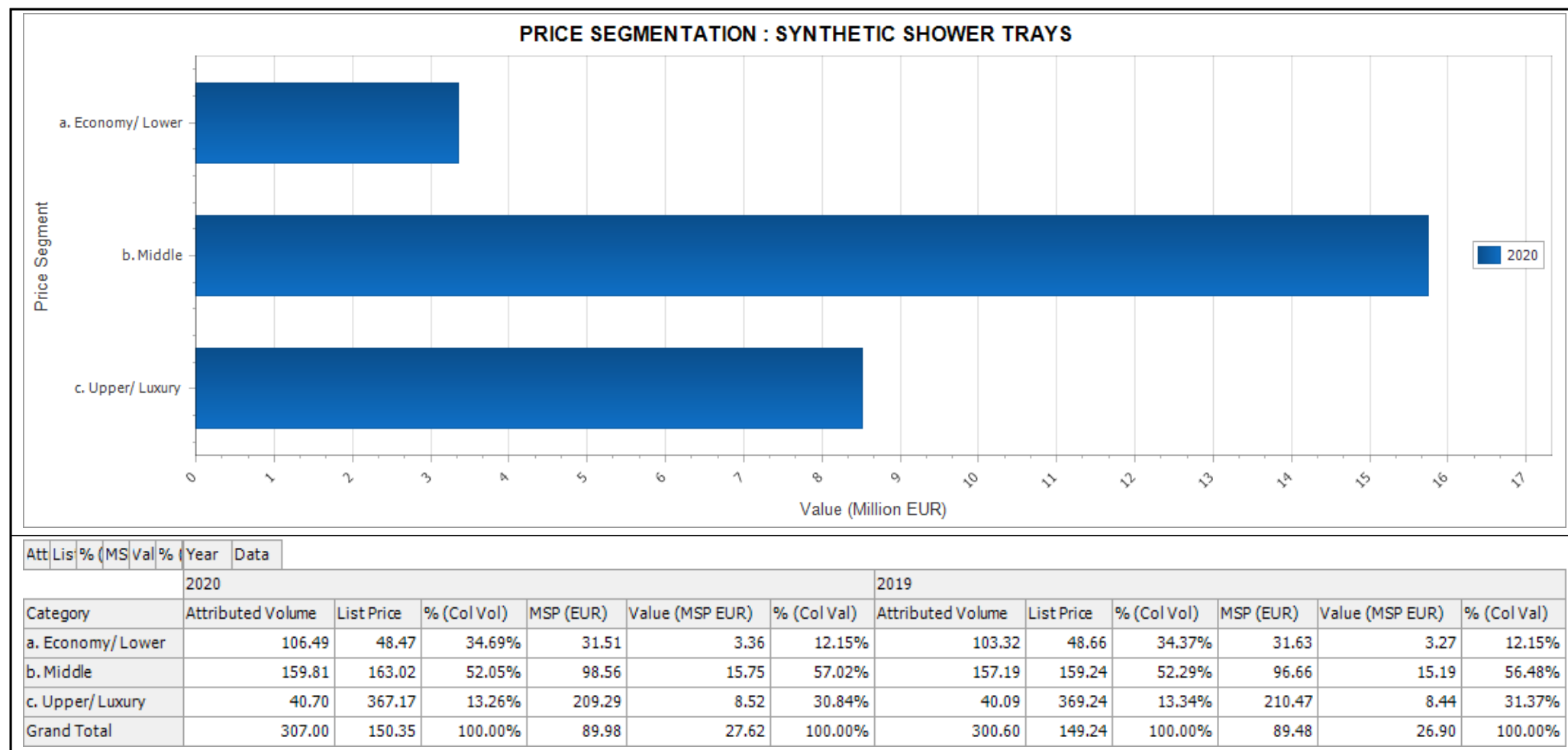


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€150, Upper/ Luxury >€150

1.3.10 Price Segmentation : Synthetic Shower Trays

PL - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

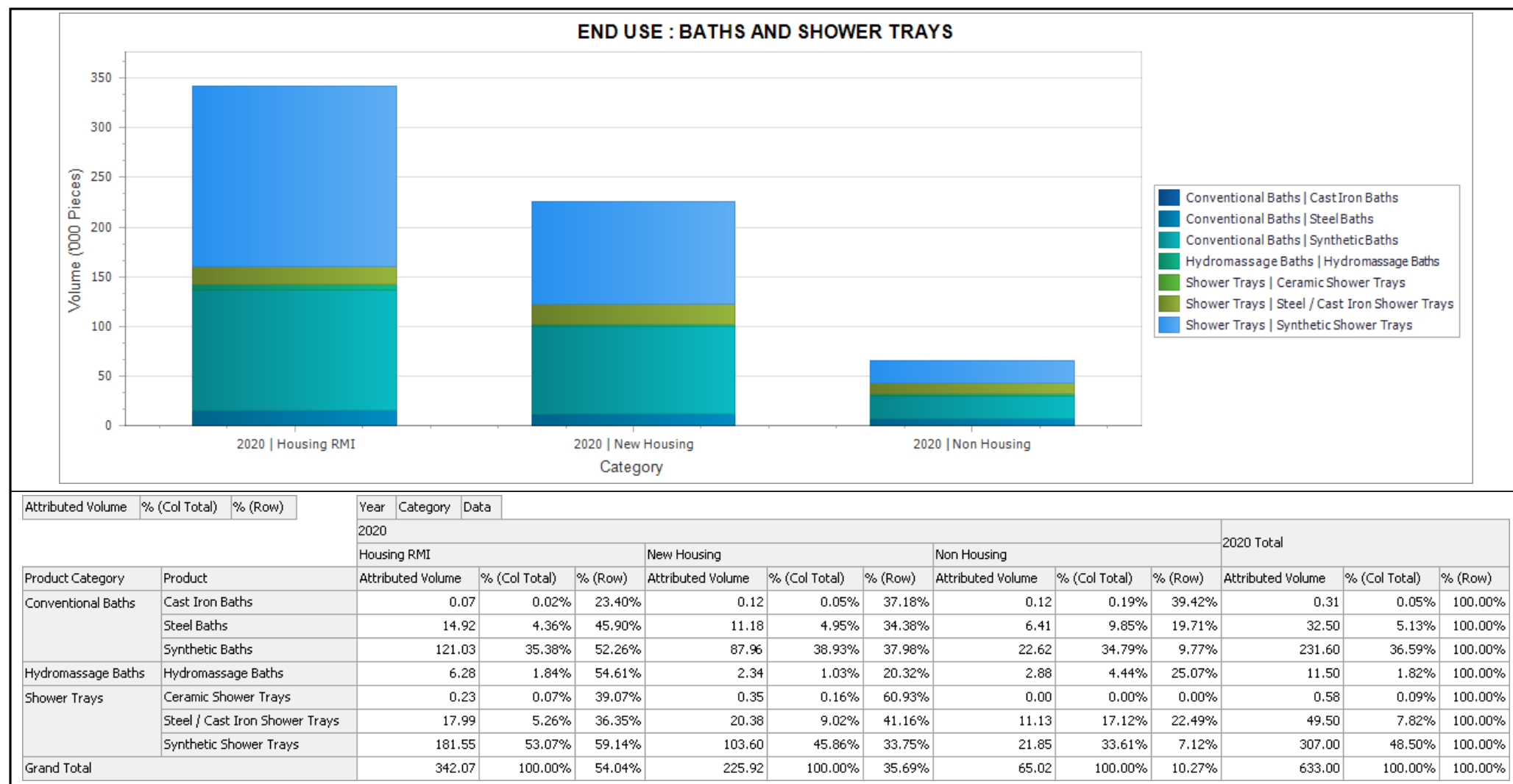


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€125, Upper/ Luxury >€125

1.4.1 End Use : Base Year

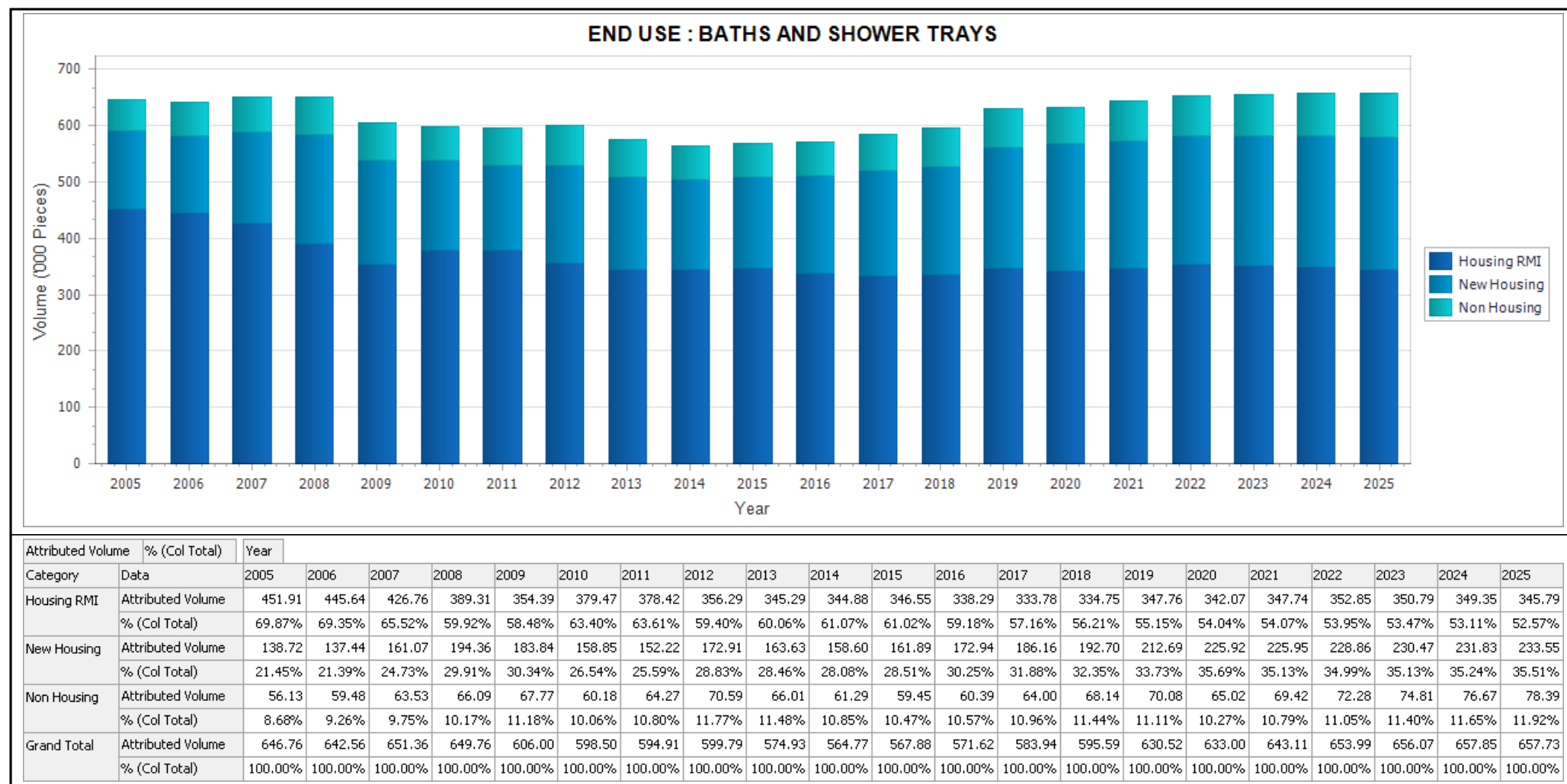
PL - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

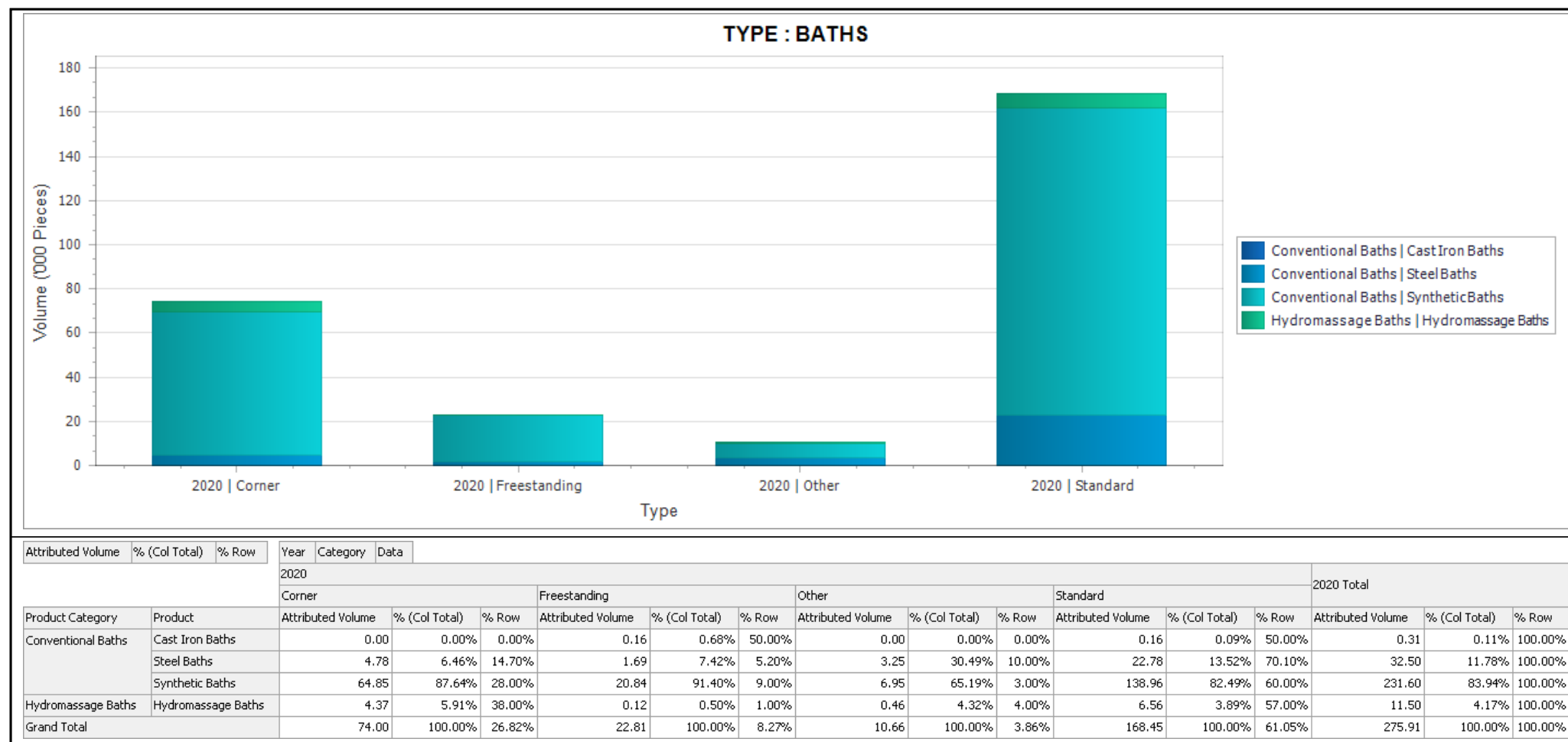
PL - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

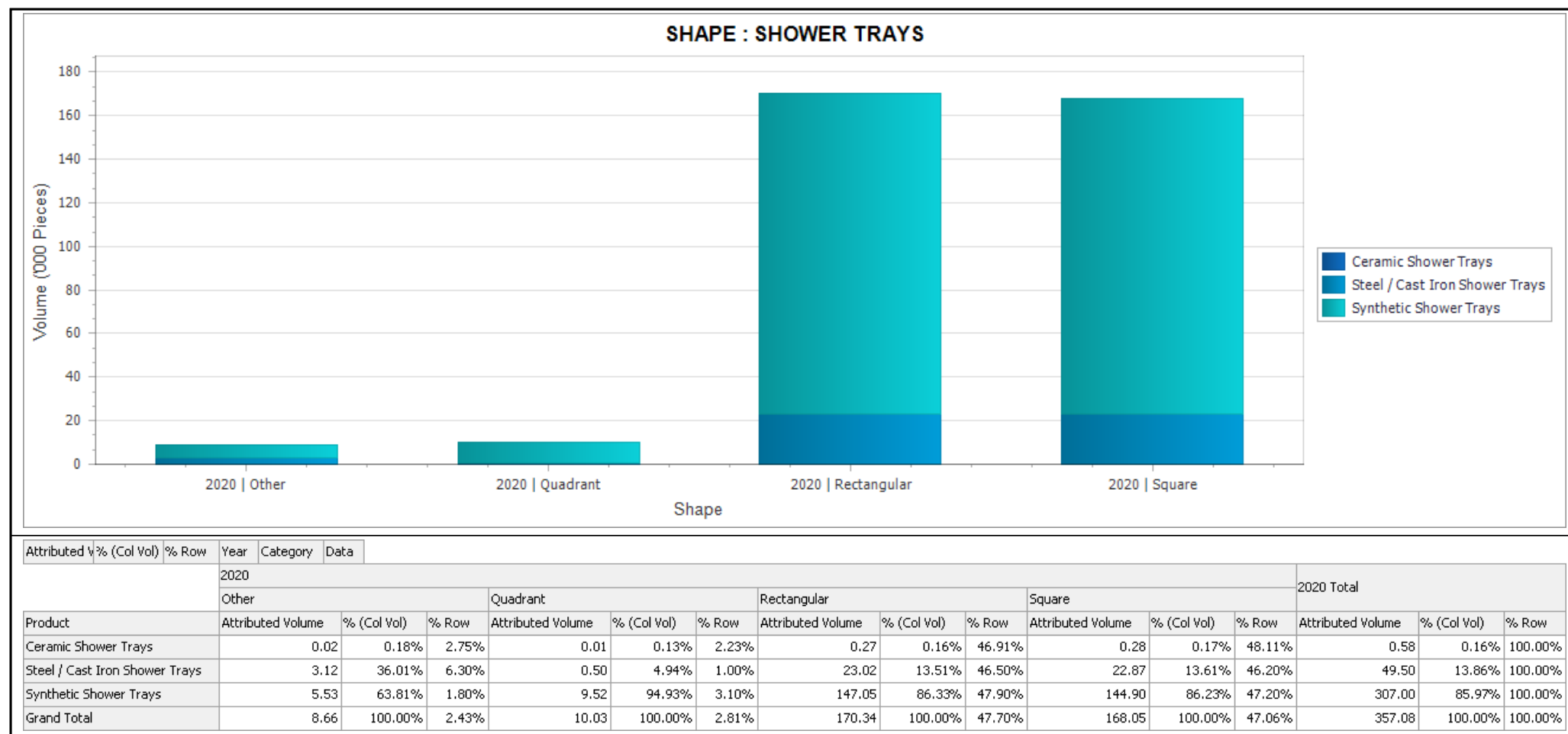
PL - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

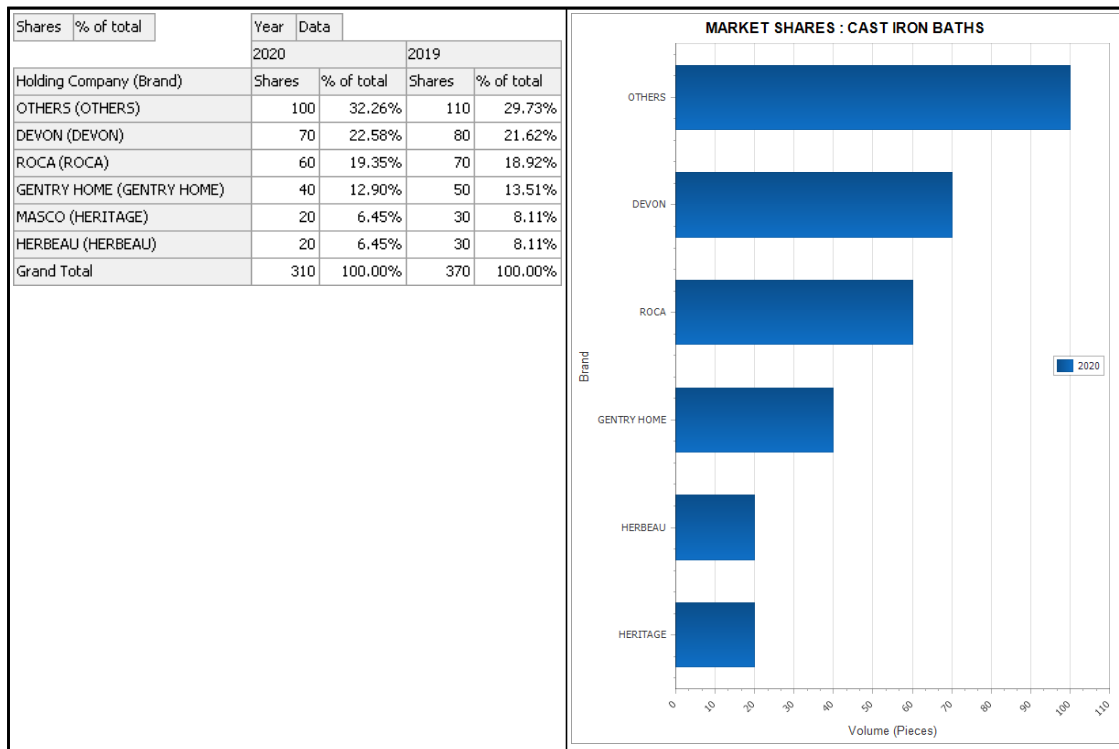
PL - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

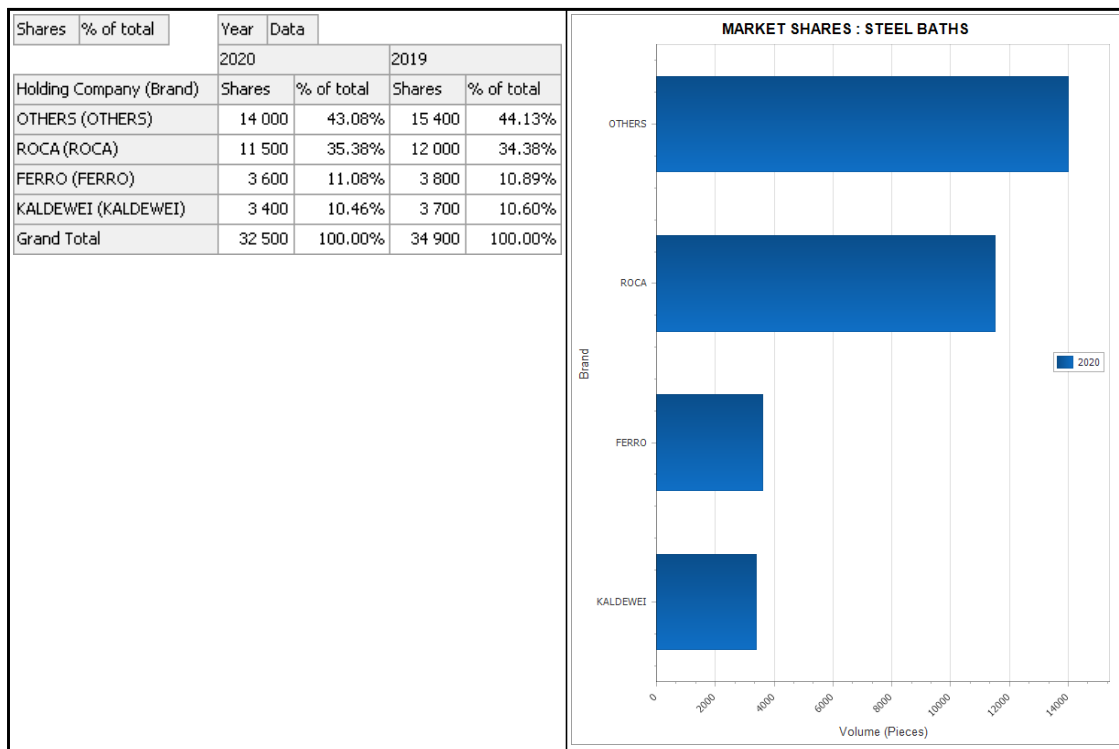
PL - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

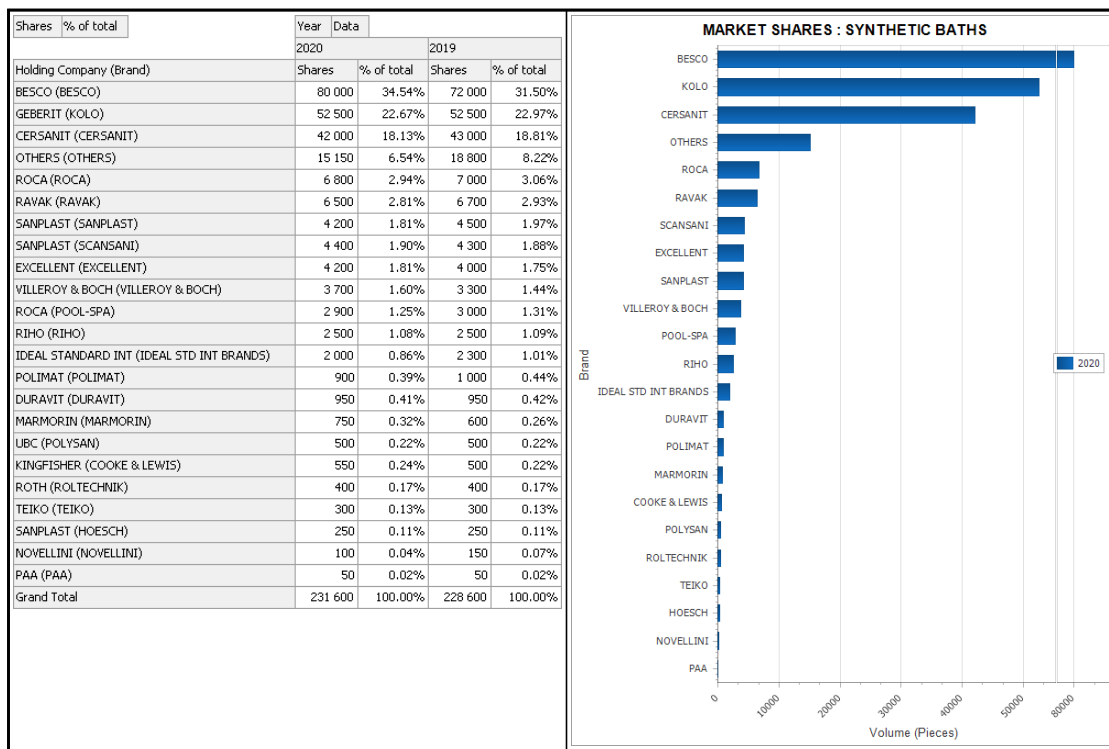
PL - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

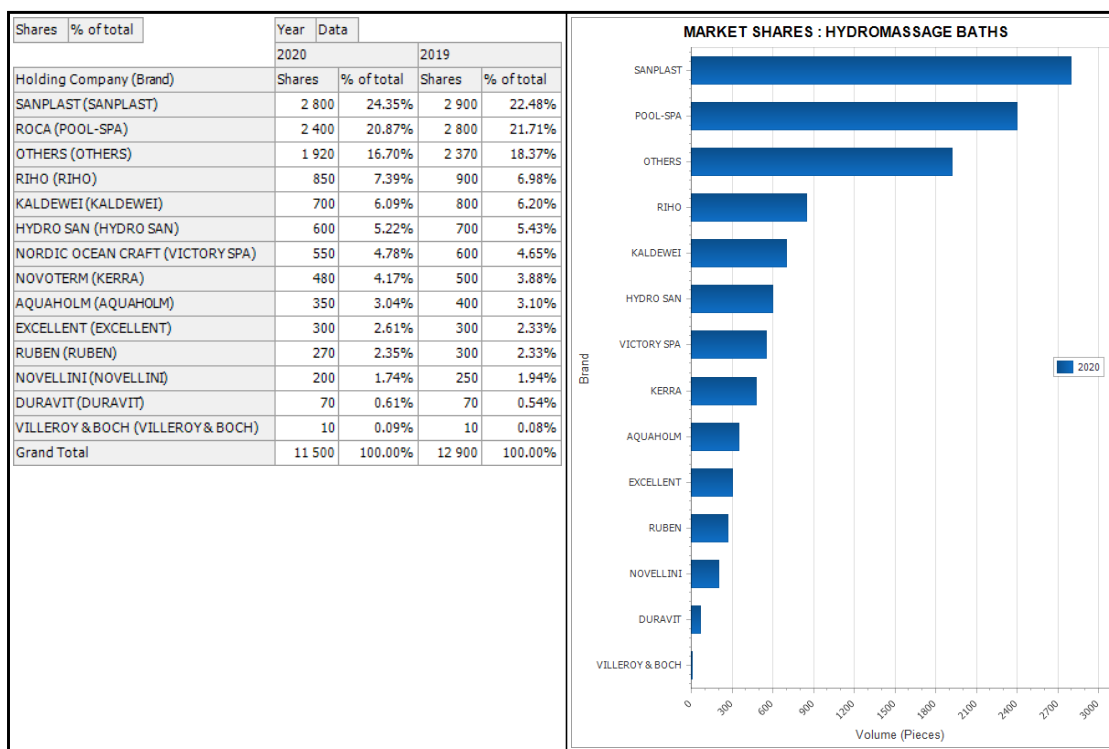
PL - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

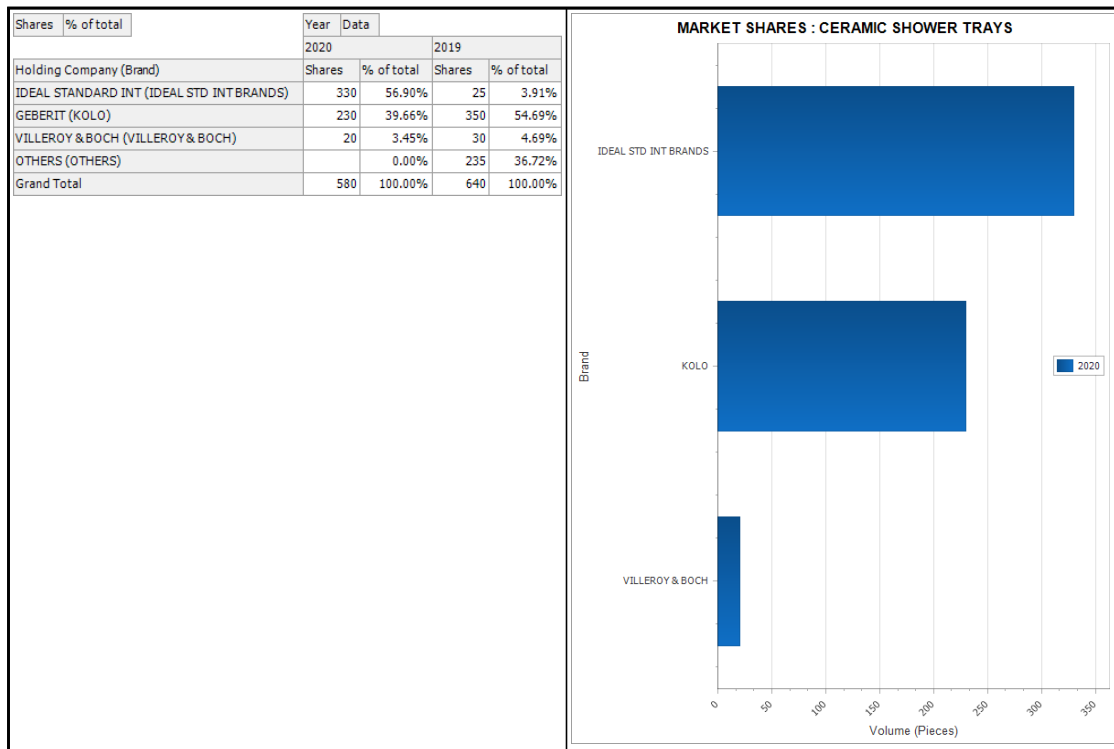
PL - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

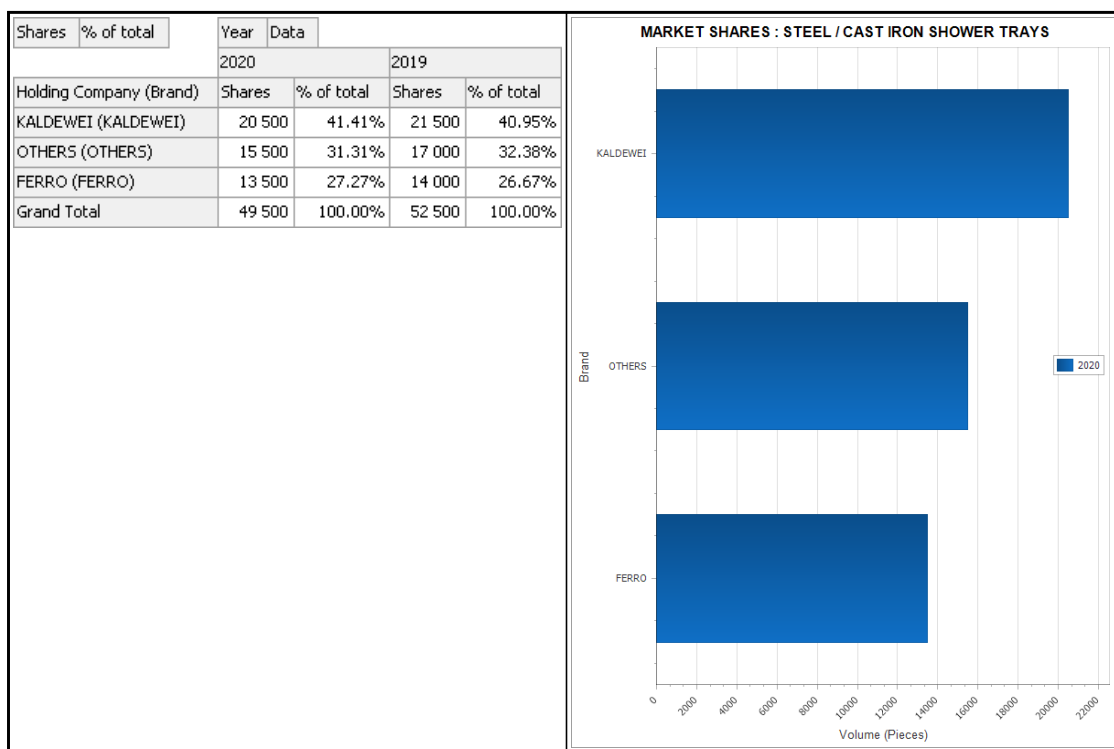
PL - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

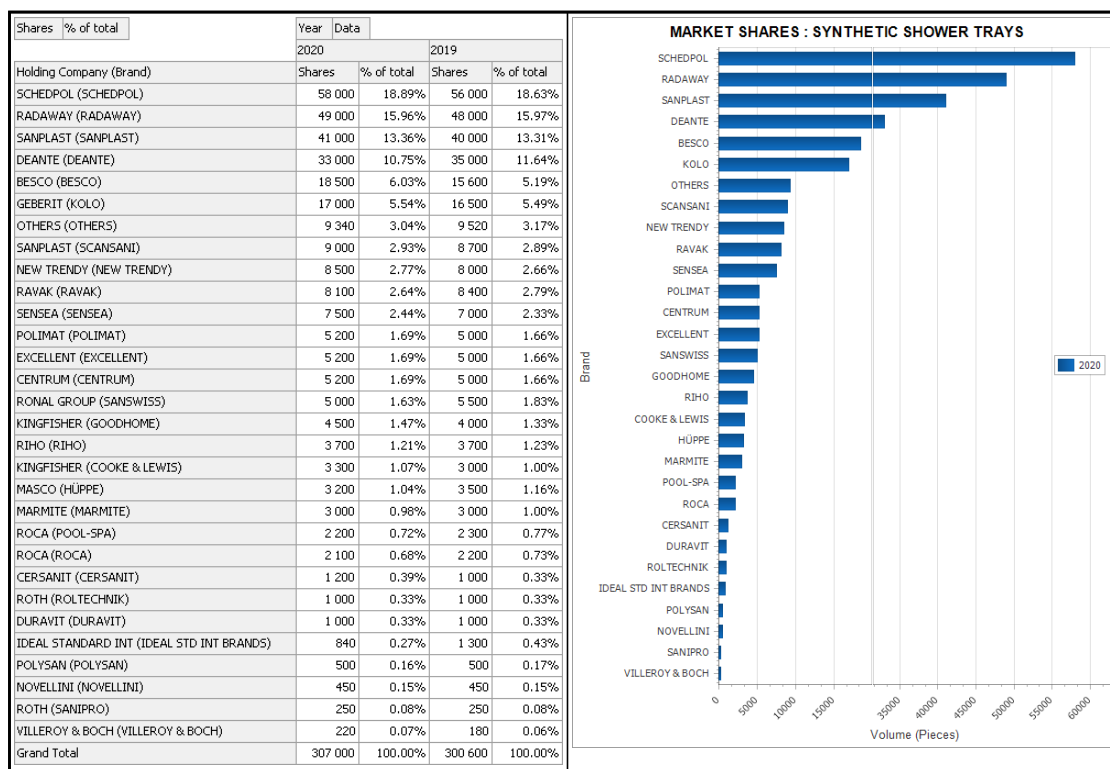
PL - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

PL - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 PL - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	79	97.0%	170	94.4%	75	95.4%	160	95.8%
Ukraine	1	1.5%	0	0.0%	3	4.4%	6	3.6%
Germany	1	1.1%	6	3.3%	0	0.1%	0	0.0%
OTHERS	0	0.4%	4	2.2%	0	0.2%	1	0.6%
Total	82	100.0%	180	100.0%	79	100.0%	167	100.0%

Source : Trademap

1.6.2 PL - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Ukraine	66	46.2%	94	17.2%	109	51.6%	165	21.0%
United Kingdom	35	24.3%	359	65.5%	48	22.6%	492	62.6%
Belarus	24	16.8%	50	9.1%	54	25.5%	117	14.9%
Russian Federation	18	12.7%	45	8.2%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	1	0.3%	12	1.5%
Total	144	100.0%	548	100.0%	212	100.0%	786	100.0%

Source : Trademap

1.6.3 PL - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	657	67.3%	1 076	51.4%	911	82.5%	1 491	64.0%
Germany	173	17.7%	809	38.7%	107	9.7%	646	27.7%
Spain	139	14.3%	173	8.3%	80	7.2%	178	7.6%
OTHERS	8	0.8%	35	1.7%	7	0.6%	15	0.6%
Total	977	100.0%	2 093	100.0%	1 105	100.0%	2 330	100.0%

Source : Trademap

1.6.4 PL - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	331	42.5%	875	43.8%	10	2.5%	34	3.2%
Ukraine	308	39.6%	523	26.2%	299	78.3%	653	61.7%
Russian Federation	78	10.0%	134	6.7%	22	5.7%	44	4.2%
United Kingdom	16	2.1%	137	6.9%	9	2.4%	73	6.9%
Bulgaria	14	1.8%	145	7.3%	7	1.8%	64	6.0%
Belarus	12	1.6%	31	1.6%	19	4.9%	39	3.7%
Slovakia	9	1.1%	70	3.5%	6	1.5%	59	5.6%
OTHERS	10	1.3%	81	4.1%	11	2.9%	92	8.7%
Total	779	100.0%	1 996	100.0%	382	100.0%	1 058	100.0%

Source : Trademap

1.6.5 PL - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	6 644	51.3%	15 837	40.0%	4 784	58.5%	10 927	39.1%
Egypt	2 484	19.2%	5 980	15.1%	431	5.3%	1 055	3.8%
Slovakia	2 059	15.9%	6 480	16.4%	1 091	13.4%	3 696	13.2%
Netherlands	470	3.6%	2 719	6.9%	704	8.6%	3 513	12.6%
Germany	468	3.6%	3 885	9.8%	338	4.1%	3 065	11.0%
Italy	219	1.7%	1 277	3.2%	208	2.5%	1 406	5.0%
France	199	1.5%	599	1.5%	138	1.7%	543	1.9%
OTHERS	411	3.2%	2 780	7.0%	480	5.9%	3 710	13.3%
Total	12 954	100.0%	39 557	100.0%	8 173	100.0%	27 915	100.0%

Source : Trademap

1.6.6 PL - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 935	24.1%	20 632	23.7%	6 682	28.9%	22 705	28.1%
Ukraine	2 228	9.0%	6 270	7.2%	2 118	9.2%	6 189	7.7%
France	2 057	8.3%	6 953	8.0%	1 446	6.3%	4 982	6.2%
Czech Republic	1 986	8.1%	6 915	8.0%	2 424	10.5%	9 227	11.4%
Spain	1 920	7.8%	4 297	4.9%	1 730	7.5%	3 712	4.6%
United Kingdom	1 702	6.9%	6 712	7.7%	1 663	7.2%	6 174	7.6%
Hungary	1 082	4.4%	3 945	4.5%	880	3.8%	3 254	4.0%
Russian Federation	919	3.7%	2 993	3.4%	1 065	4.6%	3 377	4.2%
Romania	798	3.2%	3 178	3.7%	706	3.1%	3 216	4.0%
Netherlands	786	3.2%	3 141	3.6%	417	1.8%	1 513	1.9%
Belgium	606	2.5%	2 010	2.3%	550	2.4%	1 407	1.7%
OTHERS	4 633	18.8%	19 879	22.9%	3 406	14.8%	14 956	18.5%
Total	24 653	100.0%	86 925	100.0%	23 085	100.0%	80 712	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
PL - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.6%
	Wholesalers / Merchants
	67.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.8%	4.5%	14.1%	24.5%	12.7%	20.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.3%		38.6%		32.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	5.0%	4.0%	4.0%	7.2%
Installers				
21.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	6.6%	2.1%	34.1%	25.0%	19.5%	2.0%	7.0%	0.2%	0.5%	0.5%	1.4%
	Residential						Non-Residential					
	88.4%						11.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	36.8%			51.6%			6.0%			5.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		35.8%	2.0%		49.6%	0.5%		5.5%	0.5%		5.1%

1.7.2 Route to Market: Baths
PL - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.0%
	Wholesalers / Merchants
	66.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.2%	5.6%	17.0%	23.0%	12.0%	20.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.8%		40.0%		32.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	4.0%	4.0%	5.0%	5.0%
Installers				
19.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.3%	6.4%	2.3%	34.0%	26.0%	15.1%	1.0%	7.0%	0.5%	1.0%	1.0%	4.4%
	Residential						Non-Residential					
	85.1%						14.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	40.2%			44.8%			7.5%			7.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		39.2%	2.0%		42.8%	0.5%		7.0%	0.5%		6.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.3 Route to Market - Consolidated View : Baths

PL - ESTIMATED DISTRIBUTION FOR BATHS : 2020

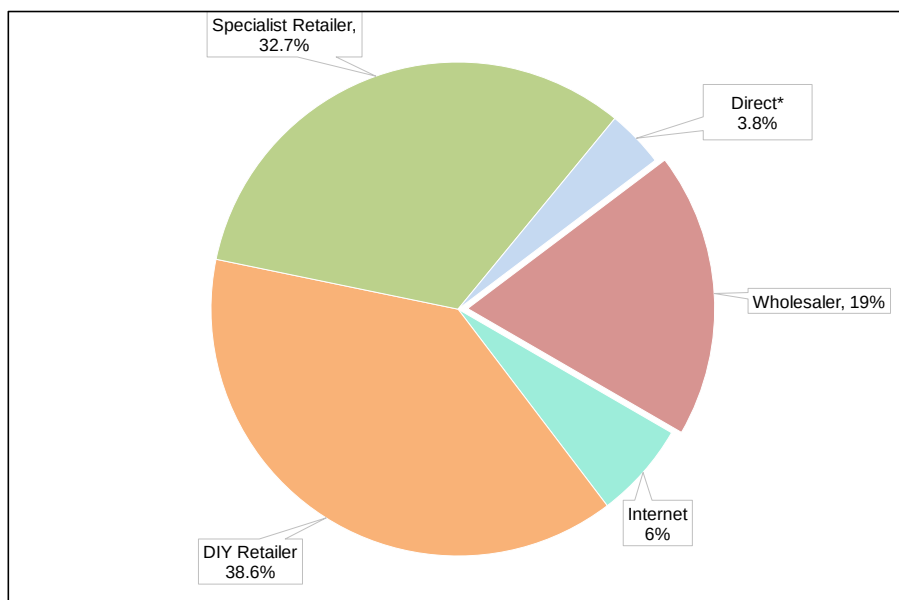
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.6%	6.3%	38.6%	32.7%	3.8%	3.0%	1.0%	85.4%	10.6%
100%					4.0%		96.0%	

1.7.4 Route to Market - Consolidated View : Baths

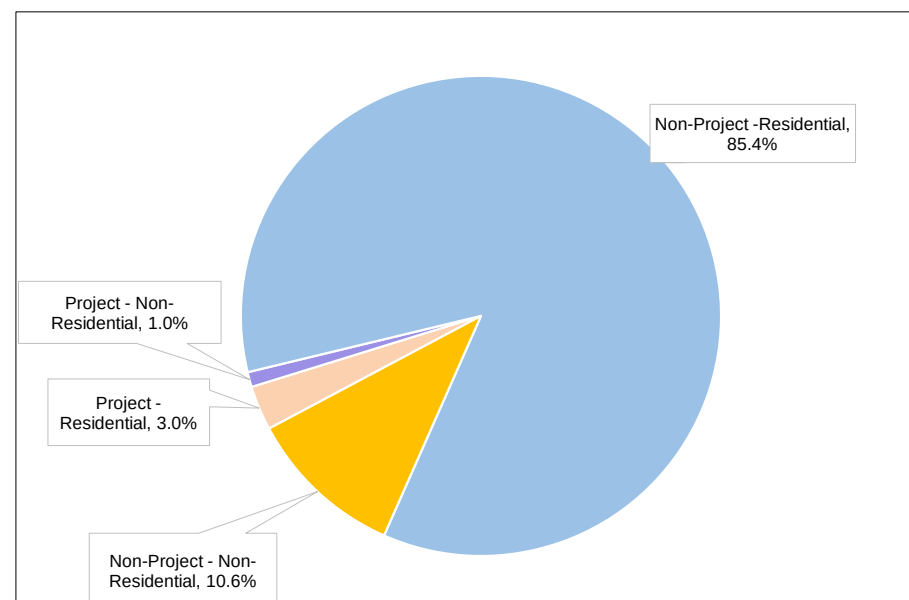
PL - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.4%	7.8%	40.0%	32.0%	2.8%	3.0%	1.0%	82.1%	13.9%
100%					4.0%		96.0%	

PL - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
PL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.1%
	Wholesalers / Merchants
	67.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.5%	5.5%	16.0%	24.5%	12.3%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.0%		40.5%		30.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.4%	8.0%	4.0%	5.0%	6.0%
Installers				
23.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	7.6%	2.9%	35.2%	24.0%	20.3%	1.9%	3.5%	0.1%	0.3%	0.3%	3.1%
	Residential						Non-Residential					
	90.8%						9.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	34.8%			55.9%			4.6%			4.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		33.8%	2.0%		53.9%	0.5%		4.1%	0.5%		4.1%

1.7.6 Route to Market: Shower Trays
PL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	64.0%
	Wholesalers / Merchants
	64.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.0%	6.5%	20.0%	23.0%	12.0%	17.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.5%		43.0%		29.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	7.5%	5.0%	6.0%	4.0%
Installers				
23.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.5%	6.0%	3.4%	36.5%	25.0%	18.6%	1.0%	3.5%	0.1%	0.5%	0.5%	4.4%
	Residential						Non-Residential					
	90.0%						10.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	32.5%			57.4%			5.0%			5.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		31.5%	2.0%		55.4%	0.5%		4.5%	0.5%		4.5%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

PL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

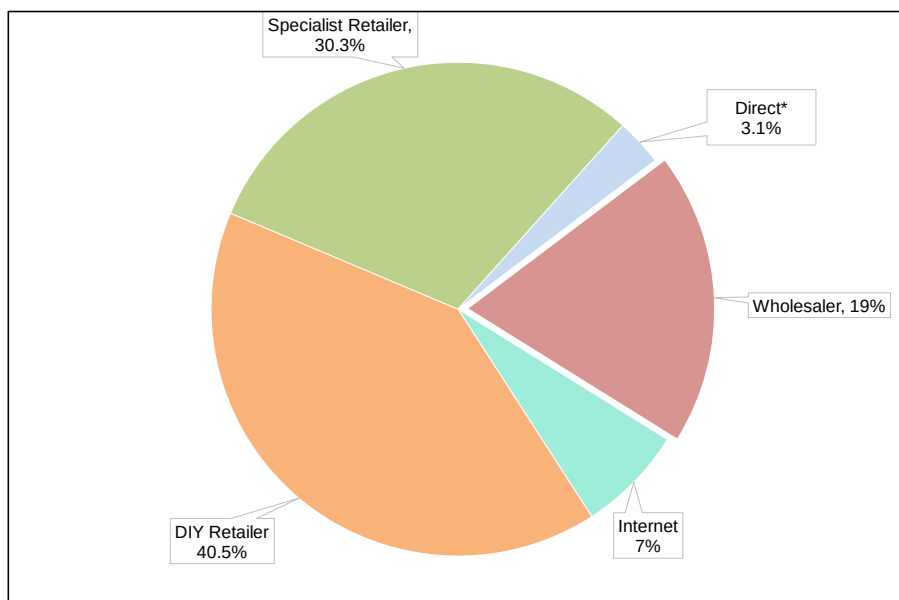
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.1%	7.0%	40.5%	30.3%	3.1%	3.0%	1.0%	87.8%	8.2%
100%					4.0%		96.0%	

1.7.8 Route to Market - Consolidated View : Shower Trays

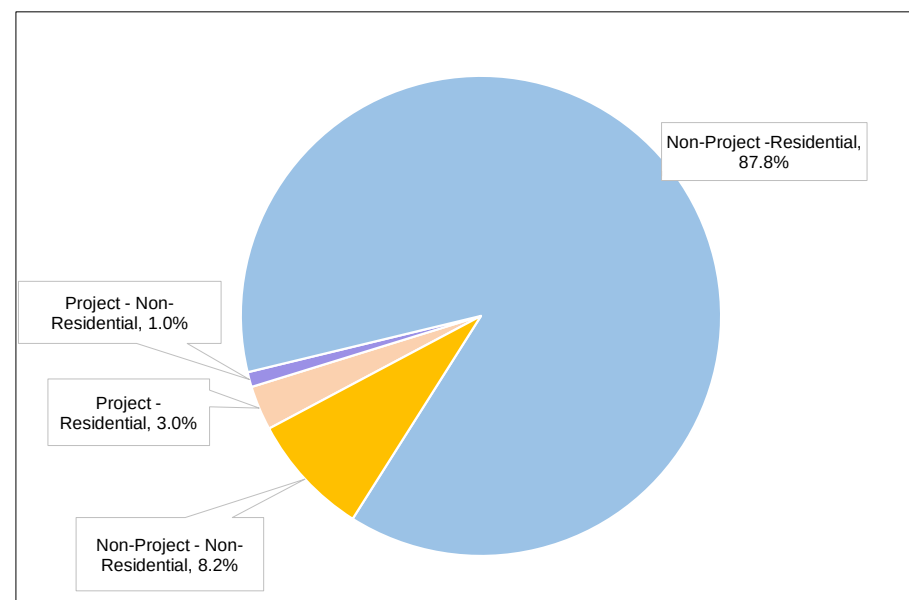
PL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.0%	8.5%	43.0%	29.5%	2.0%	3.0%	1.0%	87.0%	9.0%
100%					4.0%		96.0%	

PL - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



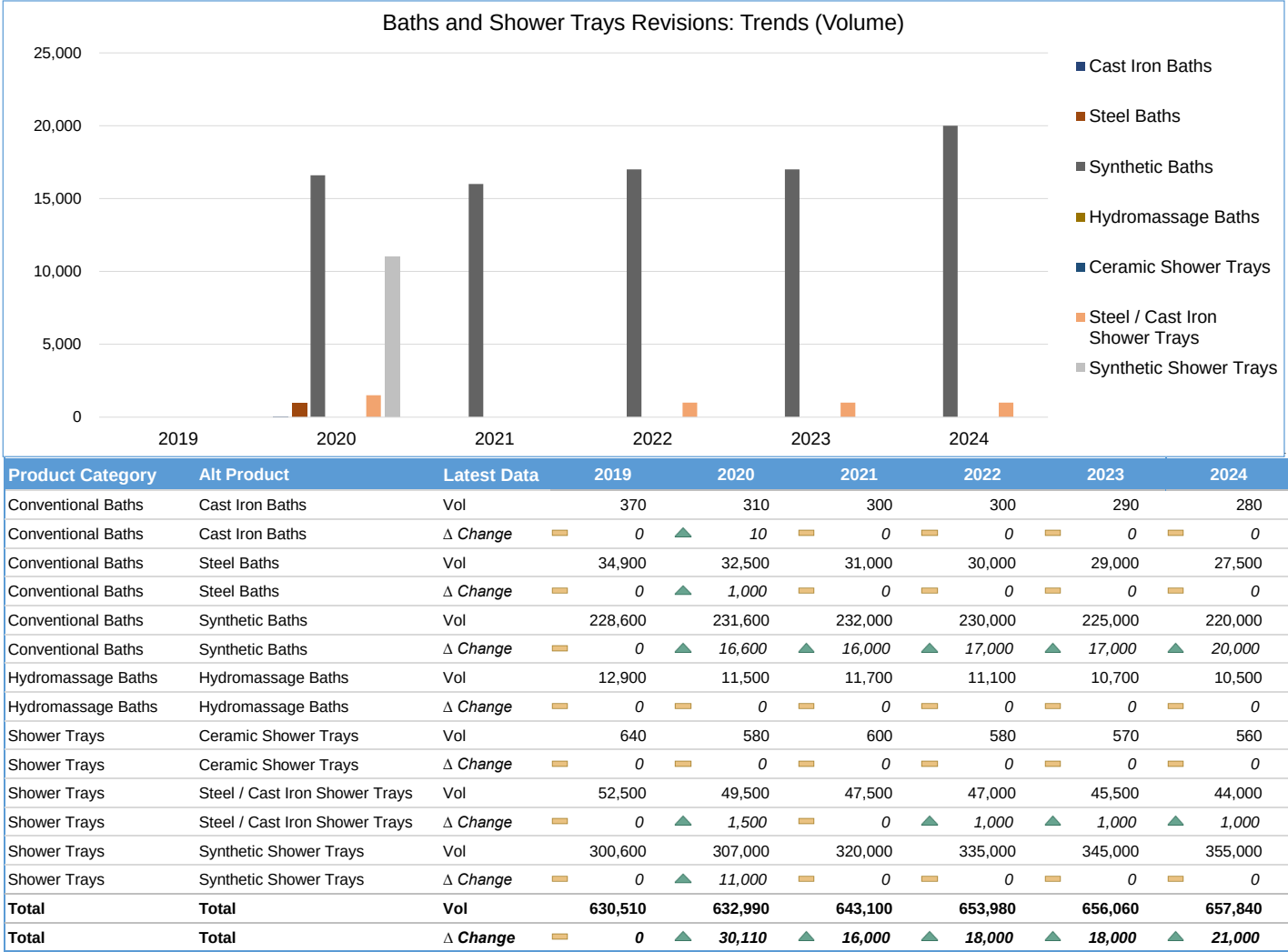
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Polish Baths and Shower Trays Market (April 2021)

PL - REVISIONS IN THE POLISH BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



BRG has slightly increased the 2021-2024 forecasts for synthetic baths based on the information received from the key market players indicating demand for this product type decreases at a relatively low rate. As a matter of fact sales of synthetic baths in Poland in 2019-2020 recorded slight increase on the back of good growth seen by the baths and shower trays segment. Nevertheless, their share in total sales continued to decline to the benefit of synthetic shower trays in line with the space- and water-saving trend observed in recent years.

The historical values for the synthetic baths average MSPs have been downgraded based on the industry feedback indicating a considerably higher popularity of unexpensive models, sold primarily through the DIY distribution channel. The DIY networks hold a very strong position on the Polish bathroom market, offering products from all price brackets, in terms of sales, however, focusing on the economy and middle-end price segments.

POLAND

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

After the collapse of communism, the Polish ceramic sanitary ware market has been rapidly growing, primarily driven by increasing renovation activity and consumer confidence. By 2000, the annual production of sanitary ware products tripled as compared to its levels in the early 1990s, since the beginning of the decade attracting interest of foreign investors with the former Finnish player the SANITEC GROUP acquiring in 1993 one of the largest players on the market, KOŁO. In 1999, ROCA built ceramic ware production facilities in Gliwice (in addition to acquiring a production line for acrylic products in Gryfice). In the late 1990s, products supplied by domestic manufacturers in terms of volume and value fully dominated sales of ceramic sanitary ware. With the high production outputs domestic manufacturers were also involved in export, targeting primarily other Eastern European countries. The local production still dominates the Polish ceramic sanitary ware market, with more foreign companies actively marketing their products through all available channels and in some cases also investing in the domestic manufacturers, e.g. GEBERIT's acquisition of SANITEC in 2015 brought the KOŁO brand under the control of the Swiss player.

Within the product mix of other CSW, pedestals and half pedestals initially began to lose share against base units. This trend, however, has slowed down somewhat in recent years, as both pedestals and half pedestals are still in demand in new residential and non-residential dwellings. Unlike Southern European countries, in Poland sales of bidets are rather low when taking into account the size of the country. One of the reasons for that is the limited space of bathrooms in old buildings, also hampering the potential growth within the renovation segment.

Sales of urinals are mainly driven by non-housing activity. Demand for ceramic WCs is primarily driven by housing RMI and, to a certain extent, by the new housing and non-housing segments. Traditionally, the Polish building park was dominated by floor standing WCs with wall mounted plastic cisterns. However, this trend has gradually changed, with Polish customers increasingly opting for wall hung WCs. The growing importance of sales of wall hung WCs has lifted the sales volume of concealed plastic cisterns (usually installed as dry installation modules). Furthermore, sales of rimless WCs without ledges have been rapidly growing since 2013, when this type of WC was introduced to Polish consumers.

Sales of all ceramic sanitary ware products has been dominated by economy and lower price models, with a shift towards products from higher price brackets observed in recent years. Nowadays, sales of ceramic sanitary ware are to a certain extent regionalised.

Recent Market Trends

After a moderated growth rate recorded in 2019, in 2020 overall sales of sanitary ware showed a slight decline with only two segments - concealed plastic cisterns

and non-ceramic washbasins - growing, although at a slower pace than in the previous year. A positive momentum seen in 2020 in new housing did not offset the drop in demand from the replacement and non-housing markets, as people were much more concerned with their investments in new bathroom equipment, unless on a distress basis.

In terms of product mix, like in the past, sales of ceramic WCs in 2020 continued to account for the largest share of the market, followed by washbasins and other CSW. Sales of wall hung WCs continued to increase at a good rate at the expense of floor-standing models, which, however, were still most popular, followed by close-coupled products. In fact, the penetration of wall hung rimless WCs has been growing significantly in the last several years, with most manufacturers present on the Polish sanitary ware market having at least one rimless model in their portfolio. On the other hand, there are still very few floor-standing rimless models, as manufacturers refrain from investing in the production of designs that are considered outdated.

The growing penetration of wall hung WCs continued to boost demand for concealed plastic cisterns (including both dry and wet installation modules), which are deemed indispensable with regards to installation of wall hung WCs. In addition, an increasing number of players offers complete installation systems, including a wall hung WC, a concealed plastic cistern, and a flushing system, with aggressive promotions trying to persuade customers to buy more products. Within the product mix of other CSW, sales of bidets, driven primarily by demand from the non-housing segment, recorded a drop in sales volume due to the decline in investments in the non-residential market. Moreover, this product type is facing a growing competition from shower toilets, which, given a strong shift in consumer preferences towards space saving, offer customers a considerable advantage over bidets. For the same reason, demand for half pedestals has been growing, while the penetration of full pedestals has decreased slightly.

Ceramic sinks continued to be the most popular type of washbasin/bathroom sink in Poland and within this product group most demand was observed for standard (wall hung), followed by countertop ceramic models and hand washbasins, with countertop products continuing to increase their share in the product mix, benefiting from the rising consumer interest in base units. Overall sales of ceramic washbasins/countertops fell in 2020, primarily due to lower demand coming from the replacement end-use segment, as people were more concerned with the spending on bathroom equipment.

In 2020, sales of ceramic exposed cisterns kept declining at a fast rate with demand coming mostly from RMI under a growing competition from concealed plastic cisterns. In recent years, marked by the declining trend in sales, several players withdrew from the segment, or marginalise their production of exposed plastic cisterns. Sales of concealed models saw in 2020 a much lower growth rate than in recent years with the positive momentum sustained due to a relatively high ratio of distress replacements of exposed models, in which concealed cisterns are used.

Similarly to bidets, sales of urinals, driven by demand from the non-housing market, in 2020 recorded a decrease, in line with the decline seen in the non-housing construction output.

Prices and Market Values

In 2020, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher inflation ratio and increasing production and transport cost, prices for bathroom products grew moderately, by 3-4% on average. Most importantly, the impact of the pandemic on the Polish bathroom market in terms of sales was relatively mild with practically all the segments showing a good recovery after experiencing problems in the wake of the pandemic. Moreover, like in previous years, the fierce competition seen in the price-oriented Polish market, amplified by growing sales of own brands introduced by distributors, makes any considerable price hikes rather difficult. Before the end of 2020 only a few manufacturers decided to apply an extra price increase. Nevertheless, due to dramatically increasing prices of raw materials as well as transport – the cost of shipment from the Far East increased in 2020 by 5-6 times – a higher than usual increase in price for bathroom products is expected in 2021 and was already applied by several players in the first quarter. Still, as the ceramic sanitary market in Poland is mostly supplied by domestic manufacturers with locally based production, the price hikes in 2021 should be lower than in other bathroom market segments.

The average manufacturer's selling price (MSP) of all sanitary ware products, measured both in Polish zloty and euro, kept growing moderately in 2012-19, driven by increasing MSP prices and the shift towards products from higher price brackets, observed in recent years, boosted by good growth recorded in average salaries. In 2020, due to a considerable weakening of the local currency, growth of the average MSP values in euro decelerated, in some categories even declined.

The shift in the consumer preference to more expensive products has been palpable, however, relatively slow, for which reason the market remains price-oriented with a very strong position of DIY networks deriving their revenues mostly from selling products from the economy and middle-end price brackets. Large DIY networks typically offer a number of aggressive discounts for bundled and stand-alone products, especially in the case of concealed plastic cisterns, and coupled WCs. At a high volume of local production, the competition is even fiercer in the segments, in which the DIYs actively market their own brands (e.g. washbasins). As a result the average MSPs are still considerably below the Western European values, lower also than those recorded in many Eastern European EU members.

New Housing

Despite the pandemic outbreak, in 2020, like in previous years, good growth seen in the new dwellings market positively affected sales of sanitary ware to this segment.

More than half of new apartments and houses were equipped with both wall hung WCs, rimless models in particular, and concealed plastic cisterns. On the other hand, the largest share of floor standing WCs in new housing were equipped with exposed ceramic cisterns purchased as complete sets (which are usually a DIY product). Sales of WCs installed with a separate exposed plastic cistern remained low. While the number of separate WC rooms in apartments remained low, given the average dwelling size in urban areas of slightly over 70 m², this solution continued to gain popularity particularly in cities.

While there is no installation of urinals in the new housing segment, the share of new houses equipped with bidets continued to grow at a good rate in 2020, whereas sales of bidets to apartments, like in previous years, was very limited due to the space constraints of apartment bathrooms. Overall, sales volume of bidets to new housing remained at the residual levels. Moreover, like in 2018 and 2019, sales of pedestals and half pedestals to new housing increased limitedly, demonstrating an ongoing shift towards base units/vanities.

Housing RMI

In 2020, sales to the RMI segment showed a decline, after a moderate increase recorded in the previous year. Due to a high level of uncertainty caused by the COVID-19 outbreak, people often postponed the renovations planned before the pandemic, or reduced their renovation budgets with lower spending on non-distress equipment replacements.

Strong demand for ceramic washbasins in housing RMI observed back in 2017, weakened already in 2018 and 2019, remaining at a relatively high level in the case of non-ceramic washbasins, with mineral cast products gaining popularity.

Housing RMI remains dominated by economy-priced products, as consumers in this end-use sector prefer not to use credit to purchase new bathroom equipment, instead often paying in cash, particularly when purchasing in DIY stores and the local warehouses of building materials. This trend is mostly palpable in the poorer parts of Poland, particularly in the south-east and north-east of the country.

Non-Housing

Investments in non-housing construction suffered a drastic decline after the COVID-19 outbreak, particularly in the hotels and accommodation facilities. The projects started before the pandemic typically continued, whereas new ones were often postponed or cancelled.

With regards to the sanitary ware product mix, sales of other CSW were dominant, followed by WCs and washbasins. However, sales volumes of WCs and washbasins, remained very close to each other suggesting that, like in previous years, in 2020 investors tended to renovate entire bathrooms instead of replacing either WCs or washbasins alone. Furthermore, concealed plastic cisterns, which in

recent years grew in popularity, slightly declined with less renovation projects involving displacing exposed plastic cisterns with concealed ones, while sales of exposed models continued the declining trend observed for several years.

BRG forecasts that after a considerable drop in the short-term, resulting from the COVID-19 outbreak, sales of sanitary ware to non-housing should grow moderately from 2021 onwards, driven by demand for renovation works.

Supply Structure

The overall structure of the Polish market for sanitary ware in 2020 remained rather fragmented, with very few players having significant shares.

The largest share of the markets for other CSW, WCs and washbasins remained in the hands of the domestic CERSANIT. It is worth mentioning that the manufacturer launched its rimless WC line relatively recently but with the use of its wide distribution network, including several DIY companies, rapidly increased its sales. CERSANIT has a strong presence on the market for economy floor standing and wall hung models.

The largest portion of rimless WC sales are believed to be channelled by GEBERIT, which strengthened its presence on the Polish market after its 2015 acquisition of SANITEC (KOLO), a very popular label on the Polish market, which GEBERIT continues to use along with its other brands. The Spanish ROCA also continued to be one of the most important players on the Polish market for sanitary ware, specialising particularly in sales of washbasins and WCs. ARMATURA, a Krakow-based manufacturer owned by PZU (PZU FUNDUSZ INWESTYCYJNY ZAMKNIETY AKTYWÓW NIEPUBLICZNYCH BIS 2), which enjoyed a significant presence in the washbasin and WC segments, after restructuring in 2018 phased out its sanitary ware offerings.

The ongoing shift towards wall hung WCs/toilets continued to benefit manufacturers of concealed plastic cisterns. Moreover, the increasing trend observed in sales of complete installation sets, including a WC and a concealed plastic cistern, additionally amplified sales of the players offering both product types. At the same time, increasing demand for complete installation sets affected to a certain extent sales of coupled-WCs. In 2020, like in previous years, the segment of concealed plastic cisterns was dominated by: GEBERIT (GEBERIT and KOLO), GROHE and TECE. Combined sales of these three manufacturers kept growing in 2020, accounting for more than two thirds of the total sales, and it is likely that their combined market share will continue growing in the short term. Among large players there are also two domestic companies: CERSANIT, which recently increased its production capacity and considerably augmented its sales of cisterns, and KK-POL, whose OEM sales are believed to be higher than its own brand sales.

In recent years, distribution networks, particularly DIYs such as KINGFISHER's CASTORAMA, managed to establish presence of their own brands in practically all

bathroom segments. In the case of sanitary ware, combined shares of DIYs' own labels are, however, relatively low, typically about 5%, as the competition from local players in the economy price bracket is particularly strong (for example no DIY's own brand products have yet been launched in the concealed plastic cisterns market). With regards to exposed plastic cisterns, the segment continued to decline with demand coming mostly from the RMI sector and several manufacturers deciding to phase out, or considerably reduce their production. One of the larger players, RAWIPLAST, in 2018 was acquired by a specialist in water traps and linear shower drains, PREVEX, and under the new owner ceased manufacturing exposed plastic cisterns. In 2019, the market remained largely in the hands of three manufacturers, namely INTER-SANO, KLECHNIOWSKA and AKCES.

As in the previous years, the combined sales of CERSANIT and GEBERIT's KOLO accounted for well over half of total sales of other CSW products in 2020. The largest manufacturer, CERSANIT, continued to focus on selling economy priced products via DIY stores. The company's portfolio in this product category includes mostly ceramic cisterns (most sold as integrated parts of close-coupled WCs) and urinals. The portfolio of KOLO comprised products such as close-coupled WCs, urinals, bidets and pedestals. Sales of full and half pedestals accounted for the largest share of IDEAL STANDARD's sales of other CSW, followed by bidets, urinals and ceramic cisterns. Bidets accounted for over half of VILLEROY & BOCH's total sales of other CSW, with a significant share going to factories that produce pre-fabricated houses.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3% to be driven mostly by private consumption and export, and even better outlook for mid-term. The most important factor for the 2021 rebound is the speed and the effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to return of a cold winter in January 2021 was practically offset in February. A certain drop was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour

market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

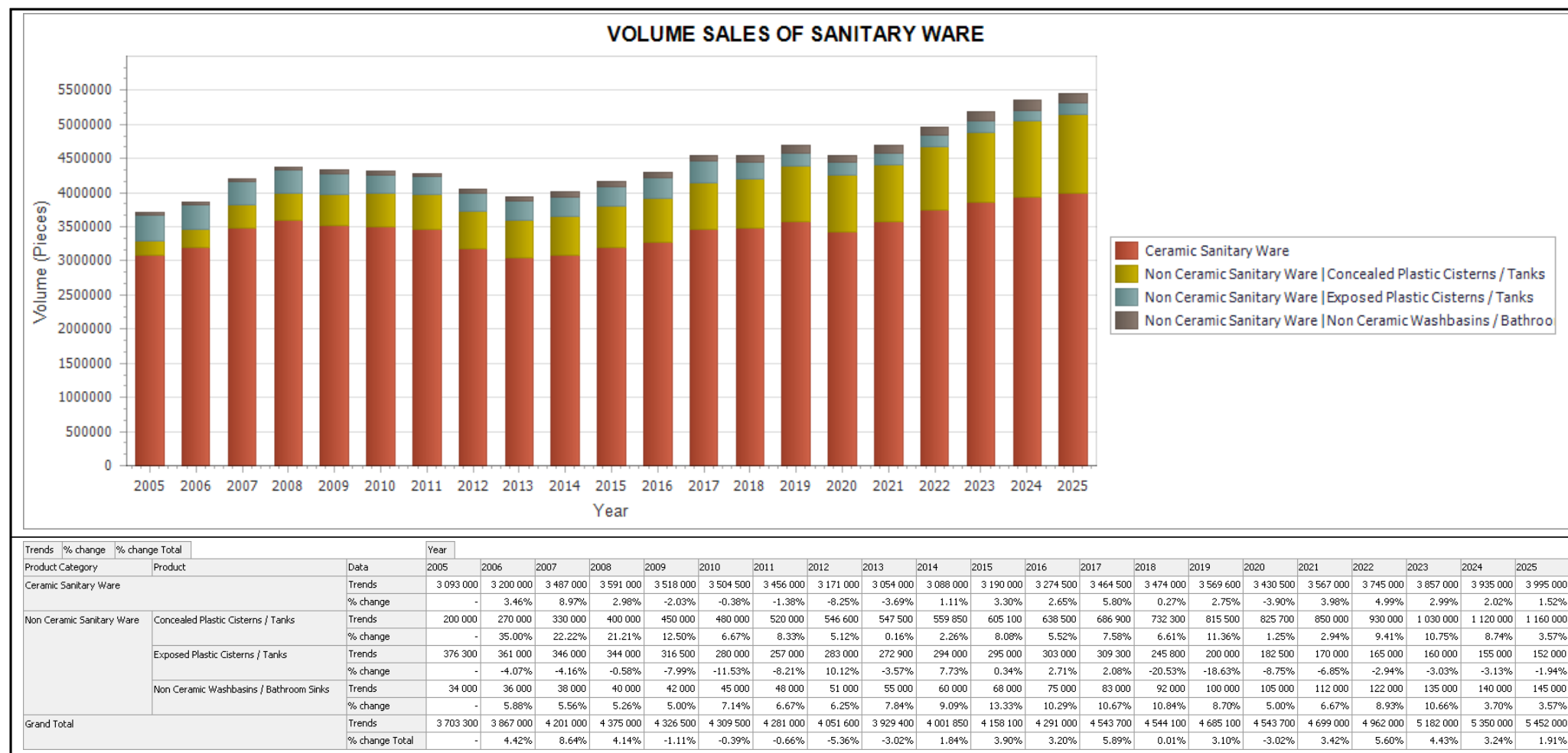
With a relatively soft impact of the pandemic on the Polish bathroom market, BRG assumes that 2021 should see a considerable improvement in sales of sanitary ware, although primarily due to the low base effect after the drop in sales in 2020. In the medium to long term, all segments are expected to return to moderate growth, except exposed plastic cisterns anticipated to continue to contract throughout the forecast period due to competition from concealed models.

Within the category of other CSW, in medium to long term BRG expects sales of all products to experience a moderate rate of growth, slightly accelerating in 2022-23. Sales of bidets should increase moderately, driven by demand from new housing, especially new houses, while growth of pedestals and half pedestals will depend partly on the performance of the market for base units/vanities. Sales of urinals should accelerate in the second half of the forecast period, in line with improvements in the non-housing sector.

With regard to WCs/toilets, BRG assumes that by 2025 over two thirds of total wall hung WC sales should be of rimless units. Overall, the strongest demand for sanitary ware products is expected to come from housing RMI and, to a lesser extent, new housing.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

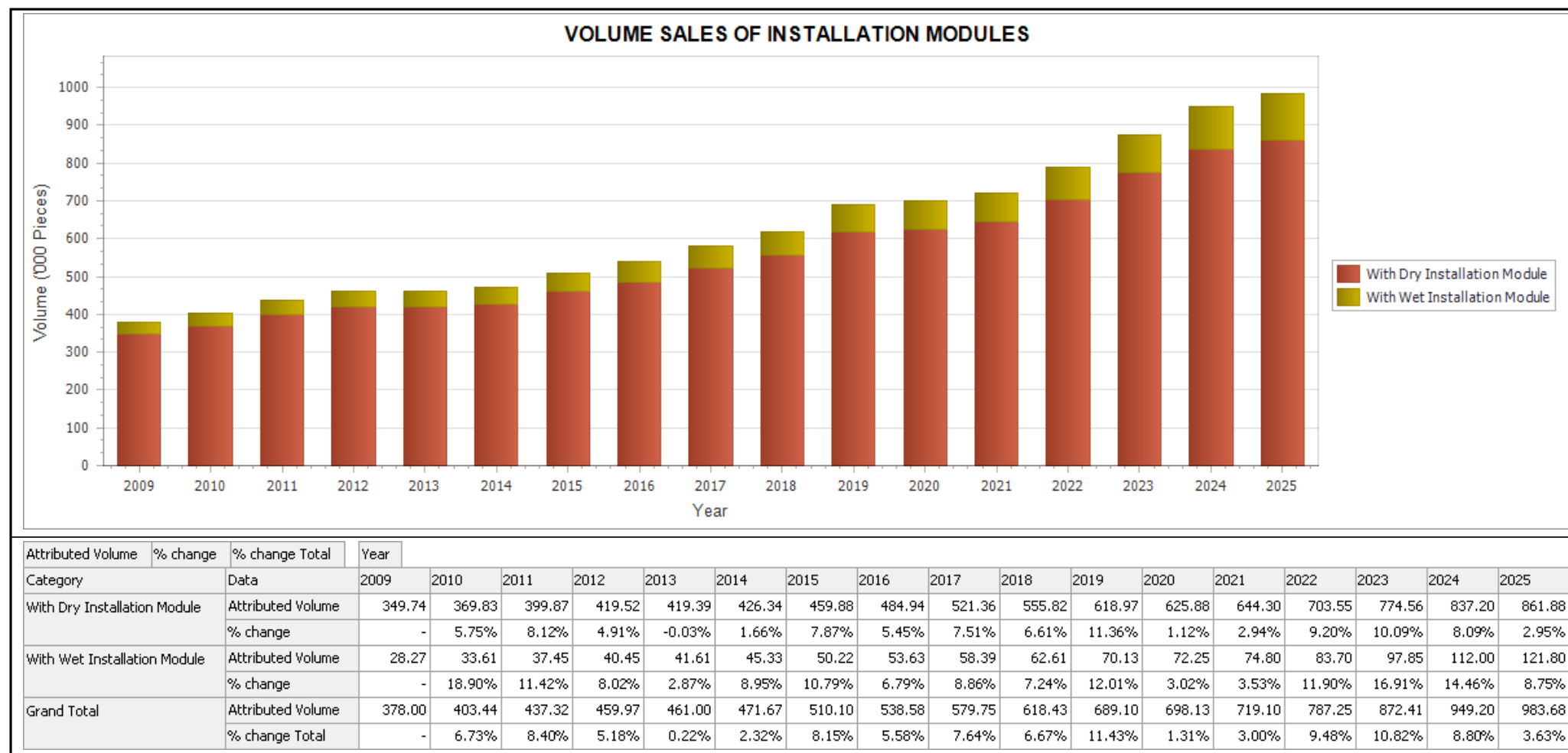
PL - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

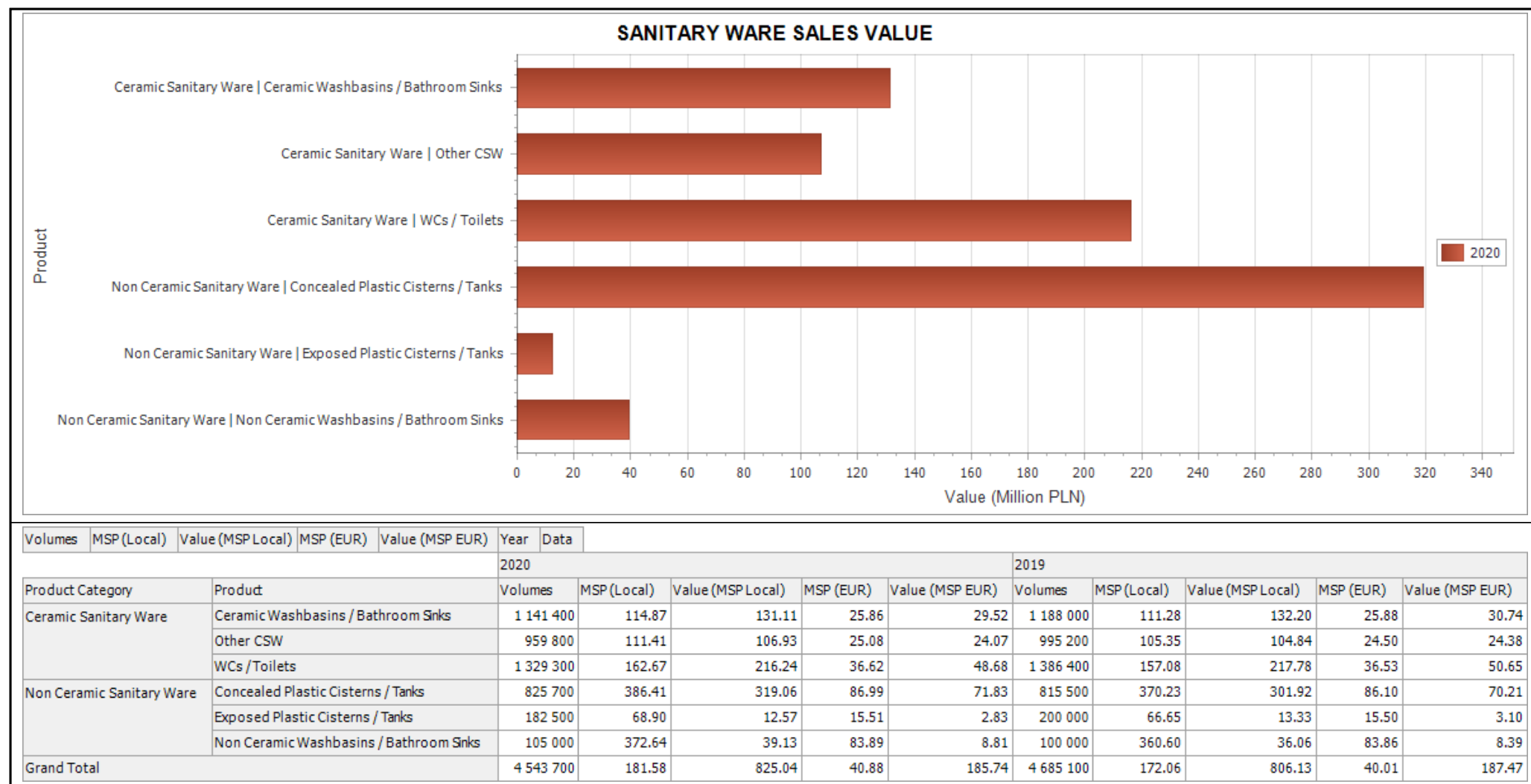
PL - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

PL - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

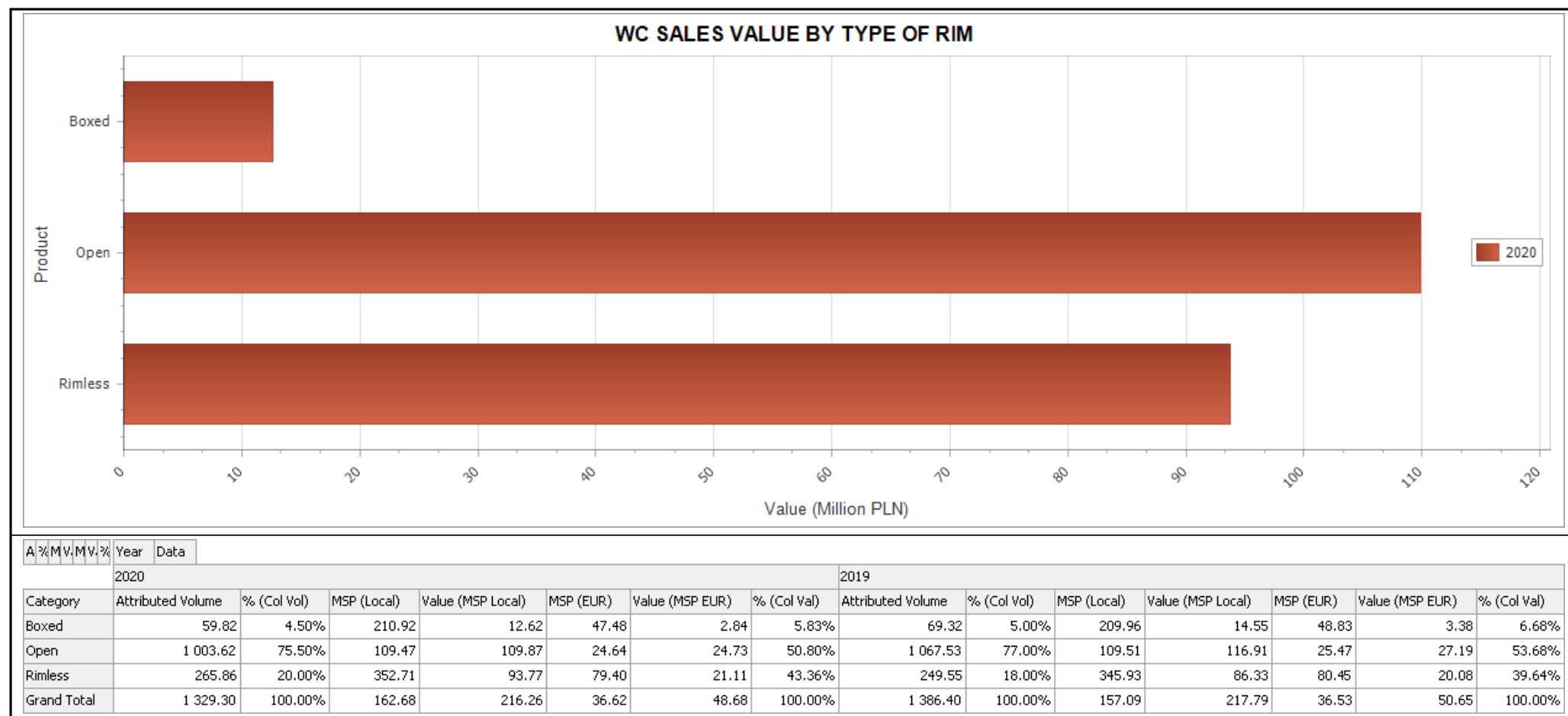
PL - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed % (Col Vol) List Price MSP (Local) Value (MSP Local) Value (MSP EUR) Value (M EUR) % (Col Vol)		Year	Data														
		2020															
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	List Price	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	365.59	32.03%	61.37	149.93	54.81	33.75	12.34	41.81%	380.16	32.00%	61.52	145.49	55.31	33.84	12.86	41.85%
	Hand Washbasins	182.62	16.00%	26.25	69.96	12.78	15.75	2.88	9.75%	190.08	16.00%	26.45	68.24	12.97	15.87	3.02	9.81%
	Inset Washbasins	46.80	4.10%	84.76	225.90	10.57	50.86	2.38	8.06%	47.52	4.00%	85.27	220.00	10.45	51.16	2.43	7.91%
	Pedestal Washbasins	105.01	9.20%	29.51	79.96	8.40	18.00	1.89	6.41%	110.49	9.30%	29.74	78.01	8.62	18.14	2.00	6.52%
	Semi-Recessed Washbasins	6.28	0.55%	81.39	216.92	1.36	48.83	0.31	1.04%	5.94	0.50%	81.40	210.01	1.25	48.84	0.29	0.94%
	Undermount Washbasins	12.21	1.07%	92.64	246.90	3.02	55.58	0.68	2.30%	11.88	1.00%	93.02	239.99	2.85	55.81	0.66	2.16%
	Wall Hung Washbasins	422.89	37.05%	34.48	94.96	40.16	21.38	9.04	30.63%	441.94	37.20%	34.56	92.14	40.72	21.43	9.47	30.81%
Other CSW	Bidets	35.49	3.70%	56.06	141.94	5.04	31.95	1.13	4.71%	36.22	3.64%	55.89	136.99	4.96	31.86	1.15	4.73%
	Close-Coupled Cisterns	590.83	61.56%	29.94	82.46	48.72	18.56	10.97	45.55%	615.36	61.83%	30.01	80.01	49.23	18.61	11.45	46.95%
	Kitchen Sinks	51.00	5.31%	268.36	686.98	35.04	154.66	7.89	32.76%	49.20	4.94%	264.96	657.51	32.35	152.91	7.52	30.85%
	Others	0.67	0.07%	35.39	86.46	0.06	19.46	0.01	0.05%	0.70	0.07%	35.52	84.00	0.06	19.54	0.01	0.06%
	Pedestals & Half Pedestals	112.30	11.70%	18.40	51.49	5.78	11.59	1.30	5.41%	117.43	11.80%	18.46	50.01	5.87	11.63	1.37	5.60%
	Shower Trays	0.58	0.06%	159.31	422.40	0.24	95.09	0.06	0.23%	0.64	0.06%	160.64	412.10	0.26	95.84	0.06	0.25%
	Urinals	168.93	17.60%	28.23	71.48	12.07	16.09	2.72	11.29%	175.65	17.65%	28.15	69.00	12.12	16.05	2.82	11.56%
WCs / Toilets	Close-Coupled WC Bowls	507.79	38.20%	58.20	149.94	76.14	33.76	17.14	35.21%	530.99	38.30%	58.34	145.50	77.26	33.84	17.97	35.48%
	Floor Standing WC Bowls	592.87	44.60%	53.40	139.95	82.97	31.51	18.68	38.37%	637.74	46.00%	54.39	137.99	88.00	32.09	20.47	40.41%
	Wall Hung WC Bowls	228.64	17.20%	98.70	249.90	57.14	56.26	12.86	26.42%	217.67	15.70%	98.43	241.25	52.51	56.11	12.21	24.11%
Grand Total		3 430.51	100.00%	50.90	132.43	454.30	29.81	102.27	100.00%	3 569.61	100.00%	50.56	127.41	454.80	29.63	105.77	100.00%

Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)'.

2.3.3 Prices and Market Values by Type of Rim : WCs

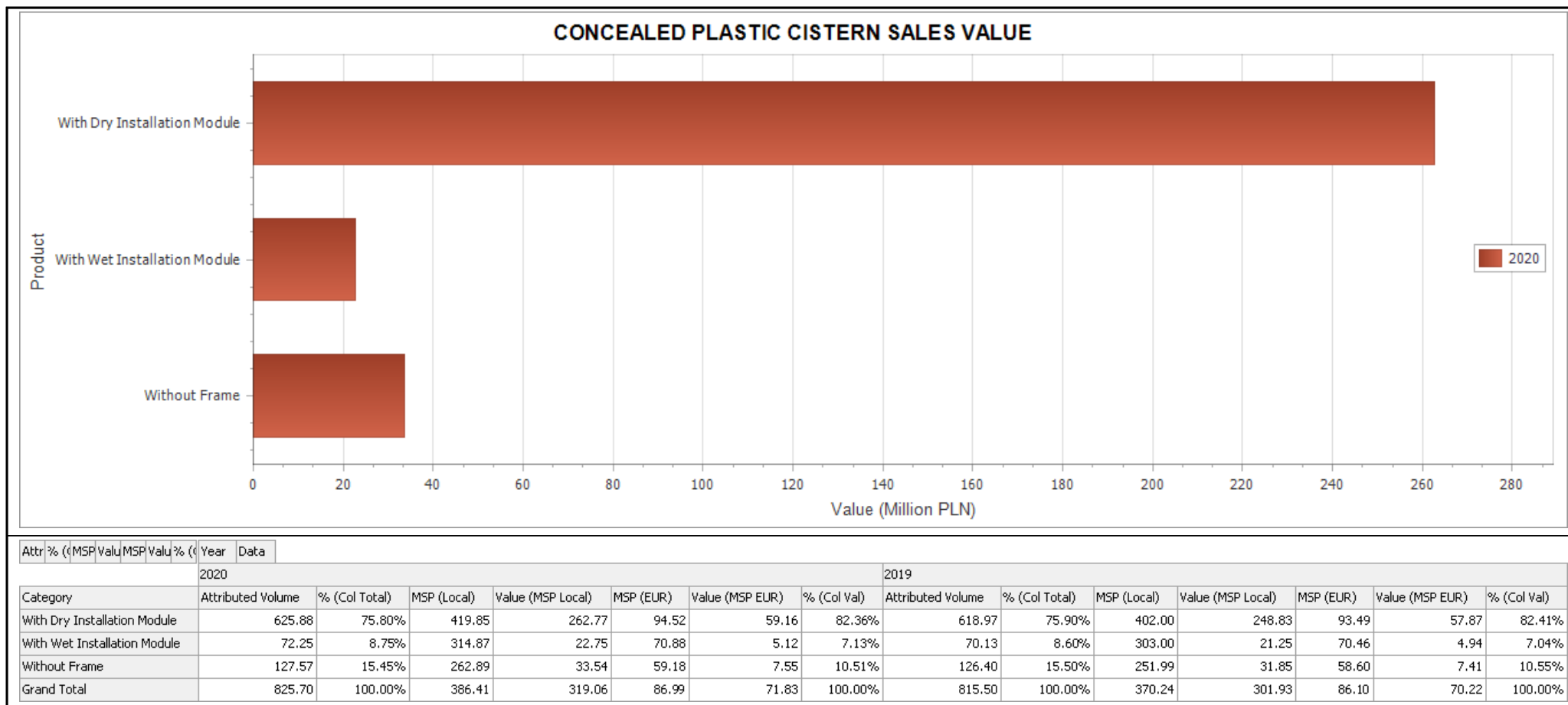
PL - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Source: BRG based on industry interviews.
Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

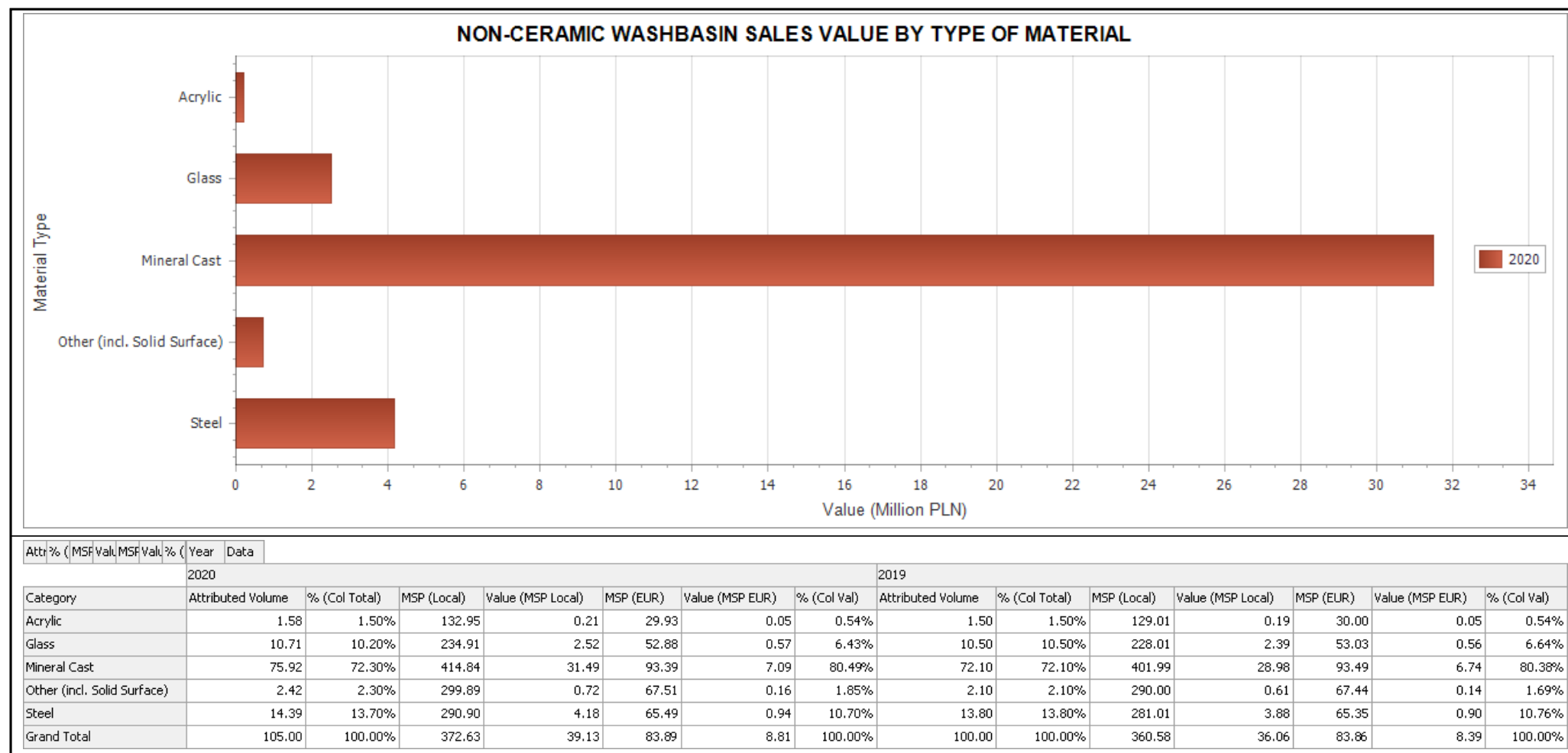
PL - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

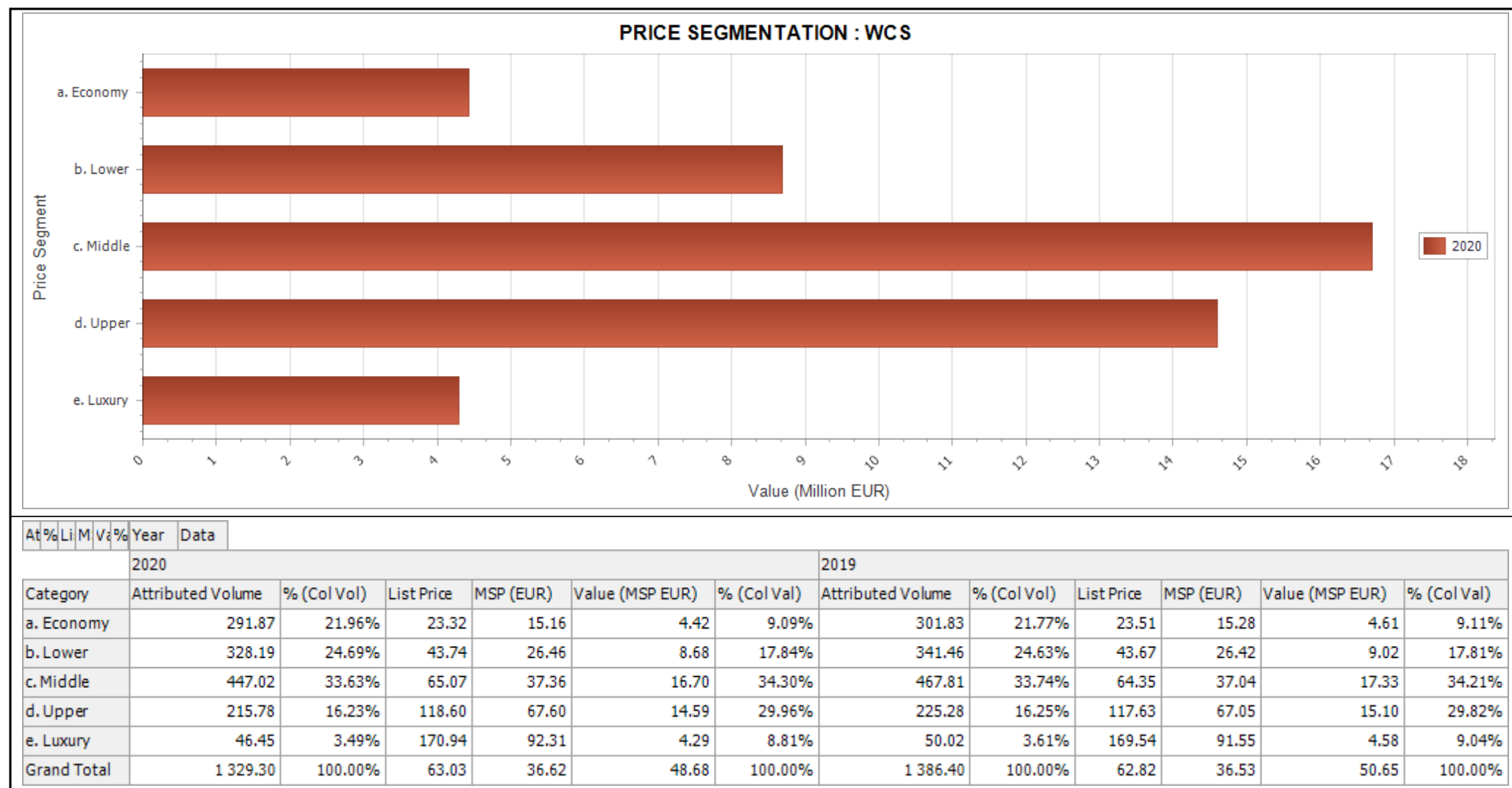
PL - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)'

2.3.6 Price Segmentation : WCs

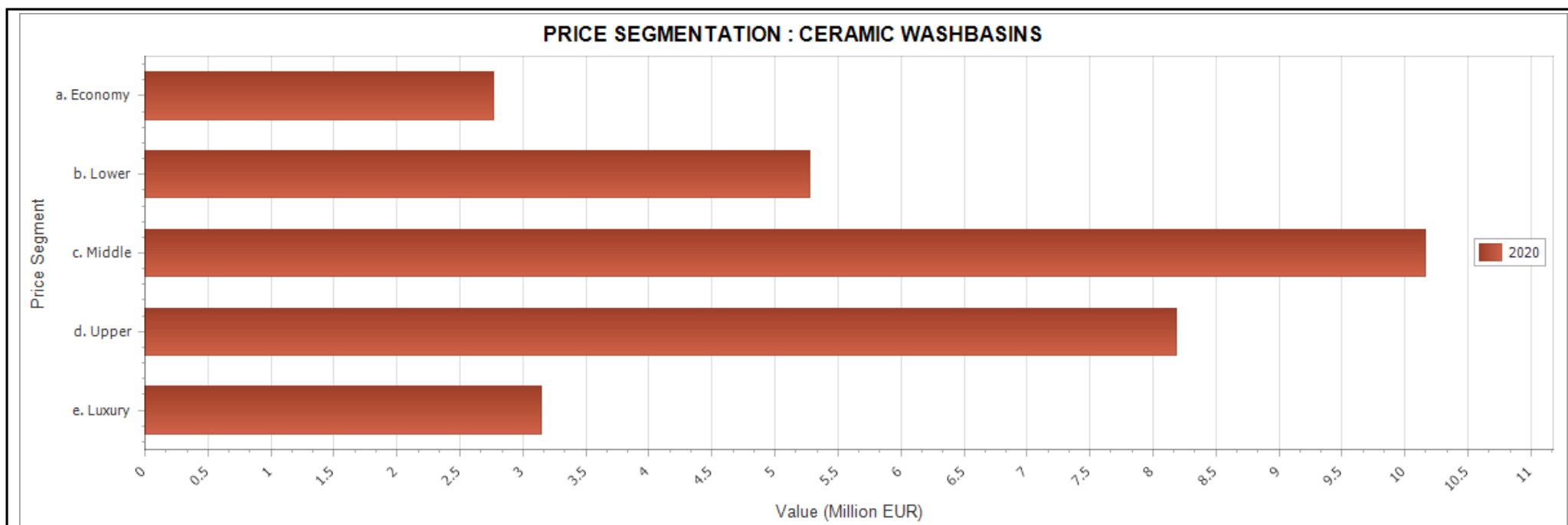
PL - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€35, Middle €35-€60, Upper €60-€85, Luxury >€85

2.3.7 Price Segmentation : Ceramic Washbasins

PL - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS

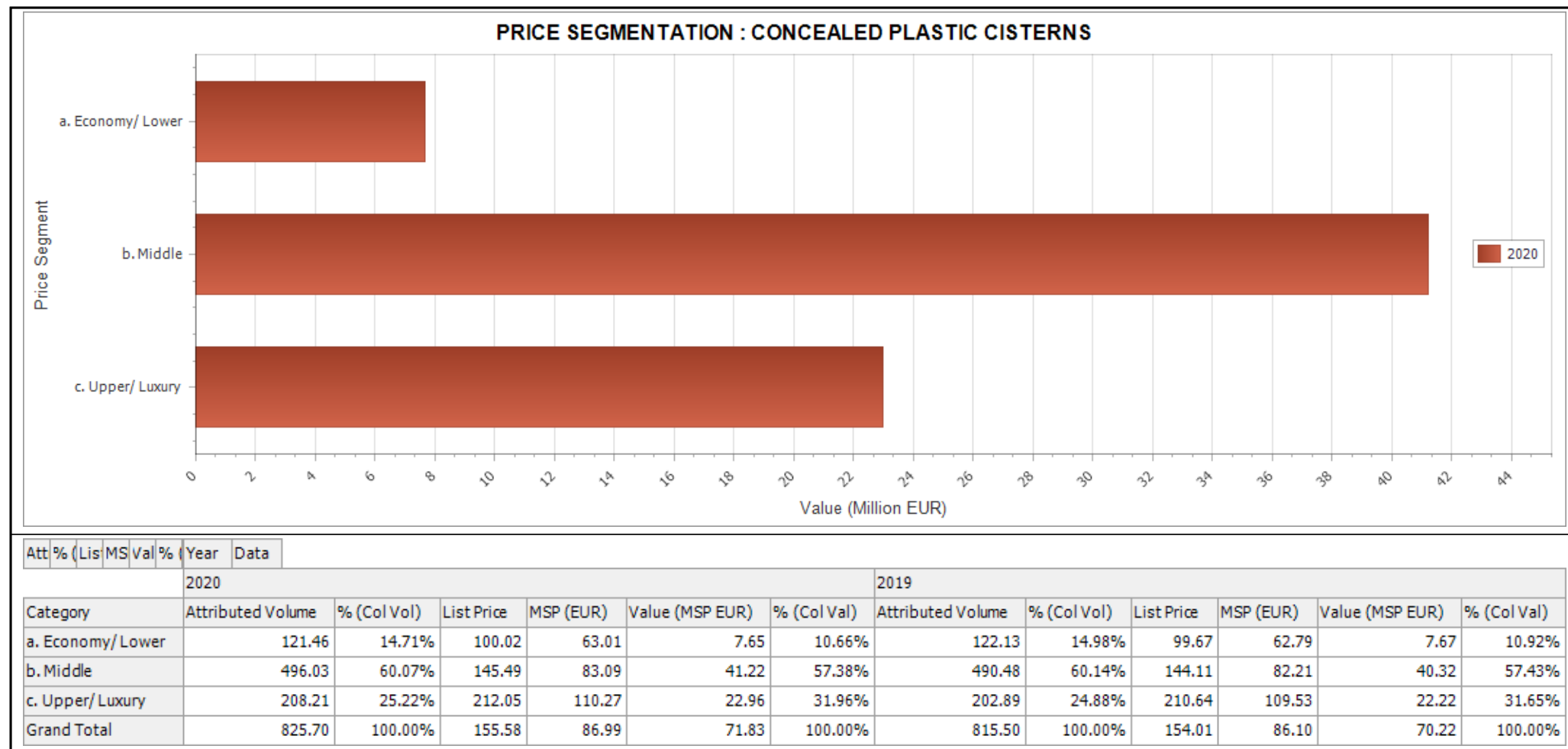


At%	Li	M	V	%	Year	Data							
					2020								
Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
a. Economy	271.25	23.76%	15.93	10.20	2.77	9.37%	282.48	23.78%	15.95	10.21	2.88	9.38%	
b. Lower	296.70	25.99%	28.92	17.79	5.28	17.88%	309.19	26.03%	28.95	17.80	5.50	17.91%	
c. Middle	387.00	33.91%	45.13	26.25	10.16	34.42%	403.75	33.99%	44.63	25.96	10.48	34.10%	
d. Upper	148.45	13.01%	96.64	55.08	8.18	27.71%	153.71	12.94%	98.39	56.08	8.62	28.04%	
e. Luxury	38.01	3.33%	152.88	82.56	3.14	10.63%	38.88	3.27%	154.74	83.56	3.25	10.57%	
Grand Total	1 141.40	100.00%	44.26	25.86	29.52	100.00%	1 188.00	100.00%	44.29	25.87	30.74	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€25, Middle €25-€50, Upper €50-€75, Luxury >€75

2.3.8 Price Segmentation : Concealed Plastic Cisterns

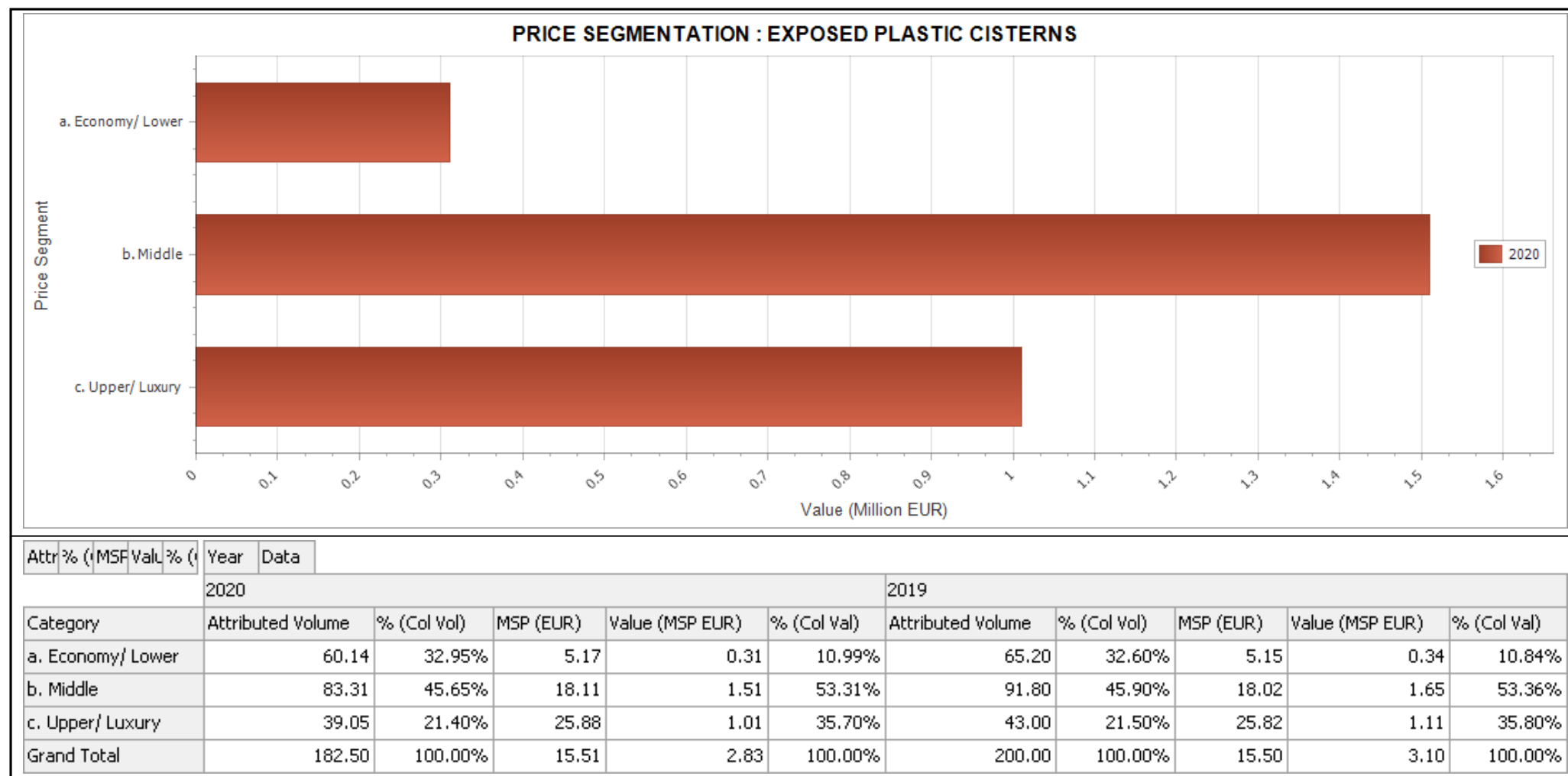
PL - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€70, Middle €70-€100, Upper/ Luxury >€100

2.3.9 Price Segmentation : Exposed Plastic Cisterns

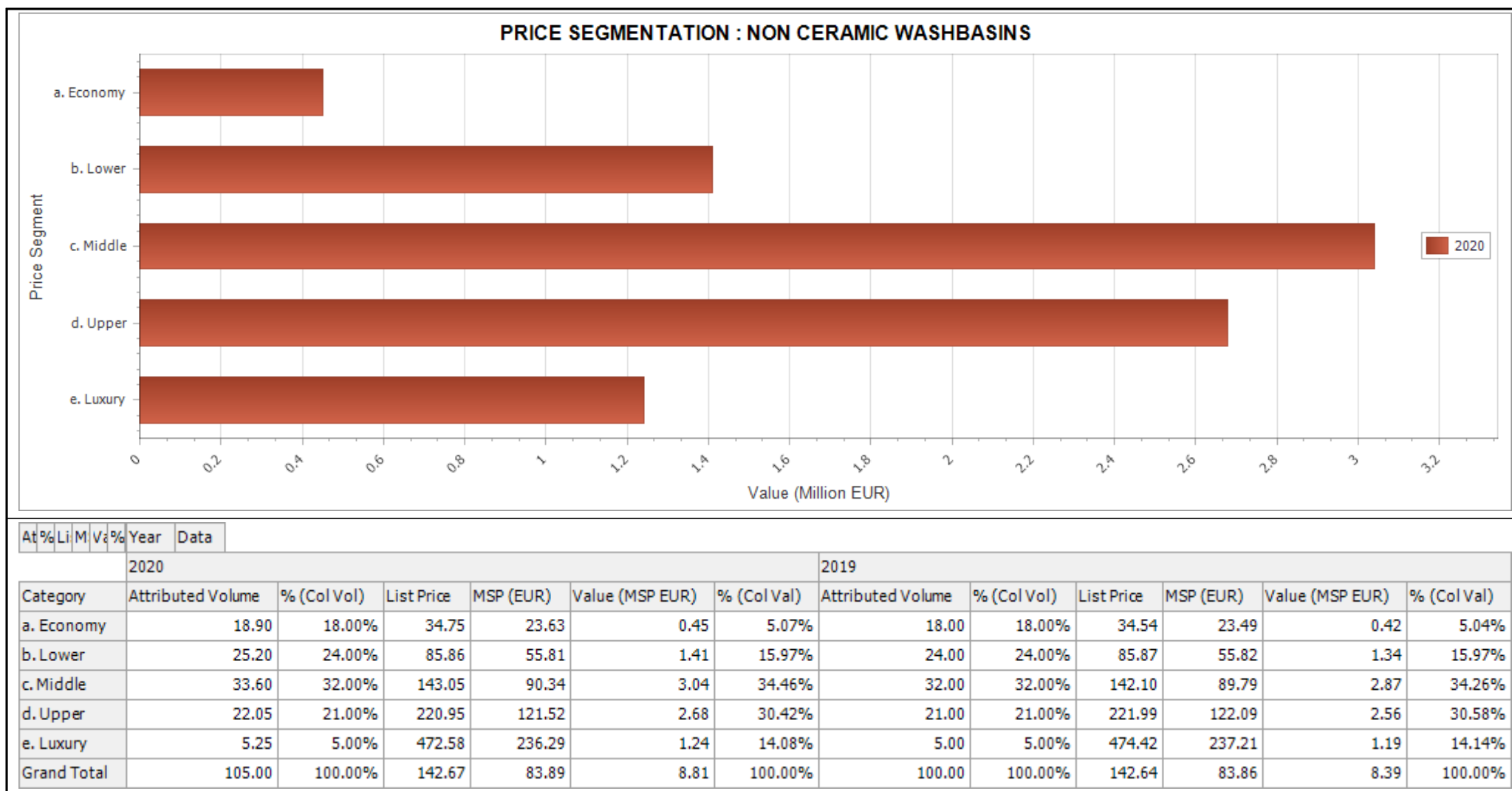
PL - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

2.3.10 Price Segmentation : Non Ceramic Washbasins

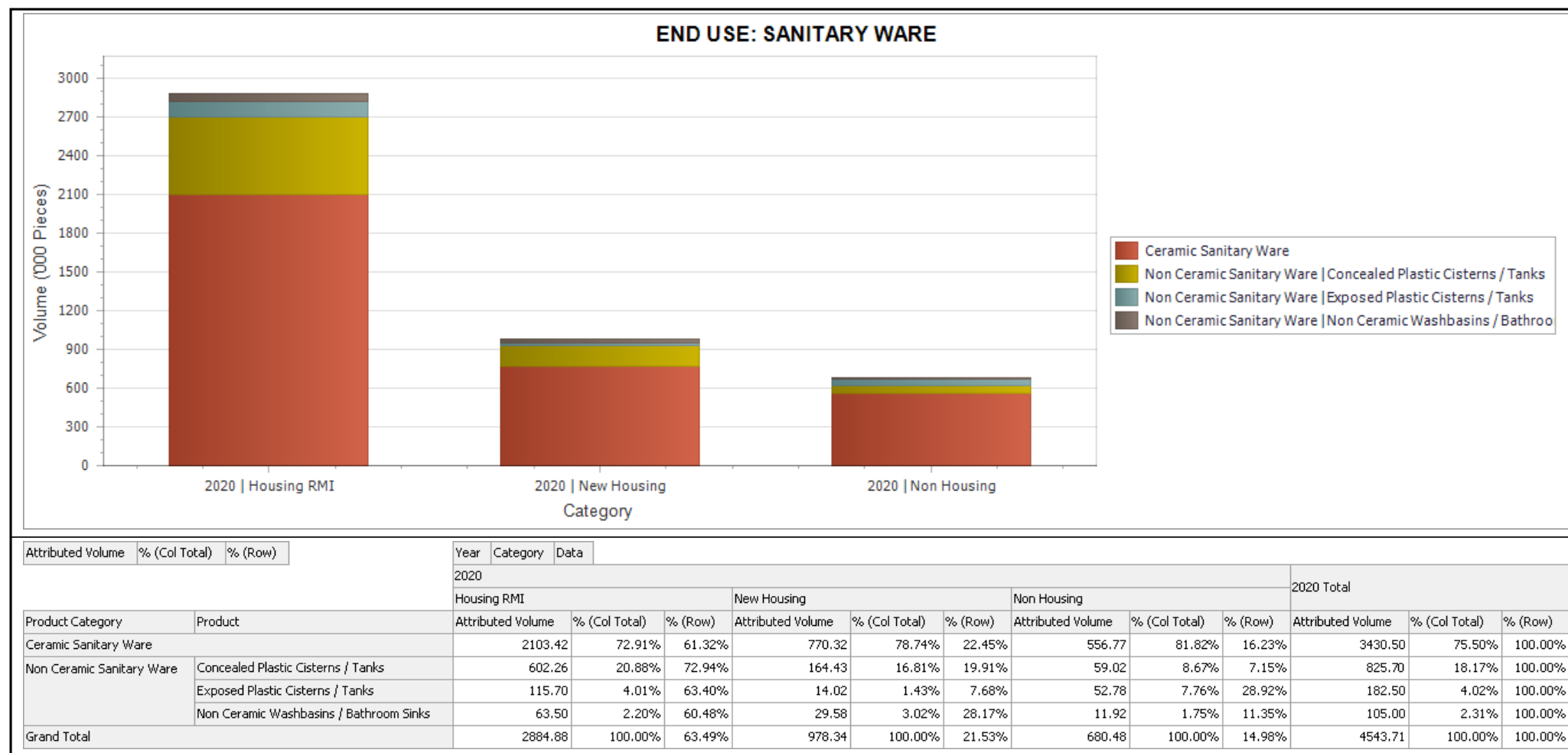
PL - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€60, Middle €60-€100, Upper €100-€150, Luxury >€150

2.4.1 End Use : Base Year

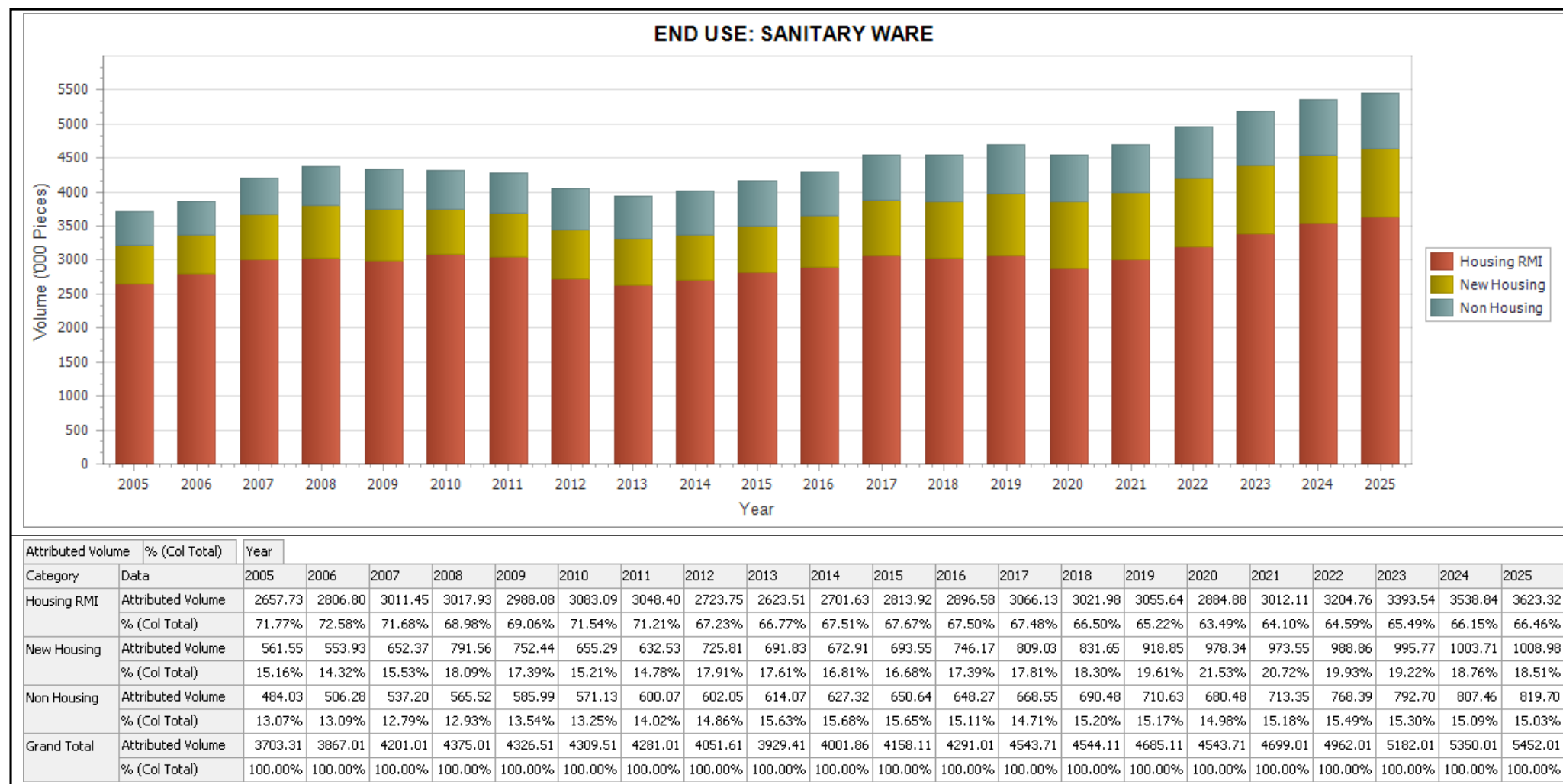
PL - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

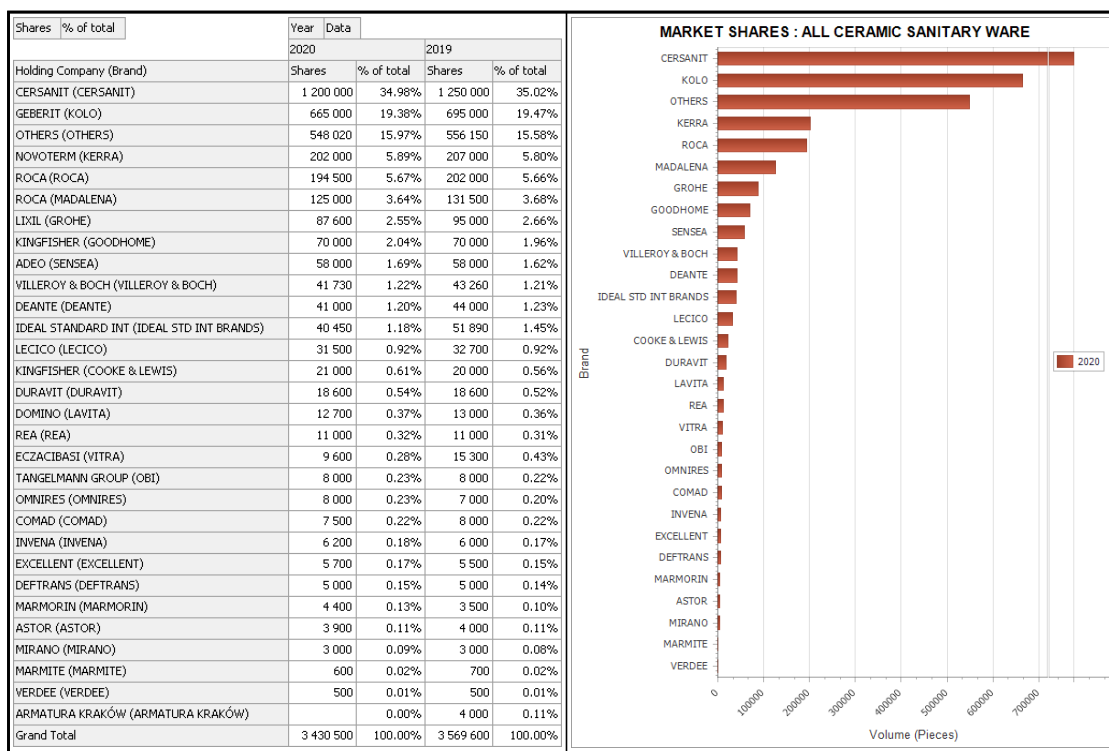
PL - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

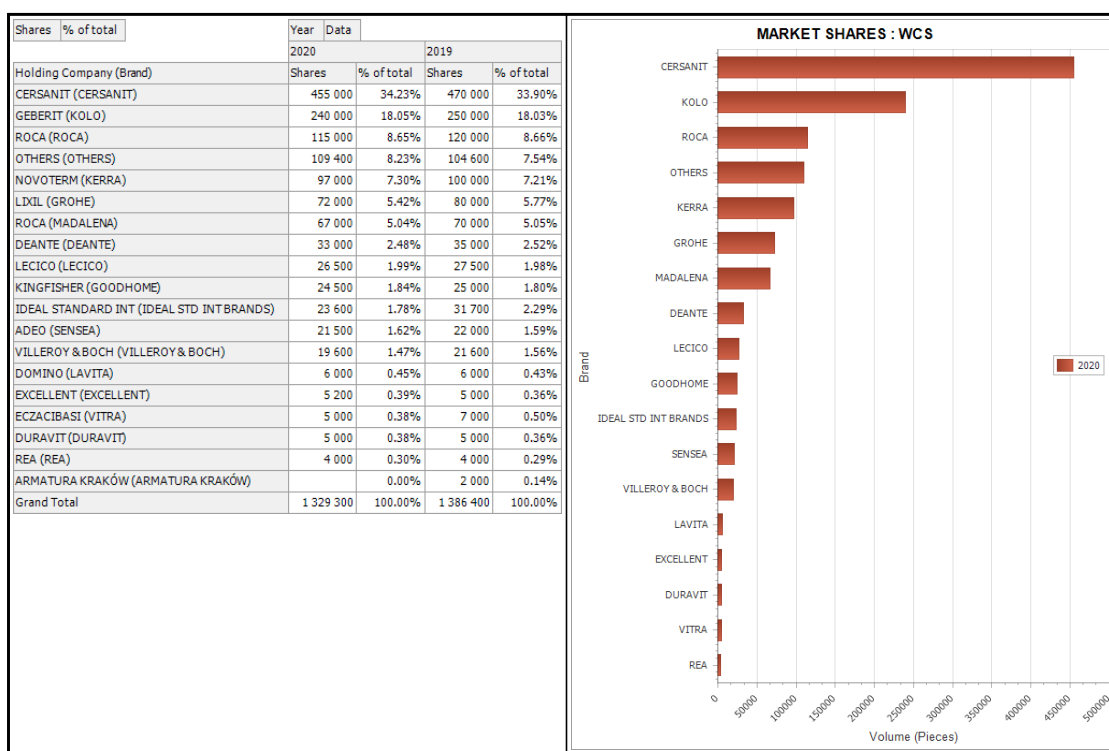
PL - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

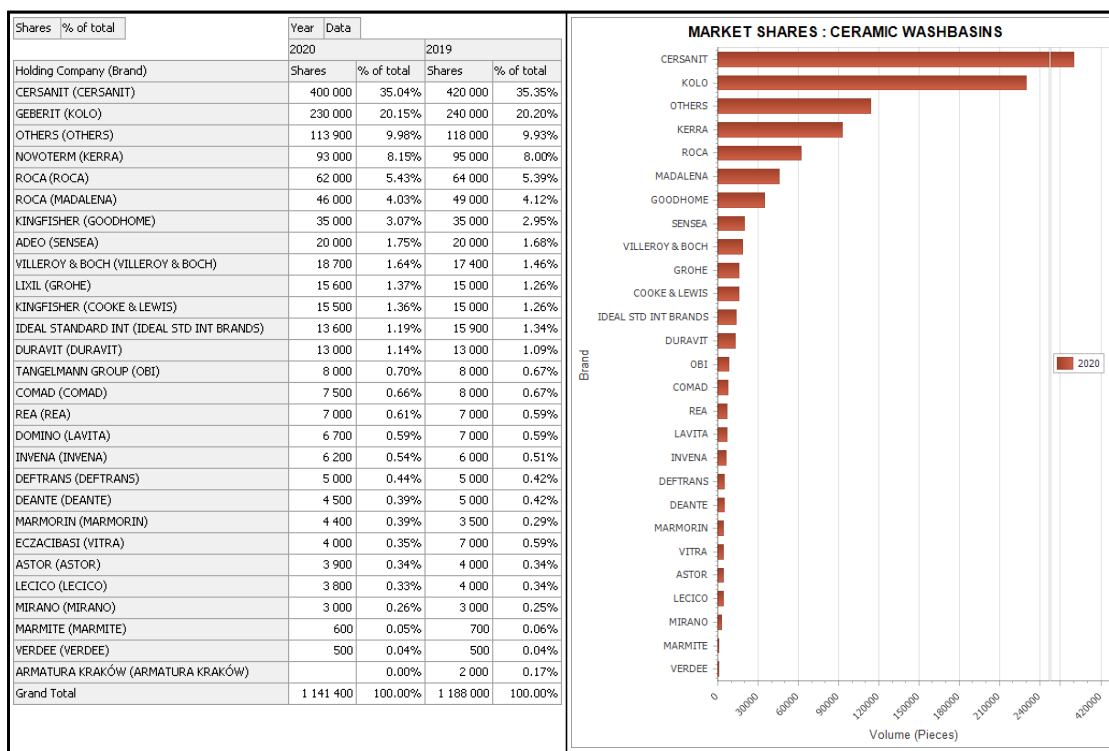
PL - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

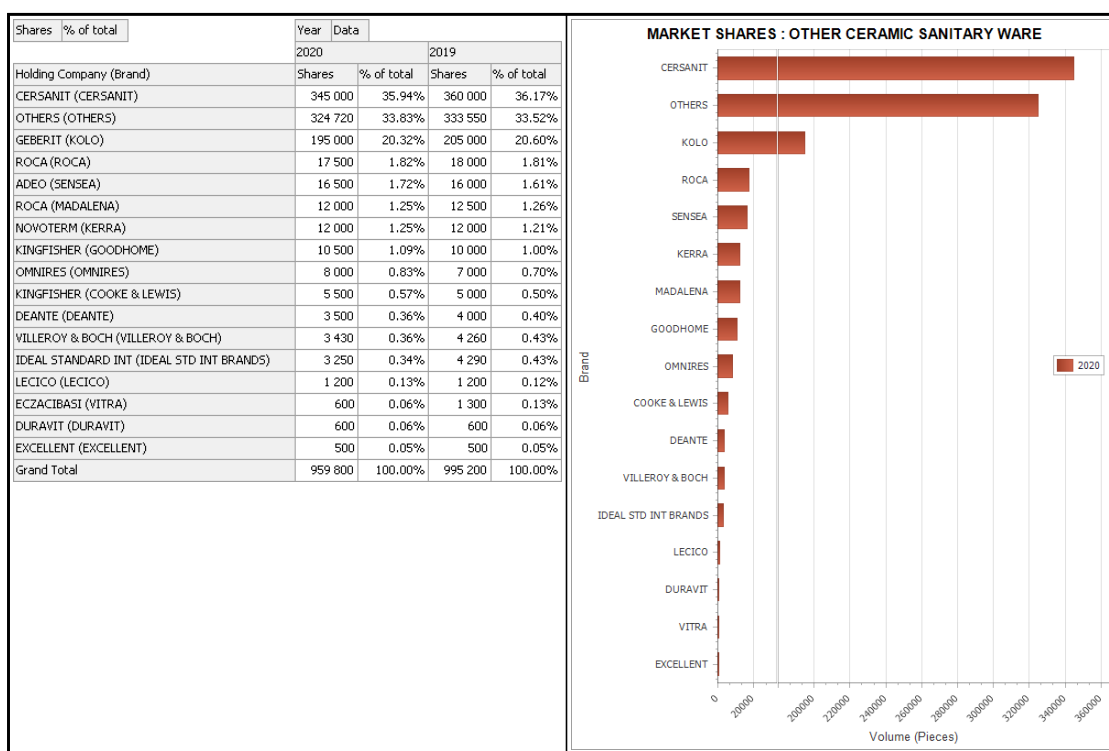
PL - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

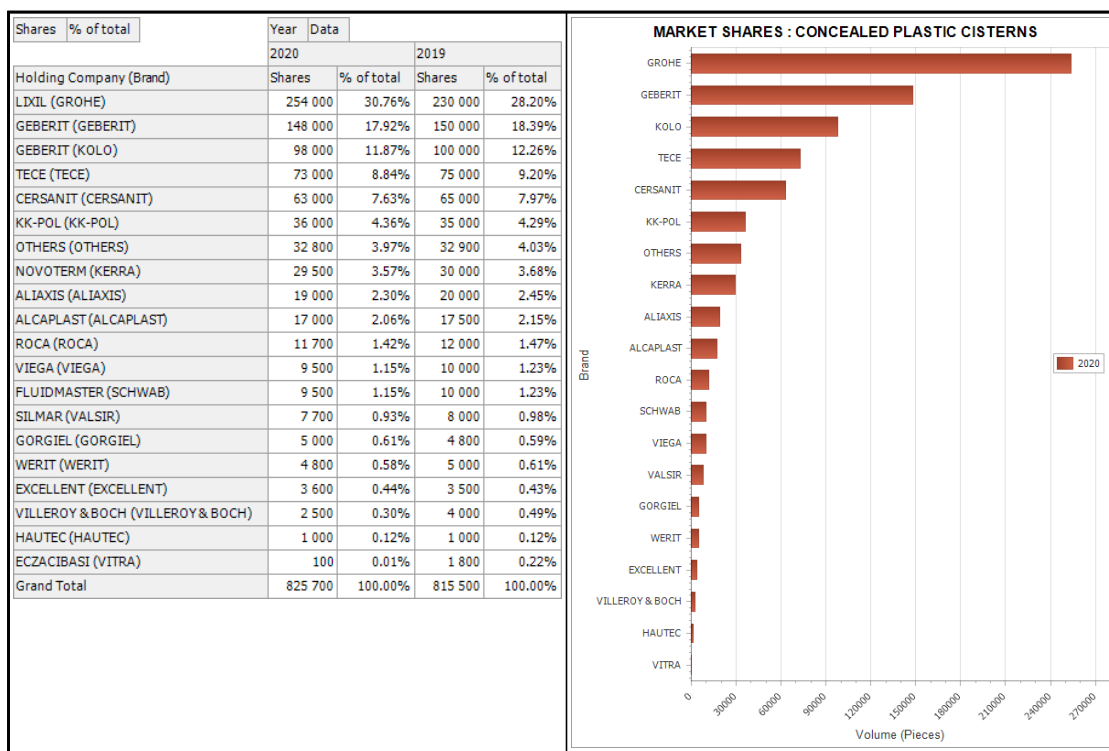
PL - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

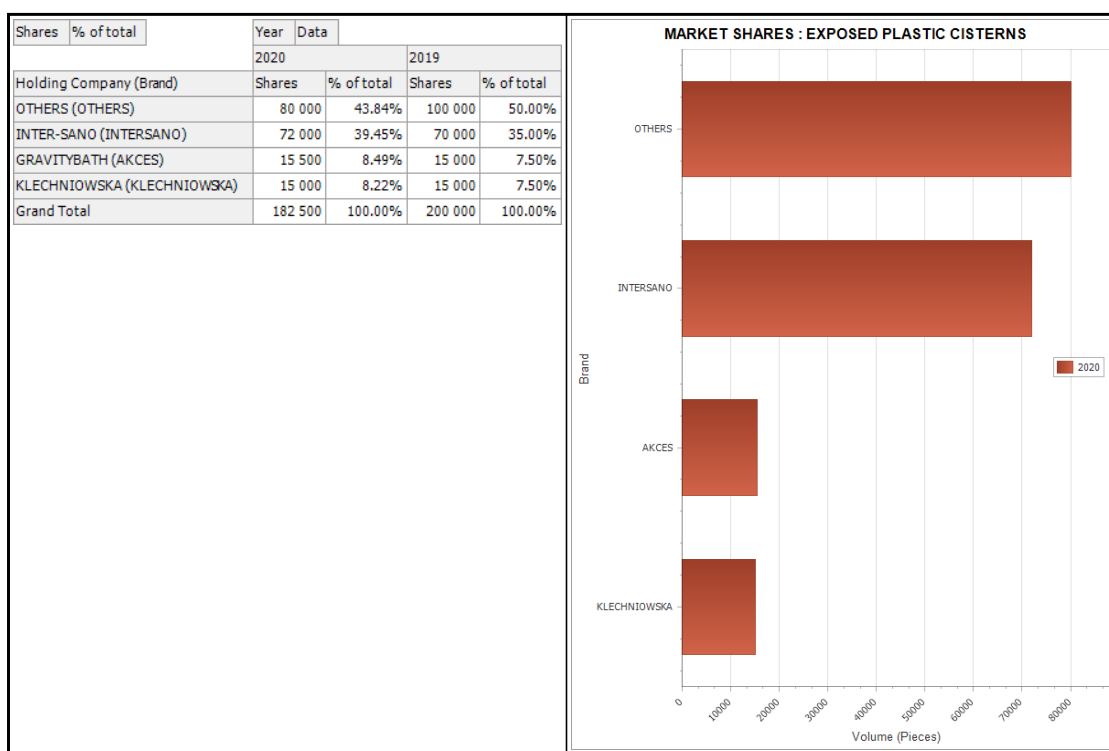
PL - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

PL - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 PL - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	20 350	35.3%	29 079	28.1%	19 094	40.6%	26 939	30.7%
Bulgaria	12 706	22.1%	19 100	18.5%	1 847	3.9%	3 279	3.7%
Ukraine	10 160	17.6%	9 419	9.1%	12 544	26.7%	11 627	13.3%
Germany	4 182	7.3%	22 769	22.0%	4 683	10.0%	23 734	27.1%
Turkey	3 962	6.9%	6 674	6.4%	3 641	7.7%	6 523	7.4%
India	1 452	2.5%	1 056	1.0%	1 258	2.7%	905	1.0%
Italy	994	1.7%	5 964	5.8%	859	1.8%	6 081	6.9%
Portugal	886	1.5%	1 714	1.7%	565	1.2%	986	1.1%
Egypt	624	1.1%	841	0.8%	605	1.3%	640	0.7%
OTHERS	2 291	4.0%	6 864	6.6%	1 917	4.1%	6 950	7.9%
Total	57 609	100.0%	103 480	100.0%	47 012	100.0%	87 664	100.0%

Source : Trademap

2.6.2 PL - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	27 200	33.0%	51 051	31.2%	20 745	26.8%	35 634	25.2%
France	12 465	15.1%	19 195	11.7%	14 062	18.2%	21 974	15.5%
Czech Republic	5 569	6.7%	12 695	7.8%	4 712	6.1%	10 501	7.4%
United Kingdom	4 979	6.0%	11 249	6.9%	7 804	10.1%	13 702	9.7%
Romania	3 895	4.7%	6 541	4.0%	2 745	3.5%	4 930	3.5%
Italy	3 672	4.4%	5 744	3.5%	4 453	5.7%	6 491	4.6%
Ukraine	3 499	4.2%	8 404	5.1%	2 799	3.6%	6 150	4.4%
Slovakia	2 712	3.3%	7 754	4.7%	2 581	3.3%	7 202	5.1%
Lithuania	1 993	2.4%	4 490	2.7%	1 831	2.4%	3 933	2.8%
Hungary	1 831	2.2%	3 835	2.3%	1 893	2.4%	3 801	2.7%
Austria	1 780	2.2%	3 634	2.2%	2 214	2.9%	3 106	2.2%
OTHERS	12 941	15.7%	28 857	17.7%	11 630	15.0%	23 908	16.9%
Total	82 537	100.0%	163 449	100.0%	77 468	100.0%	141 332	100.0%

Source : Trademap

2.6.3 PL - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 542	40.7%	23 982	43.0%	4 490	50.9%	30 062	53.8%
China	865	9.9%	4 571	8.2%	836	9.5%	4 018	7.2%
Italy	863	9.9%	2 399	4.3%	430	4.9%	1 677	3.0%
Czech Republic	492	5.7%	3 994	7.2%	426	4.8%	3 301	5.9%
Turkey	475	5.5%	1 692	3.0%	245	2.8%	896	1.6%
Slovenia	427	4.9%	1 489	2.7%	611	6.9%	2 225	4.0%
France	414	4.8%	3 537	6.3%	438	5.0%	3 671	6.6%
Finland	357	4.1%	3 637	6.5%	80	0.9%	962	1.7%
Austria	346	4.0%	3 340	6.0%	393	4.4%	3 681	6.6%
Lithuania	273	3.1%	1 439	2.6%	205	2.3%	1 034	1.9%
Bulgaria	108	1.2%	768	1.4%	53	0.6%	351	0.6%
OTHERS	549	6.3%	4 907	8.8%	618	7.0%	3 960	7.1%
Total	8 711	100.0%	55 755	100.0%	8 826	100.0%	55 838	100.0%

Source : Trademap

2.6.4 PL - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Italy	3 650	19.8%	7 557	11.0%	3 622	19.3%	6 394	10.0%
Germany	3 471	18.8%	18 184	26.5%	6 295	33.5%	27 665	43.1%
France	2 984	16.2%	6 463	9.4%	2 737	14.6%	5 393	8.4%
United Kingdom	1 529	8.3%	3 940	5.7%	1 320	7.0%	3 786	5.9%
Czech Republic	880	4.8%	3 238	4.7%	948	5.0%	2 936	4.6%
Russian Federation	819	4.4%	4 324	6.3%	334	1.8%	2 171	3.4%
Norway	725	3.9%	4 299	6.3%	230	1.2%	1 323	2.1%
Ukraine	715	3.9%	3 001	4.4%	672	3.6%	2 525	3.9%
Romania	525	2.9%	2 225	3.2%	280	1.5%	1 128	1.8%
Spain	390	2.1%	1 175	1.7%	369	2.0%	872	1.4%
Netherlands	293	1.6%	1 421	2.1%	233	1.2%	706	1.1%
OTHERS	2 444	13.3%	12 708	18.5%	1 759	9.4%	9 254	14.4%
Total	18 426	100.0%	68 535	100.0%	18 799	100.0%	64 153	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
PL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	63.9%
	Wholesalers / Merchants
	63.9%

Retail Level	Manufacturer 2.7%	Wholesaler 4.5%	Manufacturer 18.2%	Wholesaler 21.0%	Manufacturer 12.0%	Wholesaler 18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.2%		39.2%		30.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	6.5%	4.0%	5.5%	5.5%
Installers				
22.3%				

End Use Level	Manufacturer 0.8%	Wholesaler 4.9%	Internet 3.1%	DIY 32.7%	Specialist 23.5%	Installer 18.8%
	Residential					
	83.8%					
	New Build			Residential RMI		
	22.5%			61.3%		
	Project		Non-Project		Project	
	0.5%		22.0%		1.5%	
					59.8%	
	Manufacturer 1.6%	Wholesaler 9.0%	Internet 0.1%	DIY 1.0%	Specialist 1.0%	Installer 3.5%
	Non-Residential					
	16.2%					
	New Build			Non-Residential RMI		
	8.1%			8.1%		
	Project		Non-Project		Project	
	0.8%		7.3%		0.8%	
					7.3%	

2.7.2 Route to Market: Ceramic Sanitary Ware
PL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	62.0%
	Wholesalers / Merchants
	62.0%

Retail Level	Manufacturer 3.0%	Wholesaler 5.5%	Manufacturer 19.0%	Wholesaler 21.0%	Manufacturer 12.0%	Wholesaler 17.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.5%		40.0%		29.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	6.5%	4.5%	6.0%	5.0%
Installers				
22.8%				

End Use Level	Manufacturer 1.7%	Wholesaler 2.5%	Internet 3.7%	DIY 32.5%	Specialist 23.0%	Installer 19.7%
	Residential					
	83.1%					
	New Build			Residential RMI		
	20.0%			63.1%		
	Project		Non-Project		Project	
	0.5%		19.5%		1.5%	
					61.6%	
	Manufacturer 1.5%	Wholesaler 9.0%	Internet 0.3%	DIY 1.5%	Specialist 1.5%	Installer 3.1%
	Non-Residential					
	16.9%					
	New Build			Non-Residential RMI		
	8.4%			8.5%		
	Project		Non-Project		Project	
	0.8%		7.6%		0.8%	
					7.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

PL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

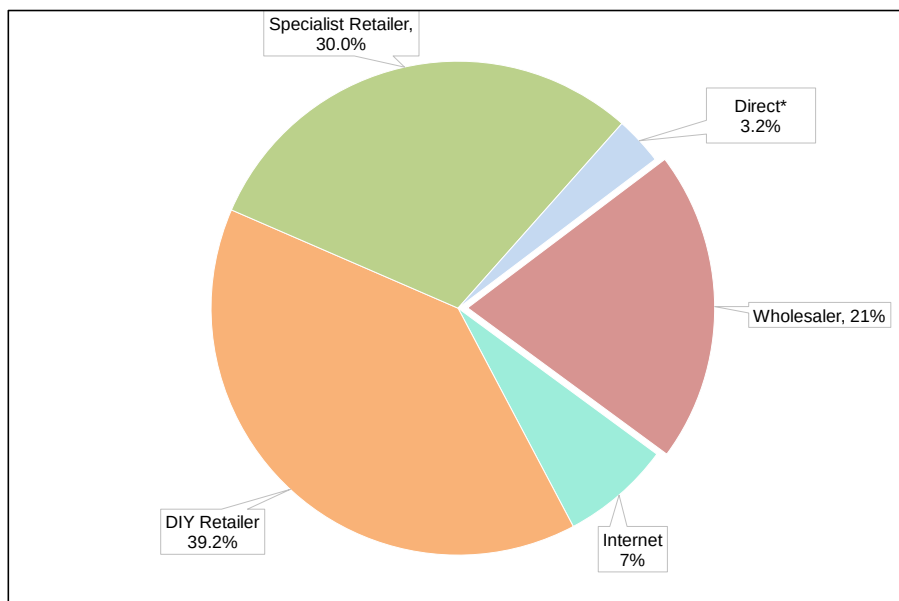
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.4%	7.2%	39.2%	30.0%	3.2%	2.0%	1.6%	81.8%	14.6%
100%					3.6%		96.4%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

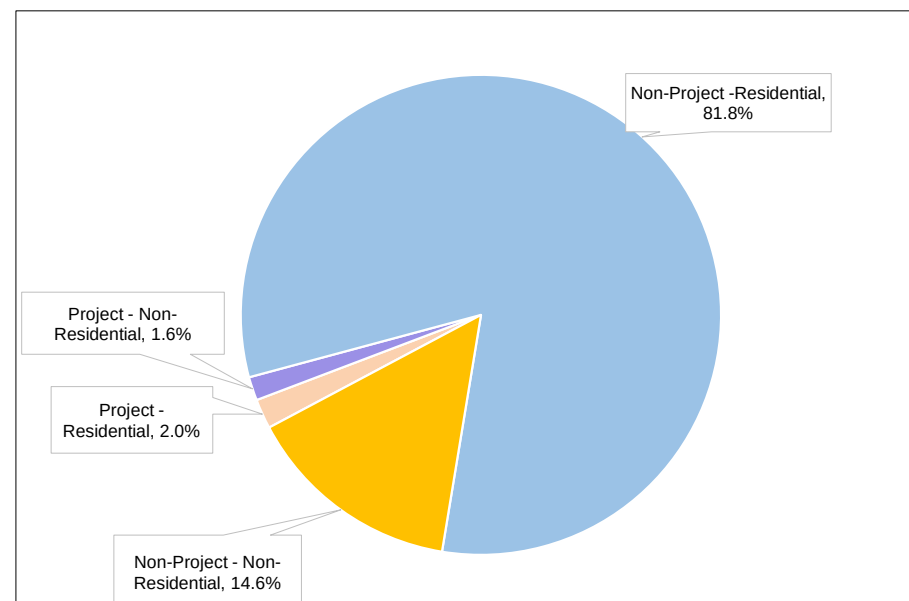
PL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.0%	8.5%	40.0%	29.5%	4.0%	2.0%	1.6%	81.1%	15.3%
100%					3.6%		96.4%	

PL - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5

Route to Market: Plastic Cisterns
PL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	61.8%
	Wholesalers / Merchants
	61.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.9%	4.5%	20.0%	21.0%	12.8%	17.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.4%		41.0%		29.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	7.5%	4.5%	5.0%	5.3%
Installers				
23.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.6%	5.3%	2.8%	35.5%	24.0%	20.7%	1.2%	6.5%	0.1%	0.5%	0.5%	2.3%
	Residential						Non-Residential					
	88.9%						11.1%					
New Build			Residential RMI			New Build			Non-Residential RMI			
17.7%			71.2%			5.6%			5.5%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
0.5%	17.2%		1.5%	69.7%		0.5%	5.1%		0.5%	5.0%		

2.7.6

Route to Market: Plastic Cisterns
PL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.5%
	Wholesalers / Merchants
	60.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.5%	5.5%	20.5%	21.0%	12.5%	17.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.0%		41.5%		29.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	7.0%	5.0%	5.5%	5.0%
Installers				
23.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.6%	4.0%	3.8%	35.5%	24.0%	21.0%	0.9%	6.0%	0.2%	0.5%	0.5%	2.0%
	Residential						Non-Residential					
	89.9%						10.1%					
New Build			Residential RMI			New Build			Non-Residential RMI			
13.3%			76.6%			5.1%			5.0%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
0.5%	12.8%		1.5%	75.1%		0.5%	4.6%		0.5%	4.5%		

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

PL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

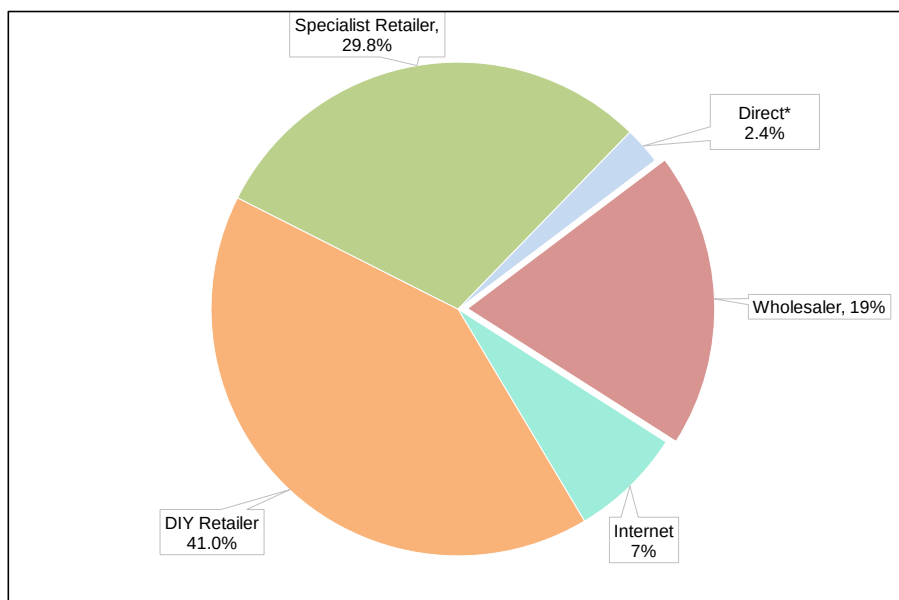
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.3%	7.4%	41.0%	29.8%	2.4%	2.0%	1.0%	86.9%	10.1%
100%					3.0%		97.0%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

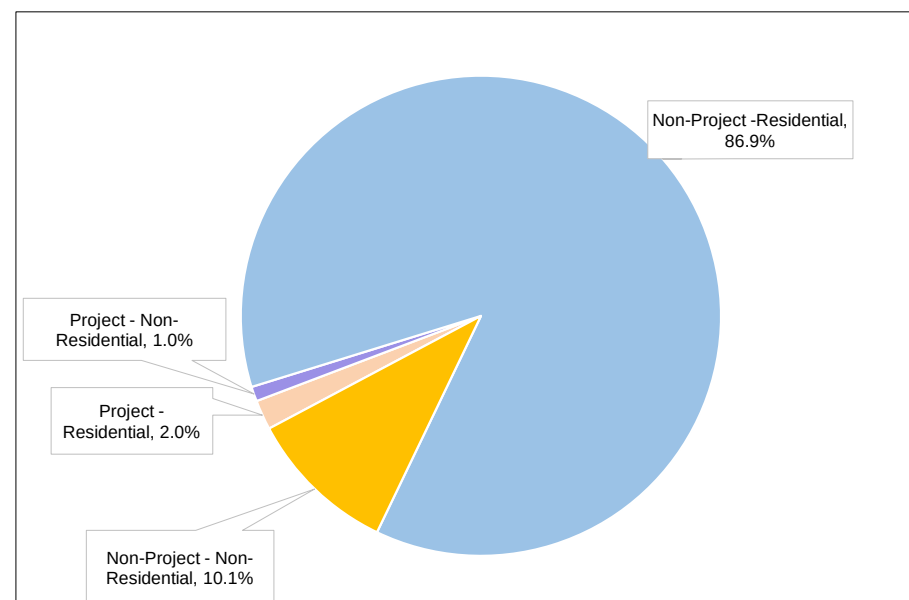
PL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.0%	9.0%	41.5%	29.5%	3.0%	2.0%	1.0%	87.9%	9.1%
100%					3.0%		97.0%	

PL - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



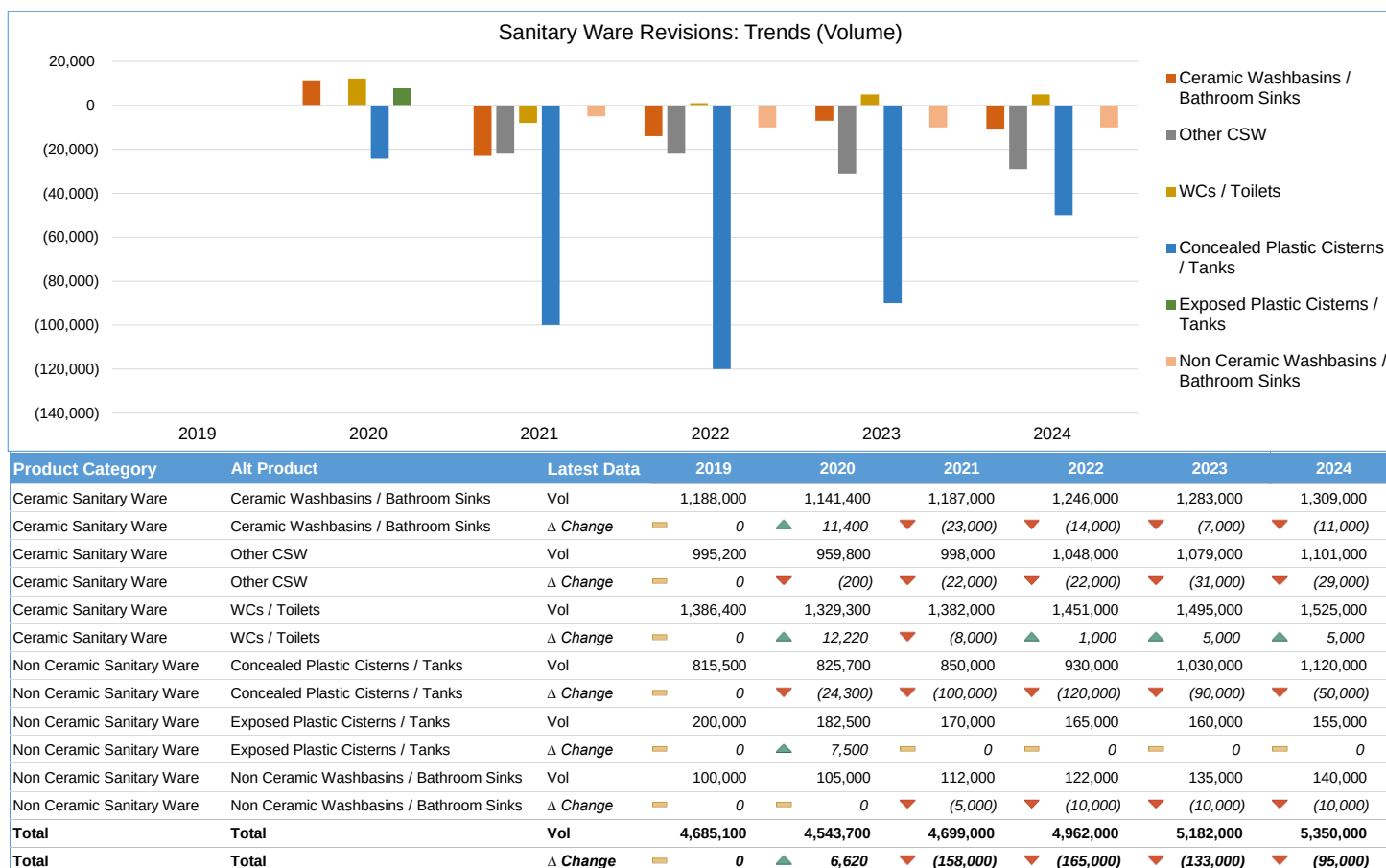
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Polish Sanitary Ware Market (April 2021)

PL - REVISIONS IN THE POLISH SANITARY WARE MARKET

Data Comparison: October 2020



Based on the information from the key market players the non-ceramic washbasin the 2005-2011 market size has been downgraded in line with the sales trend observed in the following years. Sales of non-ceramic models continue growing; however, the total sales volume remains marginal compared to ceramic products.

The historical average MSP values have been decreased across the product categories in line with the industry feedback showing a lower share of high-priced products in the total sales volume. The ceramics sanitary ware market has been traditionally dominated by local manufacturers with a very strong position of the DIY networks through which the chunk of their production is distributed. The DIYs specialize in low- and mid-end products, which, at a strong competition among the manufacturers, considerably lowers the average MSP values. With the economic conditions improving in recent years, BRG observes a shift towards higher-priced products, however, at a relatively low rate.

POLAND

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Historically, Polish dwellings, similar to other countries which belonged to the former Soviet Bloc, were equipped with two head wall mounted taps installed atop baths and kitchen sinks. However, the Polish taps and mixers market commenced to change slowly at the beginning of the 1990s as new types of taps and mixers emerged. Sales of traditional two head mixers have gradually been substituted by more functional one head models (after being first introduced to the European market by IDEAL STANDARD) and by a slow but steadily-growing demand for thermostatic models.

Initially, sales of taps and mixers heavily depended on the fluctuations of the new housing market, consequently following new construction's ups and downs.

However, as there was a massive amount of outdated two head models installed before 1990, along with a growing awareness of Polish consumers for water savings, increasing real wages and growing renovation spending, housing RMI has progressively turned into a key end-use market for taps and mixers manufacturers.

In terms of installation and product mix, wall mounted models have been rapidly disappearing from new housing as Polish customers prefer appliance mounted mixers. Within the luxury price segment, concealed taps and mixers are rapidly gaining popularity, mainly installed together with shower wall products and baths. As far as the non-residential sector is concerned, electronic and self-closing mixers, which allow users to adjust dispensing time (to provide economical water usage), have become a very common solution, particularly in hospitals, schools and office buildings. Pillar taps are a rarity on the market. Wealthier Polish customers tend to purchase expensive pillar taps that are made of good quality material with, also, specific features often crafted on demand, although overall price remains the main driver of the market.

Taps and mixers are usually sold separately from any other bathroom appliances. However, there is an increasing trend towards integrating mixers into base units, sold either together with washbasins or with co-ordinated bathroom accessories, handles, plugs and matching ceramic sanitary ware. This solution is mostly observed at the upper end of the market. Freestanding taps and mixers, typically for baths, have been made available in recent years; however, due to their relatively high prices, and also for space -saving reasons, their sales are marginal.

Recent Market Trends

After good growth recorded in previous years, sales of taps and mixers showed in 2020 a slight decline, with sales to RMI falling in the aftermath of the COVID-9 pandemic outbreak. Also, a great many projects in non-housing construction were put on hold or cancelled, which affected sales of taps and mixers to this segment. Good growth in sales to new housing did not offset the drop in two other end-use

sectors and the whole taps and mixers market contracted.

It is worth stressing that the Polish taps and mixers market highly depends on supplies from the Far East and several players experienced serious problems with shipments from China, especially in the beginning of the pandemic, leading to delays which in some cases were not fully made up for by the end of the year. Still, disruption in the supply chain for some players turned out an opportunity for others, for example, manufacturing their products in Poland or other EU countries. The decline in overall sales was primarily due to lower investments in home improvement projects involving replacements of bathroom equipment. The decline is, nevertheless, lower compared to those bathroom market segments where average prices are higher, especially if installation may incur some additional cost and require a specialist (e.g. baths and shower trays, or concealed plastic cisterns).

Sales of one head mixers continued to account for the largest share of the market and grew further in 2020, to the detriment of two head models. Demand for thermostatic mixers continued to grow although slower than in 2019, as people were more concerned with their finances and showed less interest in investing in relatively expensive thermostatic models, to say nothing of installation cost and works likely requiring a specialist, which, due to distancing rules, may have become difficult at the times of lockdowns. It is worth mentioning that tap and mixer manufacturers, seeing an increasing sales potential on the market, boosted their sales to DIY stores, particularly regarding shower sets. A typical shower set comprises one thermostatic mixer, one adjustable and one fixed head, one flexible hose and one shower support. Nevertheless, non-thermostatic mixers still dominate, due to lower prices.

Sales of electronic and self-closing mixers declined in 2020, as a result of decrease in demand from the non-housing segment. In terms of product mix the two product categories still account for a relatively small share of the taps and mixers market. Moreover, a poor performance of the office and hotels segments within the non-residential sector affected sales of urinals to this end-use sector, which in turn affected negatively sales of urinals' flushing valves.

Furthermore, taps and mixers remained the most common purchased bathroom product online in 2020. In fact, internet sales of these products continued to increase rapidly, with anti-pandemic restrictions at times making access to physical outlets difficult, and usually being driven by the low average price as internet distributors do not incur the additional costs of renting and maintaining space where taps and mixers are exposed, as opposed to traditional wholesalers and specialist retailers.

Prices and Market Values

In 2020, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher inflation ratio and increasing production and transport cost, prices for bathroom products grew moderately, by 3-4% on average. Most importantly, the impact of the pandemic on

the Polish bathroom market in terms of sales was relatively mild with practically all the segments showing a good recovery after experiencing problems with supplies and distribution in the wake of the pandemic. Moreover, like in previous years, the fierce competition seen in the price-oriented Polish market, amplified by growing sales of own brands introduced by distributors, makes any considerable price hikes rather difficult. Before the end of 2020 only a few manufacturers decided to apply an extra price increase. Nevertheless, due to dramatically increasing prices of raw materials, such as steel and brass, as well as transport – the cost of shipment from the Far East grew in 2020 by 500-600% – a higher than usual increase in price for bathroom products is expected in 2021 and was already applied by several players in the first quarter. This particularly applies to the taps and mixers segment as the vast majority of the products sold in Poland are imports from China. Additionally, the taps and mixers prices may be affected by the weakening of the local currency, the zloty.

Like in previous years, in 2020 the overall trend seen in taps and mixers' prices was a shift from the economy/lower price category towards more expensive models. The shift in consumer preference is, however, rather slow, for which reason the market remains price-oriented. At a relatively small increase in the MSPs in 2020, the contraction of the Polish zloty, means that average MSPs in euro decreased that year, continuing growth in zloty.

New Housing

The growing disposable incomes of Polish consumers, combined with relaxed construction laws regarding building permits and eased measures related to consumer creditworthiness, resulted in a continued good performance of the domestic residential construction market in recent years. In 2020, despite the COVID-19 outbreak, growth continued driven by a high demand for new dwellings and a high popularity of investments in real estate in Poland, resulting among others from and low gains offered by banks for capital investments, deposits etc. Investments in real estate look safe and profitable.

Increased residential dwelling completions in 2020 resulted in growing demand for bathroom products such as washbasins, WCs, showers and bidets, which in turn affected positively sales of taps and mixers to the new housing segment.

Although the one head mixer remained the most common type of fixture in 2020, due to its relatively low price, it continued to face increasing competition from thermostatic models, which have become a common choice for showers and baths. Bidets installed in the new housing segment remained to be equipped solely with one head mixers, while washbasins continued to be installed together with either one or two head mixers. Moreover, BRG assumes that sales of self-closing and electronic taps and mixers to new housing remained at the residual levels. Electronic kitchen taps were introduced to the Polish market relatively recently. However, due to their high price sales they are not likely to penetrate the market in the short term.

As the new residential construction segment proved a high resilience to the challenging conditions resulting from applying the anti-pandemic measures, it is expected to continue a good performance in 2021 with a positive mid-term outlook, which should benefit the sales of taps and mixers to new housing. The strong shift from baths towards shower products is expected to lead to an increasing penetration of thermostatic models, as well as a decreasing demand for two head models.

Housing RMI

The Polish taps and mixers market is saturated and, as a consequence, it remains driven by replacement demand. In 2020, replacement accounted for by far the largest share of the total sales of taps and mixers; however, unlike in 2019, demand from housing RMI, slightly declined. After the COVID-19 outbreak in March 2020, at a high level of uncertainty regarding the economic conditions, and the labour market in particular, many people decided to postpone or cancel the renovations they had planned, often reducing the home improvement budget, under the new circumstances being more concerned with their spending. However, as the average price of mixers is relatively small, cuts in budget applied less frequently to this product type. Moreover, the installation can be carried out without help of an installer, which lowers the cost and facilitates the replacement in the times when distancing rules are in place. In fact, the replacement of old mixers is relatively easy for the consumers. Thus, a large number of them purchase and install bathroom mixers without involving professional installers. This trend is particularly important for manufacturers as, due to a high level of emigration out of the country, particularly in 2005-2010, for the past couple of years the Polish renovation market has been experiencing a considerable shortage of both skilled and unskilled workforce, while observing a continued increase in demand. As a result, the average time of awaiting for installation/renovation works in the case of bathroom products has become relatively long. For this reason, skilled consumers remain one of the most important sales targets for manufacturers.

Within the housing RMI segment, Polish consumers have continued to opt mostly for one head mixers. Sales of two head mixers going to housing RMI have been far lower, as are the sales of electronic and thermostatic mixers. However, demand from housing RMI for thermostatic models is likely to increase at a significant pace in the second half of the forecast period, following growing demand for showers.

Non-Housing

Notwithstanding the fact that there is no legal obligation in force regarding sanitary water usage/management in non-residential buildings, developers and owners of such buildings have become increasingly aware of the long-term benefits derived from sustainable water management. Thus, bathrooms and toilets in hotels and office buildings are more often equipped with either electronic or self-closing mixers to minimise water consumption costs.

After recording growth in 2019, in 2020 in the aftermath of the COVID-19 outbreak investments in the non-residential segment declined, particularly in the hotels and tourist accommodation segment, which are the key for the bathroom products segment.

In the product mix, one head models dominated, followed by two head mixers. Combined sales of thermostatic models, although gradually increasing their share, were still lower than sales of two head products; however, within the shower taps and mixers segment their sales volume was second only to one head models, while two head taps and mixers were also surpassed by self-closing mixers. Electronic taps and mixers as well as self-closing models gradually increase their shares in the washbasin segment, although, as of 2020, accounting for a relatively small portion of the total volume.

BRG assumes that sales of taps and mixers to non-housing should return to growth once the pandemic is under control and investments in new commercial buildings, as well as modernisations of the existing ones get back to pre-pandemic levels. As the process is expected to be gradual, the 2019 sales volume likely may be reached not sooner than in 2022.

Supply Structure

The Polish taps and mixers market in 2020 remained very fragmented, with ARMATURA and FERRO as the two players holding the largest market shares in terms of volume.

The segment is largely supplied with imports from the Far East, as the top three players, as well as several smaller providers, have their production facilities based in China. In the aftermath of the COVID-19 pandemic outbreak, practically every player with supplies from the Far East, which includes products, as well as components, experienced serious problems with shipments, in some cases coupled also with reduced production. The delays, which occurred as a result, were often hard to make up for by the end of the year with many players struggling to reach the 2019 sales volume, all that to the benefit of the manufacturers with production facilities based locally, in Poland or neighbouring EU countries.

The problems with shipments deepened the declining trend in sales of ARMATURA, enabling FERRO, which in 2020 recorded sales similar to the previous year, to take over the leading position in terms of volume. Overall, however, difficulties experienced by particular players did not affect the segment's total sales, which showed a minor contraction primarily due to lower investments in the RMI sector. In fact, fast growth rates were very rare in 2020.

FERRO is considered to be one of the largest manufacturers of mixers and installation fixtures in Central and Eastern Europe. It has its headquarters and warehousing logistics centre in Skawina, south-west of Krakow. Since 2010, FERRO has been listed on the Warsaw Stock Exchange. As of April 2021, the

main shareholders include: NATIONALE NEDERLANDEN OFE, AVIVA OFE, PKO BP BANKOWY OFE, and AEGON OFE with FERRO's board of directors controlling 1.8% of shares. The FERRO GROUP owns: FERRO INTERNATIONAL sp. z o.o., NOVASERVIS spol. s.r.o., NOVASERVIS FERRO SK s.r.o., NOVASERVIS FERRO BULGARIA LTD and NOVASERVIS FERRO HUNGARY KFT, as well as FERRO BALTICS UAB and FERRO ADRIATICA d.o.o. In 2020 the group made a total PLN 519 million (about EUR 115 million) revenues representing a 15% increase compared to PLN 451 million (about EUR 105 million) revenues in 2019, and PLN 76 million (about EUR 17 million) net profit, 25% up compared to PLN 43 million (about EUR 10 million) net profit recorded in 2019. One head sanitary mixers in 2020 continued to constitute the largest part of the total tap and mixer sales of the company, followed by two head and thermostatic models. A low sales volume of the latter product was most likely due to consumers associating this manufacturer with low and economy-priced models. FERRO taps and mixers production is based in China (started in 2003 via Yuhuan AMG Just Valve Co. Ltd.) and in Znojmo in the Czech Republic (production facilities of NOVASERVIS which FERRO acquired in 2011).

ARMATURA, a Krakow-based manufacturer whose shares remain fully in the hands of the state-owned PZU (PZU FUNDUSZ INWESTYCYJNY ZAMKNIETY AKTYWÓW NIEPUBLICZNYCH BIS 2), after recording poor sales and financial results for a prolonged period of time, underwent in 2017 and 2018 a considerable restructuring process. The new management board decided to improve the company's finances through issuing bonds and to get rid of its sanitary, bath/trays and shower enclosure units, both in Poland and abroad, focusing on its core markets, that is, kitchen and bathroom taps and mixers and aluminium radiators, also continuing sales of shower accessories. With regards to taps and mixers, in 2018 ARMATURA also ceased their domestic production, increasing imports from China. As a result of the new strategy the drop in sales of taps and mixers in 2019 was considerably lower than in previous years. The decline in sales continued, however, in 2020, amplified by the problems with shipments the company had to face in the aftermath of the COVID-19 outbreak.

The domestic DEANTE remained the third-largest player in taps and mixers in 2020. The company operates as a general partnership entity. It opened its taps and mixers factory in 2011 in Kanton, China, and rapidly gained a fair market share due to low and competitive prices. The company has a comprehensive bathroom product portfolio, in addition to taps and mixers, also comprising shower trays, shower enclosures, sanitary ware and kitchen sinks (the last manufactured in its own factory in Poland).

While ARMATURA KRAKOW, the FERRO GROUP and DEANTE continued to lead the economy, lower and middle price segments in 2020, companies such as ROCA, GROHE, MASCO, IDEAL STANDARD, KLUDI, ZUCCHETTI and BONETTI maintained their products within the middle and upper price ranges.

German GROHE, focusing on the sales to the project segment and through DIY networks, back in 2019 managed to considerably increase its shares, primarily

through aggressive discounts, since then ranking the fourth largest provider in the taps and mixers market. It is followed by OMNIRES, also focusing on sales of products from the middle and upper price brackets. The sixth largest player, VALVEX (the MERIDIAN INTERNATIONAL GROUP), with production facilities based locally, so far focusing on the economy segment, in 2020 succeeded in increasing the share of products from the middle and upper price brackets in its sales, also recording a slight increase in terms of volume and overall recorded a very good growth in revenues.

Combined shares of the own brands launched by DIY networks, as well as some wholesalers, such as ONNINEN, recently significantly increased, as of 2020 accounting for about 5-10% of the total segment. The vast majority of taps and mixers offerings in networks such as CASTORAMA and OBI consist of the companies' own brands, in addition to economy products comprising also models from middle- and high-end markets offered alongside selected well-known brands such as GROHE or ARMATURA.

With competition gradually toughening, several larger players launched new brands in an effort to extend their product portfolio. For example DEANTE offers economy products under the brand NEO, KUCHINOX provided more expensive products under the brand LAVEO, and CERSANIT recently launched a new economy brand, MITO.

The market leaders within the urinals and WC flushing valves markets include large companies such as SCHELL, SANELA and GEBERIT, holding far larger shares than TECE, GROHE, FRANKE and SENZOR. The 'Others' category embraces brands such as KFA, KOLO, TRES and VILLEROY & BOCH.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3% to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in January 2021 was practically offset in February. A certain drop was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the Polish bathroom market, in particular on sales of taps and mixers, BRG expects the segment to return to growth in 2021 at a moderate pace with investments in RMI and non-housing gradually regaining momentum. All product categories are anticipated to show a positive growth rate, except bath mixers, projected to record a slight decline following the trend in displacement of baths with showers, which is expected to continue throughout the forecast period.

In the medium- to long-term BRG forecasts that the overall market of taps and mixers will continue to grow, positively driven by the replacement of two head mixers in old residential and non-residential buildings, and the continued shift in consumer preferences towards showering, as well as by a good performance of the new residential construction market. However, taking into consideration the lifespans of existing two head mixers and the significant park of taps and mixers already installed in the last two decades, BRG assumes that after 2021 sales of taps and mixers should grow at moderate rates.

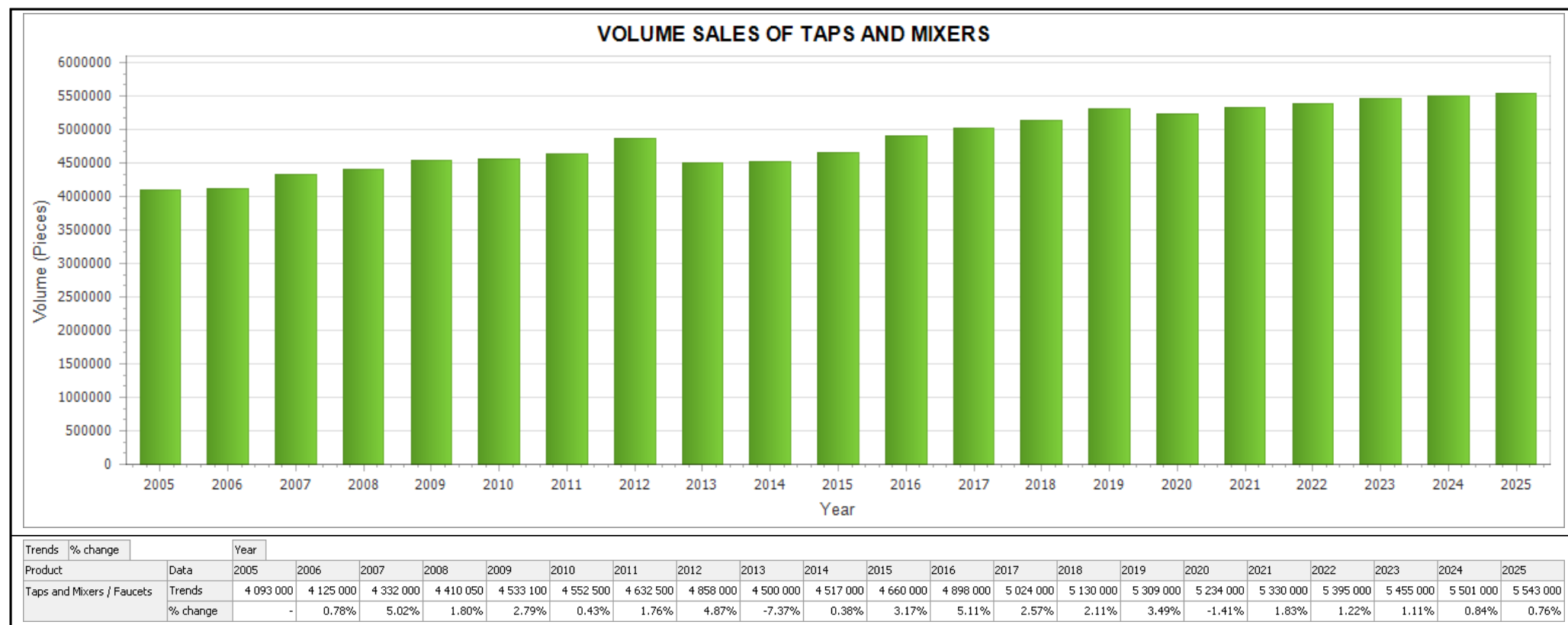
In terms of product mix, due to increasing consumer demand for shower products, sales of thermostatic mixers, particularly sold as shower and shower pipe sets, should continue to grow well in the long term, although tempered by sales of one head models available at considerably lower prices. Electronic and self-closing models are anticipated to further increase their shares in the non-housing market to the detriment of two head mixers.

As demand for bidets is anticipated to increase with investments in commercial buildings returning to growth, bidet mixers are expected to show fast growth rates in the mid- to long term, although primarily due to a relatively small segment size. Bidets are facing a growing competition from shower toilets, which also tempers growth in sales of bidet mixers.

The shift from economy/lower priced taps and mixers towards middle-priced models and upper price bracket, observed in recent years, is likely to continue, nonetheless with price remaining the main market driver.

3.2 Historical Trends and Forecasts : Taps and Mixers

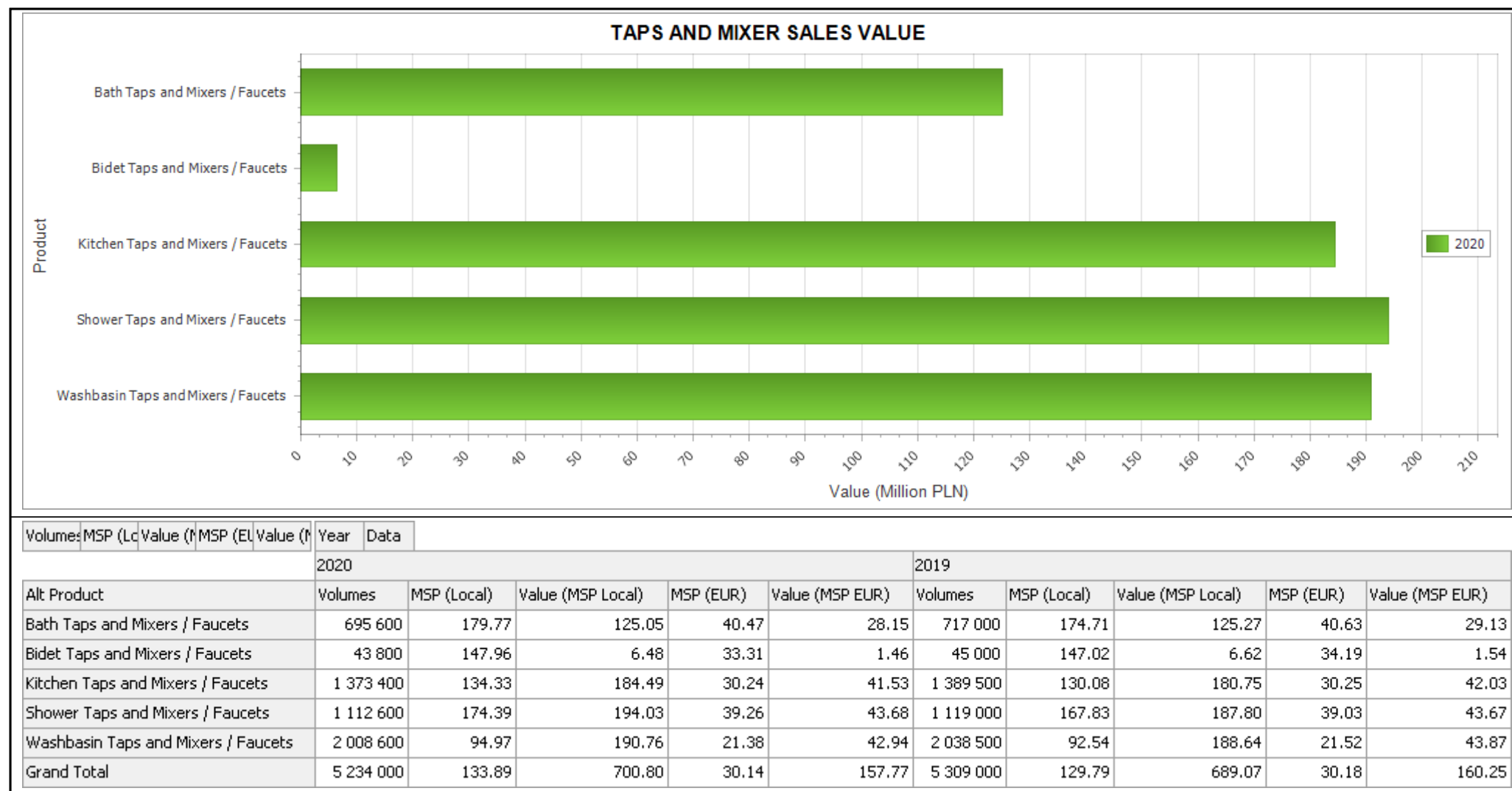
PL - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

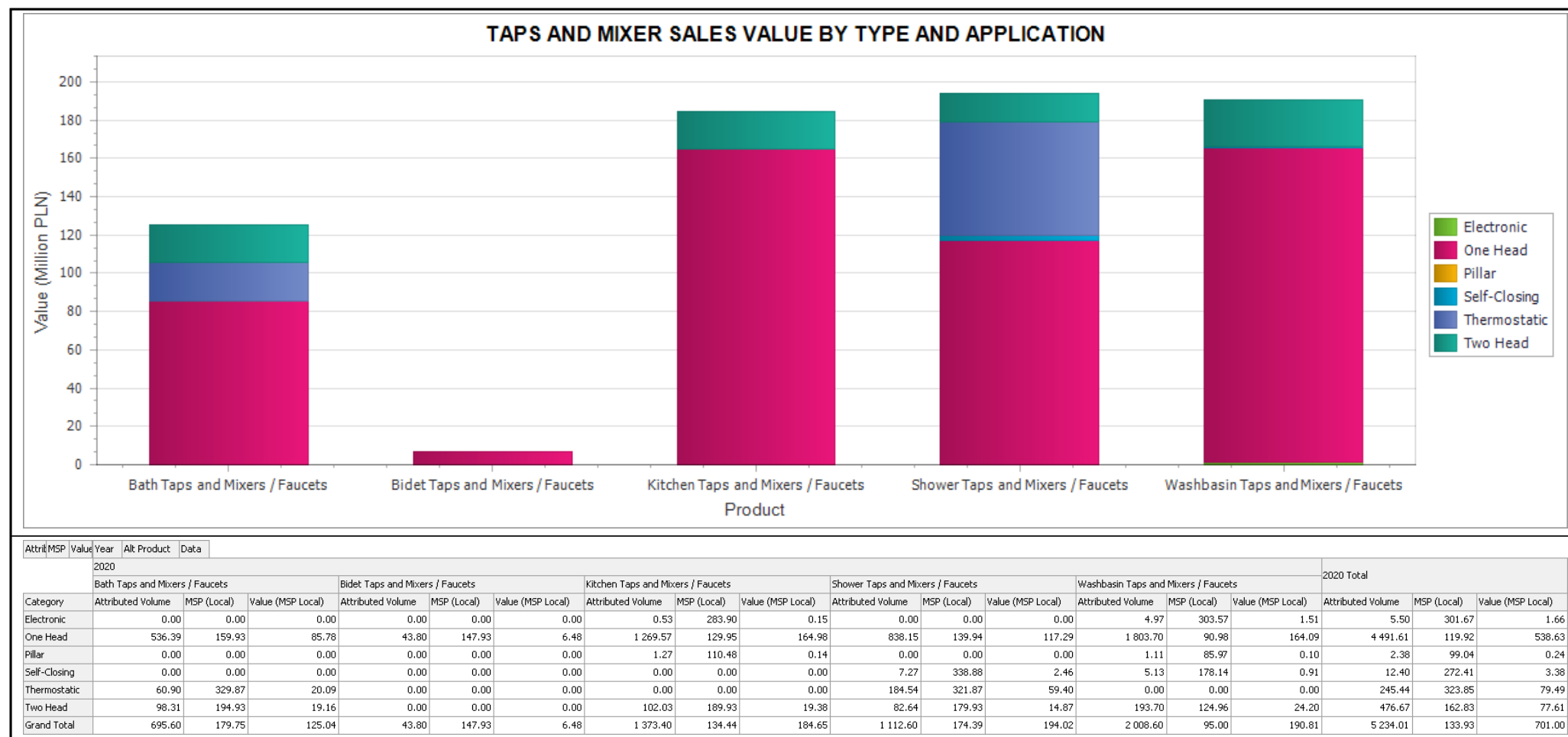
PL - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.3.2 Prices and Market Values by Type : Taps & Mixers

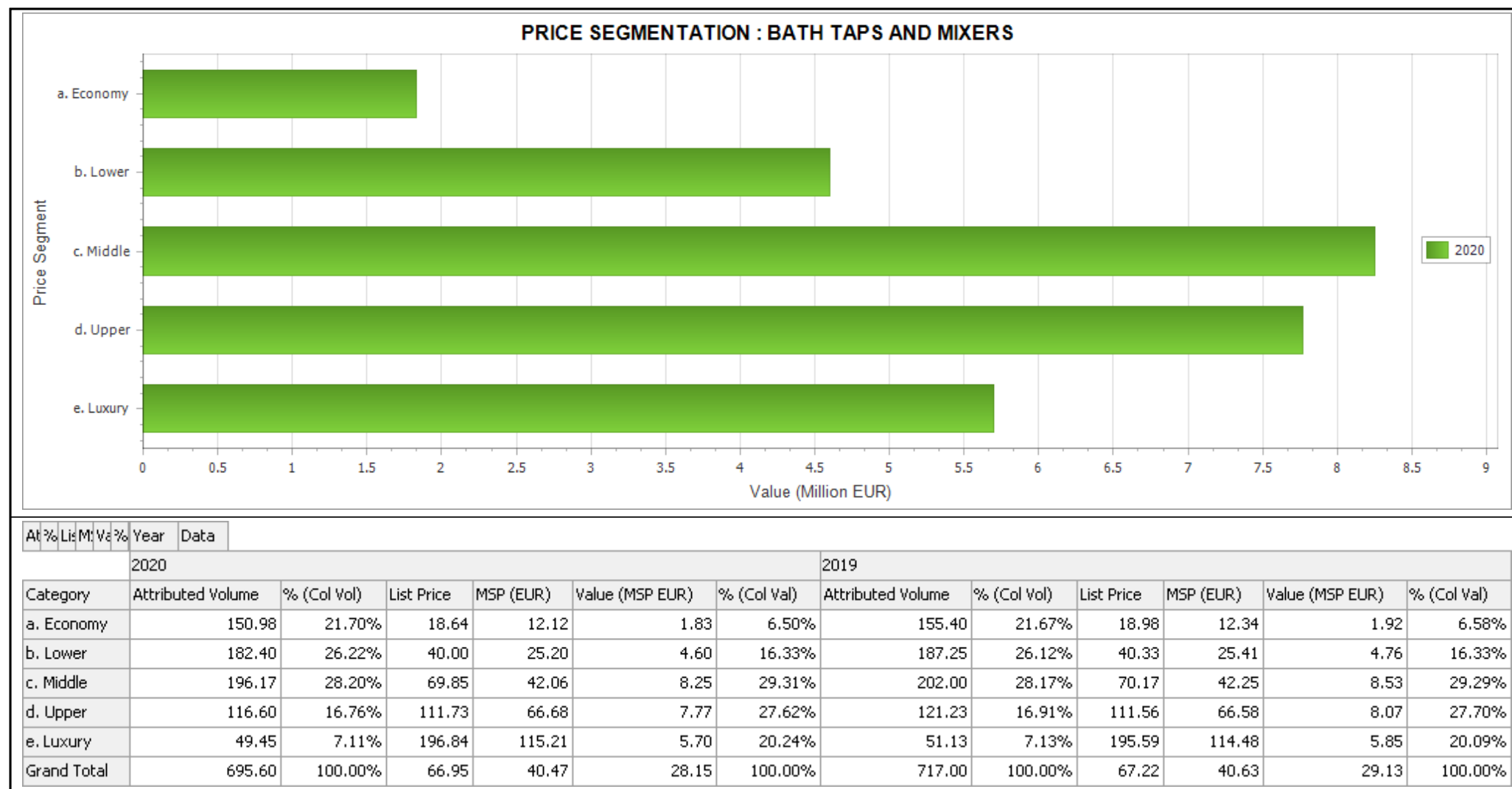
PL - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Source: BRG based on industry interviews. Local Prices Shown in PLN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.3.3 Price Segmentation : Bath Taps and Mixers

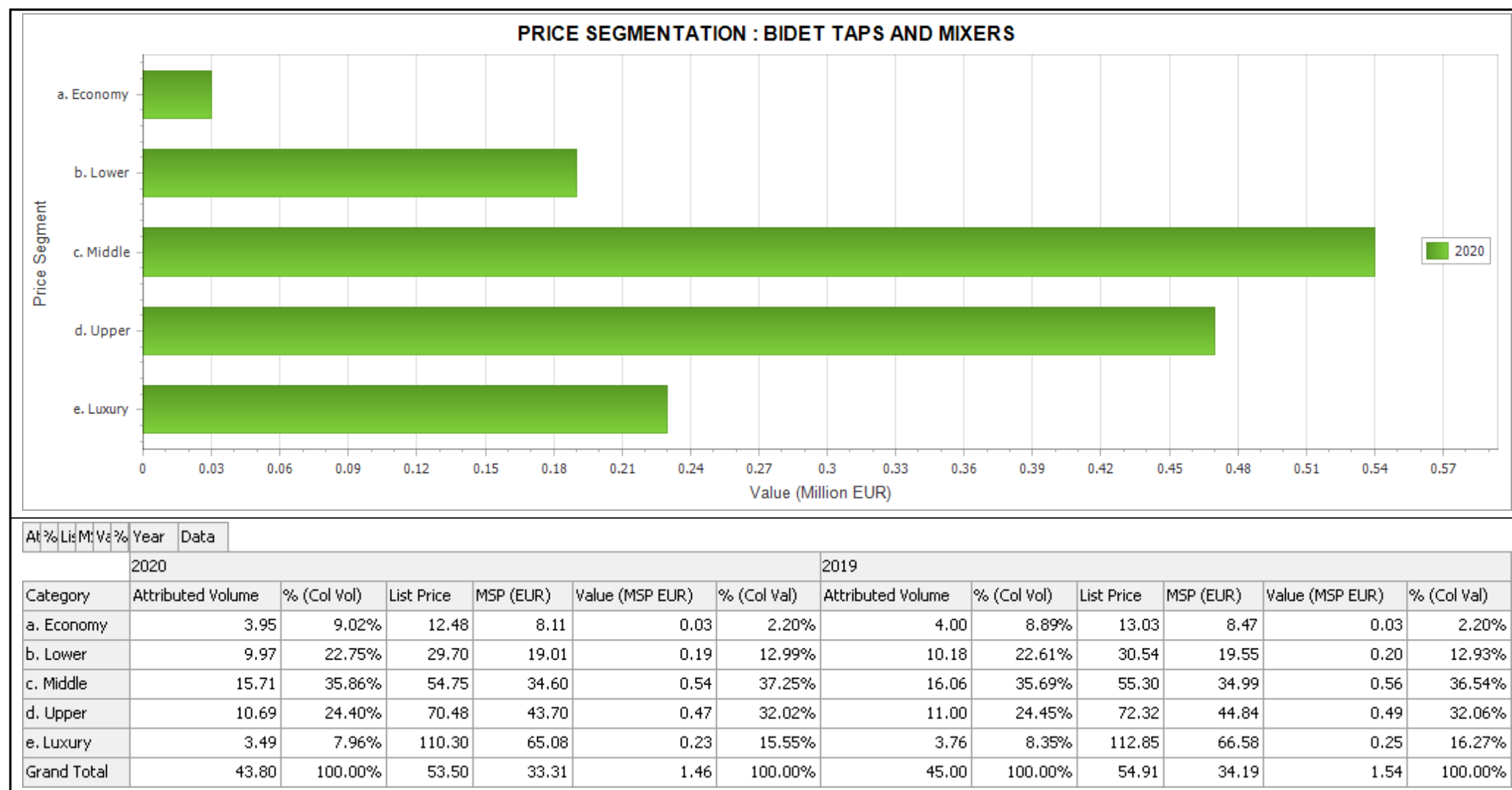
PL - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.4 Price Segmentation : Bidet Taps and Mixers

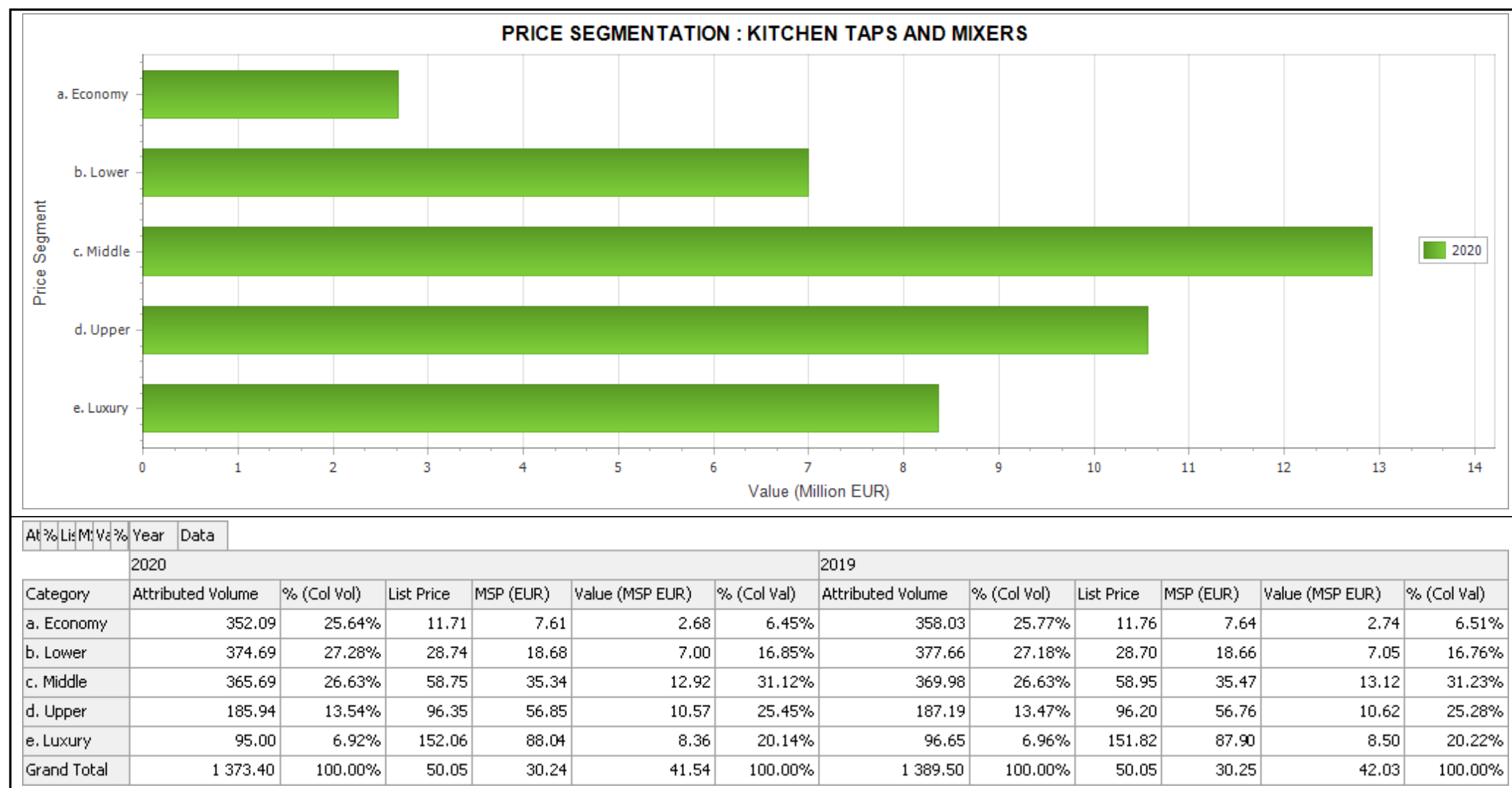
PL - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.3.5 Price Segmentation : Kitchen Taps and Mixers

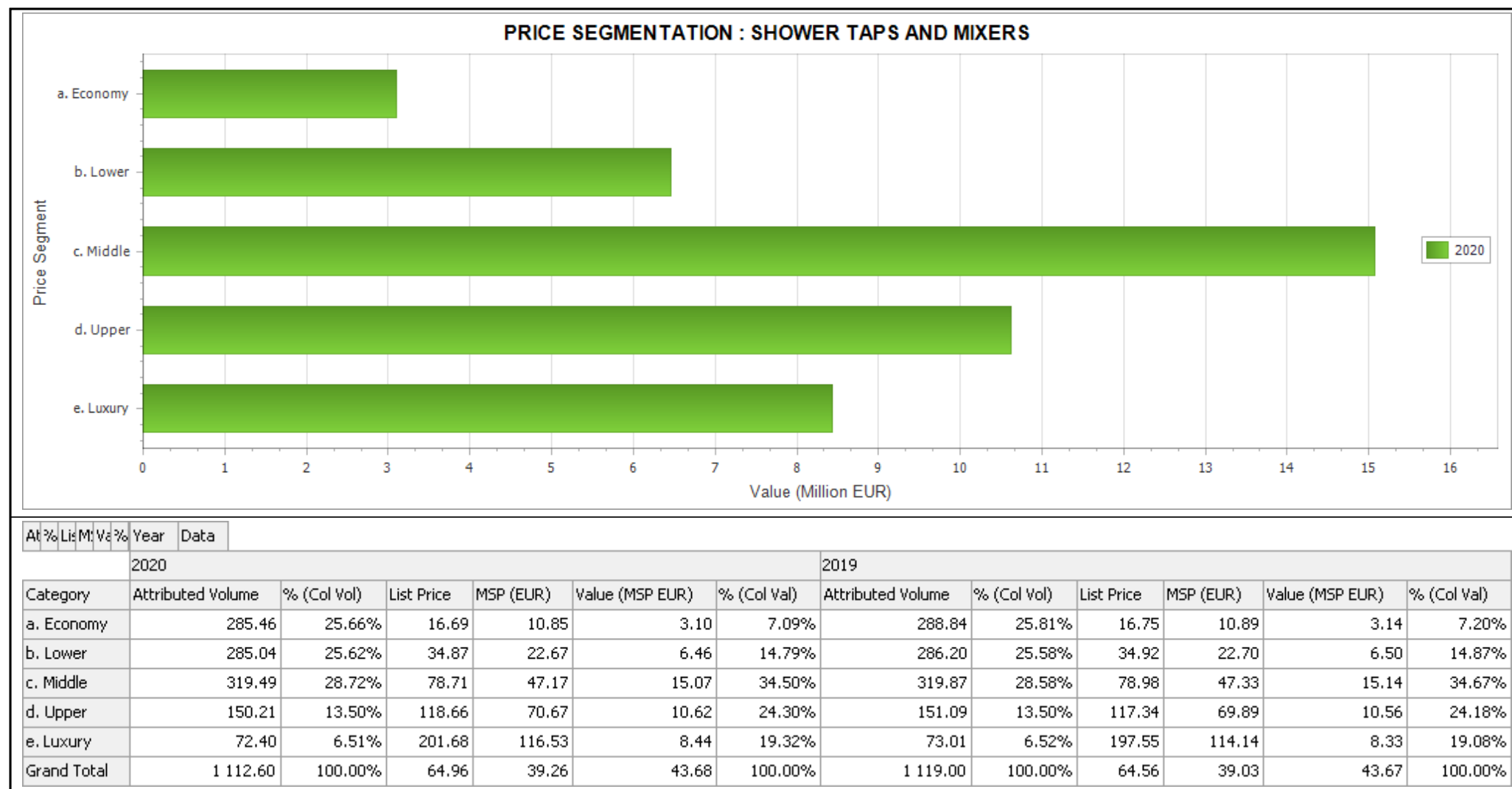
PL - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

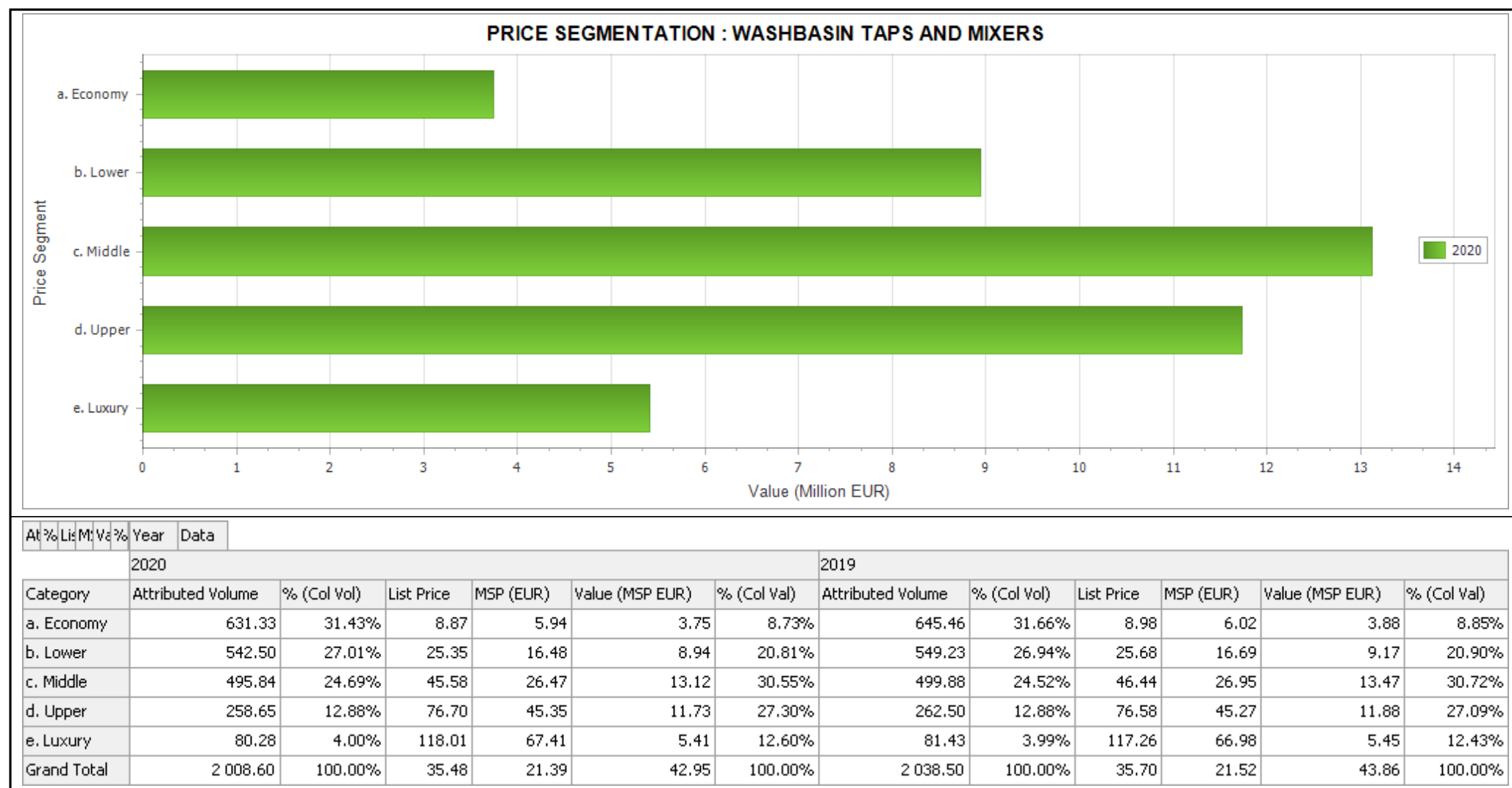
PL - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.7 Price Segmentation : Washbasin Taps and Mixers

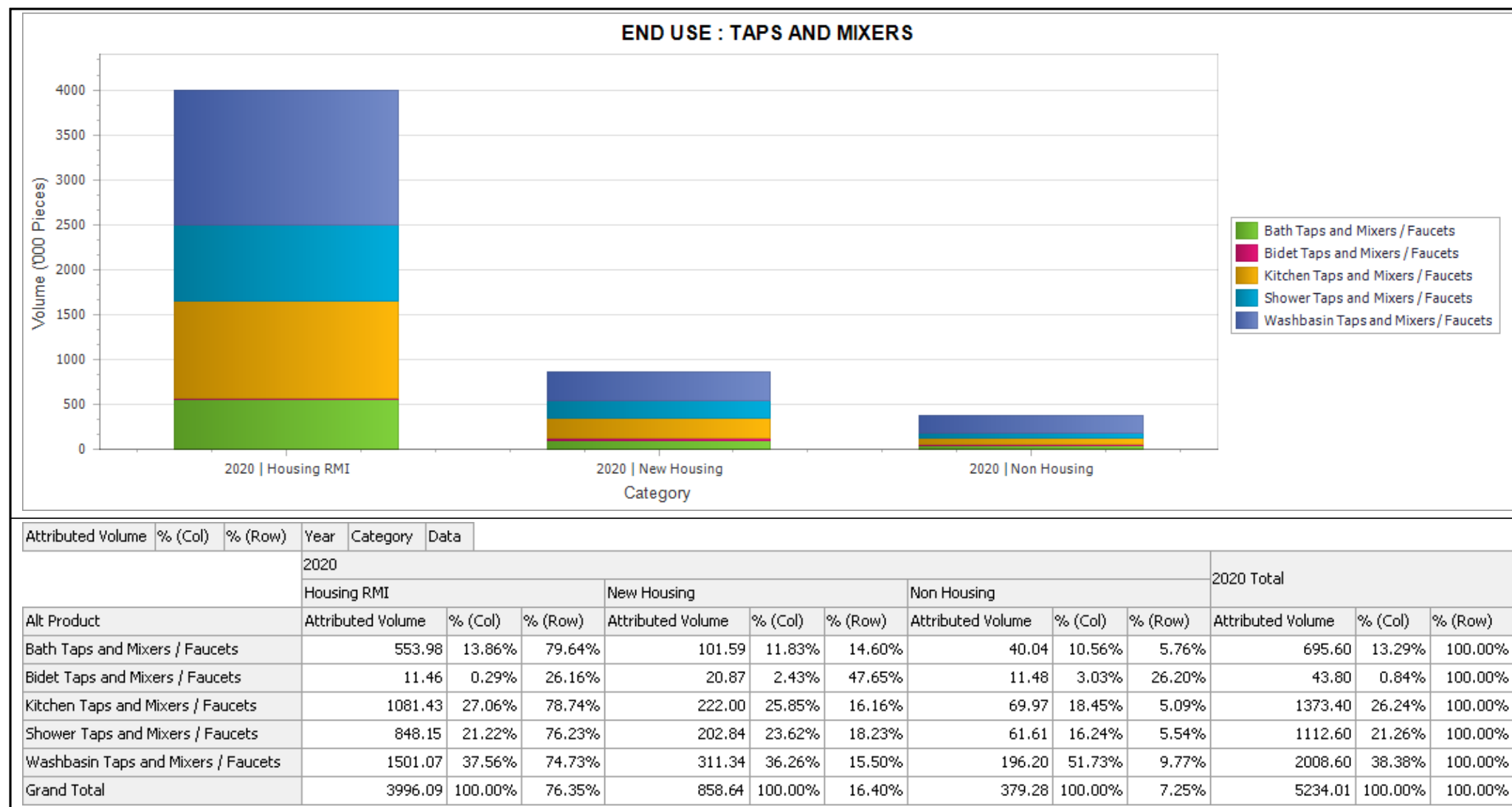
PL - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.4.1 End Use : Base Year

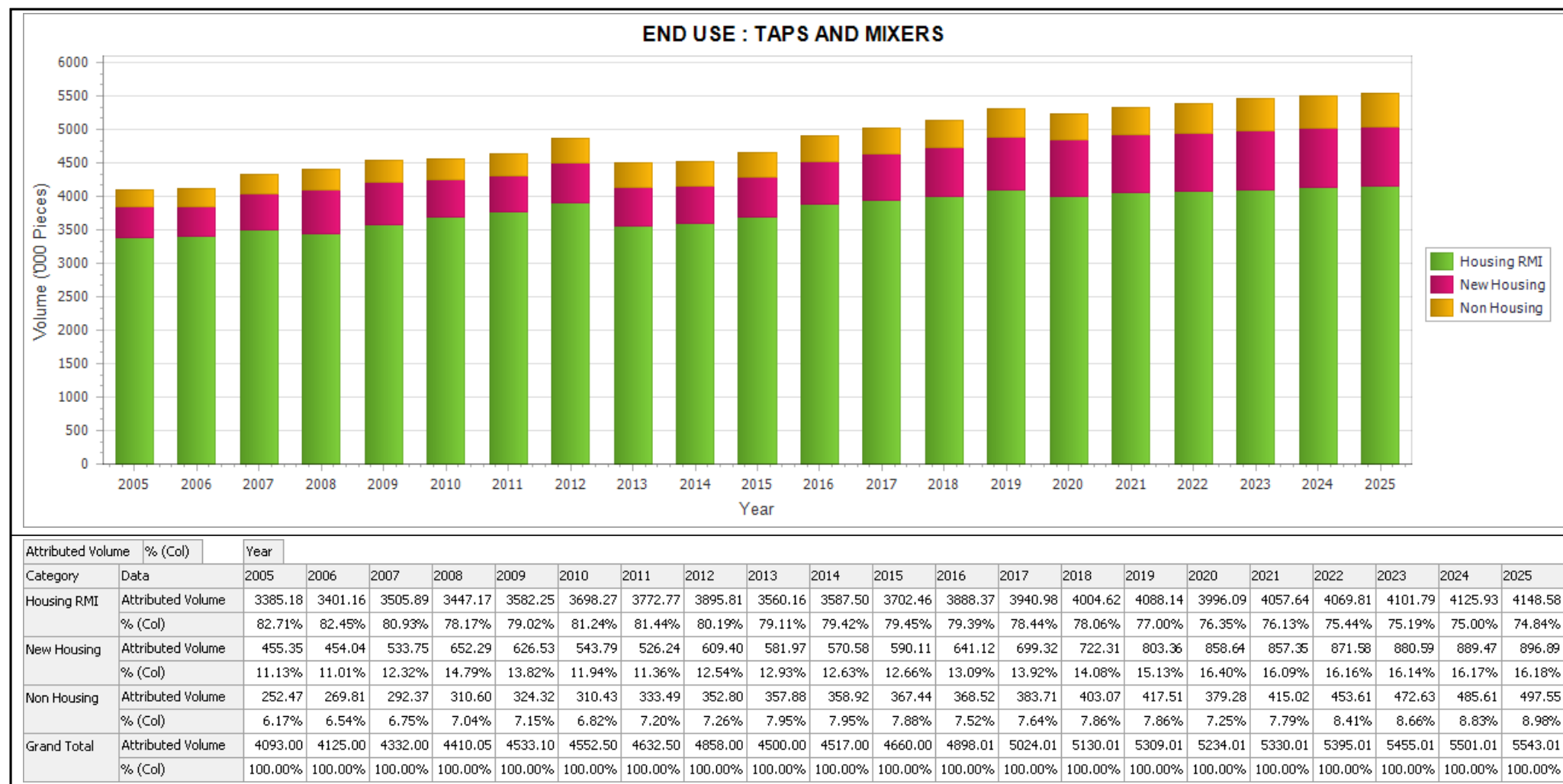
PL - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

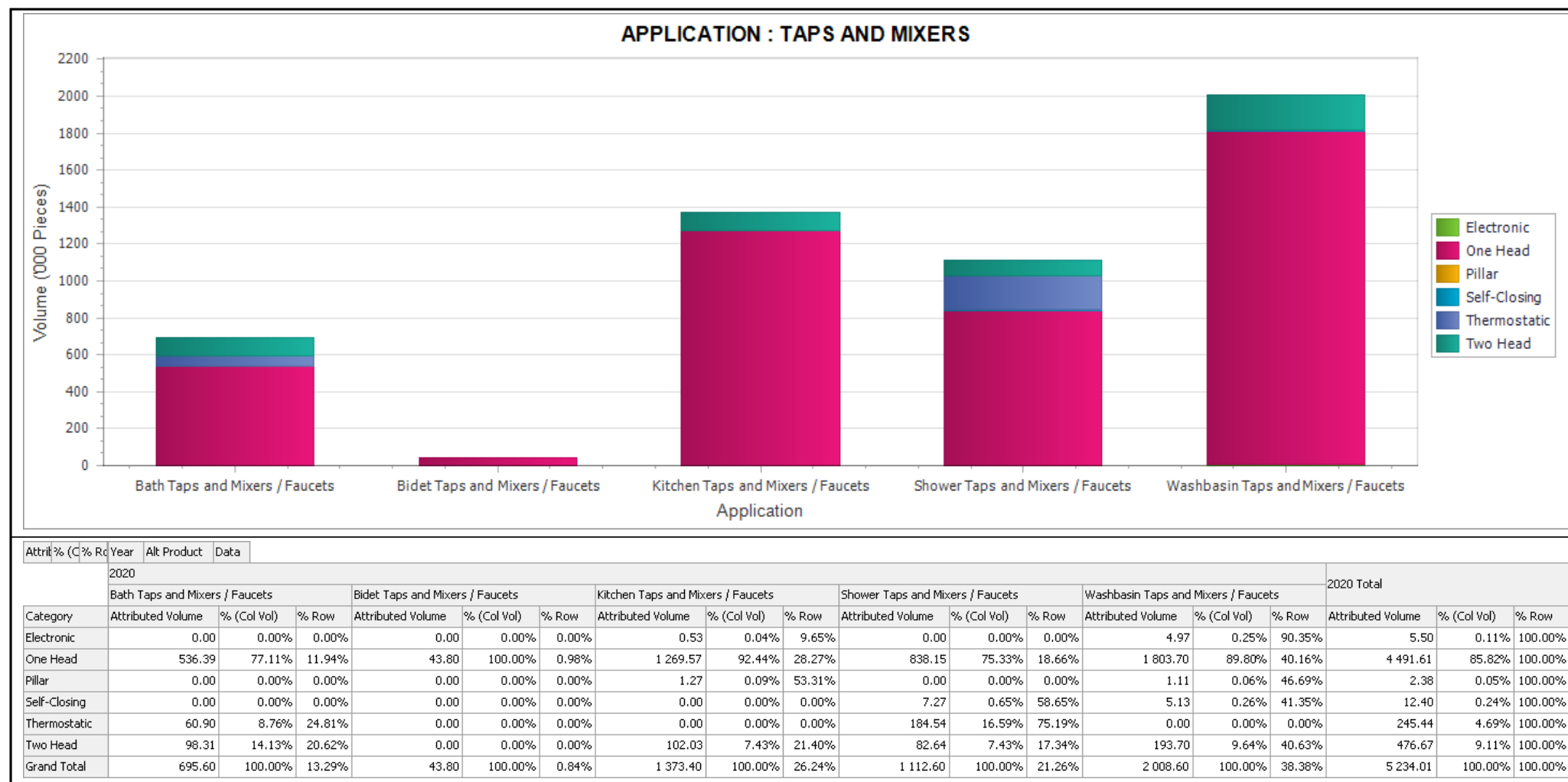
PL - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

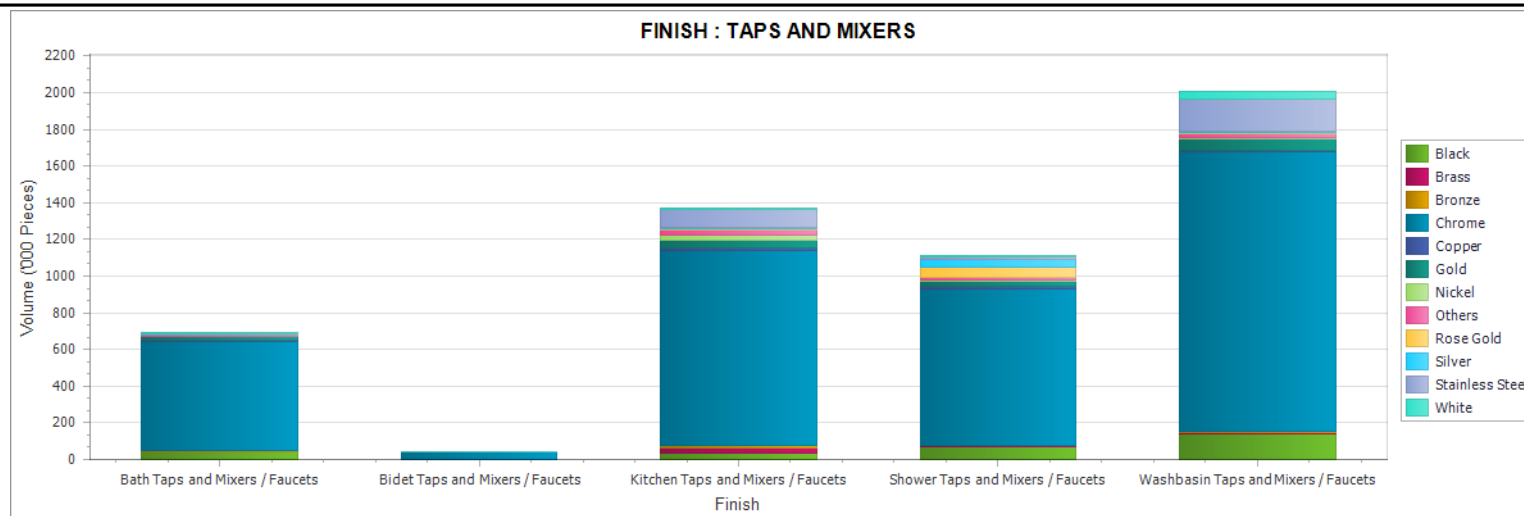
PL - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

PL - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

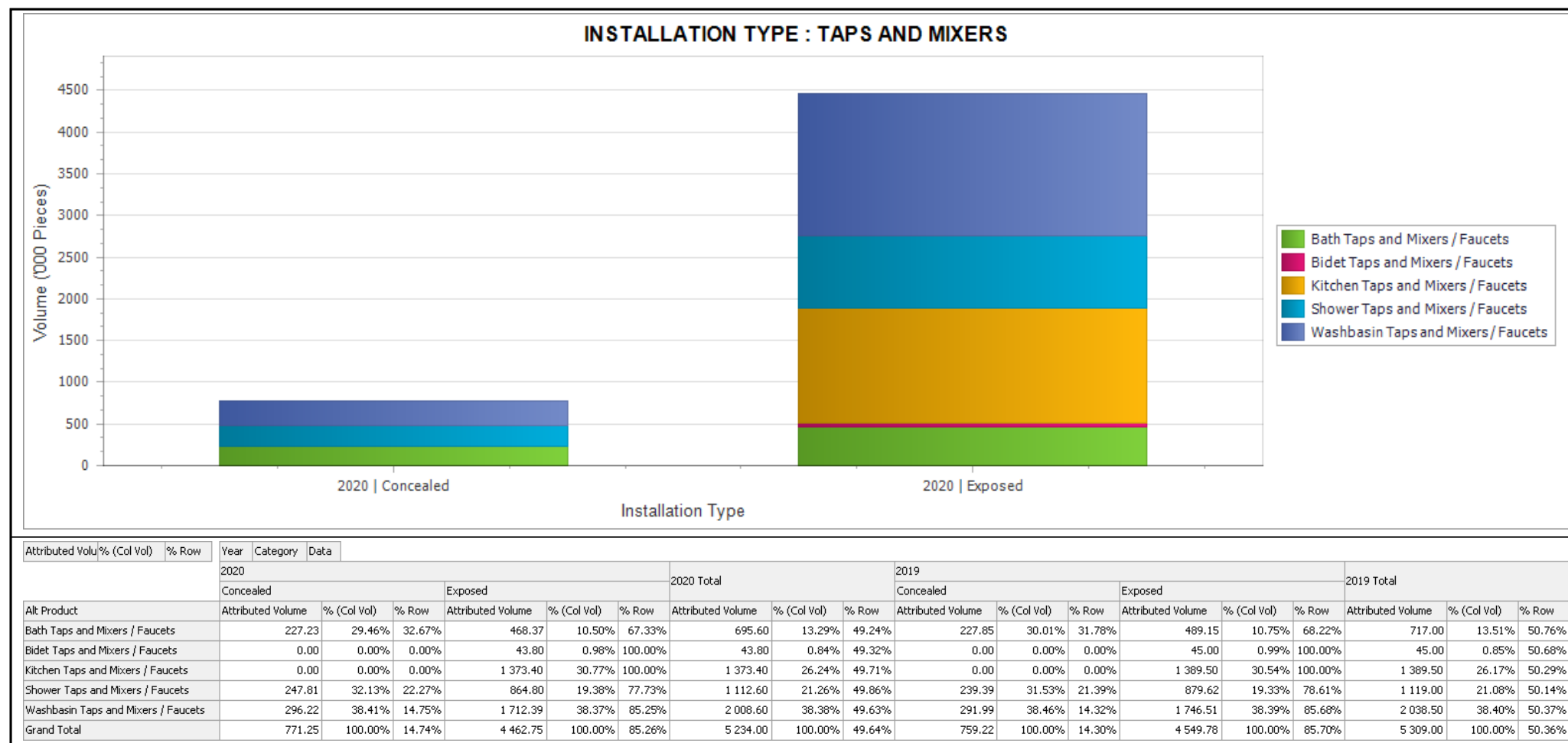


Attribut	% (Col	Year	Alt Product	Data									
		2020										2020 Total	
		Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets			
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	
Black	43.13	6.20%	2.72	6.20%	37.08	2.70%	68.98	6.20%	140.60	7.00%	292.51	5.59%	
Brass	2.09	0.30%	0.13	0.30%	28.84	2.10%	5.56	0.50%	6.03	0.30%	42.65	0.81%	
Bronze	2.09	0.30%	0.13	0.30%	8.24	0.60%	5.56	0.50%	6.03	0.30%	22.05	0.42%	
Chrome	596.13	85.70%	37.89	86.49%	1 068.51	77.80%	851.14	76.50%	1 526.54	76.00%	4 080.20	77.96%	
Copper	8.35	1.20%	0.13	0.30%	8.24	0.60%	13.35	1.20%	6.03	0.30%	36.10	0.69%	
Gold	16.70	2.40%	1.36	3.10%	45.32	3.30%	24.48	2.20%	64.28	3.20%	152.13	2.91%	
Nickel	2.09	0.30%	0.13	0.30%	28.84	2.10%	12.24	1.10%	6.03	0.30%	49.33	0.94%	
Others	6.96	1.00%	0.44	1.00%	27.47	2.00%	11.13	1.00%	20.09	1.00%	66.07	1.26%	
Rose Gold	2.09	0.30%	0.00	0.00%	6.87	0.50%	55.63	5.00%	6.03	0.30%	70.61	1.35%	
Silver	2.09	0.30%	0.00	0.00%	9.61	0.70%	45.62	4.10%	6.03	0.30%	63.34	1.21%	
Stainless Steel	6.96	1.00%	0.44	1.00%	97.51	7.10%	12.24	1.10%	178.77	8.90%	295.91	5.65%	
White	6.96	1.00%	0.44	1.00%	6.87	0.50%	6.68	0.60%	42.18	2.10%	63.12	1.21%	
Grand Total	695.60	100.00%	43.80	100.00%	1 373.41	100.00%	1 112.60	100.00%	2 008.60	100.00%	5 234.02	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

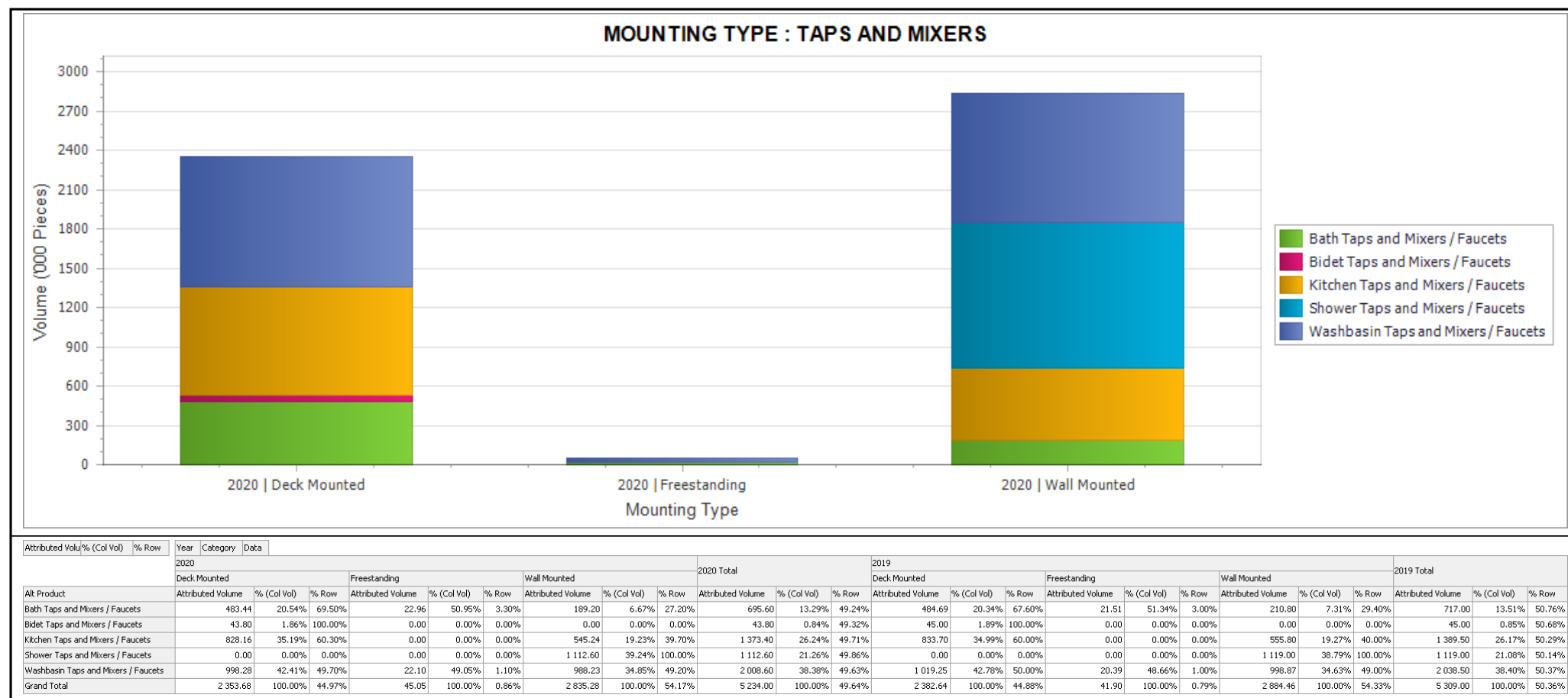
PL - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

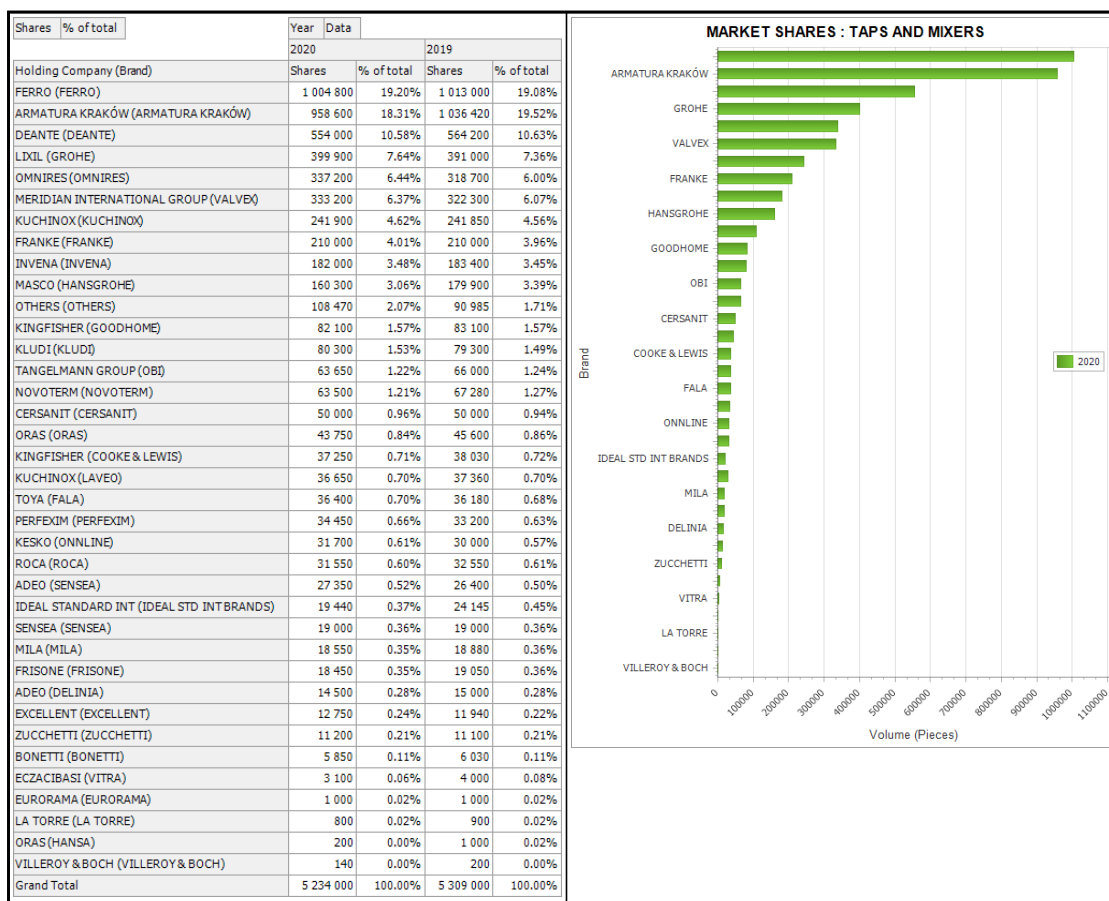
PL - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

PL - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 PL - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	11 907	61.9%	116 592	47.0%	9 000	60.6%	90 627	41.1%
Germany	3 068	16.0%	65 374	26.4%	3 944	26.6%	89 111	40.4%
Bulgaria	2 611	13.6%	28 027	11.3%	431	2.9%	5 961	2.7%
Spain	313	1.6%	10 153	4.1%	313	2.1%	9 903	4.5%
Italy	243	1.3%	6 450	2.6%	236	1.6%	7 298	3.3%
Belgium	210	1.1%	2 984	1.2%	184	1.2%	2 647	1.2%
OTHERS	883	4.6%	18 355	7.4%	739	5.0%	15 153	6.9%
Total	19 234	100.0%	247 935	100.0%	14 848	100.0%	220 700	100.0%

Source : Trademap

3.6.2 PL - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 165	38.4%	64 829	41.5%	1 498	26.8%	32 277	31.1%
Romania	776	9.4%	8 716	5.6%	842	15.1%	9 043	8.7%
Ukraine	572	6.9%	7 151	4.6%	555	9.9%	6 896	6.6%
Finland	539	6.5%	12 799	8.2%	513	9.2%	11 554	11.1%
Netherlands	425	5.2%	7 211	4.6%	48	0.9%	1 166	1.1%
Czech Republic	356	4.3%	7 825	5.0%	298	5.3%	6 915	6.7%
Slovakia	258	3.1%	4 247	2.7%	232	4.2%	4 218	4.1%
Sweden	240	2.9%	5 473	3.5%	222	4.0%	4 983	4.8%
Hungary	239	2.9%	3 068	2.0%	213	3.8%	2 795	2.7%
Russian Federation	234	2.8%	6 620	4.2%	229	4.1%	5 864	5.7%
Lithuania	123	1.5%	1 382	0.9%	129	2.3%	953	0.9%
OTHERS	1 323	16.0%	26 786	17.2%	803	14.4%	17 043	16.4%
Total	8 250	100.0%	156 107	100.0%	5 583	100.0%	103 707	100.0%

Source : Trademap

3.7.1 Route to Market: Kitchen Taps & Mixers / Faucets
PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.0%
	Wholesalers / Merchants
	65.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.3%	8.0%	18.5%	22.0%	12.5%	19.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.3%		40.5%		32.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	5.0%	2.5%	4.0%	5.3%
Installers				
17.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	7.7%	7.7%	36.2%	26.4%	16.6%	0.6%	2.8%	0.1%	0.3%	0.3%	1.0%
	Residential						Non-Residential					
	94.9%						5.1%					
New Build			Residential RMI			New Build			Non-Residential RMI			
16.2%			78.7%			2.6%			2.5%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
0.5%	15.7%		1.5%	77.2%		0.3%	2.3%		0.3%	2.2%		

3.7.2 Route to Market: Kitchen Taps & Mixers / Faucets
PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	63.0%
	Wholesalers / Merchants
	63.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.5%	9.5%	20.5%	20.0%	12.0%	19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.0%		40.5%		31.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	6.0%	3.0%	5.0%	4.2%
Installers				
18.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.9%	6.5%	8.9%	35.0%	26.5%	16.5%	0.5%	2.0%	0.1%	0.5%	0.3%	2.3%			
	Residential						Non-Residential								
	94.3%						5.7%								
New Build				Residential RMI				New Build				Non-Residential RMI			
15.3%				79.0%				4.9%				0.8%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
0.5%		14.8%		2.0%		77.0%		0.5%		4.4%		0.5%		0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

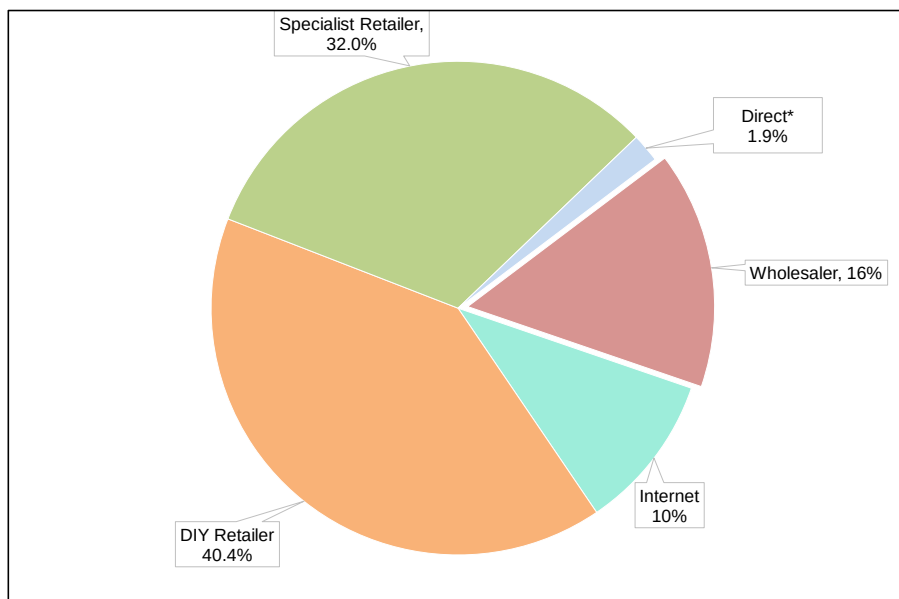
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.5%	10.3%	40.4%	32.0%	1.9%	2.0%	0.6%	92.9%	4.5%
100%					2.6%		97.4%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

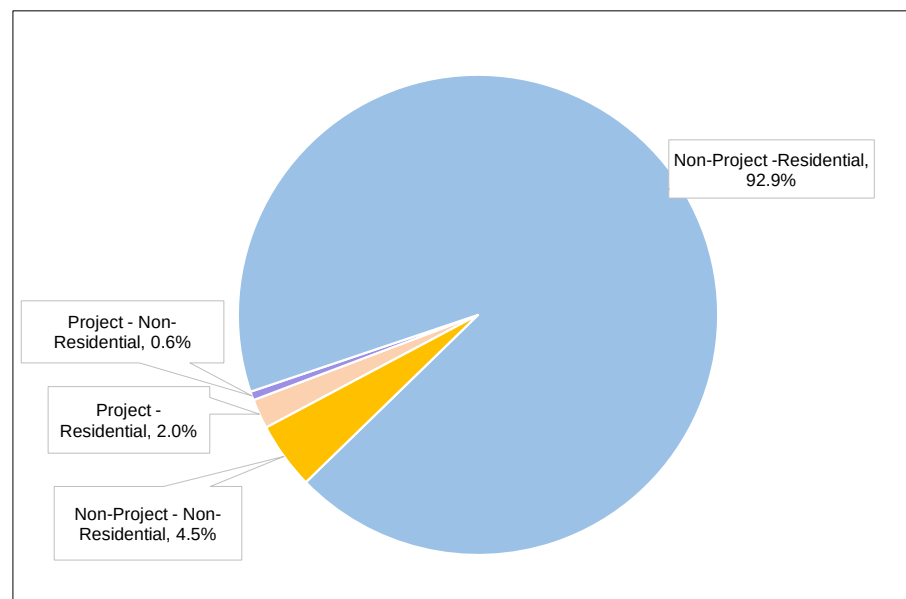
PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.5%	12.0%	40.5%	31.0%	2.0%	2.5%	1.0%	91.8%	4.7%
100%					3.5%		96.5%	

PL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5 Route to Market: Sanitary Taps & Mixers / Faucets
PL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	63.6%
	Wholesalers / Merchants
	63.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.7%	8.5%	19.4%	21.0%	12.3%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.2%		40.4%		30.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	5.0%	2.5%	3.5%	3.6%
Installers				
15.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.8%	6.9%	7.6%	36.7%	26.5%	13.5%	1.5%	4.2%	0.1%	0.2%	0.2%	1.8%
	Residential						Non-Residential					
	92.0%						8.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.5%			75.5%			4.0%			4.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.5%		16.0%	2.0%		73.5%	0.4%		3.6%	0.4%		3.6%

3.7.6 Route to Market: Sanitary Taps & Mixers / Faucets
PL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	61.5%
	Wholesalers / Merchants
	61.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.0%	9.5%	22.0%	20.0%	12.0%	17.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.5%		42.0%		29.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	3.5%	2.5%	5.0%	3.0%
Installers				
14.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.5%	6.3%	8.8%	36.5%	25.5%	12.2%	1.5%	5.2%	0.2%	0.5%	0.5%	2.3%
	Residential						Non-Residential					
	89.8%						10.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.5%			73.3%			5.1%			5.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.5%		16.0%	1.5%		71.8%	0.5%		4.6%	0.5%		4.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

PL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2020

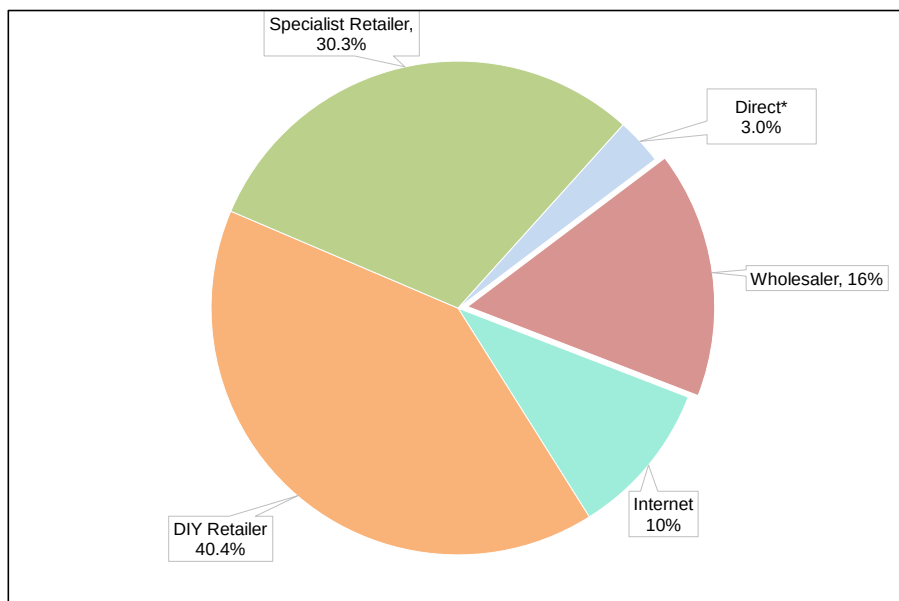
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.1%	10.2%	40.4%	30.3%	3.0%	2.5%	0.8%	89.5%	7.2%
100%					3.3%		96.7%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

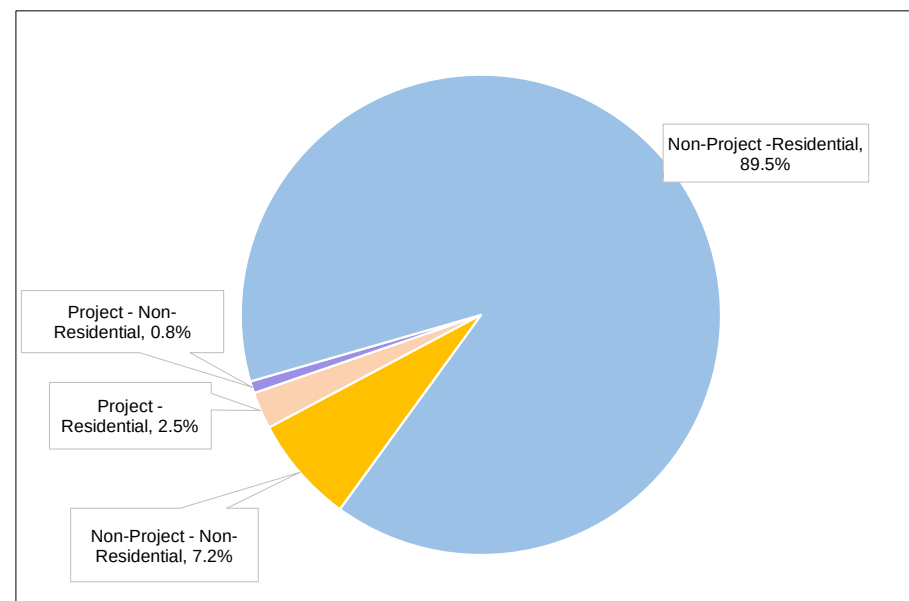
PL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.0%	11.5%	42.0%	29.0%	2.5%	2.0%	1.0%	87.8%	9.2%
100%					3.0%		97.0%	

PL - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



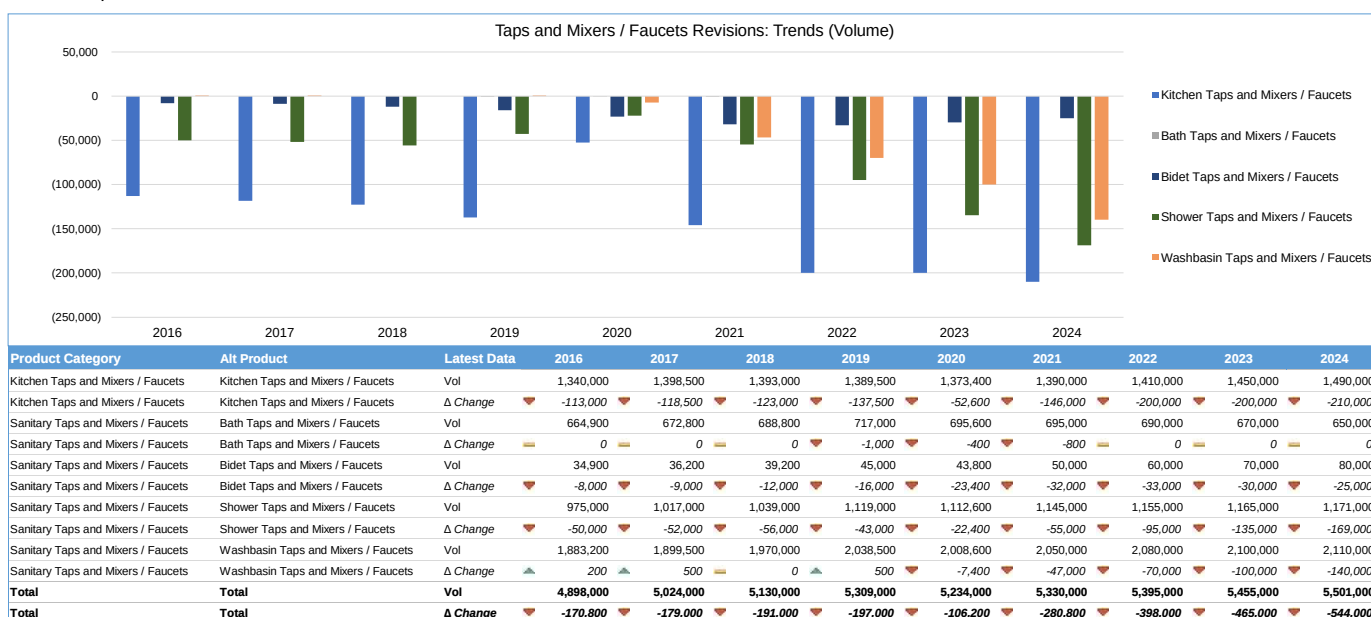
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Polish Taps and Mixers / Faucets Market (April 2021)

PL - REVISIONS IN THE POLISH TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: October 2020

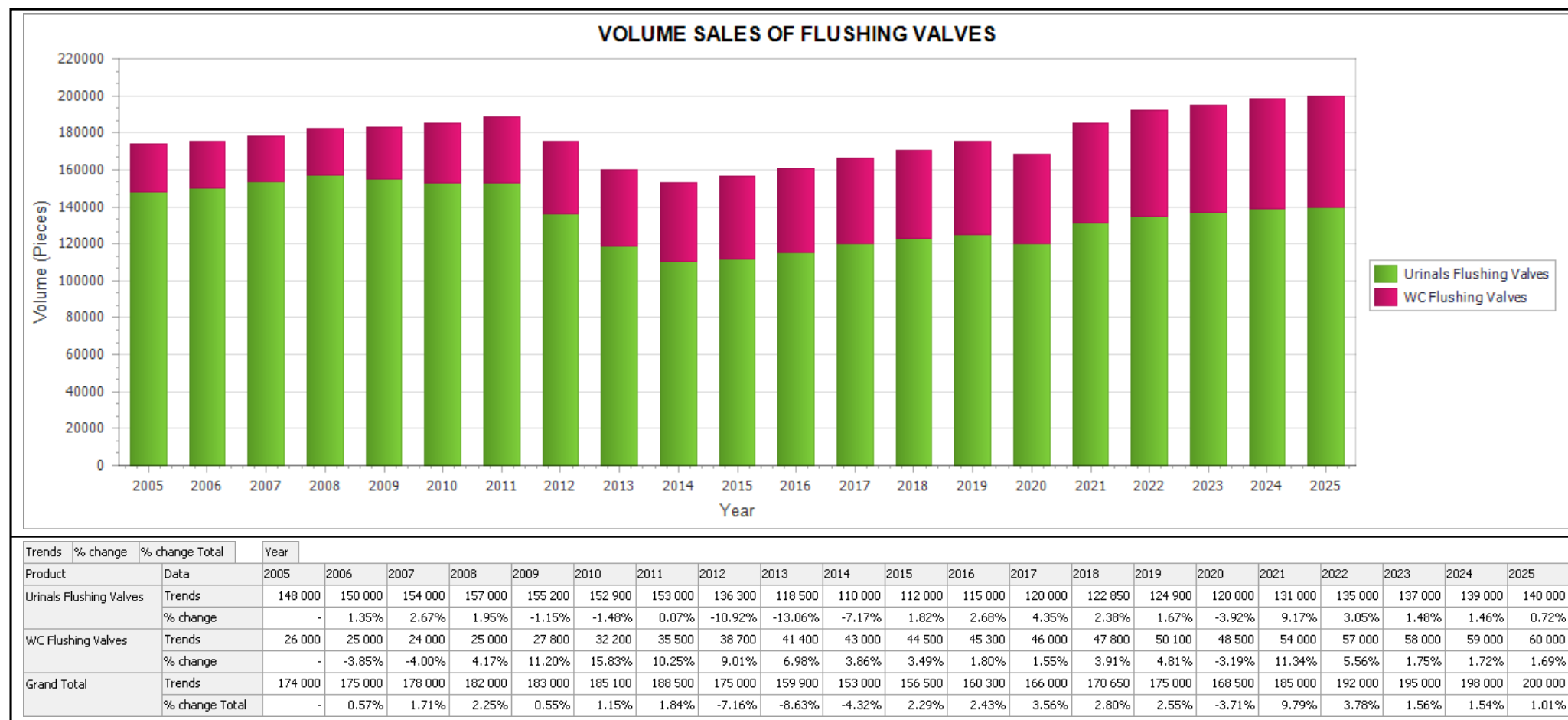


The historical data for shower, washbasin and kitchen taps and mixers have been revised in line with the information obtained from the key market players showing a higher share of the OEM production in the production of these types of products in Poland. The bidet taps and mixers have been slightly decreased based on the industry feedback indicating a considerable decline in sales of these models of taps and mixers in 2020, affected among others by a growing popularity of shower toilets.

The historical figures for margins and average MSPs have been revised across the product categories for both sanitary and kitchen taps and mixers based on the industry feedback indicating a higher share of products from the economy and middle-end price brackets in the total volume at a higher gain on the retailers' side. The DIY networks hold the lion's share of the Polish taps and mixers market, selling mostly less expensive products, the bulk of which are imports from the Far East. Moreover, in recent years the main DIY networks have been actively marketing their own brands, which gained considerable shares in several segments. Although the DIY own-brand offerings often include models from the upper price bracket, these higher-priced products account for a relatively small portion of the revenues.

3.9.1 Historical Trends and Forecasts : Flushing Valves

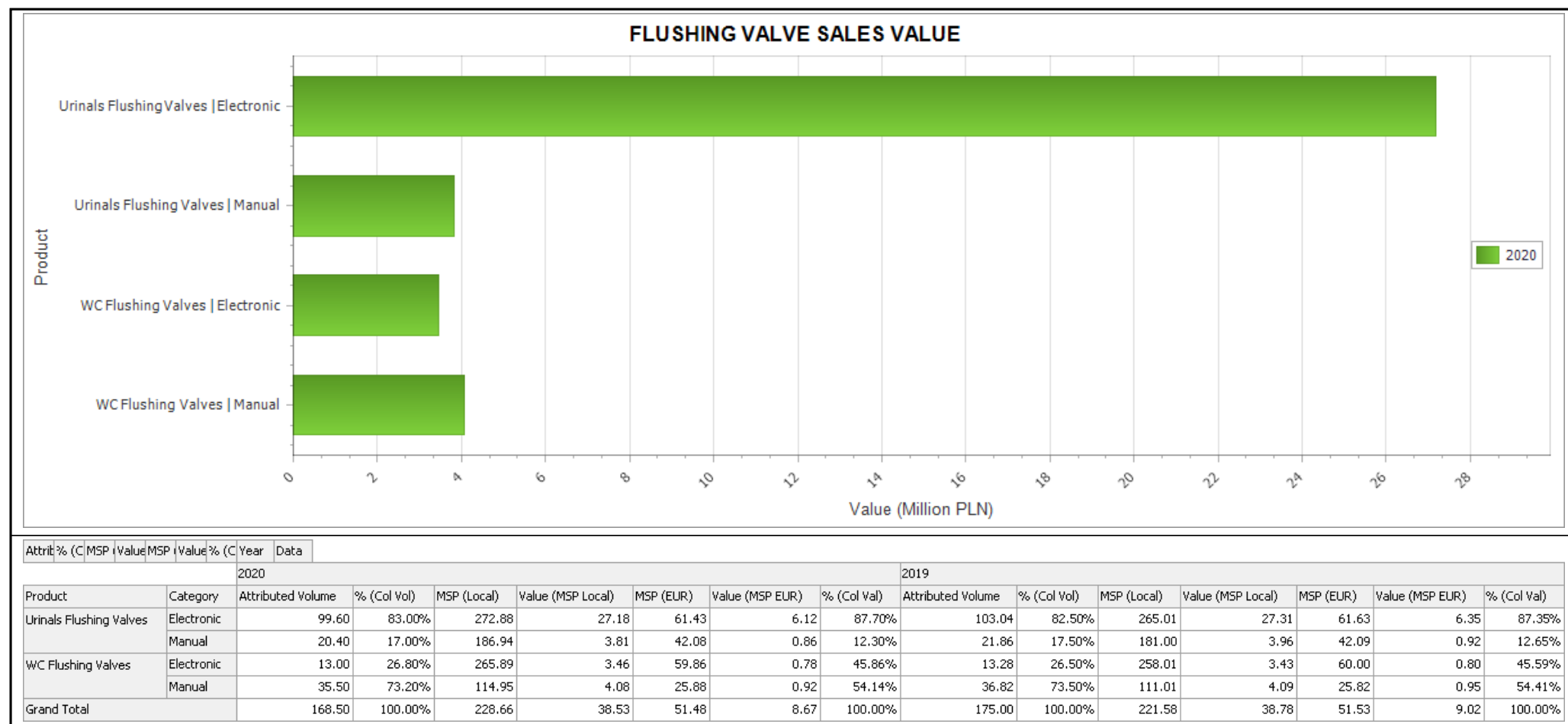
PL - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

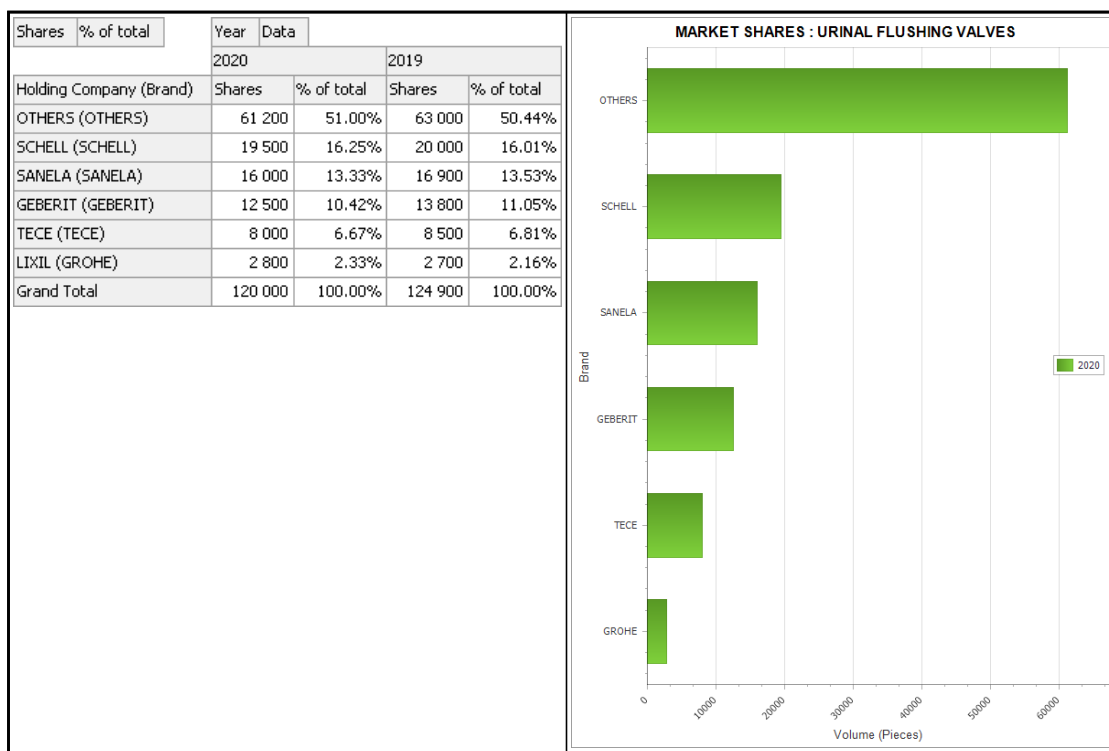
PL - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in PLN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.9.3 Market Shares : Urinal Flushing Valves

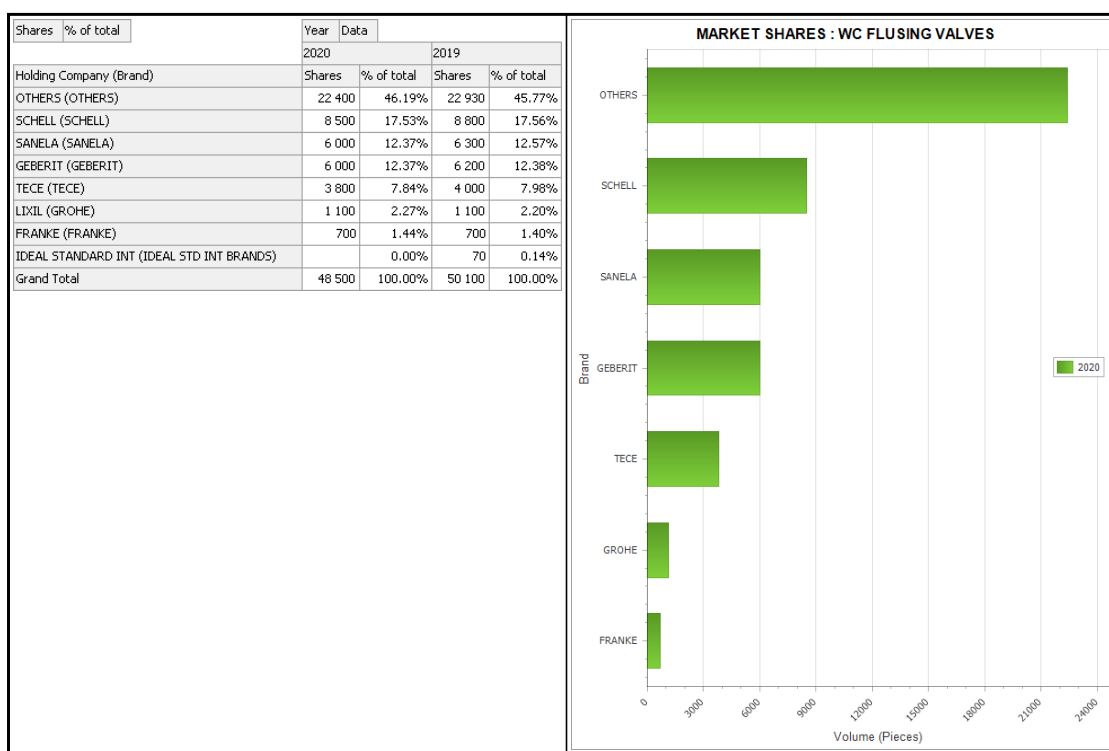
PL - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

PL - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

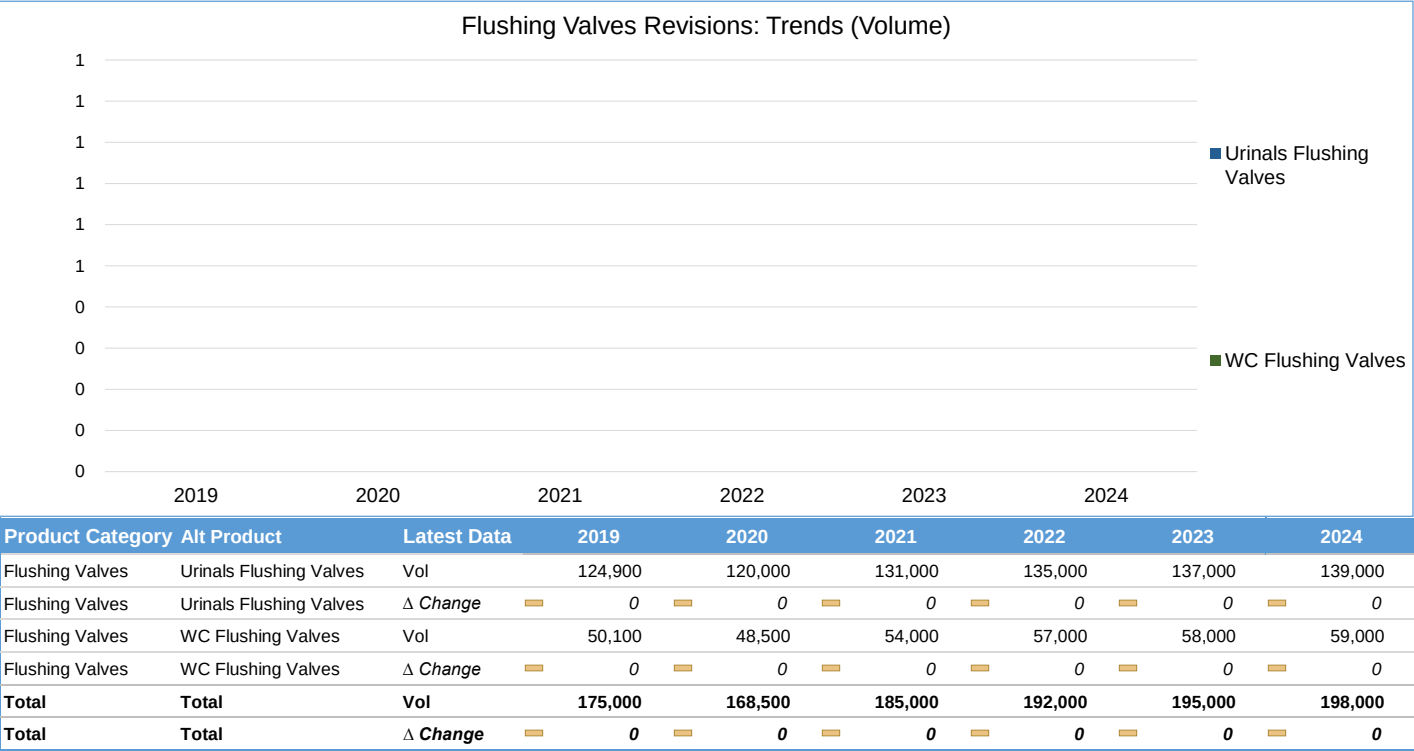


Source: BRG based on industry interviews.

3.10 Revisions in the Polish Flushing Valves Market (April 2021)

PL - REVISIONS IN THE POLISH FLUSHING VALVES MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes for this market.

POLAND

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Although remaining relatively young in comparison to Western European countries, the Polish shower wall market has been steadily growing over the last decade driven by the changing preferences of Polish consumers, as well as by a growing number of DIY stores which have made this product accessible. Shower enclosures have been mostly installed either in addition to baths or to displace baths in average-sized apartments. In the past, Polish bathrooms were likely to be equipped with small baths. However, demand for functional features directed the trend towards showering products instead, leading to a greater demand for shower enclosures.

Historically, Poles opted for shower curtains made of an impermeable pad. With the advent of DIY stores, however, Polish customers started purchasing more functional and fashionable shower wall products.

In general, the Polish shower wall market is traditionally dominated by shower enclosures. Enclosures without doors – walk-in showers which often use only a side wall – are included in this study. Shower enclosures without doors are usually installed in houses. There are several companies offering this type of product on the Polish market, for example SANPLAST, HÜPPE and NOVELLINI.

Moreover, Polish customers sometimes opt for a wet room only, with ceramic tiles and sometimes without a shower enclosure, although this solution remains rather uncommon.

Historically, shower wall products made of plastic were predominant on the Polish market. Yet glass products have gained popularity, due to changing customer preferences as well as the fact that Poles can choose from a wide range of imported cheaper glass shower walls.

Sales volumes of hydrotherapy shower cubicles remain relatively small, given the overall size of the Polish hydrotherapy market. This product category had been growing well until 2010, even then, however, accounting for a relatively small portion of the hydrotherapy market in Poland. In the last decade, the competition from shower panels started considerably affecting the sales of shower cubicles, primarily due to their higher prices and more demanding installation.

In previous years, sales of bath screens, conventional shower cubicles and shower enclosures/doors continued to increase at a significant rate, spurred by growing demand for showering products and a shift away from plastic shower curtains. Only hydrotherapy shower cubicles recorded a decrease in 2017-2019 in line with the general declining trend observed on the hydrotherapy products market.

Recent Market Trends

In 2020, given the circumstances, the overall Polish market for shower walls performed well with bath screens recording only a slight decrease and shower enclosures continuing growth, although at a slower pace than in 2019. Sales of conventional shower cubicles and hydrotherapy shower cubicles also declined mildly; however, the whole shower wall segment, driven by growing demand for shower enclosures, primarily from the new residential segment, in terms of sales showed a positive momentum.

Overall, in 2020 sales of shower enclosures/doors remained dominant in the product mix, followed by sales of bath screens which continued to benefit from the ongoing demand for like-for-like replacement. Significant sales of cheap bath curtains, which are available in almost each DIY store, however, remained the largest hurdle to a major market uptake for bath screens. In fact, simple-design bath curtains available at DIY stores, such as LEROY MERLIN, OBI, or CASTORAMA, can be purchased for less than EUR 5.

Sales of conventional shower cubicles in 2020 saw a slight decrease, driven by the negative development of the key segments of non-residential construction (offices, hotels). Conventional shower cubicles are usually offered by DIY stores at a competitive price regarding sales of shower trays and are mostly purchased by the middle-income consumers who are buying their first flats and trying to reduce unnecessary costs.

Sales of shower enclosures/doors in 2020 continued to be driven by the ongoing shift from baths towards shower tray installations. Corner entry shower enclosures/doors remained the most commonly acquired model, although a slight increase in demand for round and door entry types was also tangible. As to bath screens, BRG assumes that the wide availability of low-cost shower curtains still hinders their more vigorous take-off.

In 2020, overall sales of hydrotherapy shower cubicles continued to decline, primarily due to weakening demand from the RMI segment, as consumers are nowadays much more attracted by shower panels, considerably cheaper and easier to install.

Prices and Market Values

In 2020, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher inflation ratio and increasing production and transport cost, prices for bathroom products grew moderately, by 3-4% on average. Most importantly, the impact of the pandemic on the Polish bathroom market in terms of sales was relatively mild with practically all the segments showing a good recovery after experiencing problems with supplies and distribution in the wake of the pandemic. Moreover, like in previous years, the fierce competition seen in the price-oriented Polish market, amplified by growing

sales of own brands introduced by distributors, makes any considerable price hikes rather difficult. Before the end of 2020 only a few manufacturers decided to apply an extra price increase. Nevertheless, due to dramatically increasing prices of raw materials, such as steel and brass, as well as transport – the cost of shipment from the Far East grew in 2020 by 500-600% – a higher than usual increase in price for bathroom products is expected in 2021 and was already applied by several players in the first quarter. As the shower wall market is largely supplied by local manufacturers or players with EU-based production, lower price hikes can be expected as compared to other segments of the bathroom market.

The average manufacturer's selling price (MSP) of shower wall products keeps growing, though at a slow pace. On the one hand, the MSPs for particular products grow relatively slowly and on the other – the share of products from middle and upper price brackets in the total sales volume increases at a moderate rate. With a very strong position of DIYs, focusing on sales of products from the budget price segment, including the DIYs' own brands, and a fierce competition among the players, the shift towards products from higher price brackets is very slow and the market remains price-oriented with the average MSPs considerably lower than those seen in Western Europe, lower also than the average values from many other Eastern European EU members. In fact, bath screens are to a certain extent perceived a luxury product and are typically compared to cheap plastic curtains.

New Housing

Overall sales of shower wall products to the new housing segment in 2020 increased, though at a lower rate than in 2019, which mirrors growth observed in 2020 in the residential construction market.

Sales of bath screens to new housing remained low as the largest portion of baths installed in new apartments and houses continued to be either without screens or equipped with curtains. It is worth mentioning that in Poland new dwellings completed by developers when sold are typically in so-called 'rough' or 'developer' state, that is, with a minimum equipment installed – bath screens practically never occur in such new dwellings, also shower enclosures are not often among the installed bathroom equipment, or, when installed these are the cheapest available models. It is then down to the new dwelling owners to buy such equipment, which is very often purchased from DIY networks.

Overall, bath screens account for a relatively small portion of the shower wall sales volume. In 2020, the bath screen segment, like the whole bathroom market, benefited from good growth recorded in new dwellings output. Nevertheless, the growth rate for this product type is expected to be increasingly tempered in line with the consumer preference shift towards showering.

The installation of conventional shower cubicles in new residential dwellings remained driven by the fact that the average size of bathrooms in apartments is relatively low. As the result of space constraints, in some apartments it is much more convenient to install a shower cubicle than a bath or a larger-sized shower

tray. The installation rate of conventional shower cubicles, after a decrease in 2020 due to the COVID-19 pandemic, is likely to grow in the medium to long term – due to their relatively low price levels, ease of installation and wide availability in DIY stores.

In line with a growing popularity of showering products, such as shower trays, and a good growth rate recorded in new residential output, sales of shower enclosures/doors continued with growth in 2020, accounting for well over 90% of the total shower wall sale volume.

In 2020, sales of hydrotherapy shower cubicles recorded growth in new housing, remaining however now a niche product, accounting for a very tiny portion of the market.

Housing RMI

In 2020, due to a general uncertainty felt by many in the aftermath of the COVID-19 outbreak, the average spending on home improvement projects, including replacement of bathroom equipment, decreased. Many Poles decided to either reduce their budget for home renovation, or postpone, or even cancel such projects. As a result, sales of bathroom equipment to the RMI sector declined to various extent, depending on the segment. In the case of the shower wall market, minor drops were recorded in sales of bath screens, shower enclosures and conventional shower cubicles, while hydrotherapy cubicles saw a dramatic decline, as a matter of fact continuing the trend observed in recent years.

A relatively large number of consumers opt to substitute their bath curtains with bath screens due to reasons related to aesthetics; nonetheless, in 2020 bath screens still accounted for a small portion of the segment, dominated like in previous years by shower enclosures/doors. Installations of the latter product type were traditionally driven by bathroom renovation works with a wide range of offerings provided by DIY and specialist networks.

BRG assumes that the increasing popularity of shower trays over baths is likely to remain the main sales' driver of shower enclosures/doors. Moreover, in the years to come a large stock of plastic models sold in the last decade is likely to be gradually substituted with more resistant glass models.

Hydrotherapy shower cubicles recorded in 2020 another decline as consumers nowadays are more tempted to replace them with shower panels, due to their lower price and much easier installation.

Non-Housing

As a result of the outbreak of the COVID-19 pandemic a number of non-housing construction projects were postponed or cancelled, especially in the hotels segment, which had a negative impact on sales of shower wall products to this segment leading to a decline in all product categories.

In the product mix, like in the previous years, shower enclosures accounted for by far the largest share of the segment, among others benefiting from the shift towards showering at the expense of baths. They were followed by bath screens, conventional shower cubicles and hydrotherapy cubicles, each representing a relatively small portion of the segment.

The decline of hydrotherapy shower cubicles was relatively the largest as the pandemic outbreak deepened the decreasing trend observed in recent years, with shower panels being more and more often installed instead of hydrotherapy cubicles due to better prices and ease of installation at similar functionalities.

Supply Structure

The abundant pallet of shower walls and numerous manufacturers make the Polish shower wall market rather mature, especially the shower enclosures/doors segment.

In 2020 local production/assembly of shower enclosures, like in previous years, represented the majority of sales. There are several Polish players active in the sector; however, only four appear to have made a profound impact on the market so far: RADAWAY, SANPLAST, NEW TRENDY and GEBERIT (KOLO). Imports accounted for a considerable portion of the shower enclosures sales, growing quickly in the last several years, particularly in the low-end segment, typically sold under own brands by various companies (e.g. DEANTE). There is a strong price competition between products belonging to the economy/lower price category as the products manufactured locally compete with the bathroom equipment supplied by, or sourced from companies from the Far East.

Products sold under the DIY networks own brands typically are sourced from China. Due to a very fierce competition in the shower enclosures segment, the DIYs focused more on the underdeveloped bath screen segment in 2020, holding altogether about 15% of total shares.

Overall, the bath screen market in 2020 continued to be led by the local RADAWAY, followed by another domestic company, EXCELLENT, and the French ADEO, the owner of LEROY MERLIN, offering bath screens under its own brand, SENSEA. The category 'Others' embraced mostly local players that either manufacture or import economy/lower priced products.

In 2018, ARMATURA KRAKOW, experiencing serious financial problems, decided to close down its subsidiary, AQUAFORM, manufacturing baths, shower trays and enclosures. Another domestic manufacturer, CERSANIT, which in 2018 phased out its shower enclosure products, in the first quarter of 2020 launched new shower enclosure models with prices from the medium basket, before 2019 focusing on the economy segment.

MASCO (HÜPPE) is the key player among the manufacturers providing conventional shower cubicles, whereas DURASAN and NOVOTERM are among the leading manufacturers of hydrotherapy shower cubicles. In 2019 SANPLAST phased out its hydrotherapy cubicles.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3%, to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in January 2021 was practically offset in February. A certain drop was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the Polish bathroom market, in particular on sales of shower wall products, BRG expects the segment to slightly increase the growth rate in 2021 with investments in RMI and non-housing gradually regaining momentum and bath screens, as well as conventional shower cubicles returning to growth.

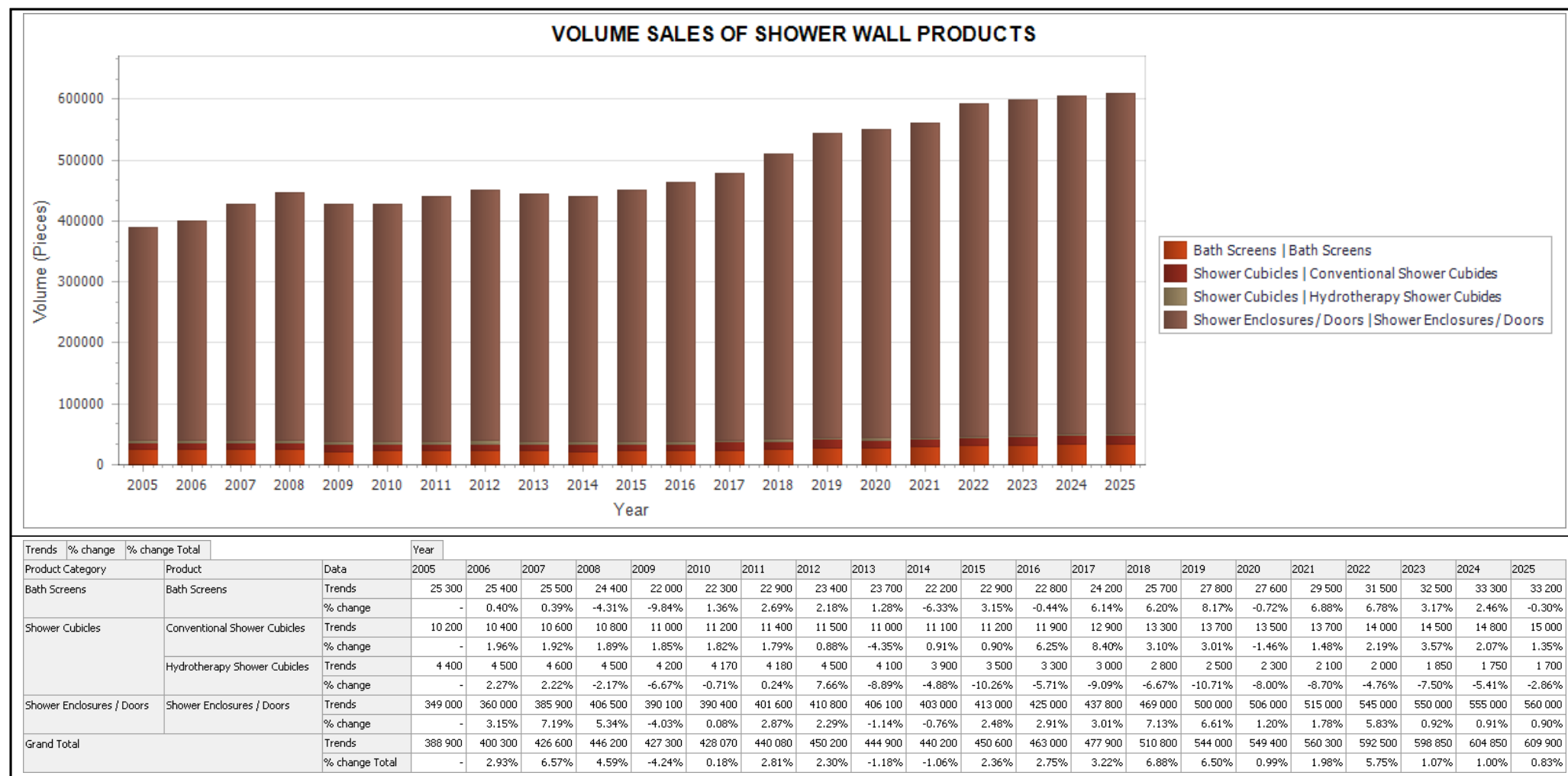
The price hikes in 2021, although increasing the average MSPs, are likely to slow down the shift towards products from higher price brackets. As a result the position of the DIY networks is likely to strengthen, which should positively affect the competitiveness of the DIYs' own brands.

In 2022 the segment is likely to experience faster growth rates, driven primarily by the replacement sector with a number of accumulated renovation projects carried

out once the pandemic is under control. The remainder of the forecast period is anticipated to see moderate growth, driven primarily by shower enclosures/doors, with hydrotherapy shower cubicles as the only product category declining until 2025 due to the competition from shower panels.

4.2 Historical Trends and Forecasts : Shower Wall

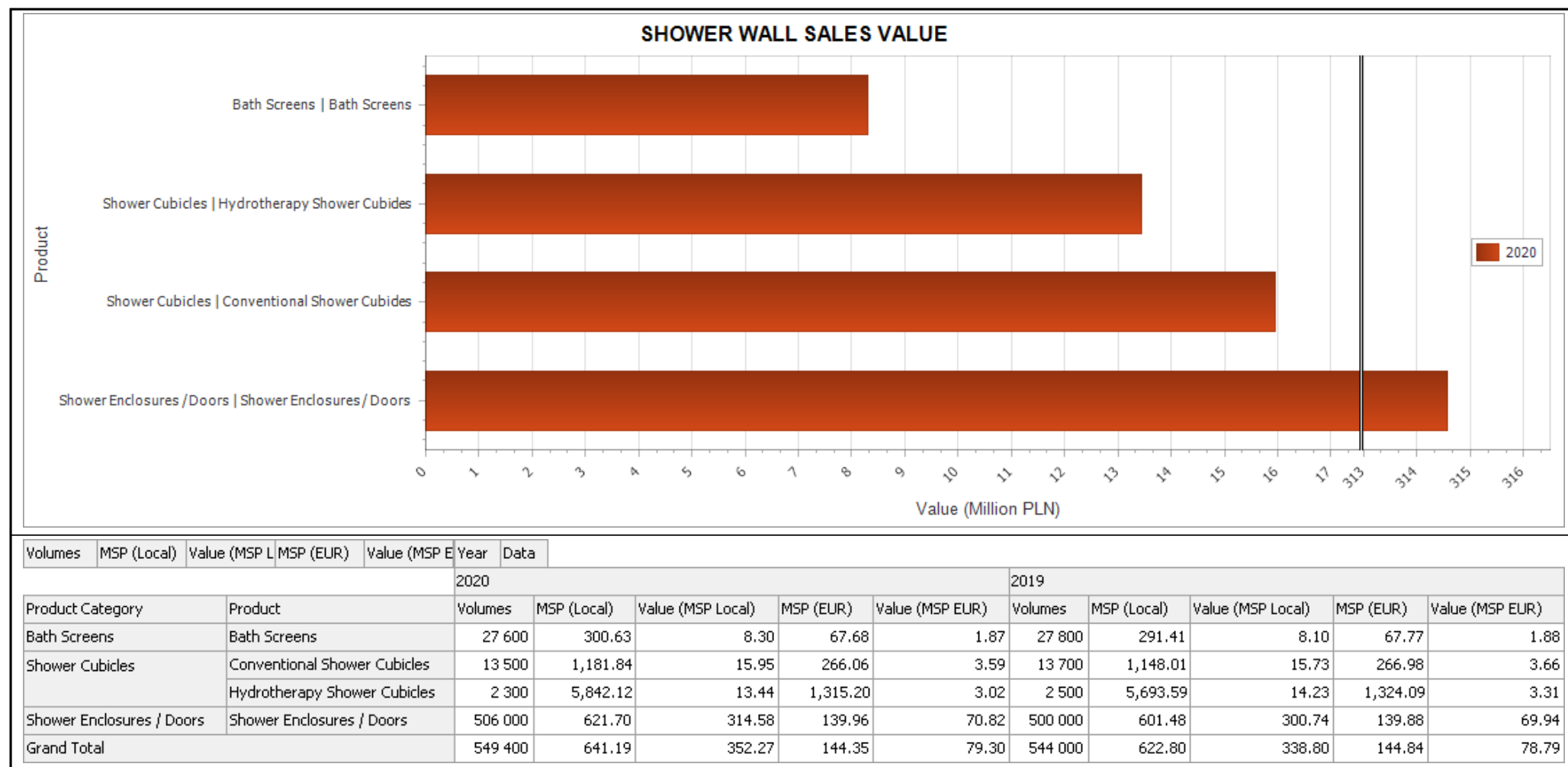
PL - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

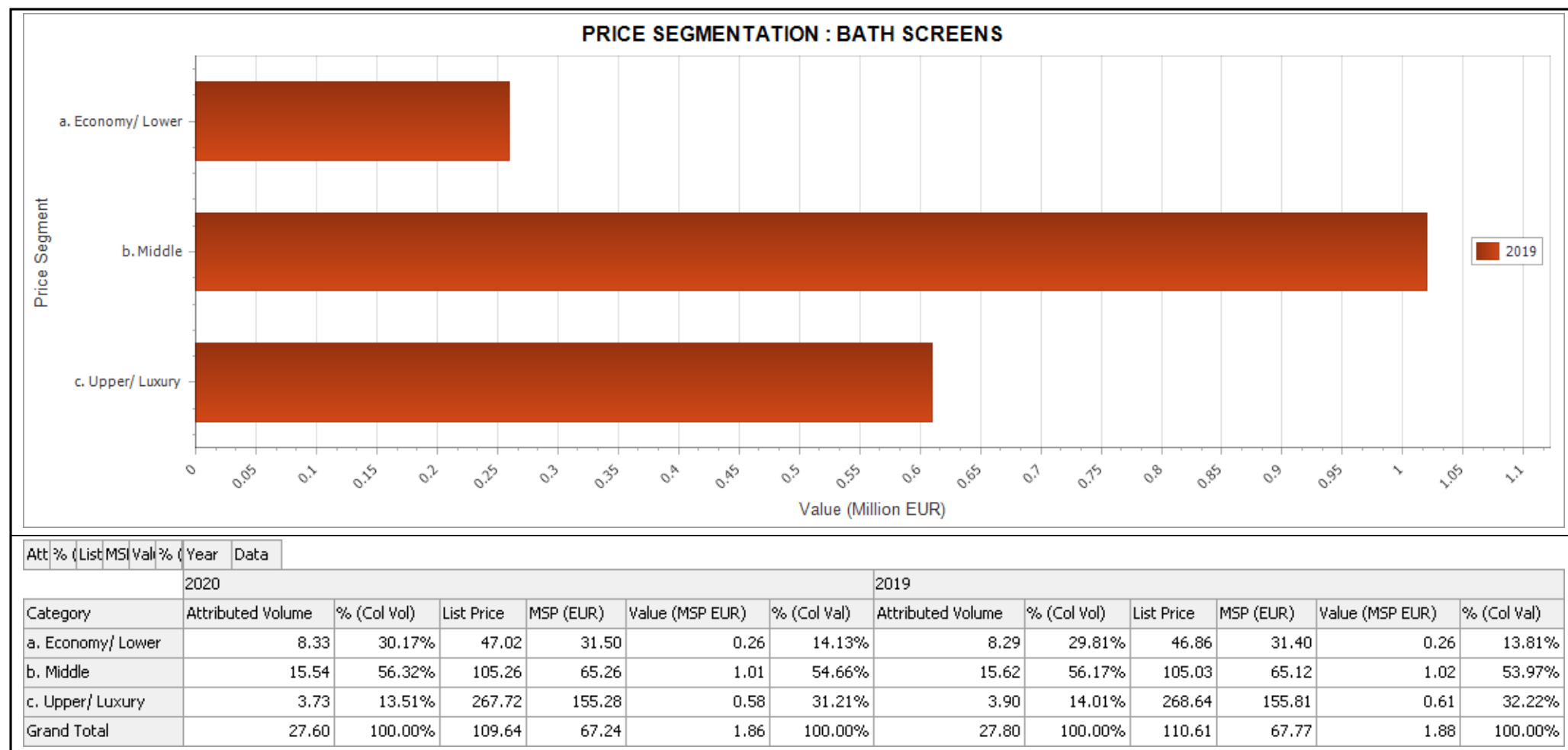
PL - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Values Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

PL - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

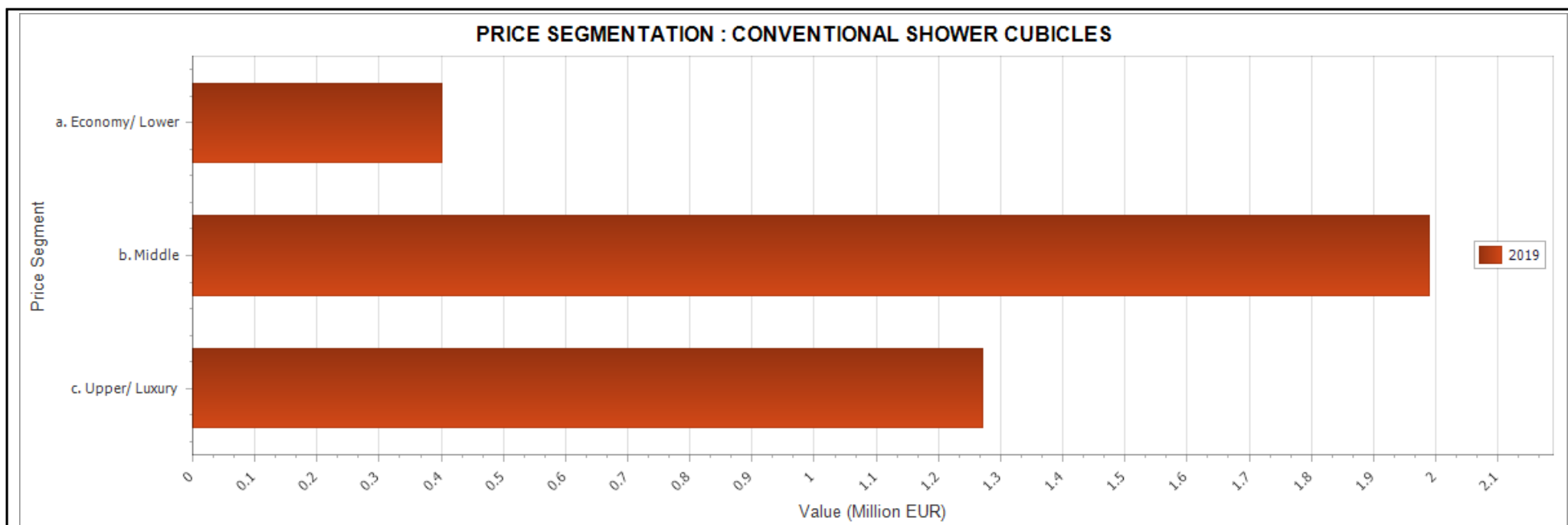


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

4.3.3 Price Segmentation : Conventional Shower Cubicles

PL - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES



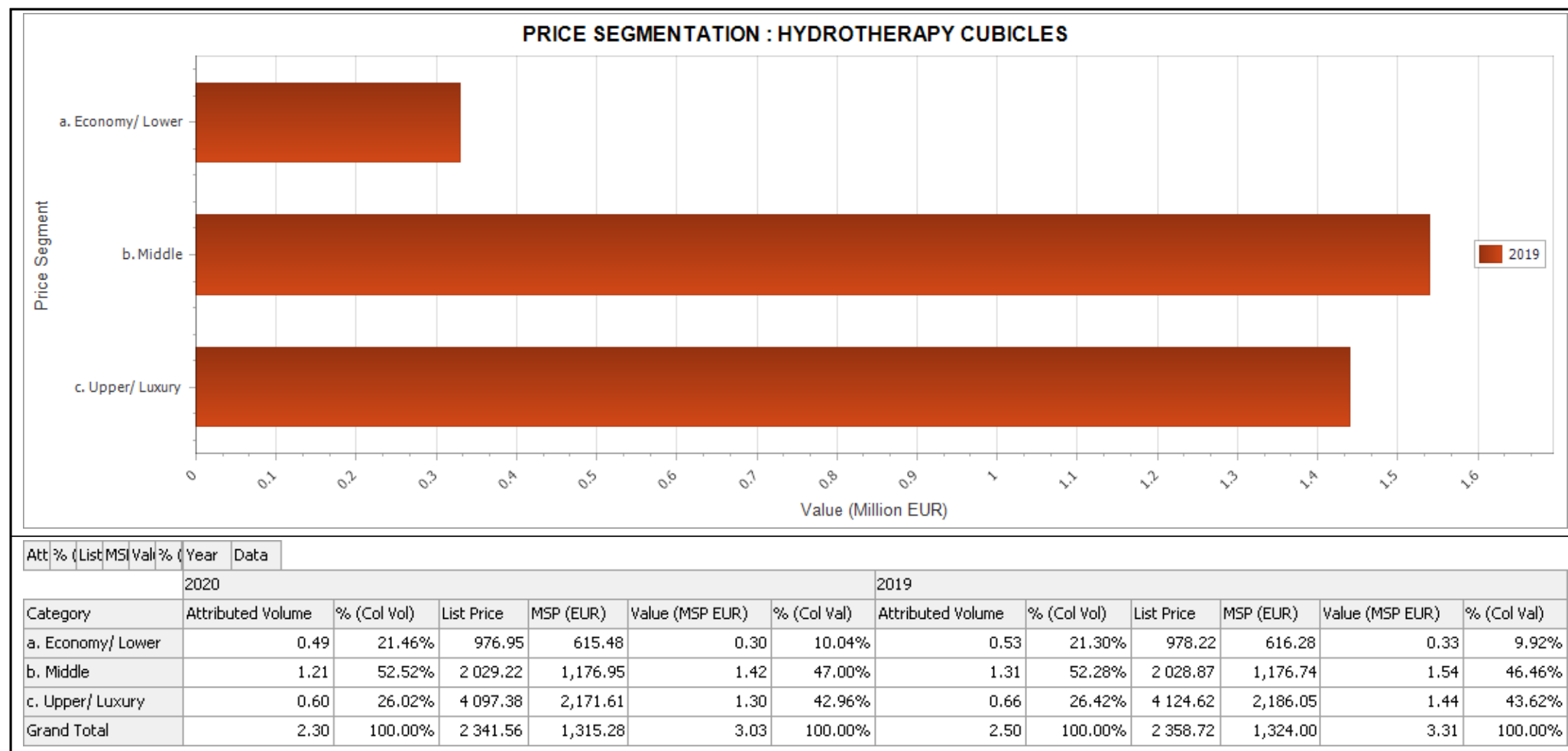
Att %	(List MS)	Val %	(Year Data)										
				2020			2019						
Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
a. Economy/ Lower	3.82	28.27%	162.72	105.77	0.40	11.24%	3.82	27.85%	162.79	105.81	0.40	11.04%	
b. Middle	6.96	51.57%	470.70	282.42	1.97	54.74%	7.06	51.55%	468.99	281.39	1.99	54.33%	
c. Upper/ Luxury	2.72	20.17%	816.27	448.95	1.22	34.03%	2.82	20.60%	816.07	448.84	1.27	34.63%	
Grand Total	13.50	100.00%	453.33	266.07	3.59	100.00%	13.70	100.00%	455.19	266.98	3.66	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€350, Upper/ Luxury >€350

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

PL - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

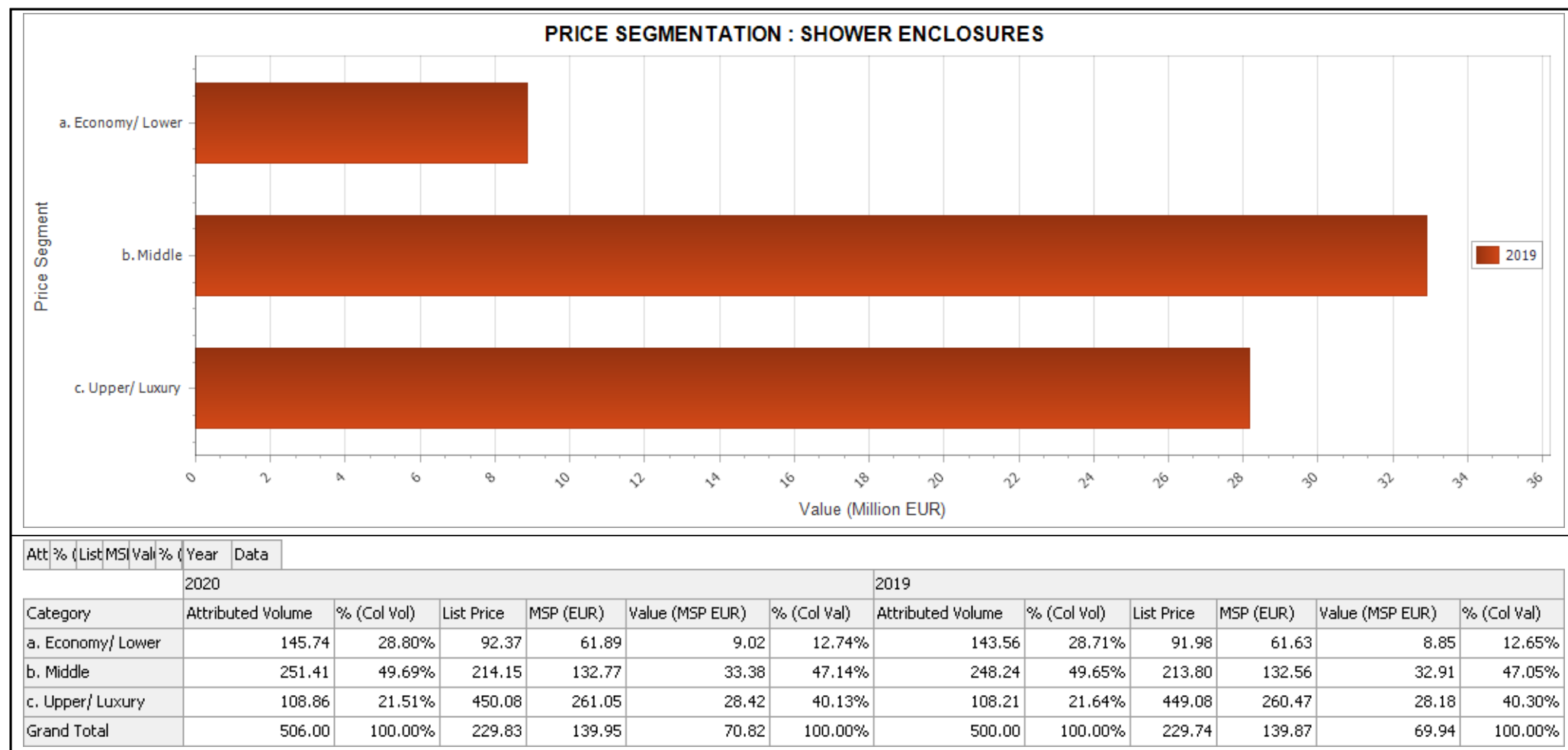


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1500, Upper/ Luxury >€1500

4.3.5 Price Segmentation : Shower Enclosures

PL - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

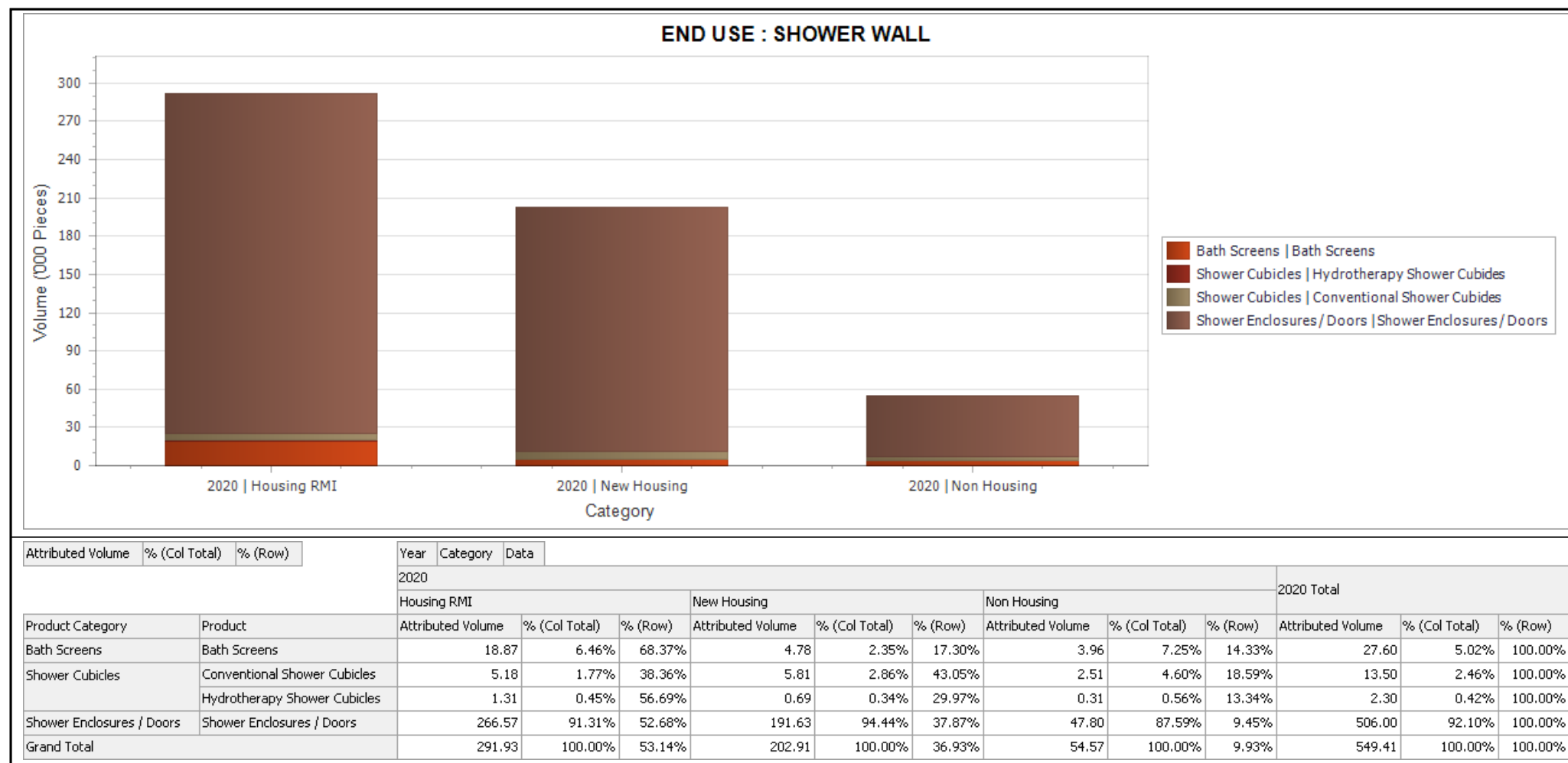


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.4.1 End Use : Base Year

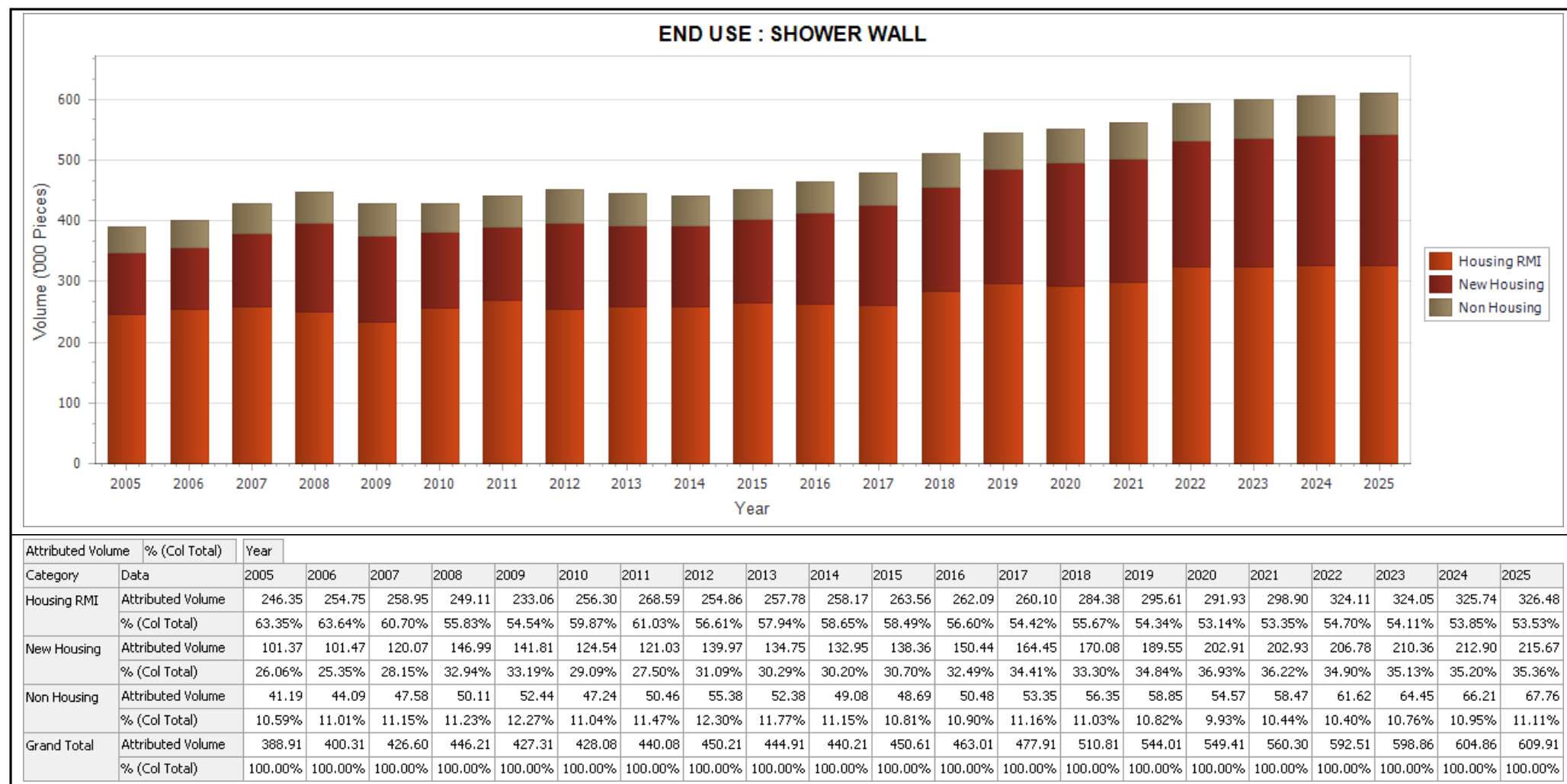
PL - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

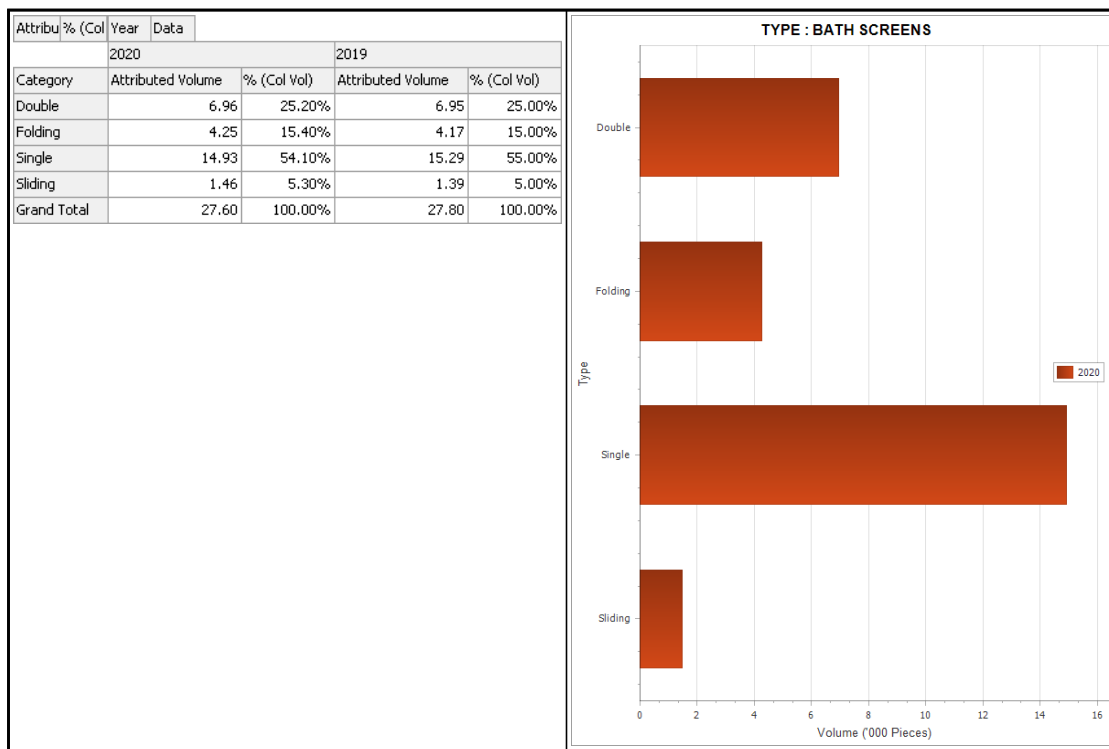
PL - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

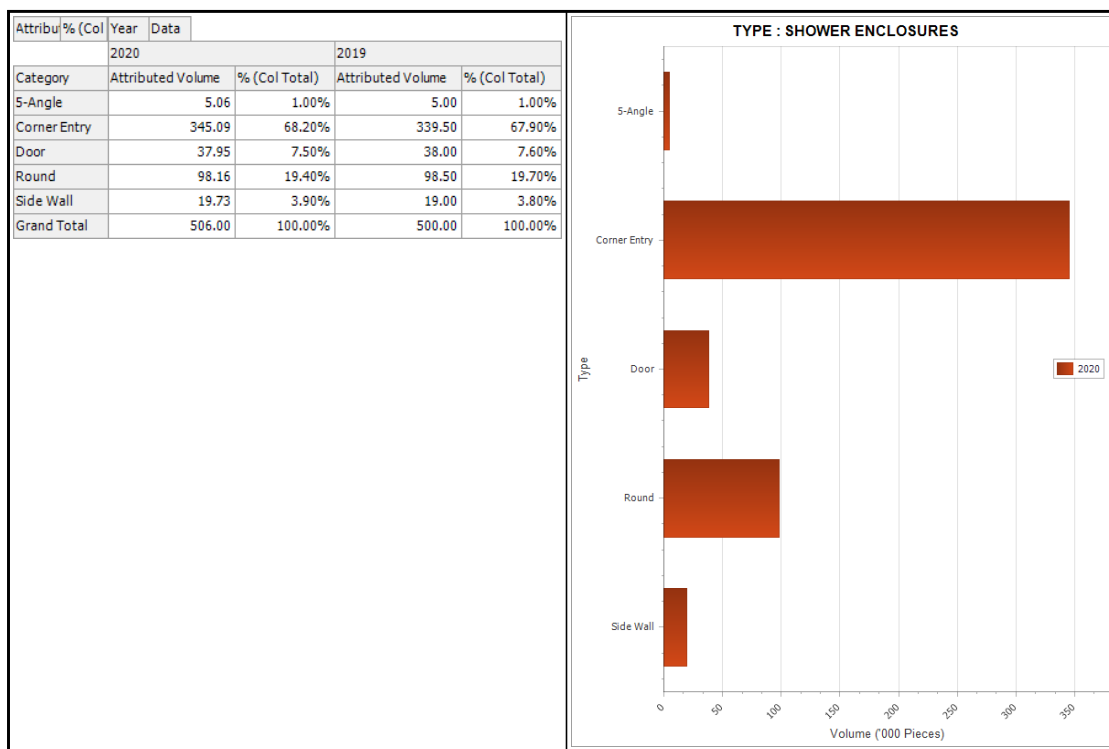
PL - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

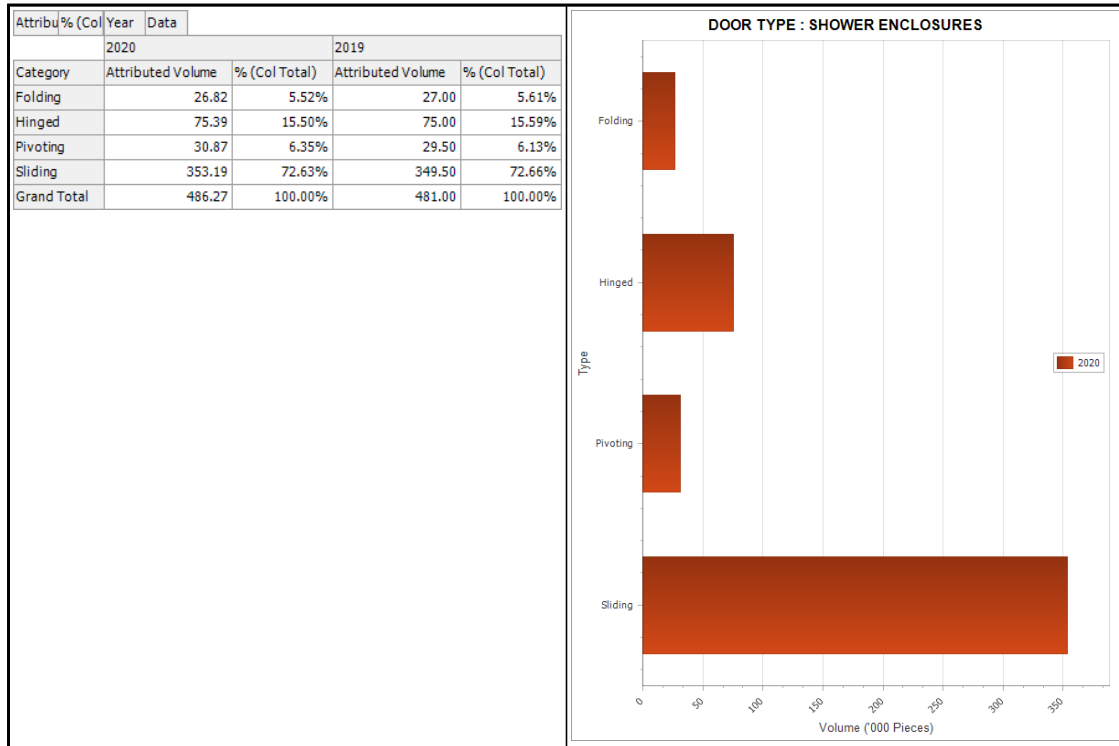
PL - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

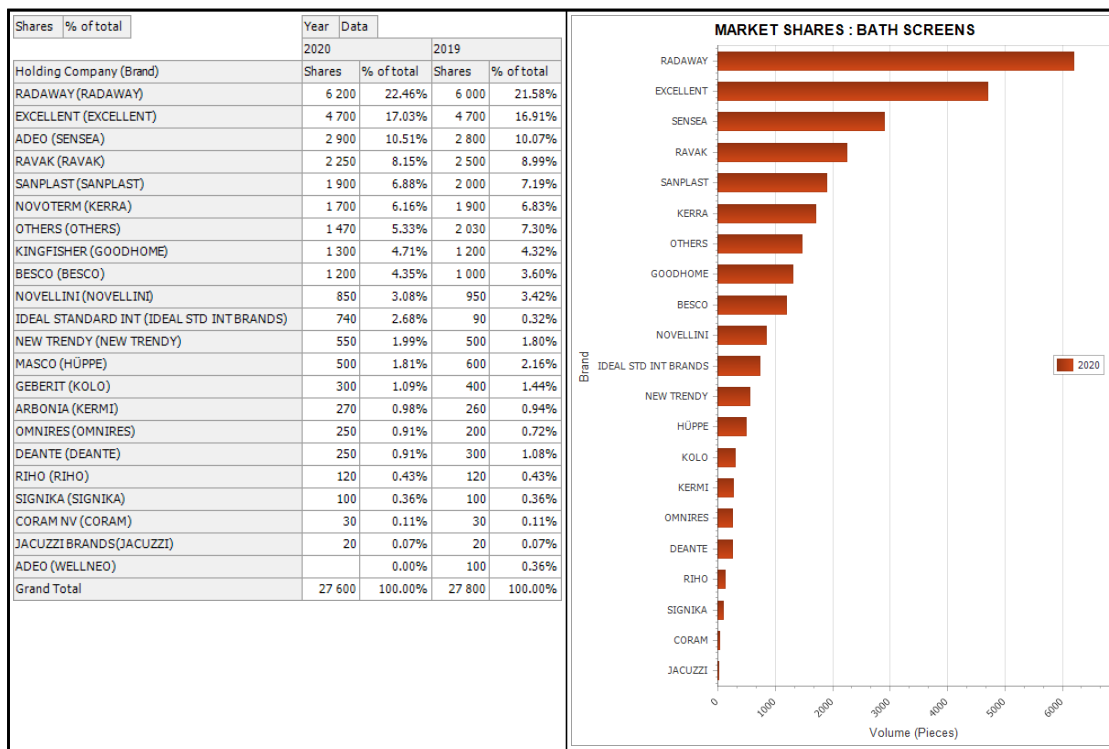
PL - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

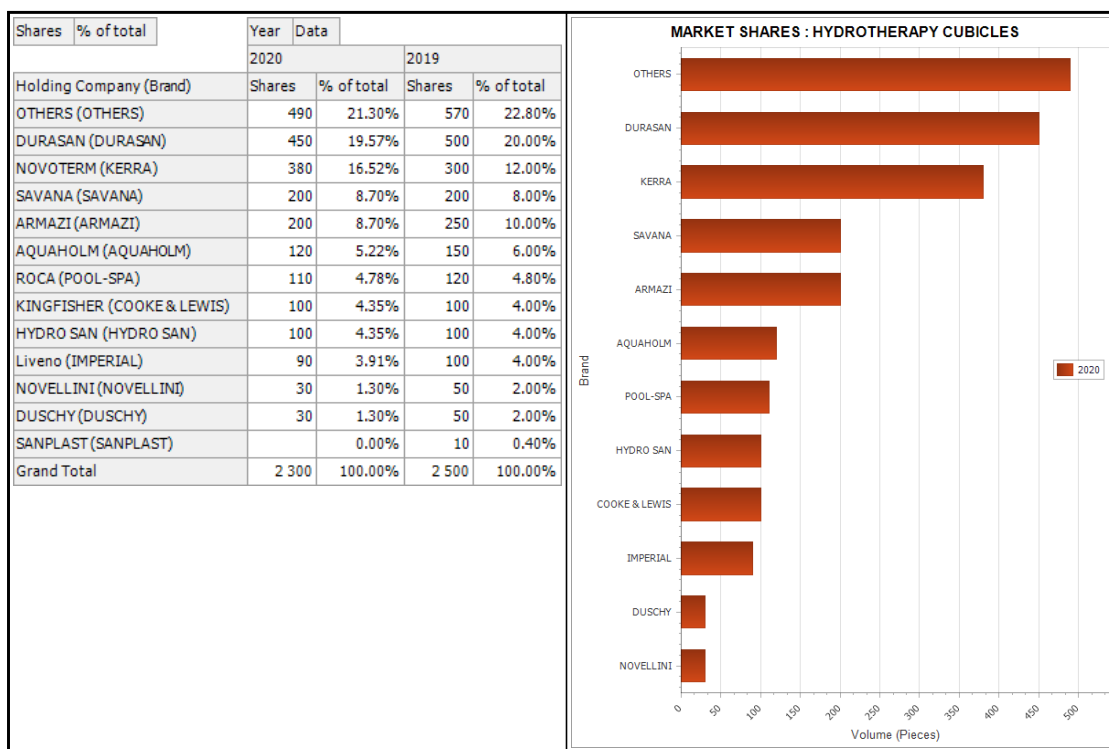
PL - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Hydrotherapy Shower Cubicles

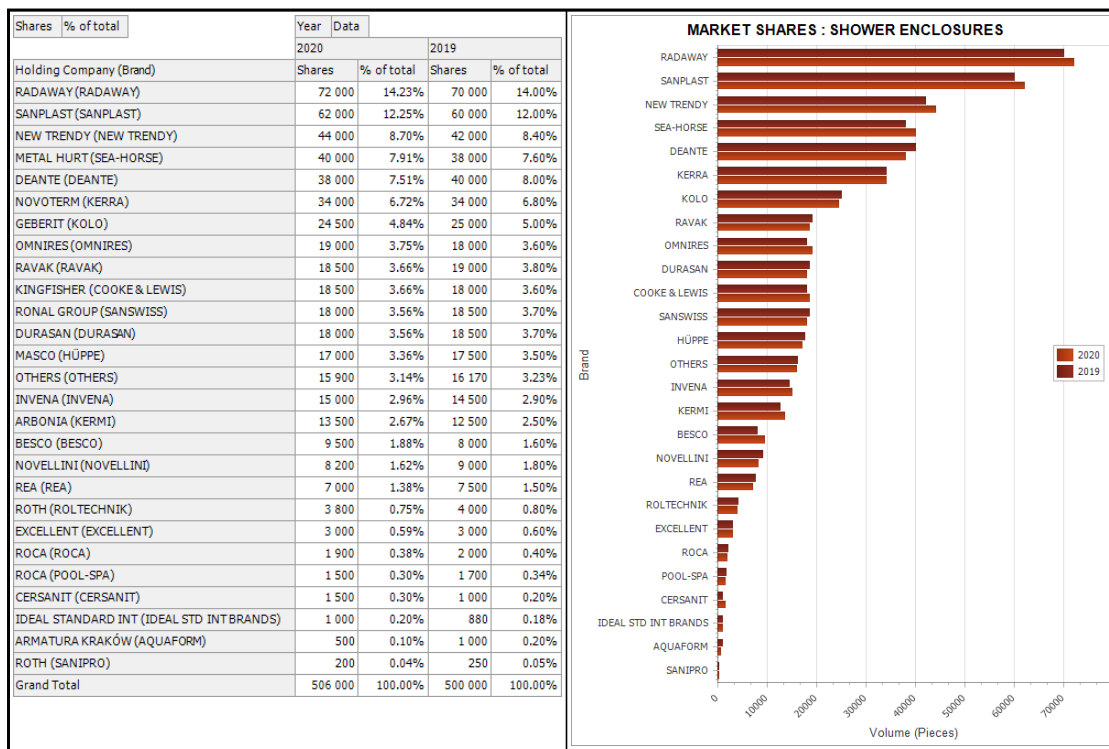
PL - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Shower Enclosures

PL - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
PL - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	62.9%
	Wholesalers / Merchants
	62.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.3%	6.5%	18.4%	20.5%	13.6%	17.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.8%		38.9%		30.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	7.0%	4.0%	5.0%	5.3%
Installers				
21.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	7.9%	4.7%	33.6%	25.0%	18.2%	1.5%	4.0%	0.1%	0.3%	0.3%	3.7%
	Residential						Non-Residential					
	90.1%						9.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	36.9%			53.1%			5.0%			4.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		35.9%	2.0%		51.1%	0.5%		4.5%	0.5%		4.4%

4.6.2 Route to Market: Shower Wall
PL - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.5%
	Wholesalers / Merchants
	60.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.7%	7.5%	20.5%	19.5%	13.5%	16.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.2%		40.0%		30.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	6.0%	5.0%	6.0%	4.4%
Installers				
21.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	7.0%	4.9%	33.4%	25.0%	17.6%	1.3%	4.0%	0.3%	0.6%	0.6%	4.3%
	Residential						Non-Residential					
	88.9%						11.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	35.4%			53.5%			5.6%			5.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		34.4%	2.0%		51.5%	0.5%		5.1%	0.5%		5.0%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

PL - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

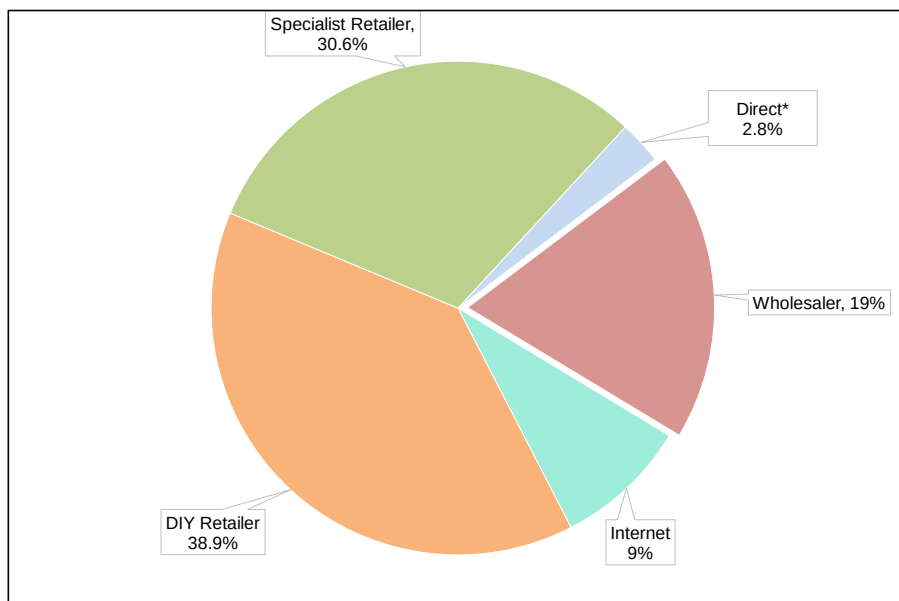
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.9%	8.8%	38.9%	30.6%	2.8%	3.0%	1.0%	87.1%	8.9%
100%					4.0%		96.0%	

4.6.4 Route to Market - Consolidated View : Shower Wall

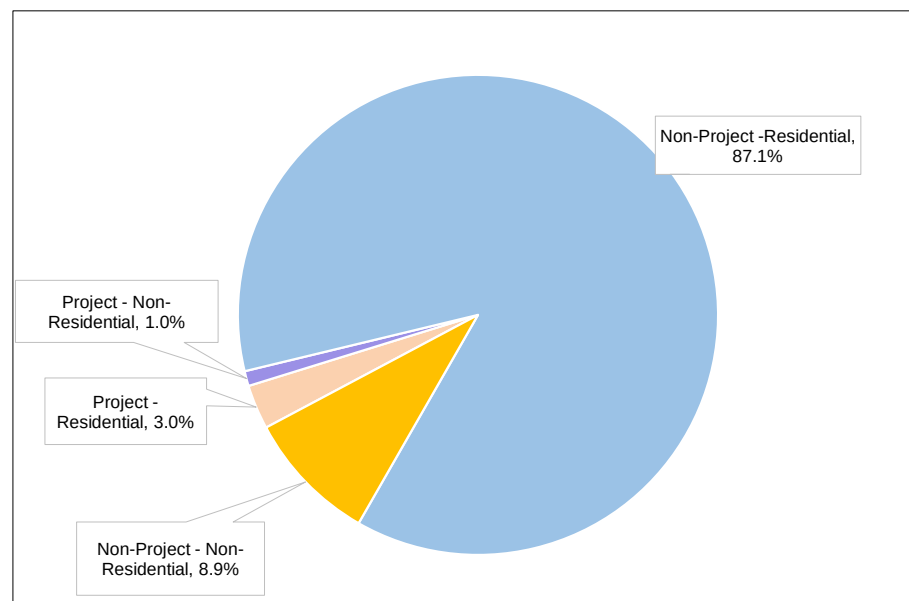
PL - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.0%	10.2%	40.0%	30.0%	2.8%	3.0%	1.0%	85.9%	10.1%
100%					4.0%		96.0%	

PL - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Polish Shower Wall Market (April 2021)

PL - REVISIONS IN THE POLISH SHOWER WALL MARKET

Data Comparison: October 2020



No of marginal revisions have been made to historical volumes for this market.

POLAND

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Before the late 1990s, Polish bathroom furniture was almost non-existent, as residential buildings that were constructed according to the social housing plan, during the old political regime, had very limited bathroom space. With the advent of new architectural trends, coupled with the market entries of big international DIY companies, the Polish bathroom market commenced to emerge rapidly – reaching high double-digit growth rates annually. Having the advantage of a relatively low-cost labour force and competitive prices of commodities such as wood, Polish small local companies sprang up and, eventually within the next decade, had gradually taken over a big share of the market.

Basically, base units are the most commonly chosen products by Polish customers. They are manufactured by both foreign and domestic producers that usually lean towards laminated MDF and chipboard materials. White monobloc-countertop type basins of small width (50-70 cm) dominate the market with a narrow, but growing, number of customers opting for other colours like brown, grey and black. The fact that Poles prefer this type of basin is due to its structure – as no joints or connection points exist between the basin and the countertop, which could eventually result in leakage. Moreover, given that they are prone to physical damage, the lifespans of base units are rather limited. Thus, housing RMI accounts for almost half of the sales of this type of bathroom furniture, driven in addition by frequent renovations of bathrooms. The growth of sales of washbasin-only is driven by two factors. Firstly, washbasins are usually installed in old buildings where the bathroom space is very confined. Secondly, there is an increasing demand for luxury designed products in guest cloakrooms, and manufacturers welcome this trend for releasing fashionable models.

Wall hung separate cabinets dominated the market at the beginning of the 1990s, when they appeared for the first time. During the following few years, wall hung separate cabinets gradually lost their share to more spacious floor standing models, which became the most popular option. However, the trend turns back to wall hung units – which have gradually regained their popularity.

Mirrors and mirror cabinets are two different market segments in Poland. Polish bathroom furniture manufacturers usually buy the former from mirror manufacturers and sell them as their brands. Sales of mirrors dominate the market, given the high number of base units sold annually.

Recent Market Trends

The COVID-19 pandemic outbreak had only a mild impact on the bathroom furniture market with a very strong position of the local manufacturers, which ensured smooth supplies and ease of installation of all products, which benefited sales in times of social distancing, when customers were often reluctant to invite installers to their premises. The market continued to experience growth across all

categories in 2020, benefiting mostly from good growth in new dwelling completions. Sales of separate cabinets grew at the fastest pace, followed by sales of mirrors. The consumers in Poland continued to favour white models, although a trend towards coloured models was observed, with grey, brown and black being most popular.

The most popular countertop material remained to be ceramic for base units/vanities, which suggests that the majority of Polish consumers still opt for economy models. However, it is worth noting that more expensive products, such as glass and marble, continued to record increases in sales, indicating a slight trend towards more premium products. Most bathroom furniture products continued to be sold in DIY stores and bathroom showrooms, with increasing demand for wall hung base units, separate cabinets and mirrors, which are sold as sets.

The increase in sales of wall hung base units is driven by the easy maintenance of bathroom spaces that these products can offer. The share of separate cabinets remained on the similar level as in 2020, recording only a very slight increase.

Prices and Market Values

The fact that several major manufacturers operating on the Polish market are domestic, is one of the main reasons why the average manufacturer's selling price (MSP) of all bathroom furniture products in Poland is lower in comparison to those of Western European countries. The manufacturing costs are relatively low thanks to the vast wood resources and also – in spite of a recent shortage of workforce – labour cost is still significantly lower than in Western Europe. Moreover, the market is quite price-oriented with Chinese imports additionally increasing competition in terms of price and tempering price hikes, which in recent years remained moderate.

Also in 2020, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher inflation ratio and increasing production and transport cost, prices for bathroom furniture grew moderately, by 3-4% on average. It was primarily due to fierce competition and also as the impact of the pandemic on the segment was relatively mild. Nevertheless, due to dramatically increasing production cost, a higher than usual increase in price is expected in 2021 and was already applied by several players in the first quarter. As the bathroom furniture market is largely supplied by local manufacturers, lower price hikes can be expected compared to other segments of the bathroom market.

Similarly to other segments of the bathroom market, average MSP prices keep growing with the consumers' preference shifting towards middle and upper class products, however at a slow pace. With a very strong position of DIYs, focusing on sales of products from the budget price segment, including the DIYs' own brands, and a fierce competition among the players, the shift towards products from higher price brackets has been very slow.

New Housing

Very good growth of new housing completions in 2020 was reflected in the sales volume to new housing with all product categories recording a good growth rate, although lower than in the previous year.

It is believed that the bulk of solid wood base units/vanities and separate cabinets are installed in the new housing segment, particularly in new family houses. Consumers in Poland very often opt for complete bathroom sets (bundling: a base unit, a mirror/medicine cabinet and a separate cabinet) as widely offered in DIY stores and in bathroom showrooms.

Bathroom furniture sold to new housing is usually categorised as economy products, as the market is dominated by local companies. Other manufacturers continue to offer modern and luxury-looking bathroom furniture at competitive prices that attract new build dwelling owners who, in the past, opted for more expensive products.

Housing RMI

In the aftermath of the COVID-19 outbreak, at a high level of uncertainty, many people postponed or cancelled their home improvement projects, often reducing the budget planned for renovation. As the average prices for bathroom furniture products are relatively low, and in addition all can be installed without any specialist help, the RMI segment for bathroom furniture did not suffer practically any impact of the pandemic in terms of sales.

Overall, the vast majority of bathroom furniture sales continued to originate from the housing RMI segment in 2020, due to a relative maturity of the market but also due to very limited lifespans of the economy-priced products.

Given that the bulk of base units are equipped with low quality hinges and the average prices at DIY stores remain relatively low, Poles have started to opt more often for the acquisition of new units rather than fix damaged models. In addition, Poland has a significant number of apartment blocks that require refurbishing and modernising, providing a great opportunity for bathroom manufacturers to sell their products as replacements.

Non-Housing

After good growth seen in 2019 in the key segments of the non-residential construction – primarily hotels – in 2020, with considerably lower investments as a result of the COVID-19 pandemic outbreak, the non-housing construction market declined, which led to a lower sales volume of bathroom furniture to the non-housing segment.

In 2021, the overall non-housing sales are likely to improve once the COVID-19 pandemic is under control with investors regaining confidence and a number of

postponed projects being carried out.

Supply Structure

The Polish bathroom furniture industry is relatively saturated, fragmented and very competitive, with over a dozen specialist manufacturers and nearly the same number of non-specialist furniture manufacturers, as well as foreign players – which makes any potential entry to this market very arduous.

In 2020, the market was dominated by local players, with the largest share held by DEFTRANS, which recently launched two brands: DEFRA, targeting middle- to high-end segments, and O NAS, designed for the customers from the economy price basket. The second largest manufacturer is the ROYO GROUP-owned ELITA, selling bathroom furniture under its main brand, as well as the brand of its subsidiary, MAXIMUS. The two players are followed by GEBERIT (KOLO) and CERSANIT. The presence of foreign manufacturers, except via acquisition of a local player, is fairly limited with brands such as IDEAL STANDARD, and VILLEROY & BOCH focusing more on the middle- to high-end market segment.

The strong position of the domestic manufacturers is also reflected in their geographical expansion. In fact, several local manufacturers generate most of their revenues from export (e.g. ORISTO).

By 2020, the DIY networks managed to establish their own brands on the bathroom furniture market; however, due to a high level of competition, their combined shares in the segment are still relatively low.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3%, to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

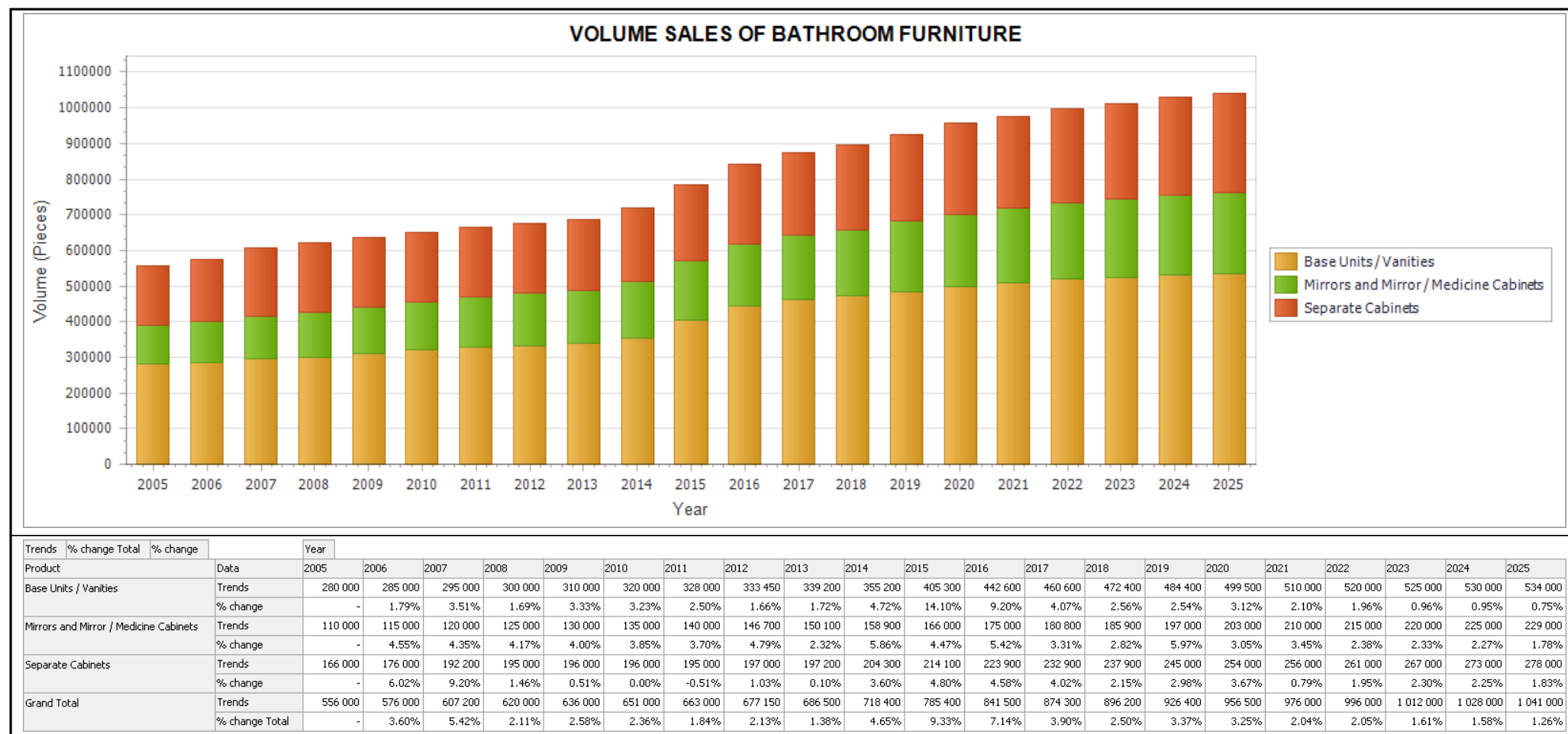
In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in

January 2021 was practically offset in February. A certain drop was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the Polish bathroom market, in particular on sales of bathroom furniture, BRG expects that in 2021 the segment should continue growing at a moderate pace with a positive outlook for 2022-2025 – in the medium to long term the segment should experience more modest growth rates, driven primarily by the replacement sector. The position of the DIY networks is therefore likely to strengthen, which should positively affect the competitiveness of their own brands.

5.2 Historical Trends & Forecasts : Bathroom Furniture

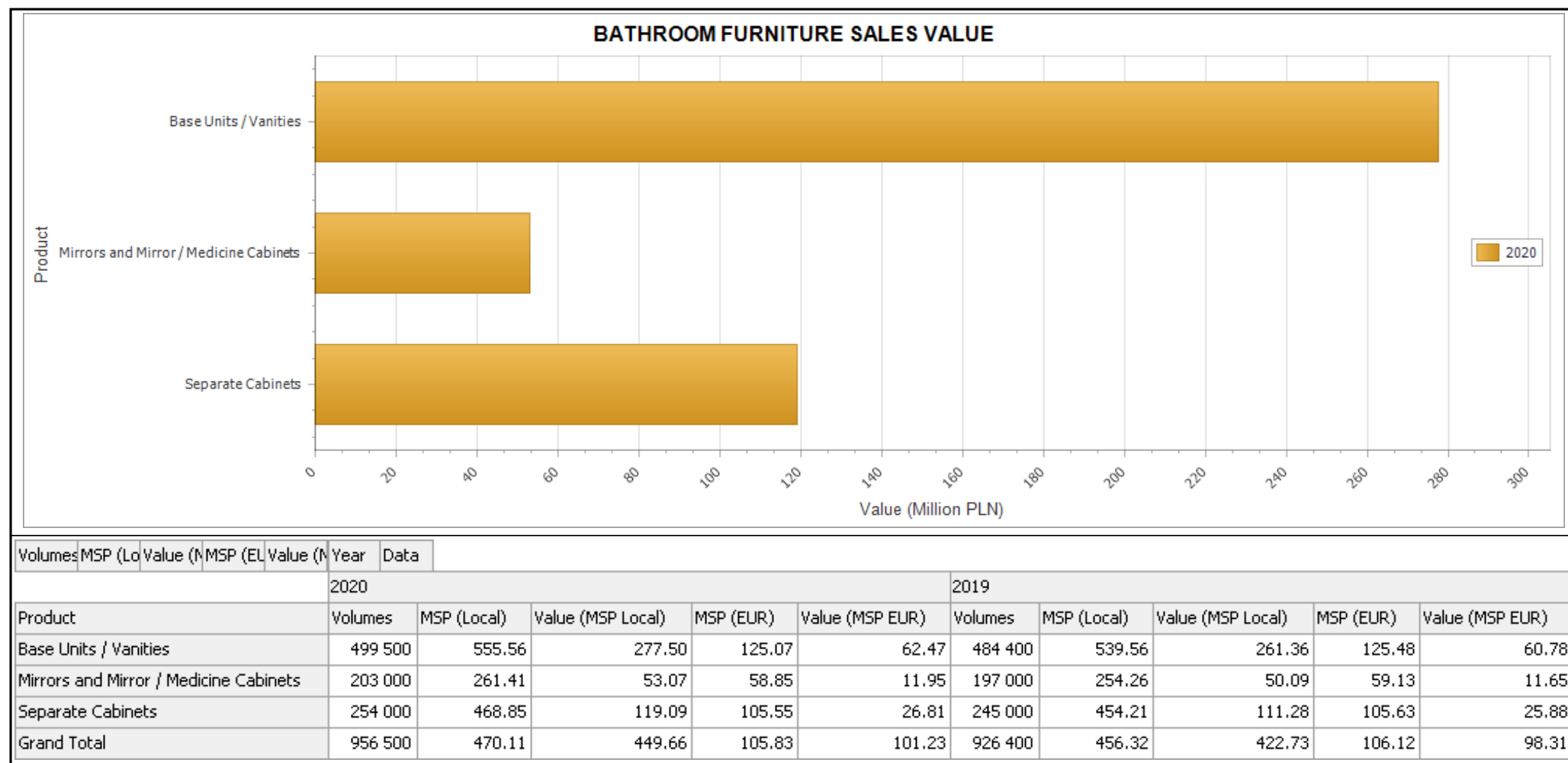
PL - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

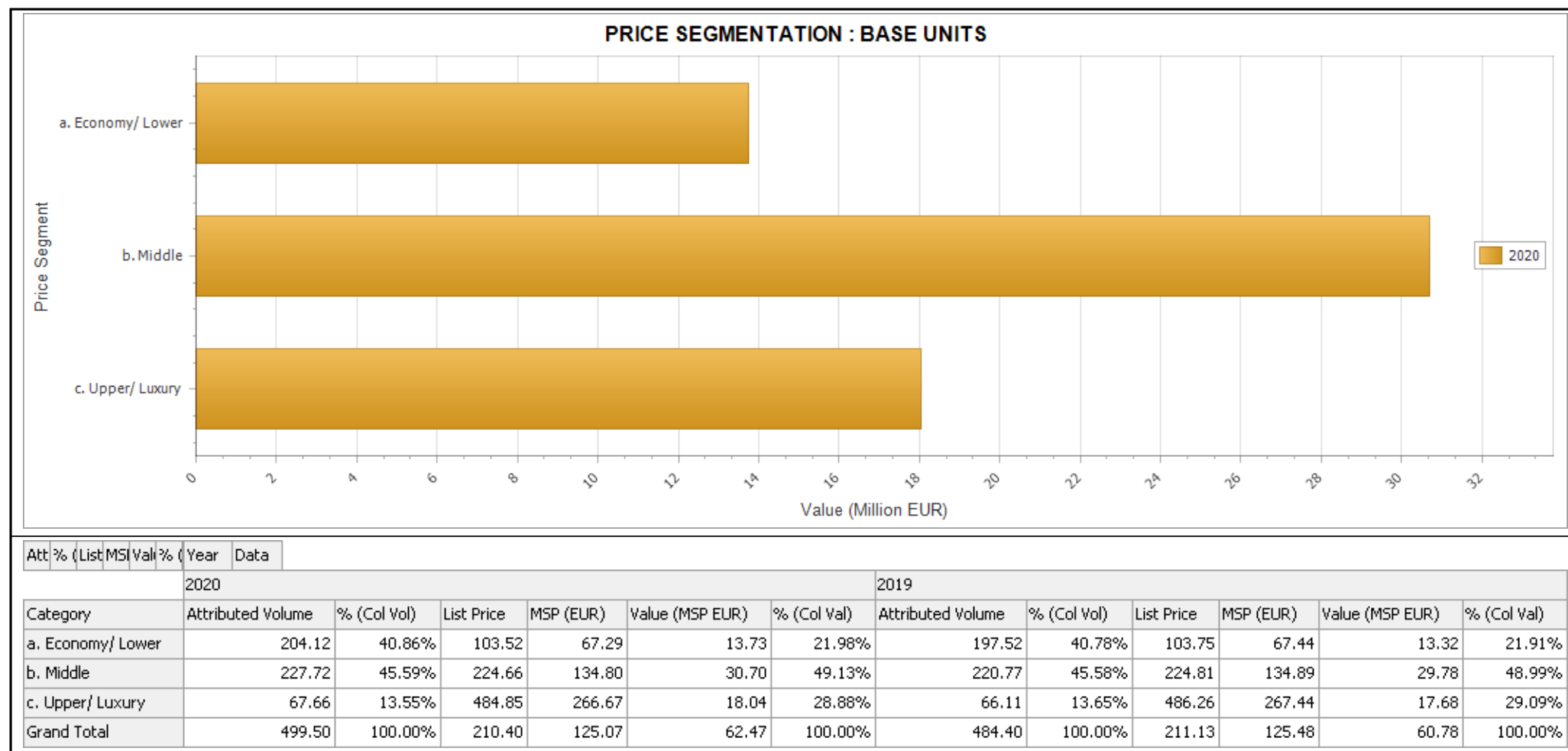
PL - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

PL - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

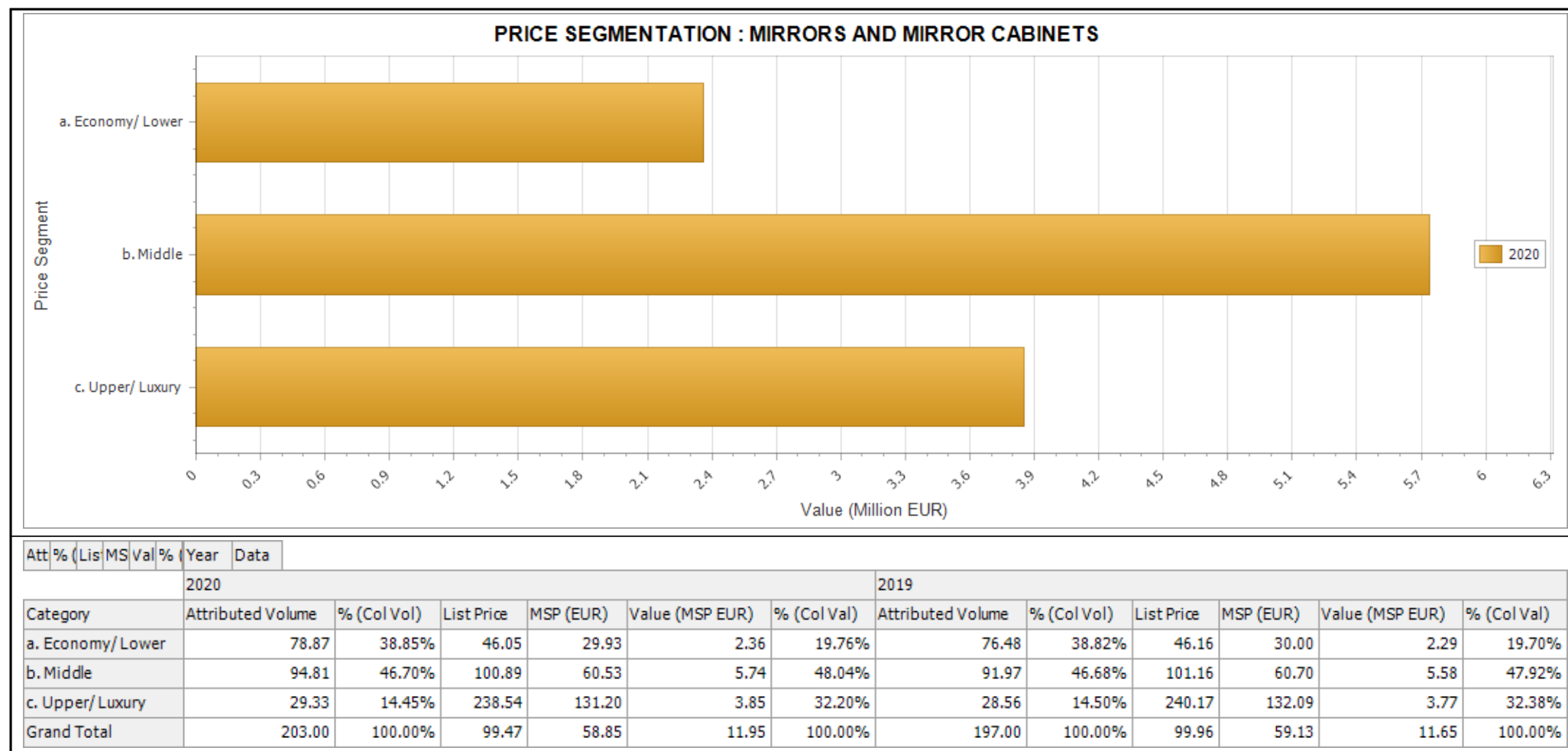


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

PL - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

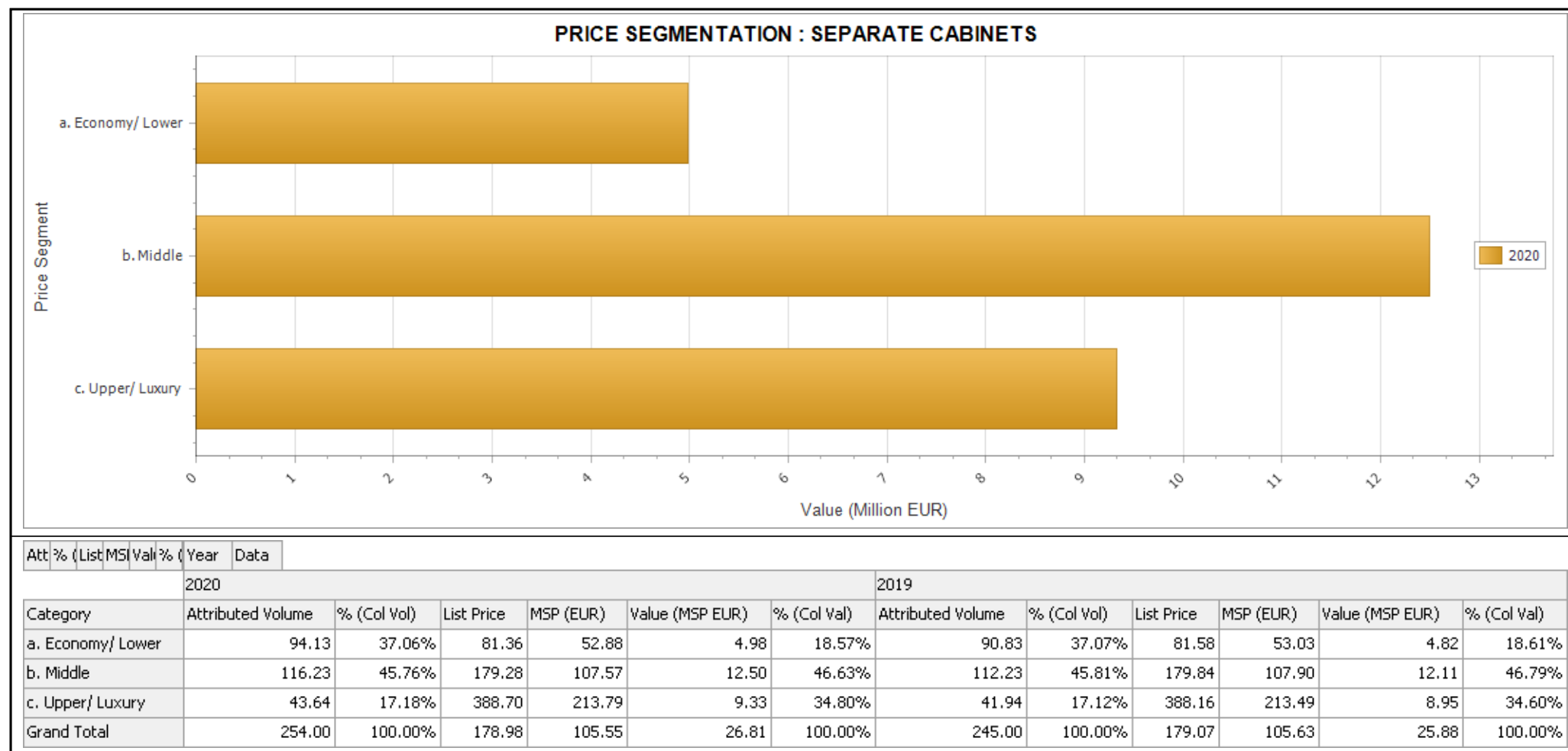


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

5.3.4 Price Segmentation : Separate Cabinets

PL - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

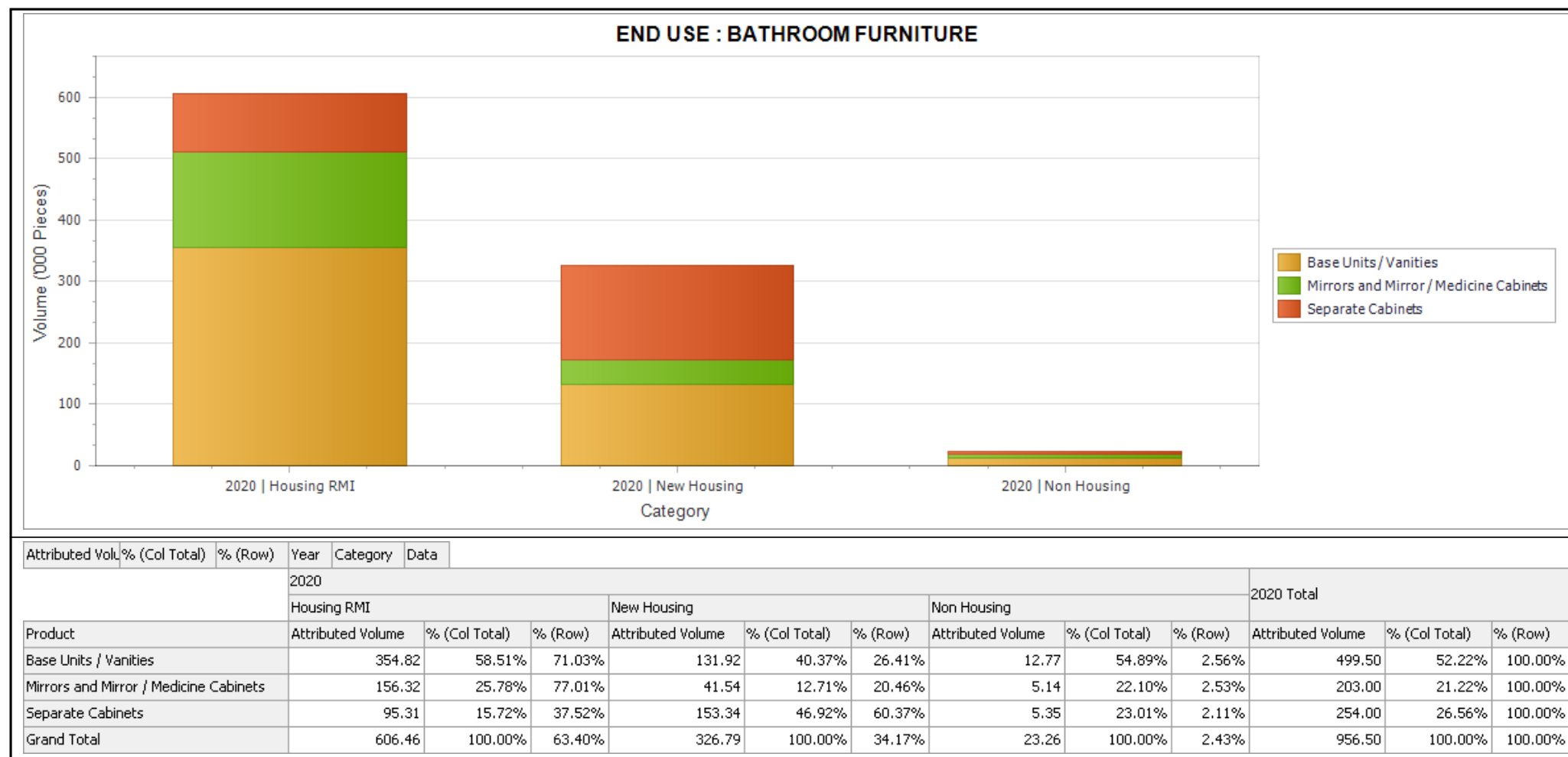


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€160, Upper/ Luxury >€160

5.4.1 End Use : Base Year

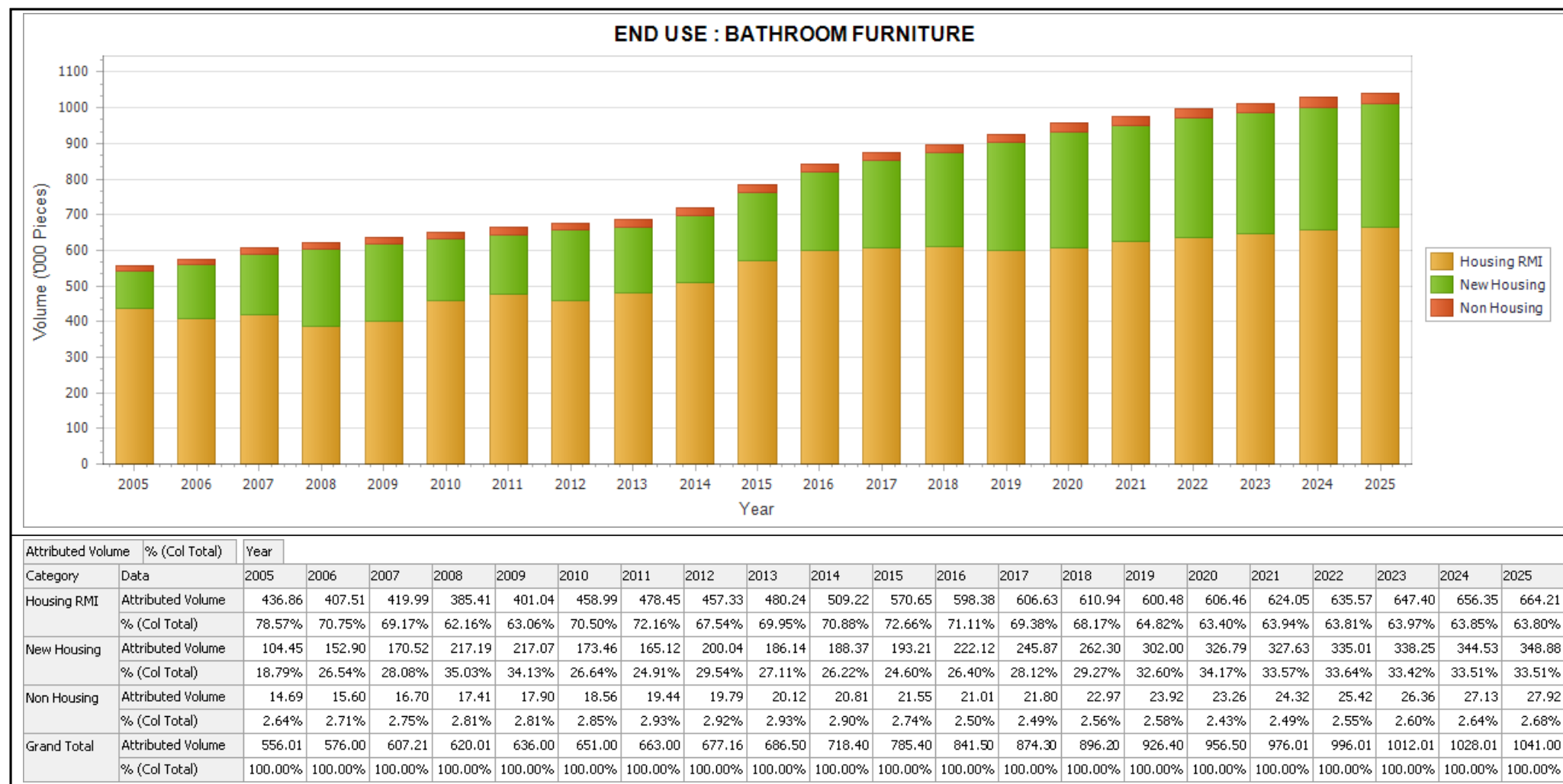
PL - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

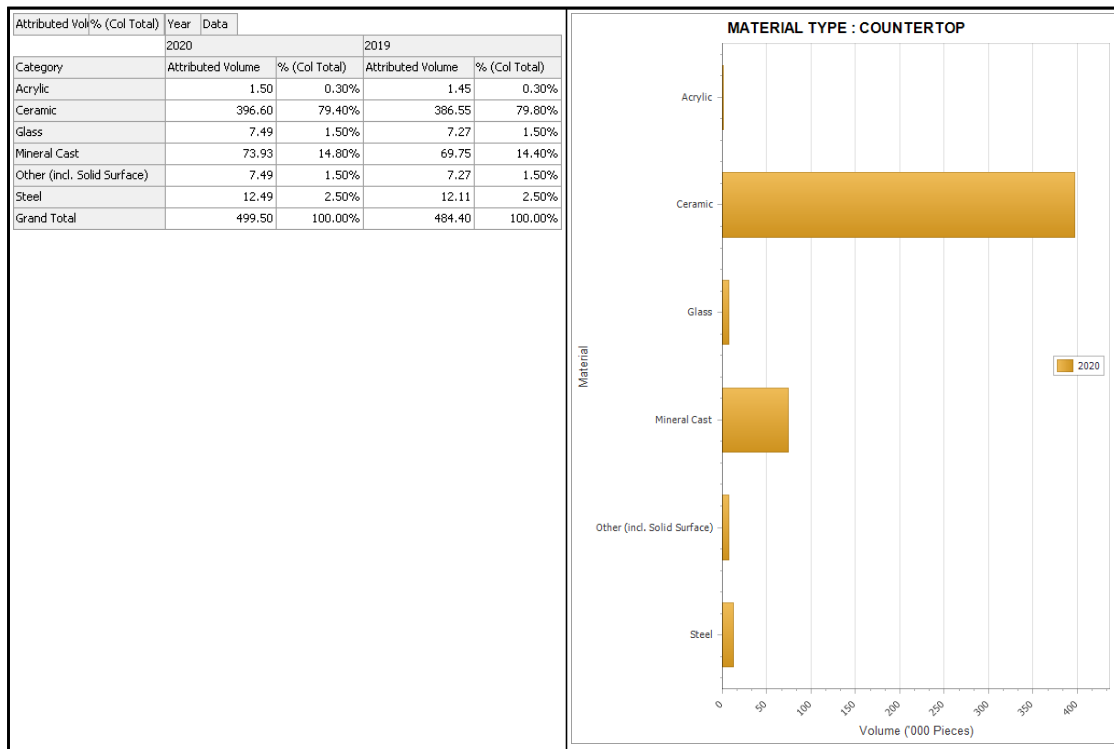
PL - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

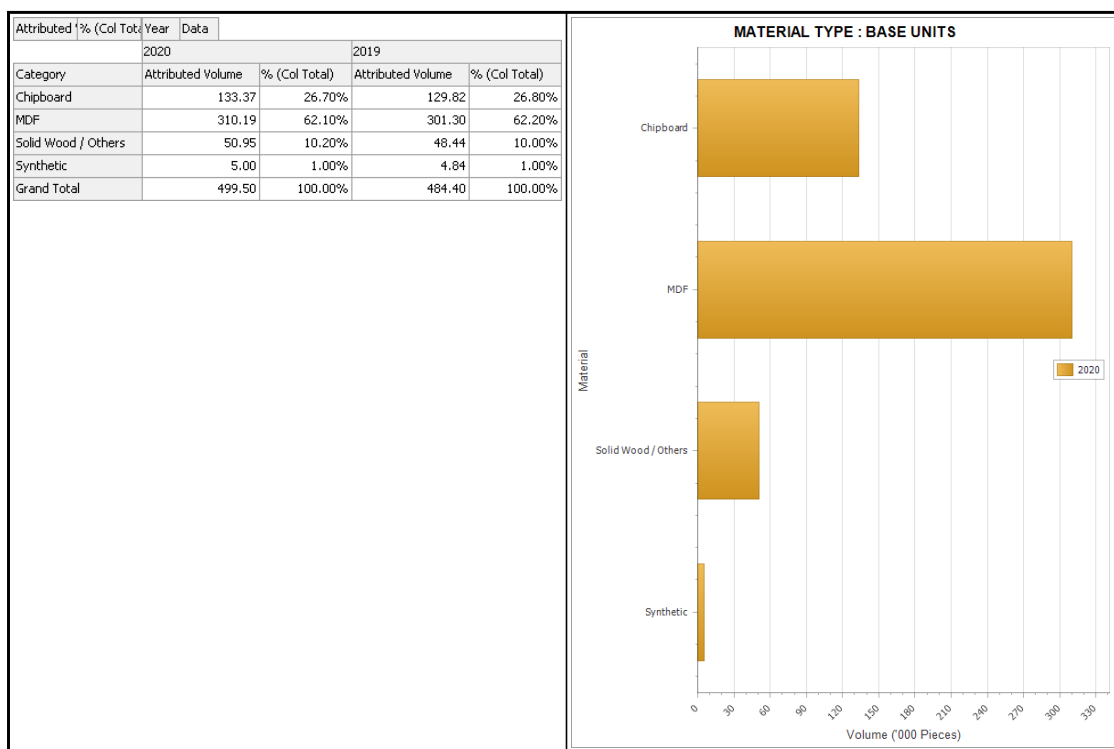
PL - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

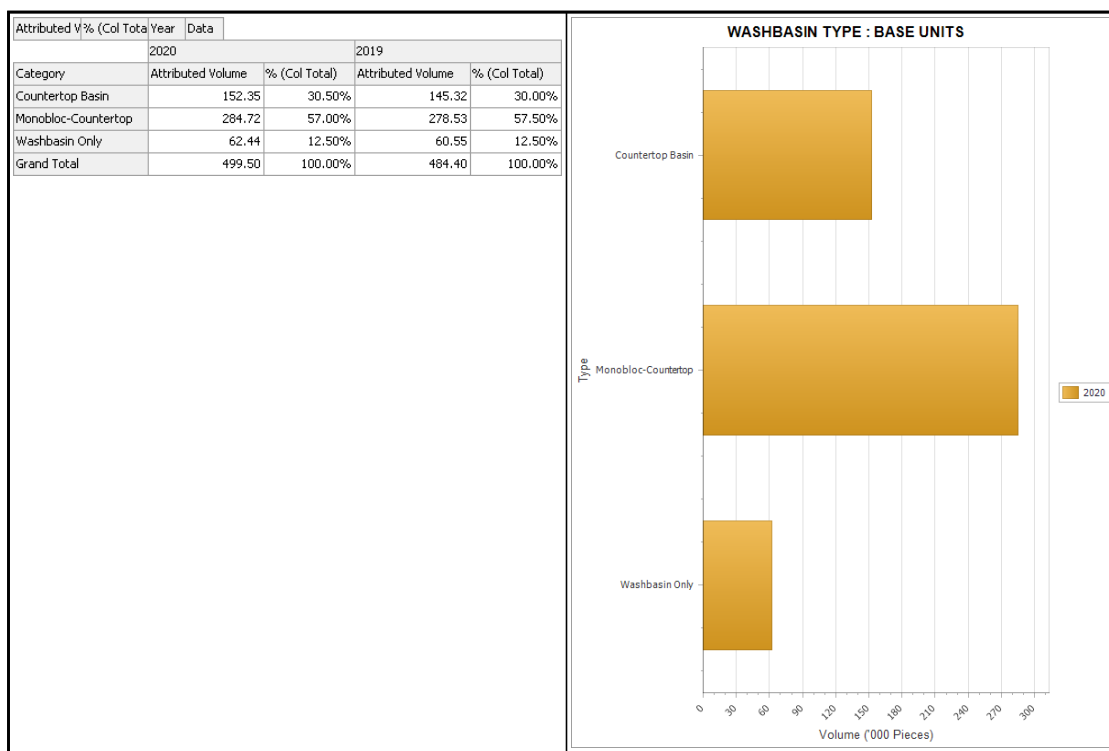
PL - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

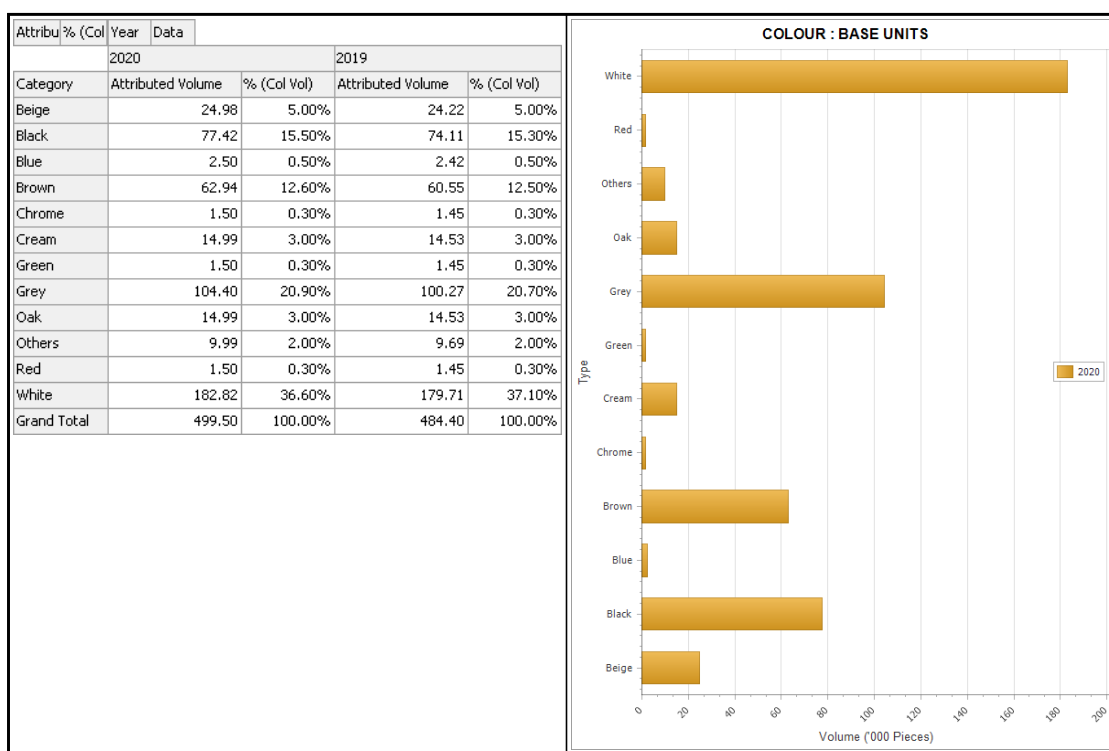
PL - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

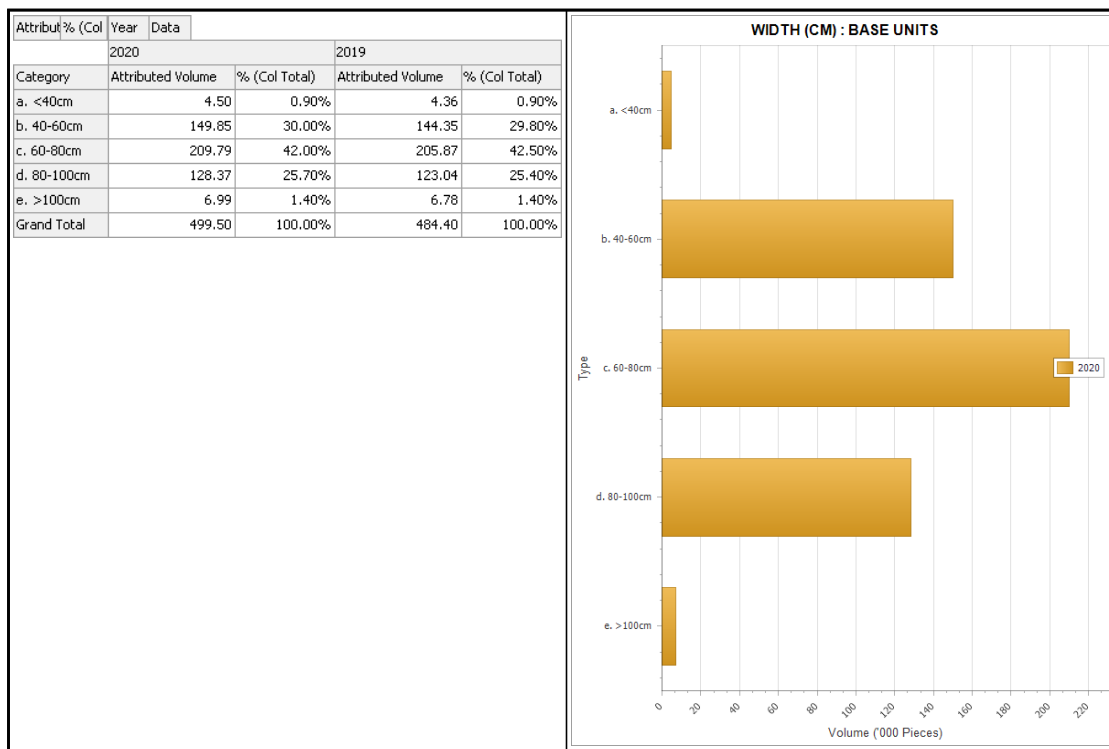
PL - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

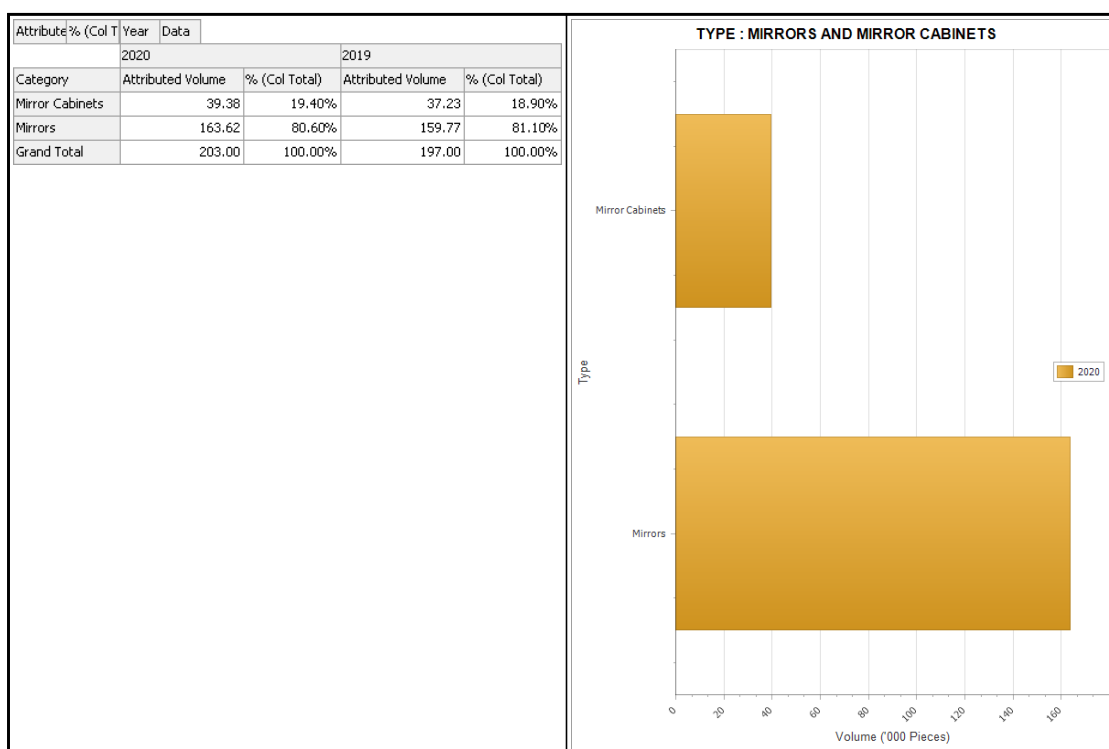
PL - BASE UNIT SALES BY WIDTH ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type : Mirror and Mirror Cabinets

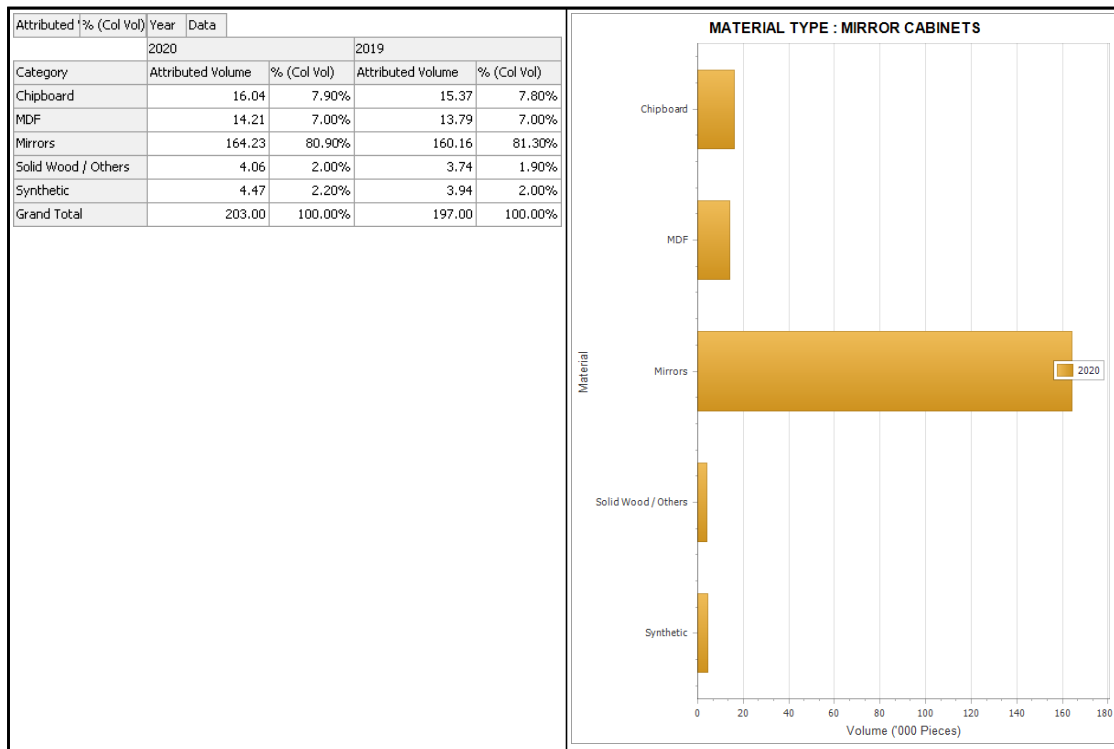
PL - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

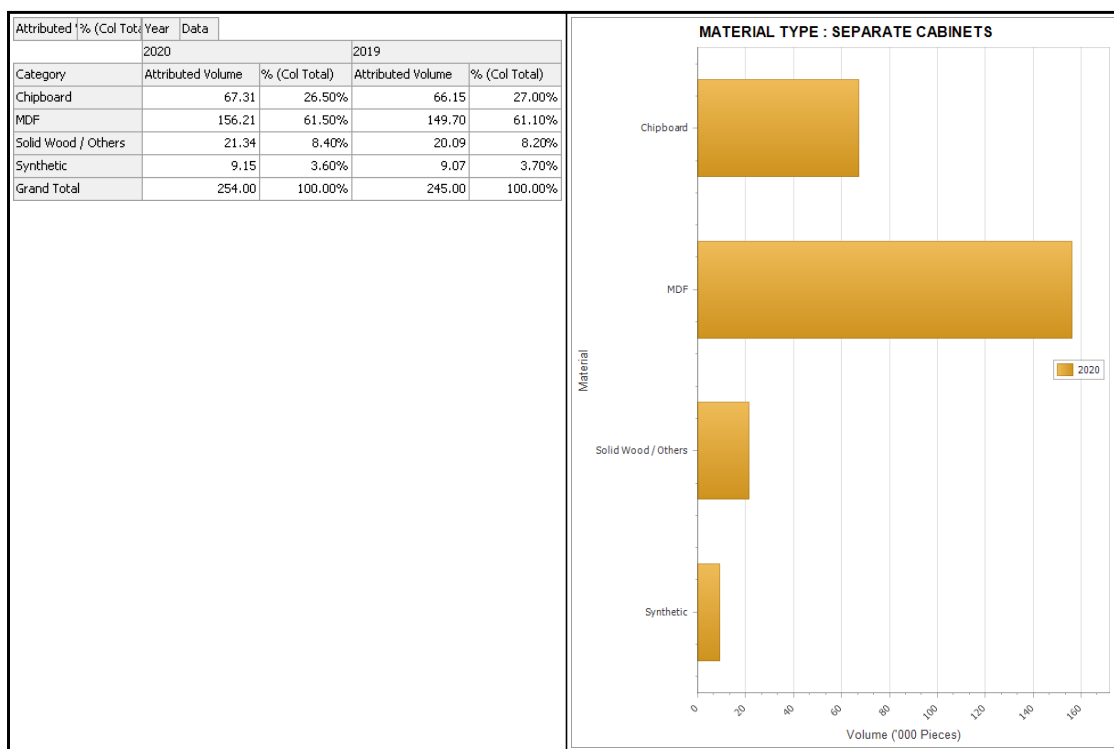
PL - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Material : Separate Cabinets

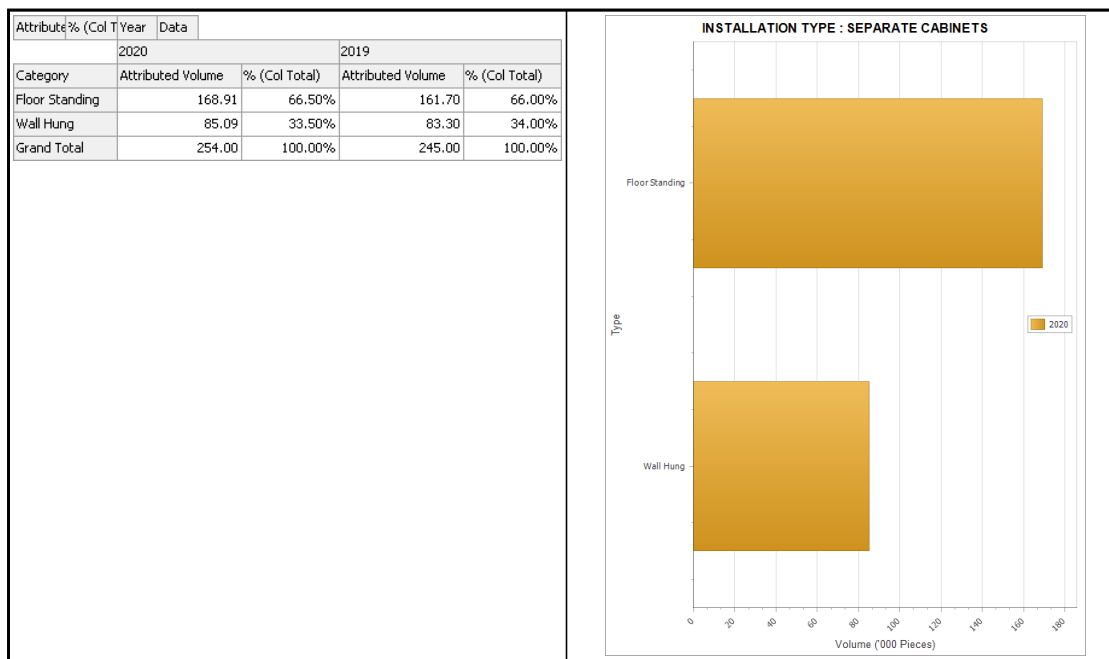
PL - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Installation : Separate Cabinets

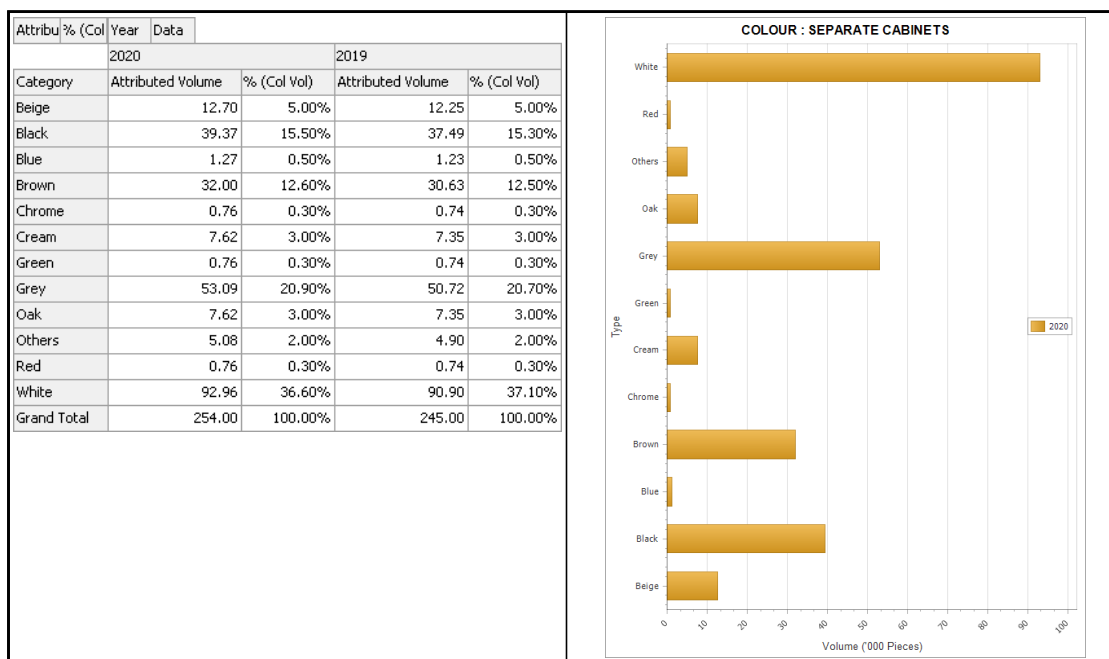
PL - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.12 Sales by Type of Colour : Separate Cabinets

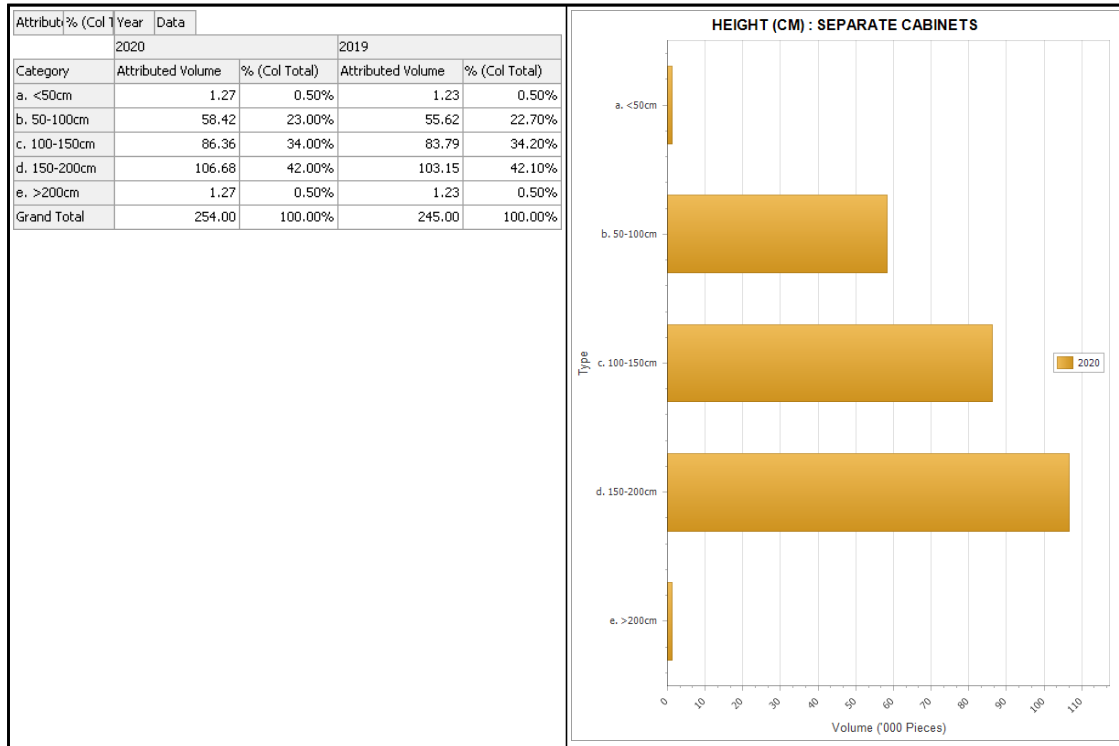
PL - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

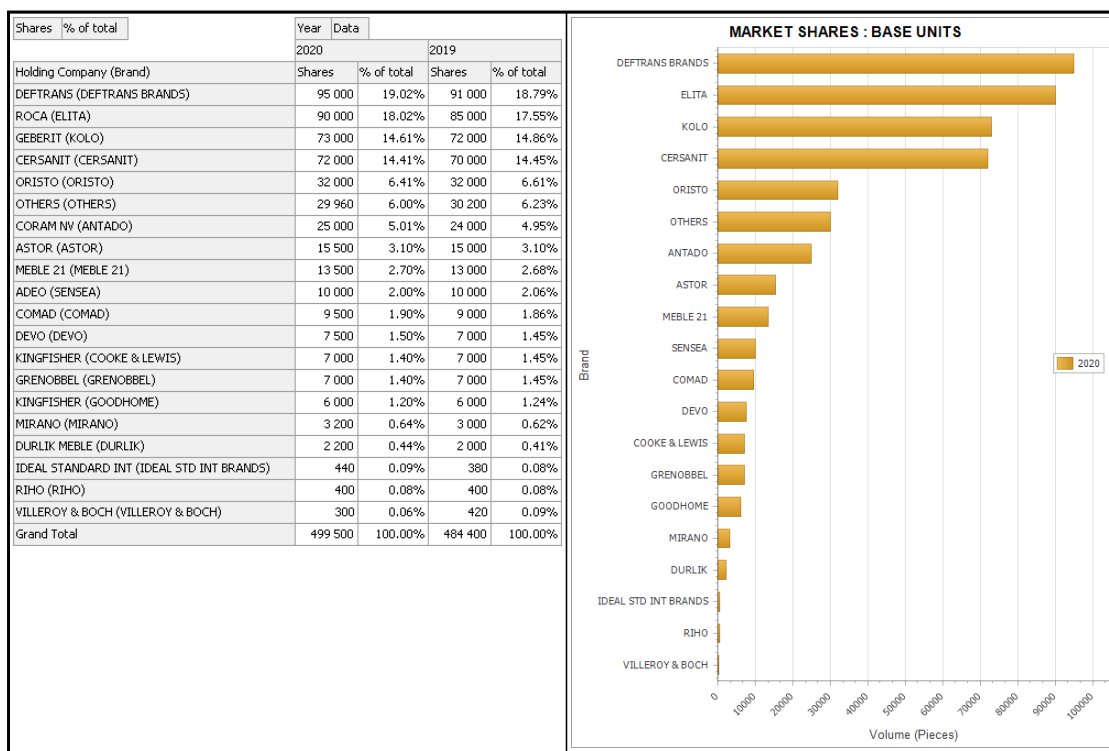
PL - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

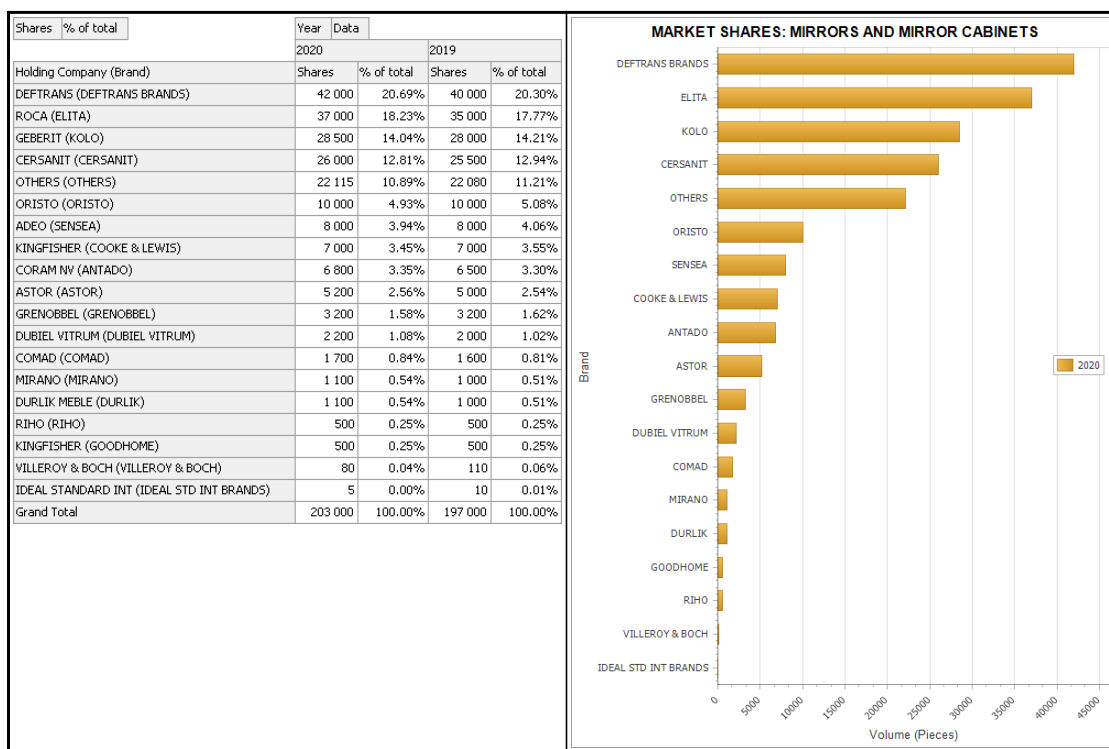
PL - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

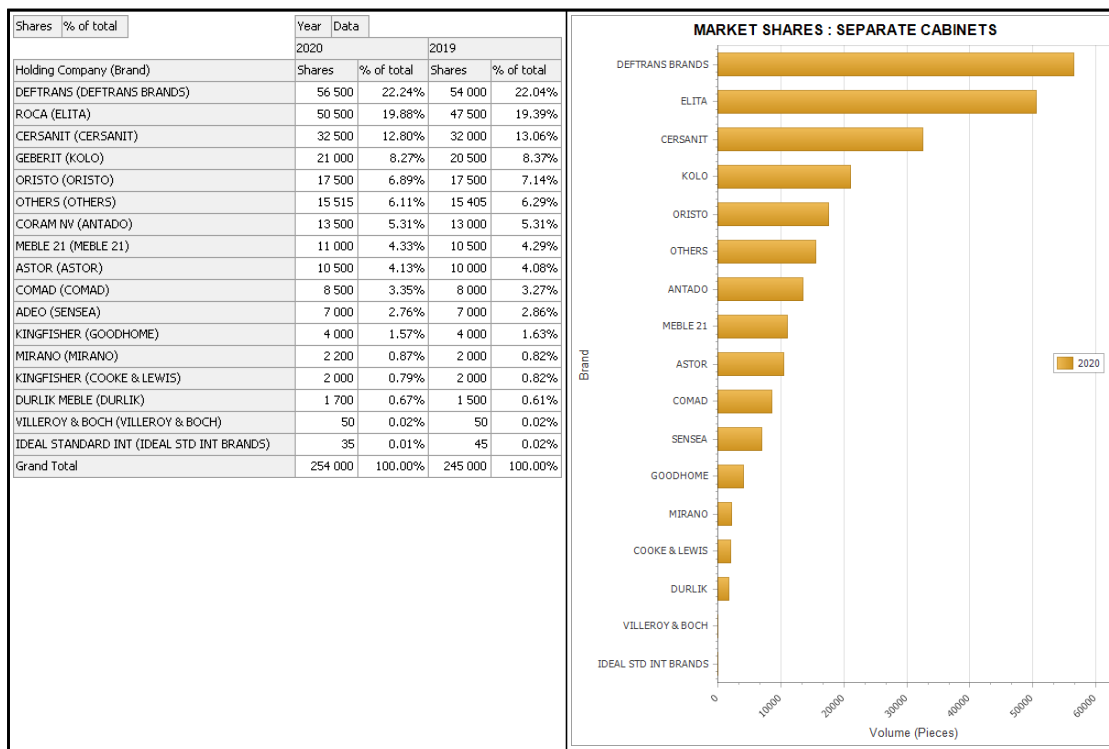
PL - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

PL - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
PL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	69.6%
	Wholesalers / Merchants
	69.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.0%	6.5%	14.7%	17.0%	12.5%	38.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.5%		31.7%		50.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.4%	2.0%	1.0%	1.0%	3.8%
Installers				
8.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.5%	5.3%	7.4%	30.5%	46.0%	7.8%
	Residential					
	97.6%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.8%	0.1%	0.2%	0.7%	0.4%
Non-Residential					
2.4%					

New Build		Residential RMI	
34.2%		63.4%	
Project	Non-Project	Project	Non-Project
0.5%	33.7%	1.5%	61.9%

New Build		Non-Residential RMI	
1.2%		1.2%	
Project	Non-Project	Project	Non-Project
0.1%	1.1%	0.1%	1.1%

5.6.2 Route to Market: Bathroom Furniture
PL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	69.0%
	Wholesalers / Merchants
	69.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.2%	7.0%	14.5%	17.5%	13.0%	38.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.2%		32.0%		51.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	1.0%	1.0%	1.1%	3.7%
Installers				
7.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.5%	4.3%	7.8%	30.7%	47.0%	7.0%
	Residential					
	97.3%					
New Build			Residential RMI			
33.5%			63.8%			
Project	Non-Project		Project	Non-Project		
0.5%	33.0%		1.0%	62.8%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.7%	0.2%	0.2%	0.8%	0.5%
Non-Residential					
2.7%					
New Build			Non-Residential RMI		
1.4%			1.3%		
Project	Non-Project		Project	Non-Project	
0.1%	1.3%		0.1%	1.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

PL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

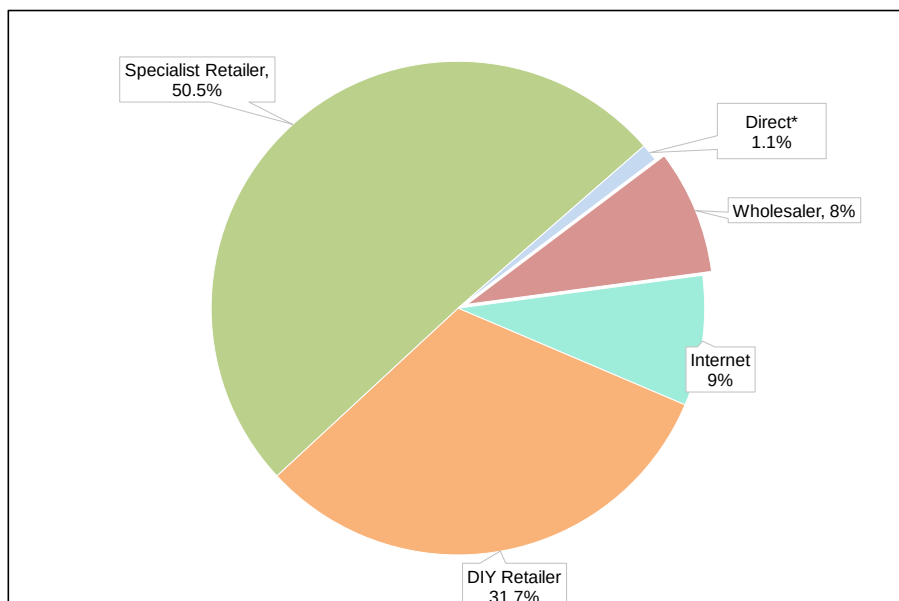
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
8.1%	8.5%	31.7%	50.5%	1.1%	2.0%	0.2%	95.6%	2.2%
100%					2.2%		97.8%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

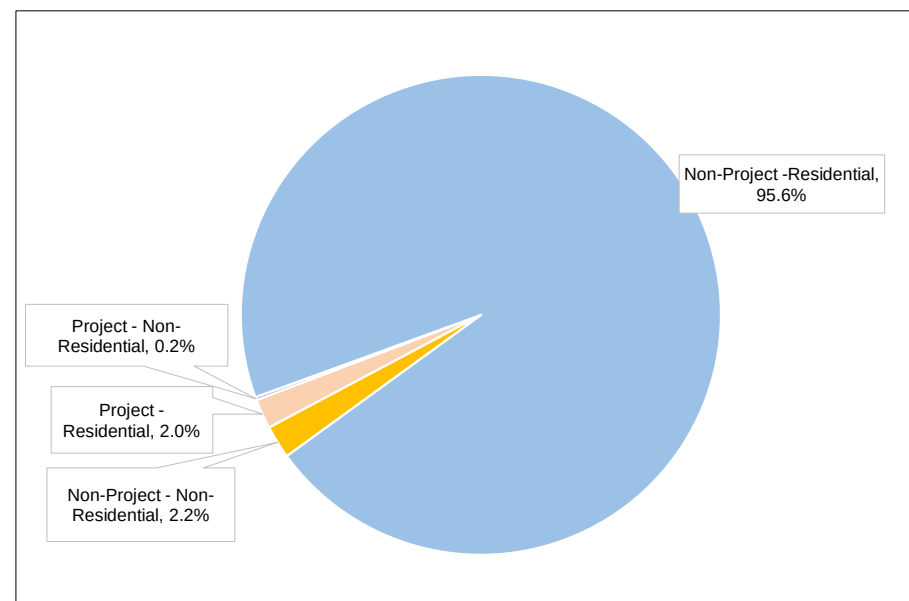
PL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.0%	9.2%	32.0%	51.5%	1.3%	1.5%	0.2%	95.8%	2.5%
100%					1.7%		98.3%	

PL - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



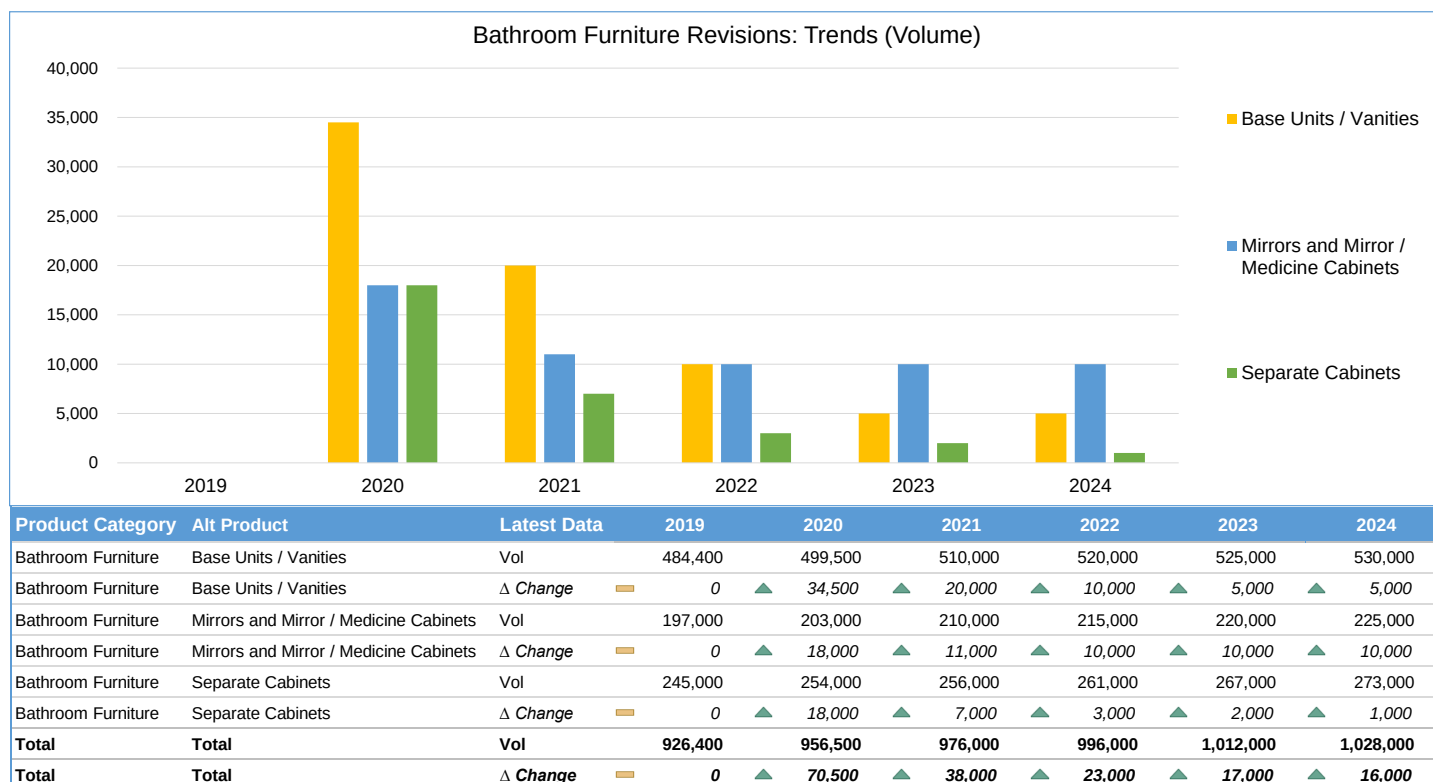
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Polish Bathroom Furniture Market (April 2021)

PL - REVISIONS IN THE POLISH BATHROOM FURNITURE MARKET

Data Comparison: October 2020



The overall sales volumes of bathroom furniture products were revised upwards for base year. Despite the COVID-19 crisis, sales of bathroom products showed quite resilience especially within the housing RMI sector which in turn boosted the demand for such models.

POLAND

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Before the 2000s, the Polish bathroom accessories market was rather small with limited room for development, given the size of the country. Nevertheless, since 2000, partly due to the relaxation of corporate laws, Poland has experienced a rapid expansion of DIY stores. Massive growth of DIY networks, together with increasing private consumption from 2003 onwards, a change in consumer preferences regarding bathroom equipment, leading to increased renovation activities, and a larger range of quality products resulted in fast growth rates in sales of bathroom accessories. This positive trend slowed down somewhat in 2009 in the aftermath of the global economic collapse, and then rebounded in 2012 – bolstered by new construction output, which briskly peaked in that year as a consequence of the large number of building permits released prior to the economic deceleration of the country in 2009.

The Polish bathroom accessories market is characterised by a strong trend towards the most popular types of accessories, such as soap dispensers and holders, toilet brushes, toilet paper holders and towel holders. These products account for the vast majority of the market.

Recent Market Trends

The market for bathroom accessories sustained its growth in 2020, continuing the positive trend observed in previous years despite the COVID-19 pandemic outbreak – the impact of the pandemic was very soft due to relatively low prices of bathroom accessories and ease of their installation. Like in previous years, the sales were driven mostly by housing RMI, with an increased contribution from new housing resulting from good growth rates recorded in the new dwelling completions.

The continuous increase of private consumption in recent years facilitated the shift from cheap synthetic products towards more expensive bathroom accessories made of glass and wood, especially noticeable in the sales of towel and bathrobe hooks, towel holders, waste paper bins, soap holders and shelves. Despite this, synthetic bathroom accessories remained the most common products purchased. The ongoing shift towards shower trays boosted the sales of shower storage units as well as metal and glass soap holders, while the trend towards small bathrooms in new apartments slowed down sales of additional shelves, apart from models installed above washbasins.

Prices and Market Values

The values across all bathroom accessories continued to increase slightly in 2020, partly thanks to the overall growth in sales of bathroom accessories, but also thanks to the increase in demand for higher priced products made from wood and glass and a slight increase recorded in the MSPs for particular product types.

Like in other segments of the bathroom market, competition makes any considerable price hikes difficult and, in fact, the shift towards products from higher price brackets is rather slow, so much so that the average MSPs are well below the values seen in Western Europe, below even those in many other Eastern European EU countries.

With a dramatic increase observed in the production cost in 2020, with prices for raw materials and transport growing very rapidly, some considerable price hikes are expected in 2021, in fact several players already applied them in the first quarter 2021.

New Housing

The demand for bathroom accessories from the new housing segment kept growing in 2020 in line with the growth rate recorded in the new dwelling completions.

The popularity of bathroom accessory sets continued to increase in 2020, similarly to previous years, as more and more customers are attracted by their competitive prices, especially when combined with frequent promotions offered by the DIY networks. Sets usually include a soap dispenser, soap holder, toilet brush and toothbrush holder.

As the new residential construction proved to be highly resilient to the impact of the pandemic, sales to new housing are expected to continue growing in 2021.

Housing RMI

Cuts in the budget for home improvement, which were a frequent consequence of a high level of uncertainty experienced by many after the COVID-19 pandemic outbreak, did not affect the replacement segment for bathroom accessories primarily due to their relatively low prices. Moreover, every such product can be easily installed, which mattered in times of social distancing rules in place.

In 2020, sales to housing RMI continued growing and the segment remained the main driver for the bathroom accessories market, with the vast majority of bathroom products sold to housing RMI being like-for-like replacements. The replacement of existing products often takes place during larger reconstruction or modernisation projects, most demand, however, comes from individual customers.

Non-Housing

With non-housing construction contracting in 2020 as a result of a decline in investments following the outbreak of the COVID-19 pandemic, sales of bathroom accessories to the non-housing sector fell, continuing to represent the lowest share among all end-use sectors.

In previous years, demand for bathroom accessories continued growing, mostly reliant on the bathroom accessories installed in existing buildings, rather than new leisure facilities and hotels. As a matter of fact, modernisations projects in non-housing became less frequent, particularly in the hotel segment, where a number of companies experienced serious difficulties with cashflow.

The non-housing construction is anticipated to return to growth with investors regaining confidence once the pandemic is under control.

Supply Structure

The Polish bathroom accessories market remains highly fragmented with the largest share in the hands of domestic manufacturers, followed by foreign providers and companies manufacturing in the Far East. Relatively low costs of local production give an advantage to the Polish manufacturers, which have also been expanding abroad. In the past, plastic bathroom accessories used to be supplied exclusively by Polish manufacturers; currently, however, products made of this material are also supplied by importers.

In 2020, the largest domestic manufacturer was the Wrocław-based MERIDA, providing a comprehensive range of bathroom accessories, with a wide presence in several Eastern European countries. Another local manufacturer, BISK, is in fact the largest player in terms of revenue derived from bathroom accessories; however, most of its sales are exports. The company offers a vast portfolio of metal and plastic collections with the Ventura, Luna and Passion collections including towel holders, soap holders, shelves, soap dispensers and other accessories made of chrome with glass and plastic elements. Besides these three, BISK also offers more than 20 metal and over 10 plastic collections, continually extending its product portfolio (e.g. in 2019 the company presented its new line, Tore). The third-largest manufacturer, the Dutch CORAM, in addition to bathroom accessories also provides bathroom furniture, via a local supplier it recently acquired, ANTADO. The accessories portfolio of CORAM comprises several brands, although most bathroom accessories are sold under the brand TIGER.

The remaining share of the market in 2020 continued to be highly fragmented, with numerous domestic and foreign manufacturers.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people

generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3%, to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

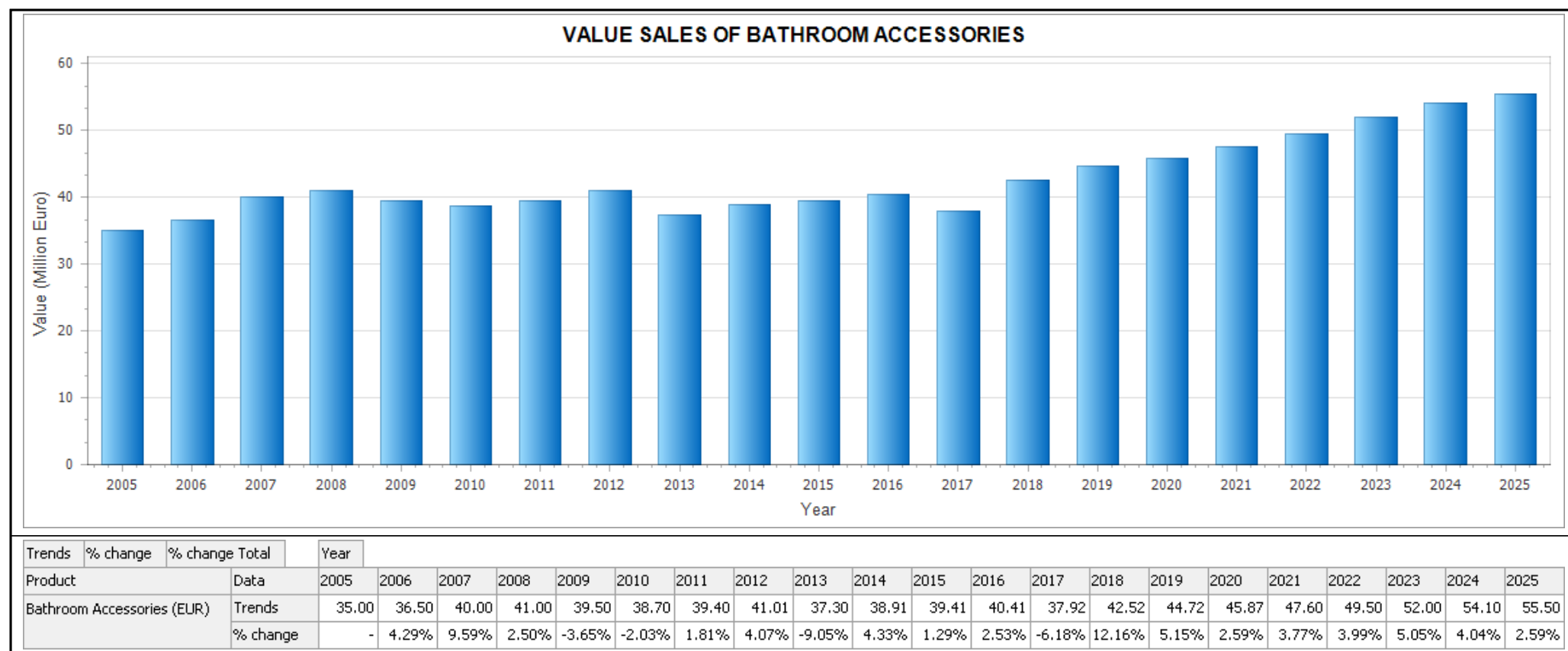
In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in January 2021 was practically offset in February. A certain drop was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the Polish bathroom market, in particular on sales of bathroom accessories, BRG expects that in 2021 the segment should show a healthy increase in sales with a positive outlook for the remainder of the forecast period and good growth rates driven primarily by demand from the RMI end-use sector.

The shift from economy/lower priced products towards the middle and upper price brackets, observed in recent years, is anticipated to continue though at a slow pace with price remaining the main market driver.

6.2 Historical Trends and Forecasts

PL - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

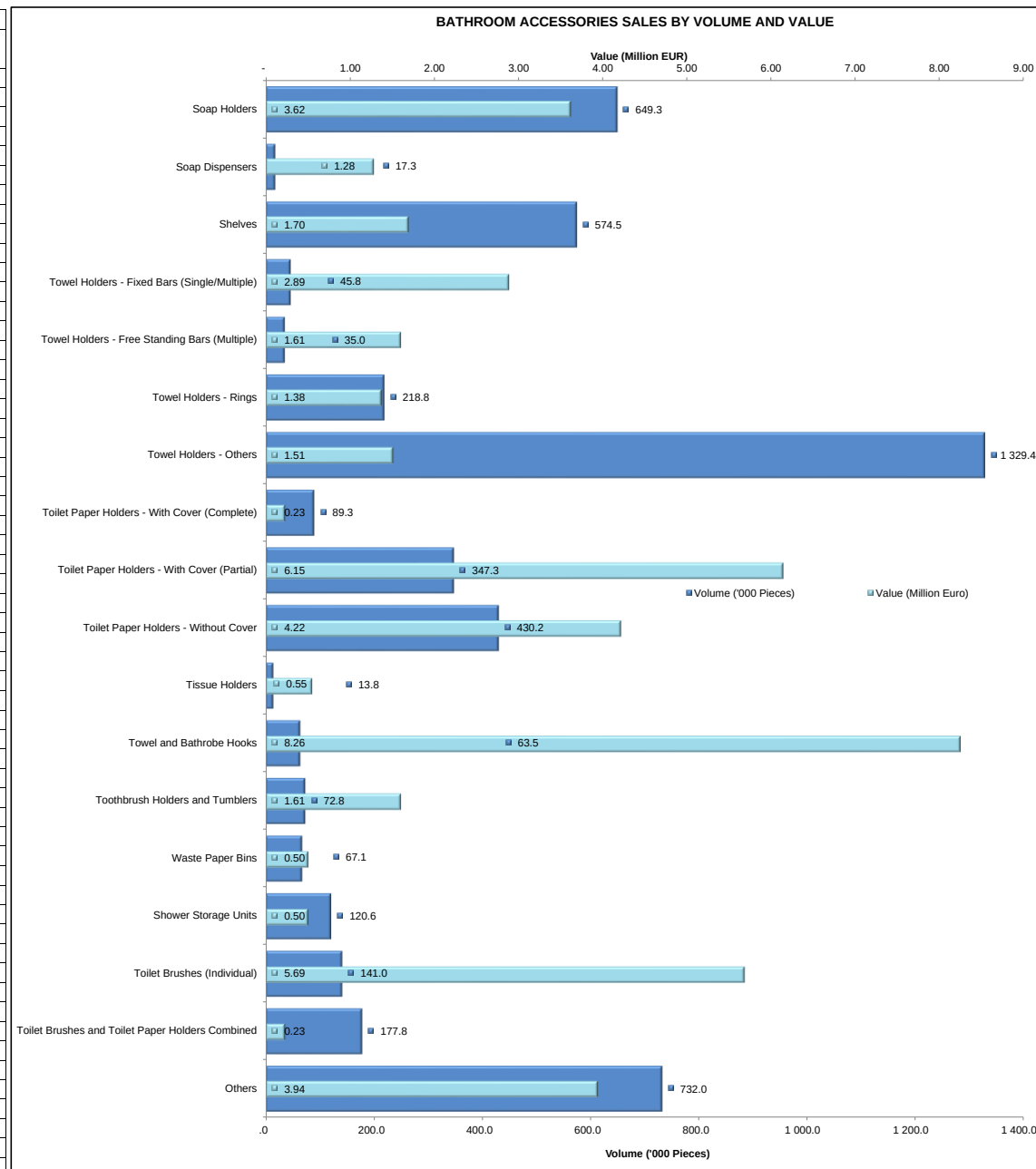
6.3 Prices and Market Values : Bathroom Accessories

PL - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2020		
		Volume ('000 Pieces)	Value (Million PLN)	Value (Million EUR)
Soap Holders	Volume / Value	732.0	16.1	3.6
	Share	14.3%	7.9%	7.9%
	Average Price (PLN/EUR)		22.0	5.0
Soap Dispensers	Volume / Value	177.8	5.7	1.3
	Share	3.5%	2.8%	2.8%
	Average Price (PLN/EUR)		32.1	7.2
Shelves	Volume / Value	141.0	7.5	1.7
	Share	2.8%	3.7%	3.7%
	Average Price (PLN/EUR)		53.5	12.0
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	120.6	12.8	2.9
	Share	2.4%	6.3%	6.3%
	Average Price (PLN/EUR)		106.5	24.0
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	67.1	7.1	1.6
	Share	1.3%	3.5%	3.5%
	Average Price (PLN/EUR)		106.4	23.9
Towel Holders: Rings	Volume / Value	72.8	6.1	1.4
	Share	1.4%	3.0%	3.0%
	Average Price (PLN/EUR)		84.0	18.9
Towel Holders: Others	Volume / Value	63.5	6.7	1.5
	Share	1.2%	3.3%	3.3%
	Average Price (PLN/EUR)		106.0	23.9
Toilet Paper Holders: With Cover (Complete)	Volume / Value	13.8	1.0	0.2
	Share	0.3%	0.5%	0.5%
	Average Price (PLN/EUR)		74.0	16.7
Toilet Paper Holders: With Cover (Partial)	Volume / Value	430.2	27.3	6.1
	Share	8.4%	13.4%	13.4%
	Average Price (PLN/EUR)		63.5	14.3
Toilet Paper Holders: Without Cover	Volume / Value	347.3	18.8	4.2
	Share	6.8%	9.2%	9.2%
	Average Price (PLN/EUR)		54.0	12.2
Tissue Holders	Volume / Value	89.3	2.4	0.6
	Share	1.7%	1.2%	1.2%
	Average Price (PLN/EUR)		27.4	6.2
Towel and Bathrobe Hooks	Volume / Value	1 329.4	36.7	8.3
	Share	25.9%	18.0%	18.0%
	Average Price (PLN/EUR)		27.6	6.2
Toothbrush Holders and Tumblers	Volume / Value	218.8	7.1	1.6
	Share	4.3%	3.5%	3.5%
	Average Price (PLN/EUR)		32.6	7.3
Waste Paper Bins	Volume / Value	35.0	2.2	0.5
	Share	0.7%	1.1%	1.1%
	Average Price (PLN/EUR)		64.0	14.4
Shower Storage Units	Volume / Value	45.8	2.2	0.5
	Share	0.9%	1.1%	1.1%
	Average Price (PLN/EUR)		49.0	11.0
Toilet Brushes (Individual)	Volume / Value	574.5	25.3	5.7
	Share	11.2%	12.4%	12.4%
	Average Price (PLN/EUR)		44.0	9.9
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	17.3	1.0	0.2
	Share	0.3%	0.5%	0.5%
	Average Price (PLN/EUR)		59.0	13.3
Others	Volume / Value	649.3	17.5	3.9
	Share	12.7%	8.6%	8.6%
	Average Price (PLN/EUR)		27.0	6.1
TOTAL	Volume in '000/Value in Million	5125.2	203.8	45.9
	Share	100.0%	100.0%	100.0%
	Average Price (PLN/EUR)		39.8	9.0

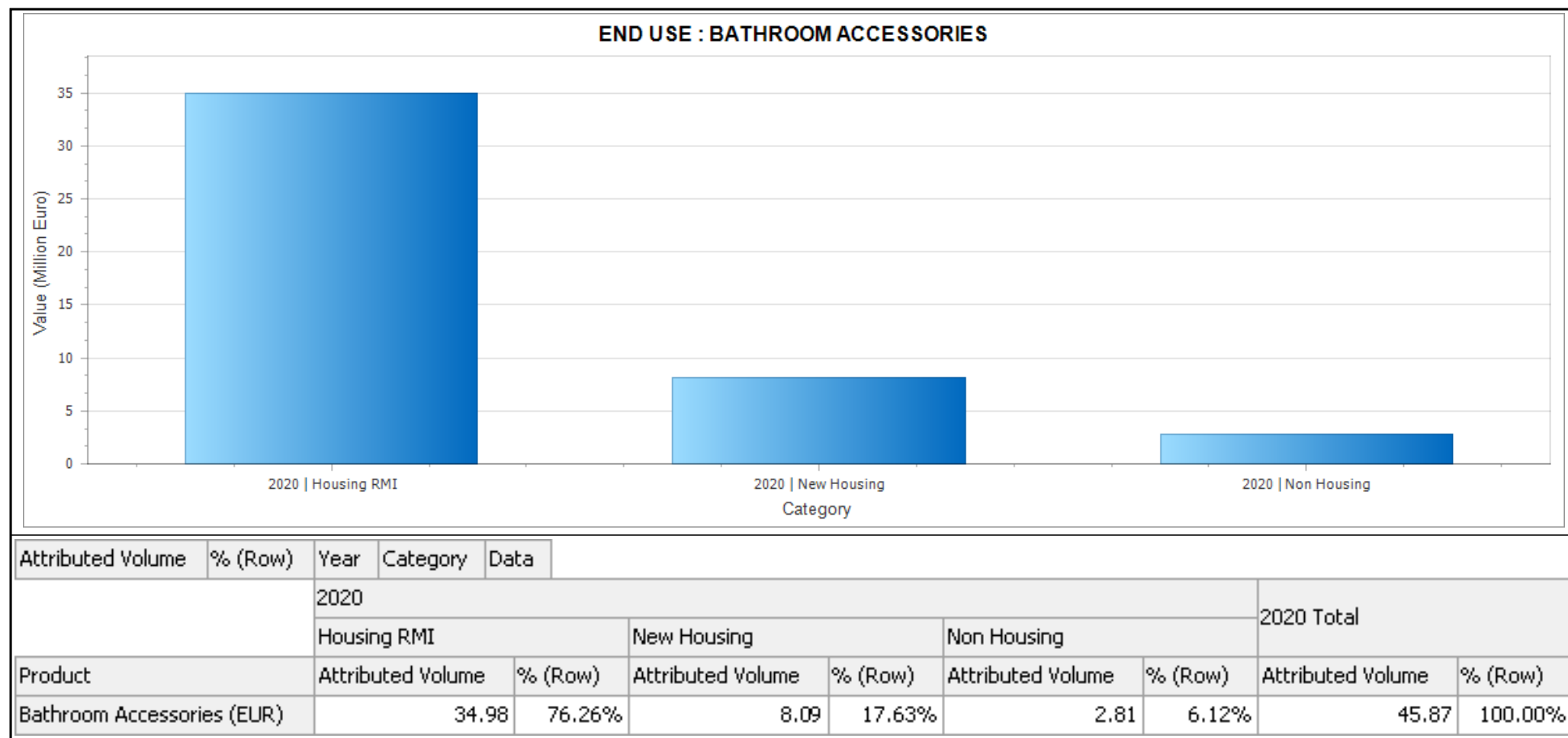
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

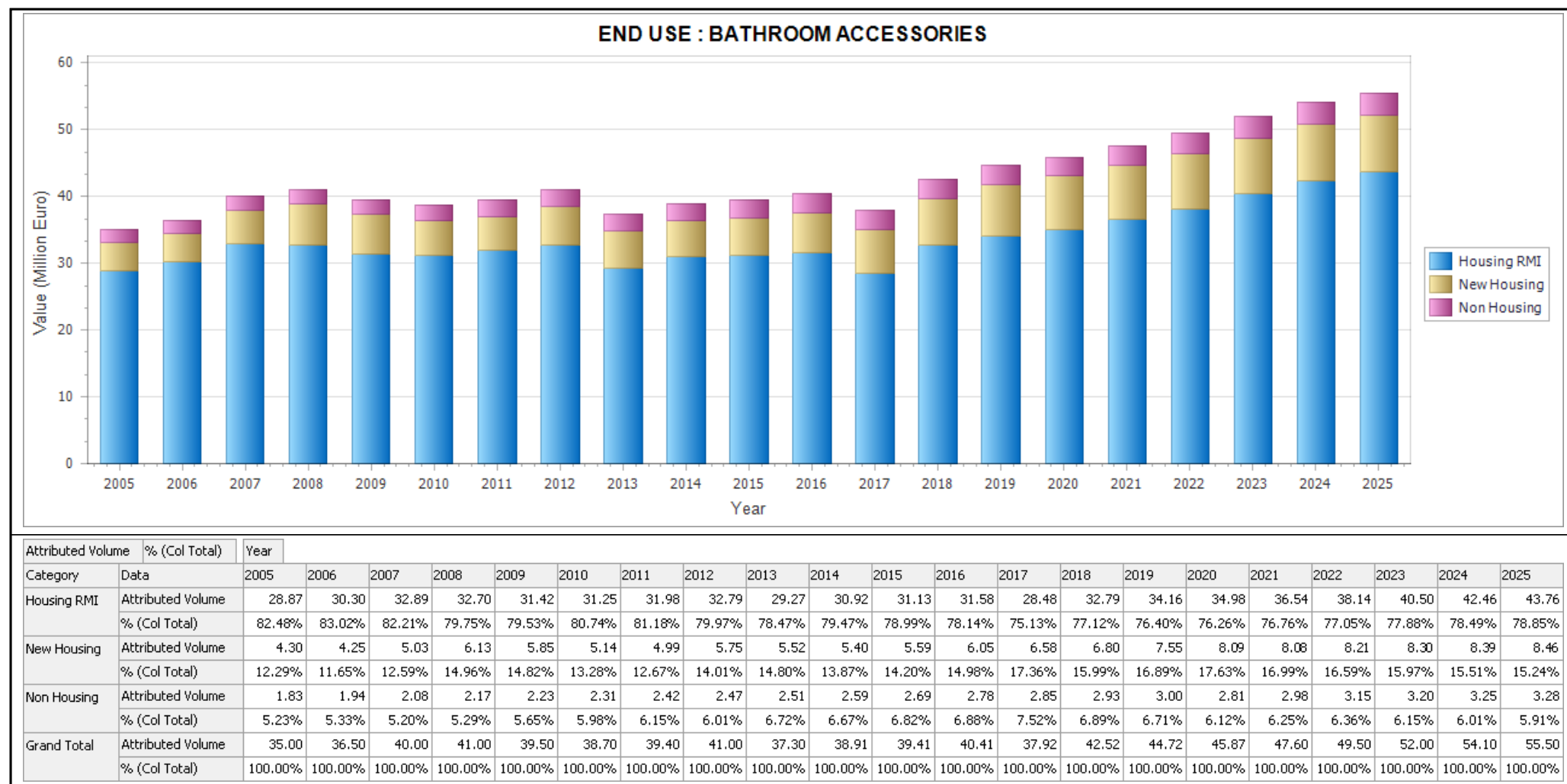
PL - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

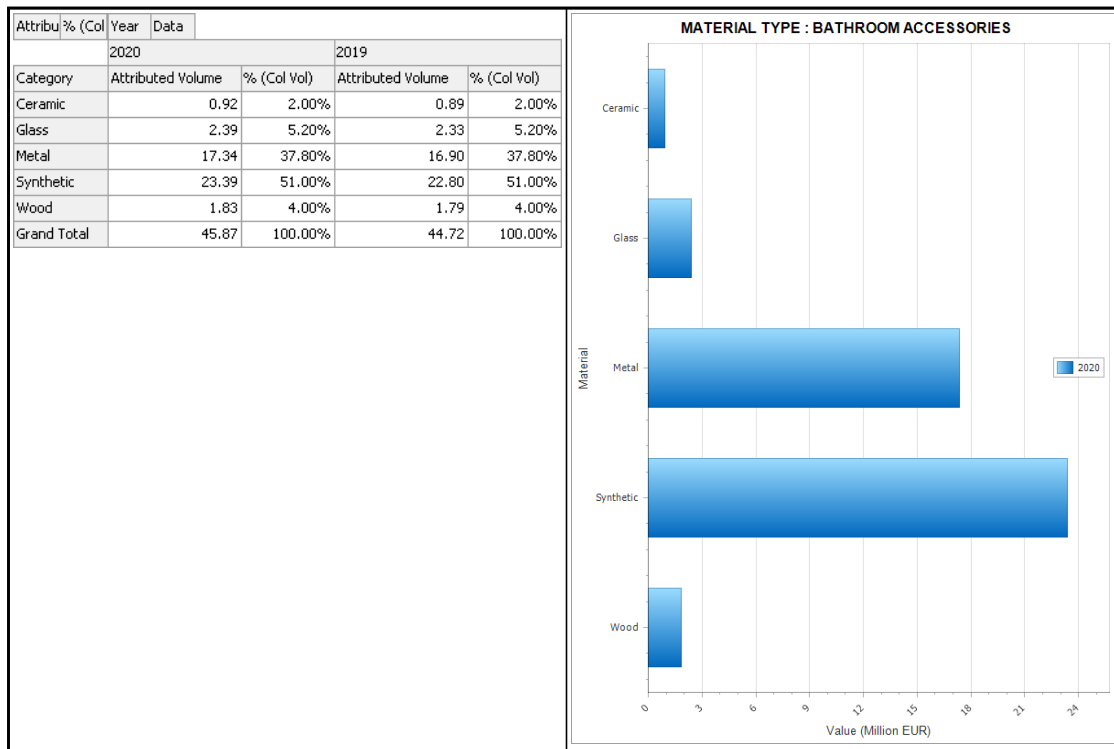
PL - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

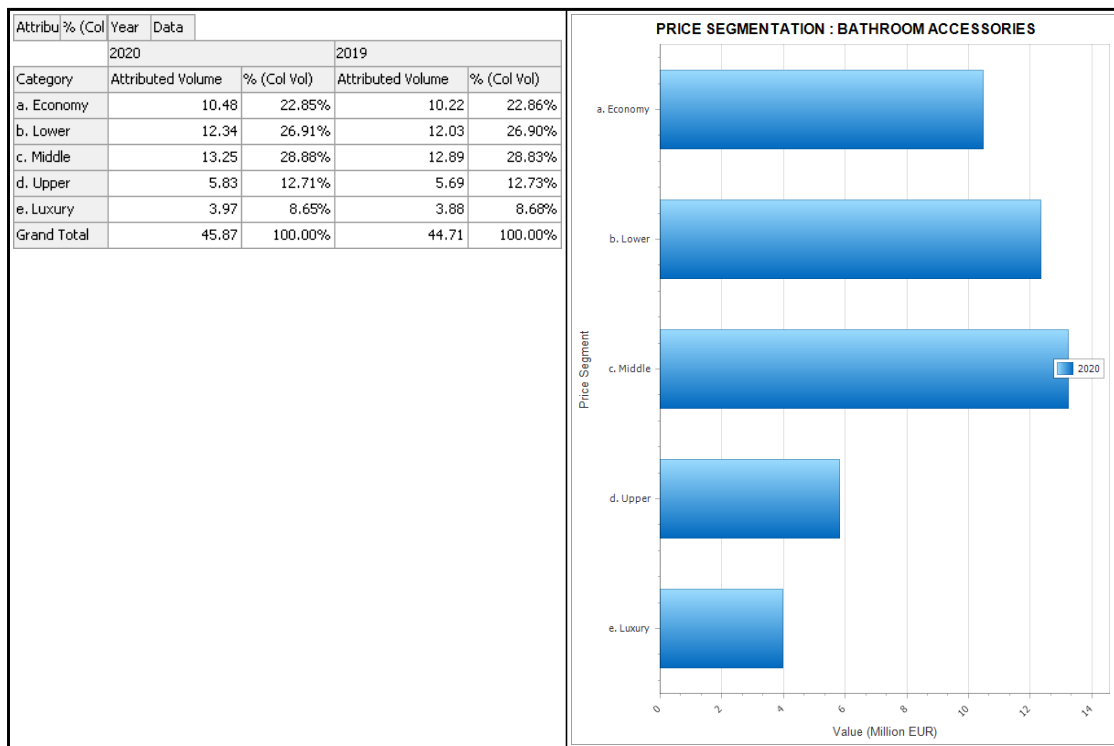
PL - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

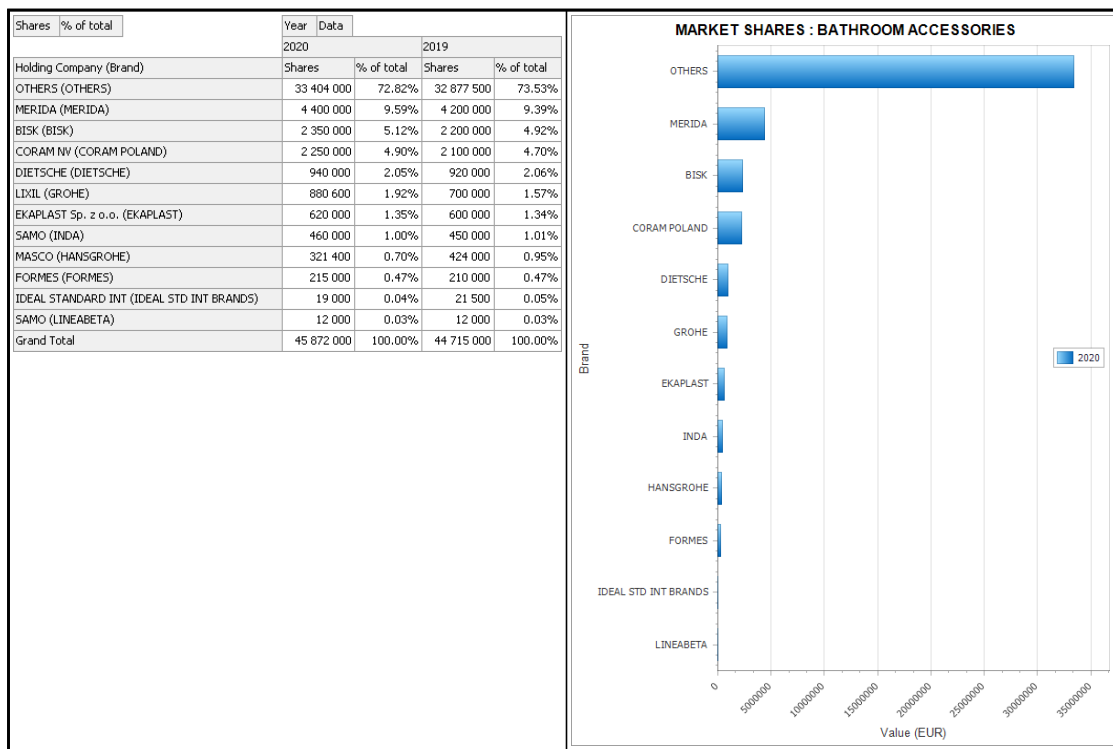
PL - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

PL - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
PL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.1%
	Wholesalers / Merchants
	60.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.3%	10.0%	15.5%	17.0%	17.2%	25.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	16.3%		32.5%		42.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	1.0%	1.0%	1.0%	2.7%
Installers				
6.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.1%	5.1%	15.2%	31.3%	37.5%	4.7%	0.2%	1.5%	0.1%	0.2%	2.5%	1.6%
	Residential						Non-Residential					
	93.9%						6.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.6%			76.3%			3.1%			3.0%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	0.1%	17.5%		0.5%	75.8%		0.2%	2.9%		0.2%	2.8%	

6.6.2 Route to Market: Bathroom Accessories (EUR)
PL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.0%
	Wholesalers / Merchants
	60.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.0%	12.0%	15.7%	16.0%	16.5%	24.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	19.0%		31.7%		41.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	1.0%	1.5%	1.2%	2.4%
Installers				
6.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.1%	5.2%	17.4%	30.3%	36.0%	5.1%	0.2%	1.3%	0.1%	0.2%	2.6%	1.5%
	Residential						Non-Residential					
	94.1%						5.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.2%			78.8%			3.0%			2.9%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	0.1%	15.1%		0.5%	78.3%		0.2%	2.8%		0.2%	2.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

PL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

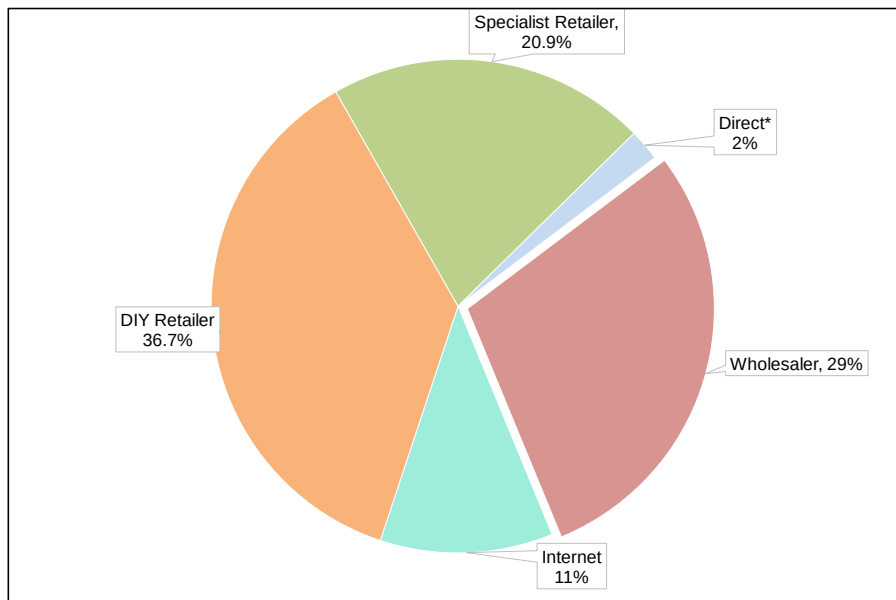
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.1%	11.3%	36.7%	20.9%	2.1%	10.0%	2.9%	83.3%	3.8%
100%					12.9%		87.1%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

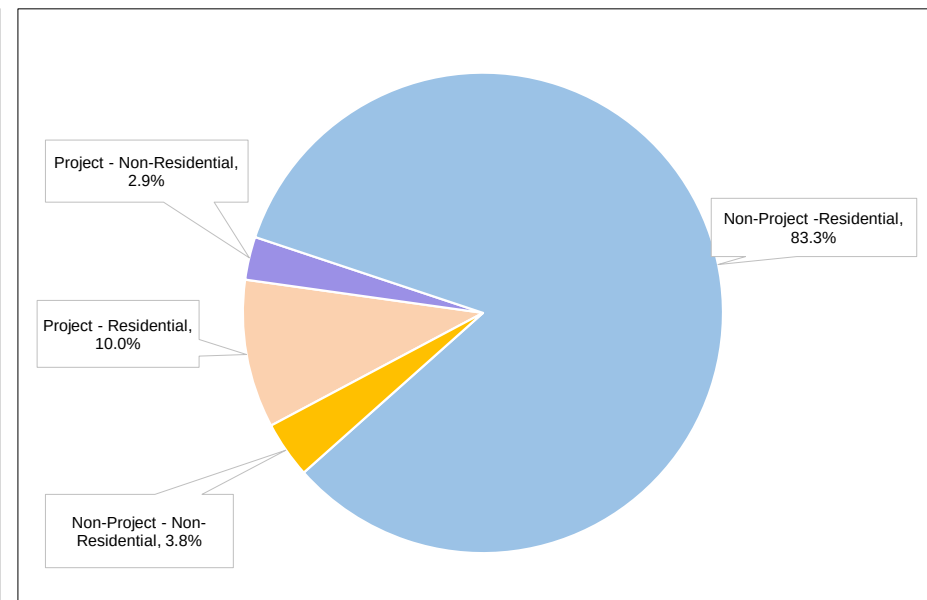
PL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.0%	13.0%	38.0%	21.0%	2.0%	9.0%	3.1%	84.0%	3.9%
100%					12.1%		87.9%	

PL - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



PL - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



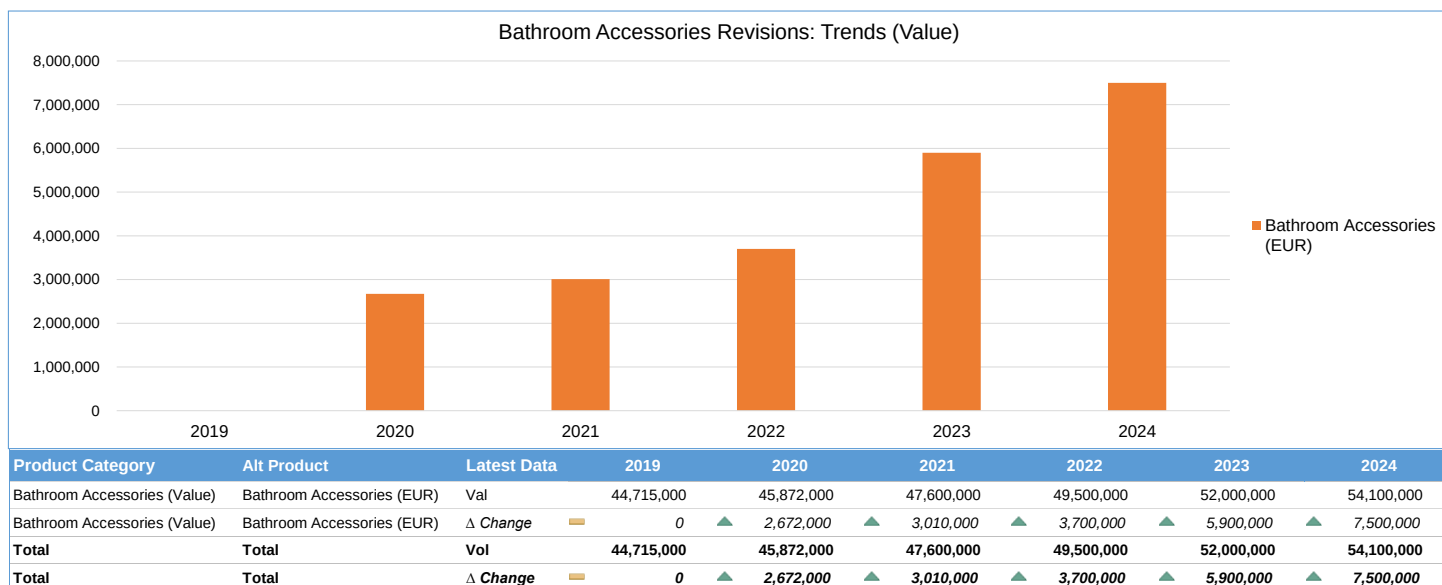
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Polish Bathroom Accessories Market (April 2021)

PL - REVISIONS IN THE POLISH BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



The overall values of bathroom accessories were revised upwards for base year. Despite the COVID-19 crisis, sales of bathroom products showed quite resilience especially within the housing RMI sector which in turn boosted the demand for such models.

POLAND

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Before the early 1990s, the Polish shower accessories market was non-existent, with a few state-owned companies sharing an oligopoly. At that time, bathrooms were usually equipped with baths that had a wall mounted two head mixer installed above. Such mixers were commonly supplemented with a plastic hose and a single function shower head. Showering was enabled by a built-in metal knob atop of the mixer.

This trend changed at the beginning of the 1990s, with the emergence of foreign DIY stores and small local companies which were either manufacturing shower accessories or importing them from Russia and the Far East. The Polish shower accessories market evolved further, due to strong housing RMI activity that was enhanced by the improving economic conditions of Polish households. Nowadays, DIY stores and hypermarkets are the dominant distribution channels for bathroom accessories.

The shower accessories market in Poland is dominated by local companies that import products from the Far East and distribute via DIY stores. Moreover, there is a strong competition between manufacturers within the economy and middle price ranges. Many manufacturers continue to add low/economy product lines to their portfolio, which has recently helped them to increase their sales.

In terms of volume, flexible hoses account for well over 40% of the sales of shower accessories, with metal models heavily dominating the market. Shower heads constitute the second largest group of products on the Polish shower accessories market, followed by shower supports. A few years ago, single function shower heads accounted for about half of the total sales. However, since then consumer demand has shifted towards adjustable models which have begun to grow to the detriment of other shower head product types. Thanks to the changing preferences of Polish customers, fixed heads have also rapidly gained popularity. This type of shower head is mainly found as part of shower pipe sales. Shower pipes are often installed in new one- and two-family households, although most demand comes from the replacement segment as a growing number of customers decide to replace old shower sets with shower pipes attracted by their relatively low prices. The segment continues to grow at a good pace and the share of shower pipes within the overall market is expected to increase further. Sales of fixed side jets, initially mounted in non-residential housing, particularly in buildings such as schools and hospitals as well as in sport facilities, slightly increased in recent years; however, in the long run the trend is expected to decline as the fixed side jets are more and more often substituted by adjustable shower heads. Sales of shower supports, such as bars and holders, are mainly driven by housing RMI. Sales of the former type of shower supports consist practically solely of models of no more than 90 cm in length.

In recent years shower panels have become increasingly popular among the Polish customers, due to their relatively low prices (as compared to hydrotherapy products) and ease of installation. In 2019, sales of shower panels continued growing with practically every large manufacturer of showering products including some models of shower panels in their portfolio.

Recent Market Trends

The COVID-19 outbreak had a limited impact on the shower accessories segment. During the anti-pandemic restrictions customers showed concerns regarding investments in renovations, including bathroom equipment replacement and were often reluctant to invite installers to work within their premises due to social distancing rules. This, however, was not the case with flexible hoses, shower heads and supports, relatively cheap and very easy to install. Shower pipes, with prices for non-thermostatic models starting under PLN 200 (about EUR 45) and very high demand observed in recent years, saw a considerable slowdown in sales volume, still recording a slight increase. Only sales of shower panels, relatively expensive, showed a decline in sales in 2020.

As in previous years, in 2020 replacement demand continued to drive positively sales of shower accessories due to relatively limited lifespans of these products. Flexible hoses remained dominant, with sales accounting for over 40% of total sales of shower accessories, as this type of bathroom product is usually replaced more often than shower heads and shower supports, as mechanical damage often occurs to the gasket.

Moreover, like in previous years, also in 2020 adjustable shower heads and single function models were the most commonly replaced shower heads, due to low quality mechanisms installed in economy models as well as poor quality gaskets causing leaks. Demand for fixed heads, on the other hand, although relatively low, continued to gain share in the product-mix – these models are usually assembled with more expensive parts made of materials resilient to mechanical damage as well as corrosion and limestone – with the continued improvement of the disposable income of Polish households their popularity keeps growing.

In 2020, manufacturers continued to sell a significant number of fixed heads bundled with an adjustable shower head, one flexible hose and one shower support. In fact, sales of shower sets in 2020 continued to increase at a relatively fast pace as consumer preferences shift rapidly towards complete shower solutions. It is worth mentioning that shower sets with fixed heads mounted to the ceiling continued to enjoy strong demand from new housing, but sales of sets with external piping systems, on the other hand, were driven rather by demand from the housing RMI segment – as the installation of the former model demands penetration of the bathroom walls and ceilings themselves.

Shower pipes showed in recent years very good growth rates, with demand coming from all end-use sectors; however, by far the most sales go to RMI as displacement of old shower sets, as a growing number of customers decide to replace their old

shower sets with a shower pipe, most often choosing products with a non-thermostatic mixer, which considerably lowers the price and the cost of installation. Currently, many players offer relatively cheap models of shower pipes, typically imports from the Far East, which are distributed through DIY networks. Products from middle- and upper-price segments, typically equipped with thermostatic mixers, are also available, although account for a relatively small portion of the segment, primarily due to a considerable difference in price, as compared to shower pipes with non-thermostatic mixers. A certain volume of shower pipes is also distributed on a stand-alone basis, that is without mixer, which allows customers to choose what mixer they want to install. In 2020, demand for displacement continued growing although at a slower pace than in 2019, like in previous years regarding mostly models with non-thermostatic mixers.

The growing popularity of shower panels is in recent years, apart from growth observed in the shower pipes segment, one of the key trends in this market. The decline in sales in 2020 was due to relatively high prices; however, shower panels are expected to return to growth in 2021. Most demand comes from RMI, as relatively low prices appeal to a number of customers intending to replace their old shower sets. With demand growing practically all large manufacturers offer a choice of shower panels, trying to attract customers not satisfied with economy class products and to monetise on the continued increase in disposable income of the Polish households. Overall, however, sales of shower panels remain relatively small as compared to other product segments.

Prices and Market Values

In 2020, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher than in 2019 inflation ratio and increasing production and transport cost, prices for bathroom products, including shower accessories, grew moderately, by 3-4% on average. Most importantly, the impact of the pandemic on the Polish bathroom market in terms of sales was relatively mild with practically all the segments showing a good recovery after experiencing problems with supplies and distribution in the wake of the pandemic. Moreover, like in previous years, the fierce competition seen in the price-oriented Polish market, amplified by growing sales of own brands introduced by distributors, makes any considerable price hikes rather difficult. Before the end of 2020 only a few manufacturers decided to apply an extra price increase. Nevertheless, due to dramatically increasing prices of raw materials, such as steel and brass, as well as transport – the cost of shipment from the Far East grew in 2020 by 500-600% – a higher than usual increase in price for bathroom products is expected in 2021 and was already applied by several players in the first quarter.

The increasing penetration of shower sets, which usually consist of good quality metal components, as well as consumer preference shifting towards better quality products, continued to leverage moderately the manufacturer's selling prices of shower accessories, although at a relatively low pace. With a very strong position of DIYs, focusing on sales of products from the budget price segment, including the DIYs' own brands, and a fierce competition among the players, the shift towards

products from higher price brackets is very slow and the market remains price-oriented with the average MSPs considerably lower than those seen in Western Europe, lower also than the average values from many other Eastern European EU members.

New Housing

Total sales of shower accessories to new housing continued to grow in 2020, in line with the increasing number of new apartment and house completions and also due to consumer preference shifting from baths towards shower trays and walk-in showers.

Shower heads fixed in the wall still accounted for a significant share of total sales of this type of shower accessory in 2020; nevertheless, sales of shower sets with integrated heads continued to take over the market due to their functionality and ease regarding replacement. This trend was particularly palpable in new one- and two-family houses. Moreover, sales of shower pipes in new houses continued to increase as well, to the detriment of simple sets consisting of one head, hose and mixer. In 2020, shower panel sales to new housing slightly declined, as after the outbreak of the COVID-19 people were more concerned with their spending. As most apartments are sold in so called 'developer state' that is, with a minimum bathroom equipment installed, customers have to purchase the equipment themselves. The relatively high price for shower panels likely made many customers in 2020 choose shower pipes or even a shower set rather than a shower panel.

Housing RMI

As a significant portion of shower accessories are made of low-quality materials, they are characterised by rather short lifespans. Therefore, like in previous years, replacement demand continued to drive positively overall sales of shower accessories in 2020. With only a soft impact of the pandemic observed on RMI sales of this product type – widely available at relatively very low prices and very easy to install – demand kept growing for flexible hoses, shower heads and supports.

Shower pipes, due to their wide availability and relatively low prices, are highly in demand from the RMI segment with a growing number of customers replacing their old showers with shower pipes which massively boosts the sales of this product type, although primarily through sales of cheaper models with non-thermostatic mixers.

As shower panels are relatively new to the Polish market, demand for like-for-like replacement is yet rather weak. There is, however, demand for displacement of old shower sets, as well as baths, with this type of product. However, relatively high prices resulted in a slight decline in demand for shower panels in 2020 as many customers under more challenging circumstances opted for shower pipes, or even traditional shower sets.

Non-Housing

In 2020, demand from the non-housing market, considerably affected by the pandemic outbreak, declined. The hotel and accommodation segment, which is the key non-residential market for bathroom product sales, recorded a dramatic decrease in terms of investments, including new buildings as well as modernisations – hotels were in fact among the most impacted by the pandemic businesses with a great number of companies struggling with cashflow throughout the year.

Overall, sales of flexible hoses continued to dominate the shower accessories product mix in 2020, followed by shower heads and shower supports. Sales of flexible hoses were mainly generated by non-residential replacement, in particular the hotel industry. Also, sales of shower pipes and shower sets benefited from the hotels segment, as most hotels and spas are shifting towards these solutions due to aesthetics and functionality.

Supply Structure

Although the overall market for shower accessories remains very fragmented, sales of a few companies, including INVENA, ARMATURA KRAKOW, FERRO and DEANTE, offering rather low-priced products, continued to account for the largest portion of the market. The group includes also the DIYs which are much more active in shower accessories than in other segments, with the combined shares of their own brands between 0% and 20% depending on the product type. On the other hand, manufacturers positioned on the middle- to high-end market, such as HANSGROHE and GROHE also hold a substantial portion of the market, although smaller, in spite of consumer preference shifting towards the middle and upper product range.

In 2020, the largest player in terms of sales volume was the domestic INVENA, providing a wide range of economy priced products through several DIY networks. It was followed by two other local players, FERRO and DEANTE, also focusing on distribution of affordable products via DIYs.

Among shower pipes manufacturers, the largest segment share was held by KUCHINOX, offering its products under two brands: KUCHINOX targeting customers from the low-end market and LAVEO with products from the middle and upper price brackets. It was followed by INVENA and DEANTE, with CASTORAMA's owner, KINGFISHER, ranking the fourth-largest player.

The shower panels market is believed to be controlled by DEANTE and INVENA followed by the KINGFISHER's COOKE & LEWIS.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

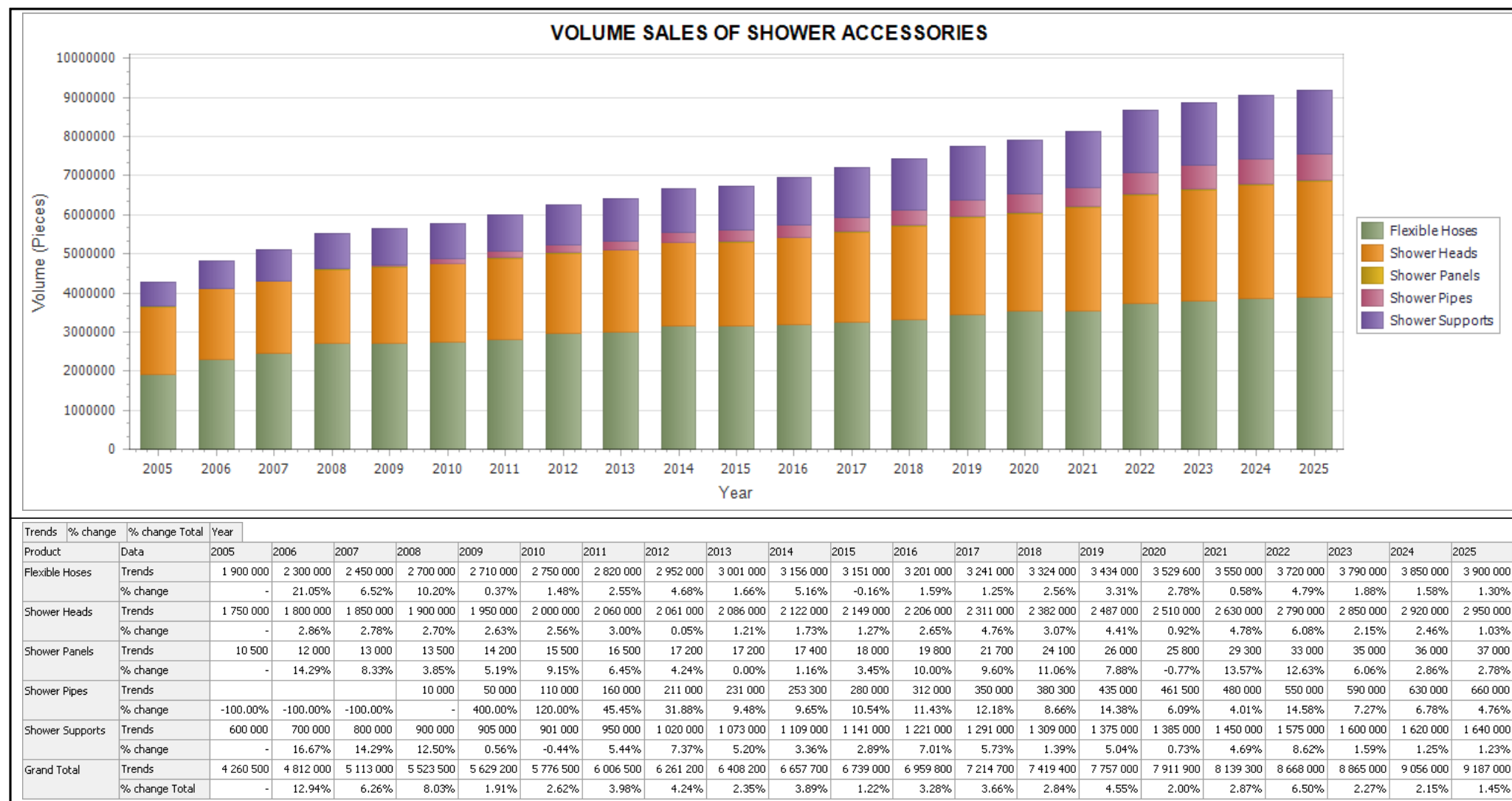
Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3%, to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in January 2021 was practically offset in February. A certain decline was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the Polish bathroom market, in particular on sales of shower accessories, BRG expects that in 2021 the segment should continue growing at a good pace with all product categories recording a positive momentum. Particularly shower pipes are set for growth at a fast rate with anticipated continued increase in demand for displacement of old shower systems with shower pipes throughout the forecast period. As a result, shower pipes should increase their share in the shower accessories market. Also, shower panel sales are expected to keep growing in 2021-2025. This product type successfully competes against hydrotherapy shower cubicles, still, its sales, compared to other products from the shower accessories segment, are likely to remain marginal in terms of volume. The share of shower sets is likely to continue growing, however, as replacement sales account for the lion's share of the sales volume, overall the share of sets is likely to remain relatively small.

7.2.1 Historical Trends & Forecasts : Shower Accessories

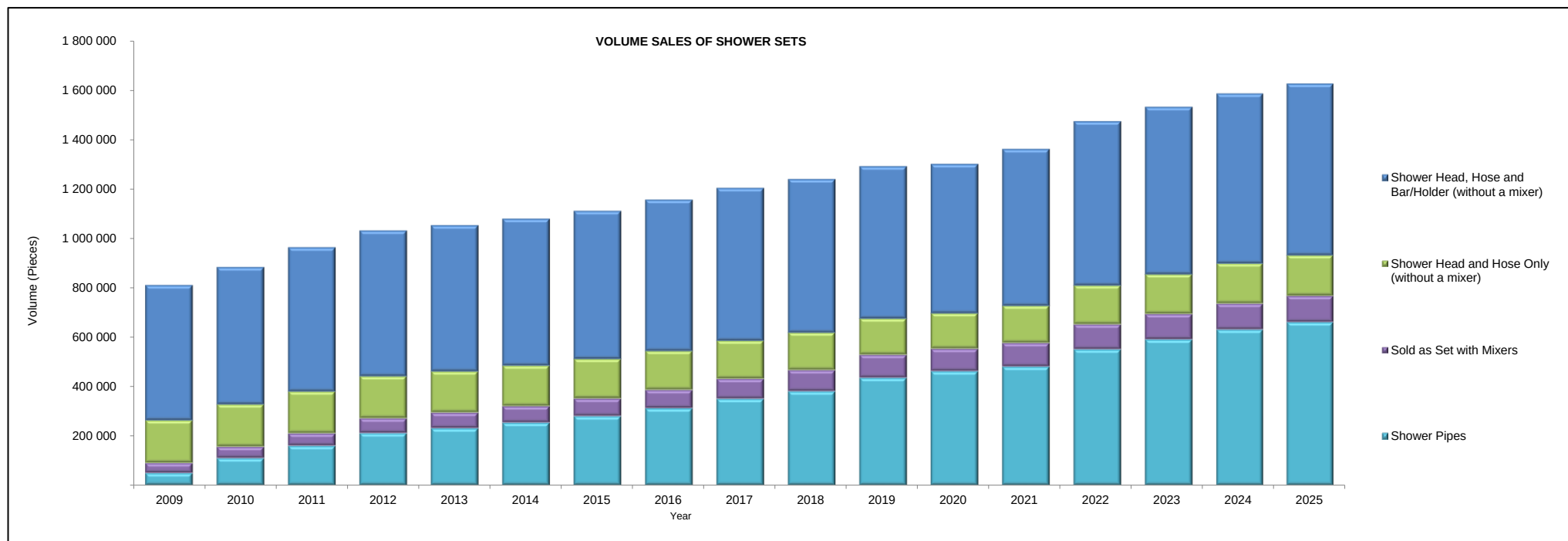
PL - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets

PL - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS

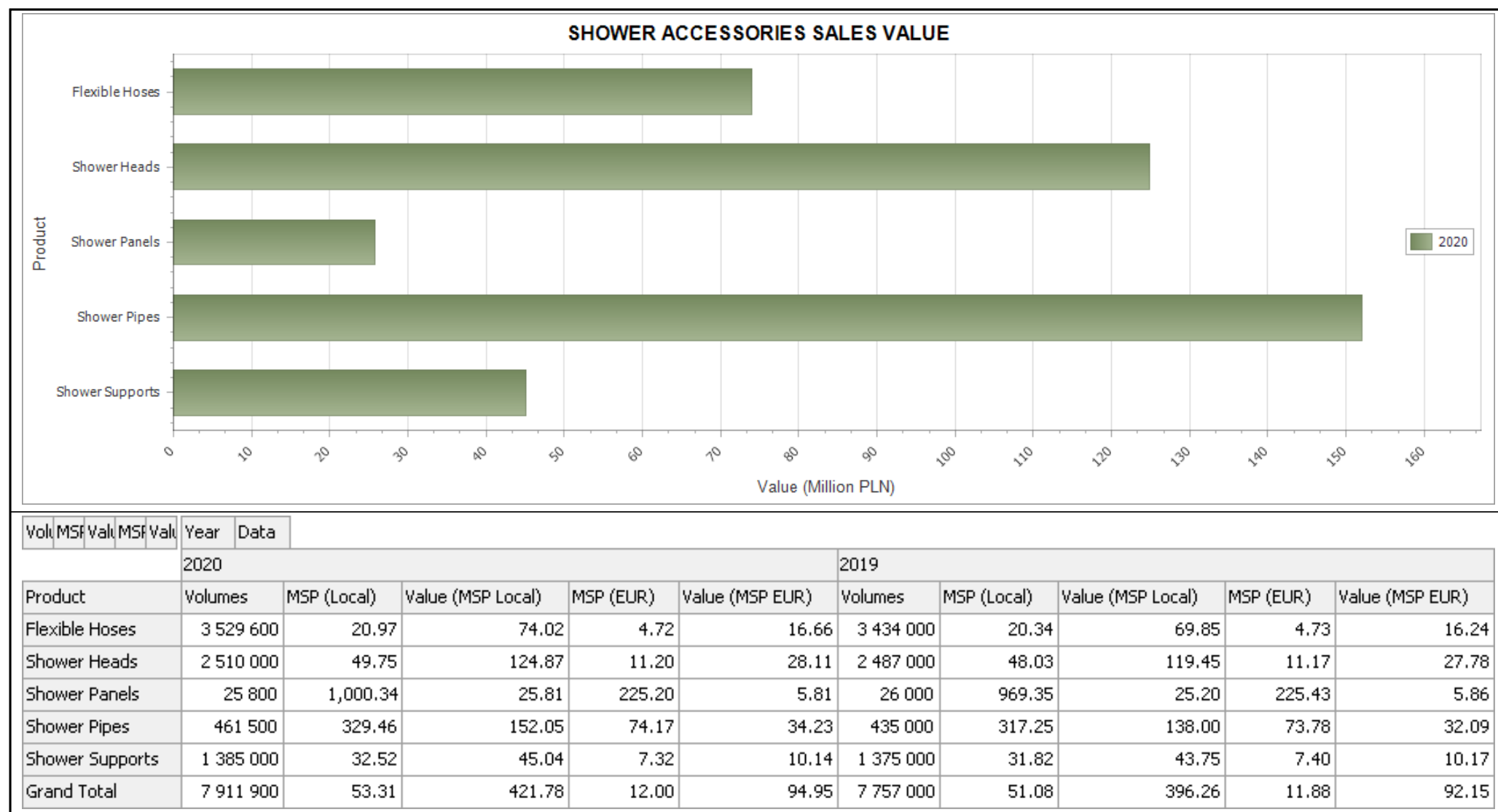


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	549 000	557 000	585 000	591 000	593 000	595 000	600 000	613 000	619 000	622 000	617 000	605 000	635 000	665 000	678 000	688 000	695 000
	% Change	-	1.46%	5.03%	1.03%	0.34%	0.34%	0.84%	2.17%	0.98%	0.48%	-0.80%	-1.94%	4.96%	4.72%	1.95%	1.47%	1.02%
	Shower Head and Hose Only (without a mixer)	174 000	172 600	170 500	171 500	167 900	165 600	161 600	158 900	155 500	153 000	148 000	145 000	152 000	159 000	162 000	164 000	165 500
	% Change	-	-0.80%	-1.22%	0.59%	-2.10%	-1.37%	-2.42%	-1.67%	-2.14%	-1.61%	-3.27%	-2.03%	4.83%	4.61%	1.89%	1.23%	0.91%
	Sold as Set with Mixers	40 000	46 000	50 000	60 000	63 000	67 000	71 000	74 000	81 000	86 000	93 000	91 000	96 000	101 000	103 000	105 000	106 500
	% Change	-	15.00%	8.70%	20.00%	5.00%	6.35%	5.97%	4.23%	9.46%	6.17%	8.14%	-2.15%	5.49%	5.21%	1.98%	1.94%	1.43%
	Shower Pipes	50 000	110 000	160 000	211 000	231 000	253 300	280 000	312 000	350 000	380 300	435 000	461 500	480 000	550 000	590 000	630 000	660 000
	% Change	-	120.00%	45.45%	31.88%	9.48%	9.65%	10.54%	11.43%	12.18%	8.66%	14.38%	6.09%	4.01%	14.58%	7.27%	6.78%	4.76%
Grand Total		813 000	885 600	965 500	1 033 500	1 054 900	1 080 900	1 112 600	1 157 900	1 205 500	1 241 300	1 293 000	1 302 500	1 363 000	1 475 000	1 533 000	1 587 000	1 627 000
% Change Total		-	8.93%	9.02%	7.04%	2.07%	2.46%	2.93%	4.07%	4.11%	2.97%	4.16%	0.73%	4.64%	8.22%	3.93%	3.52%	2.52%

Source: BRG based on Industry Interviews.

7.3.1 Prices and Market Values : Shower Accessories

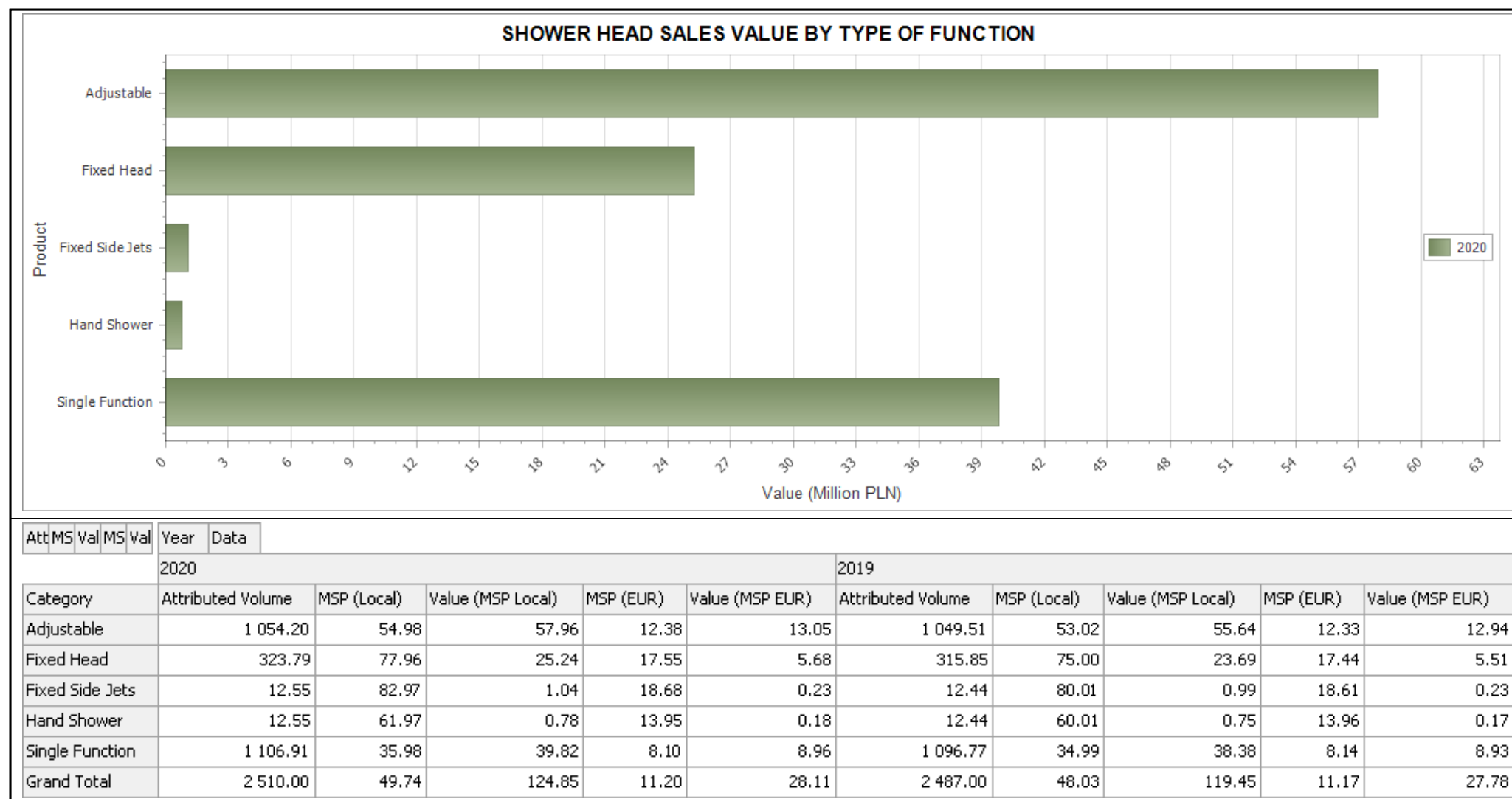
PL - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

7.3.2 Prices and Market Values by Type : Shower Heads

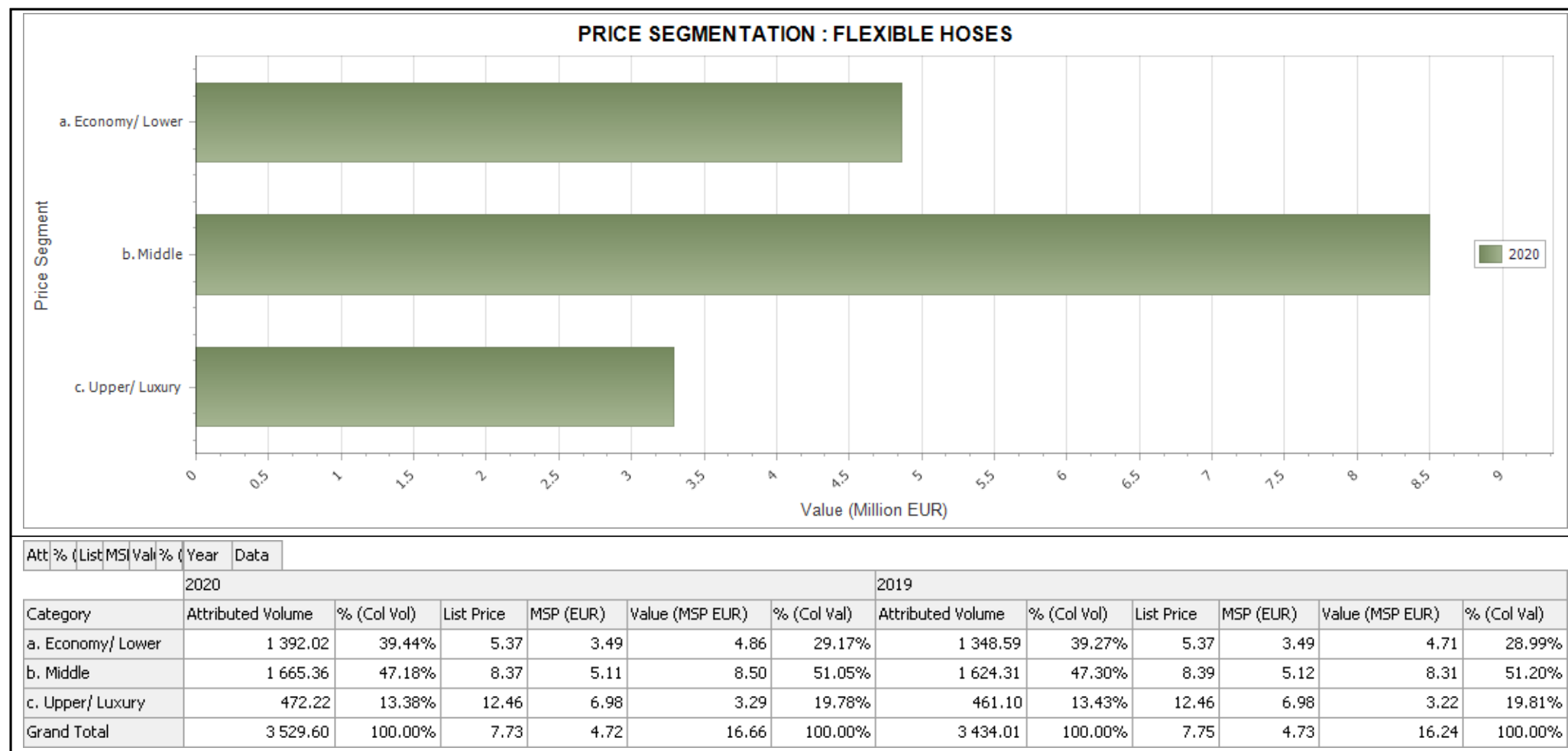
PL - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

PL - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

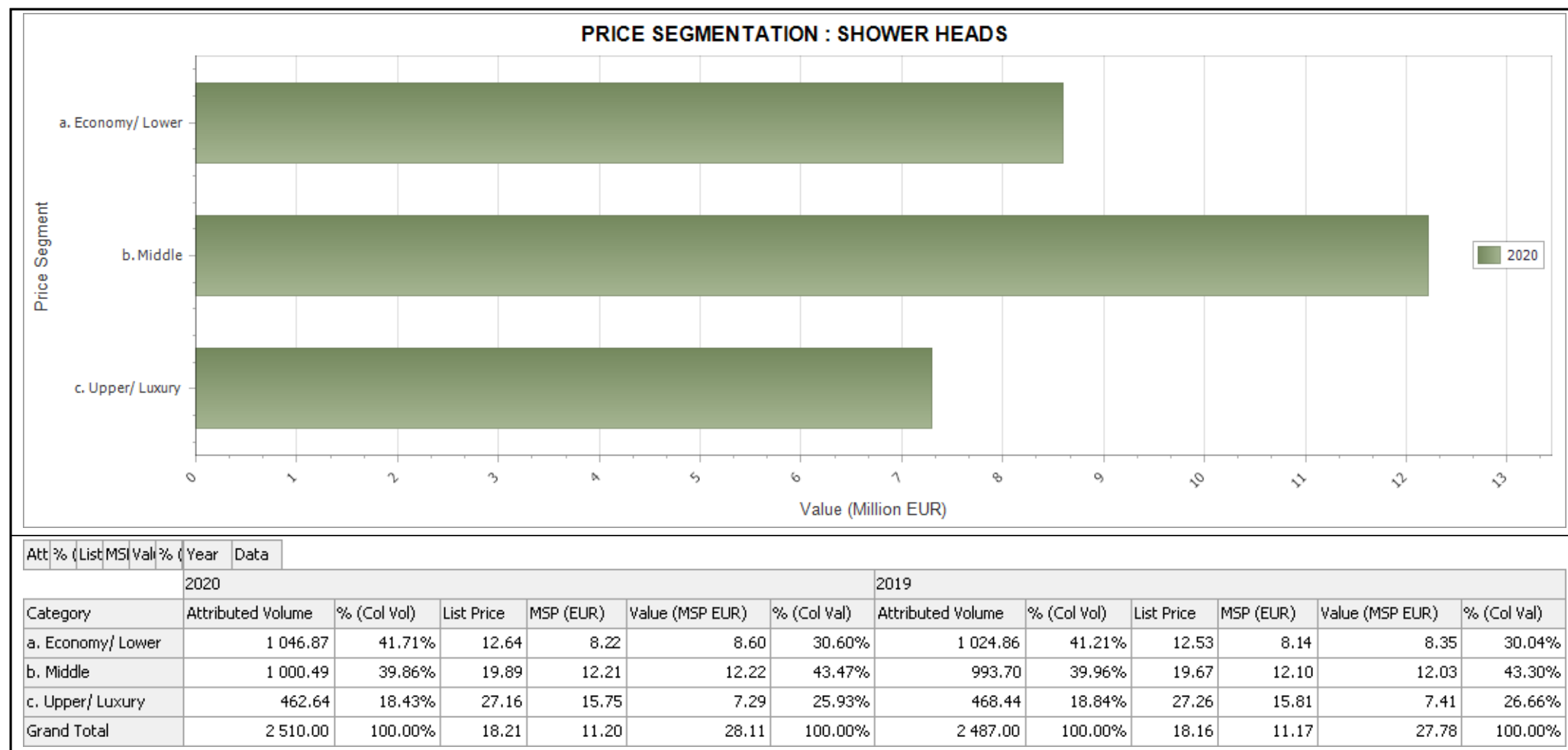


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€4, Middle €4-€6, Upper/ Luxury >€6

7.3.4 Price Segmentation : Shower Heads

PL - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

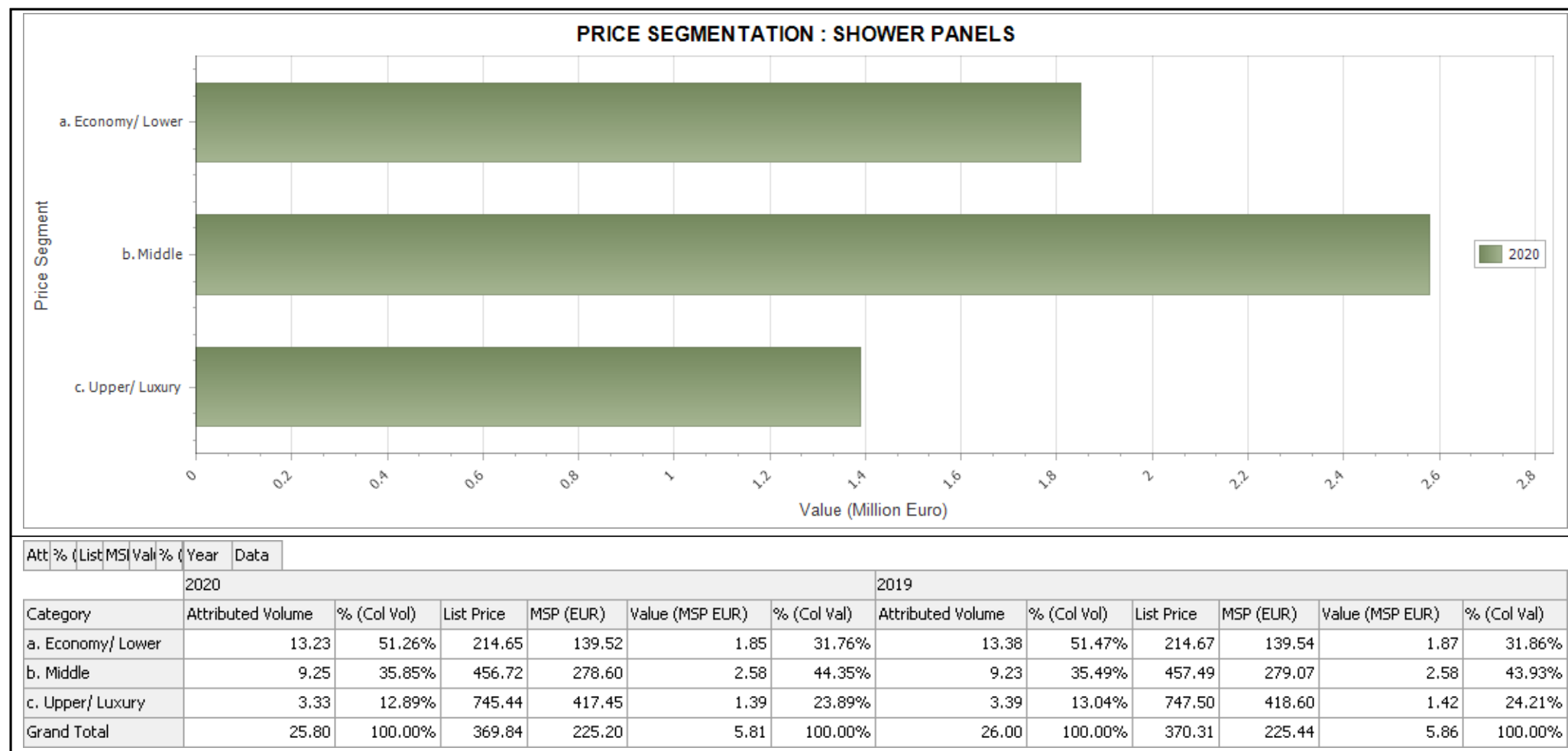


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€15, Upper/ Luxury >€15

7.3.5 Price Segmentation : Shower Panels

PL - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

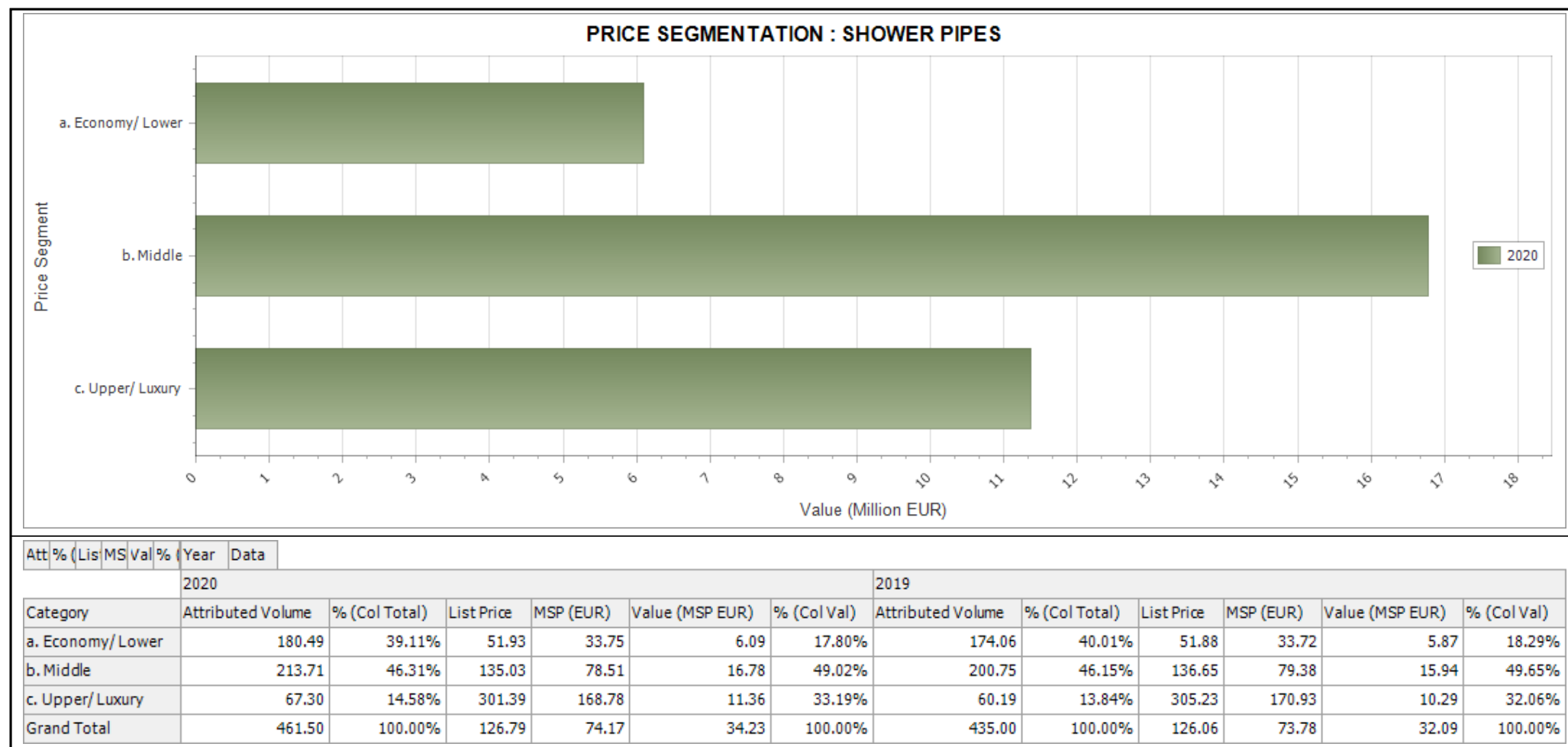


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.6 Price Segmentation : Shower Pipes

PL - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

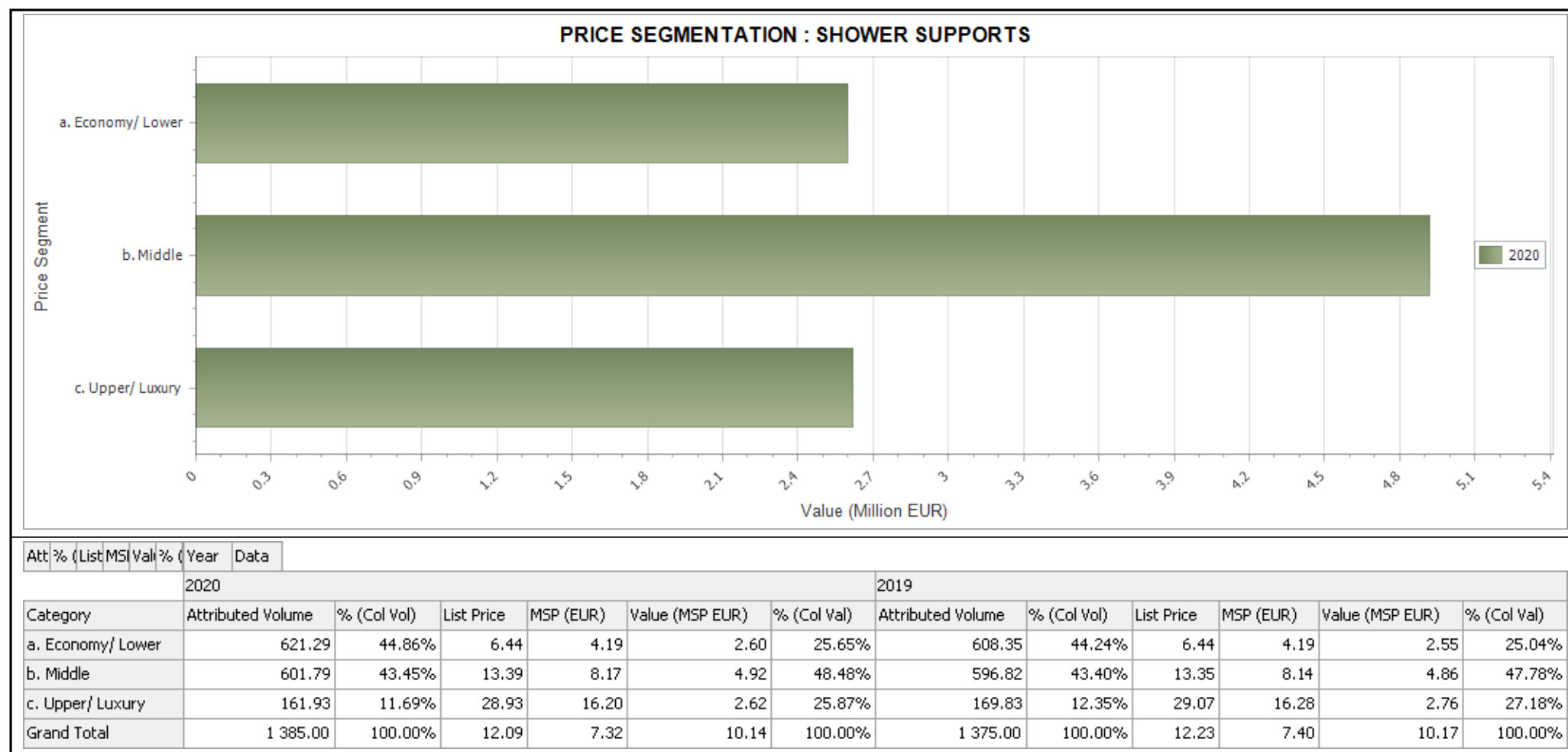


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€125, Upper/ Luxury >€125

7.3.7 Price Segmentation : Shower Supports

PL - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

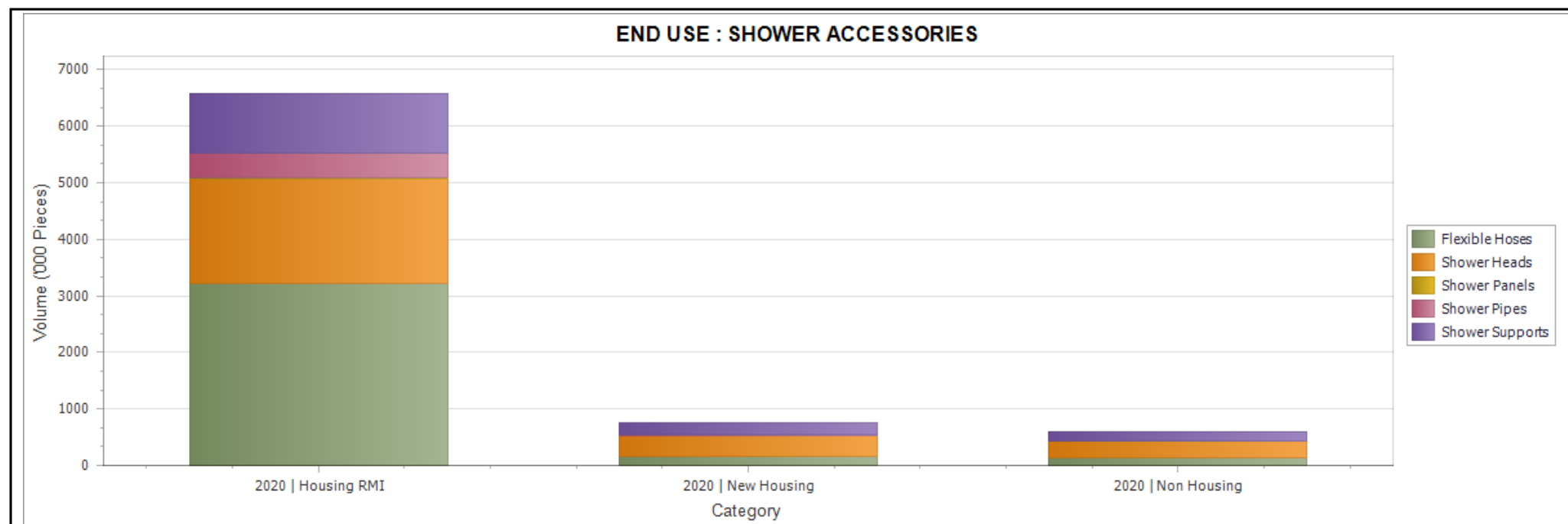


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

7.4.1 End Use : Base Year

PL - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

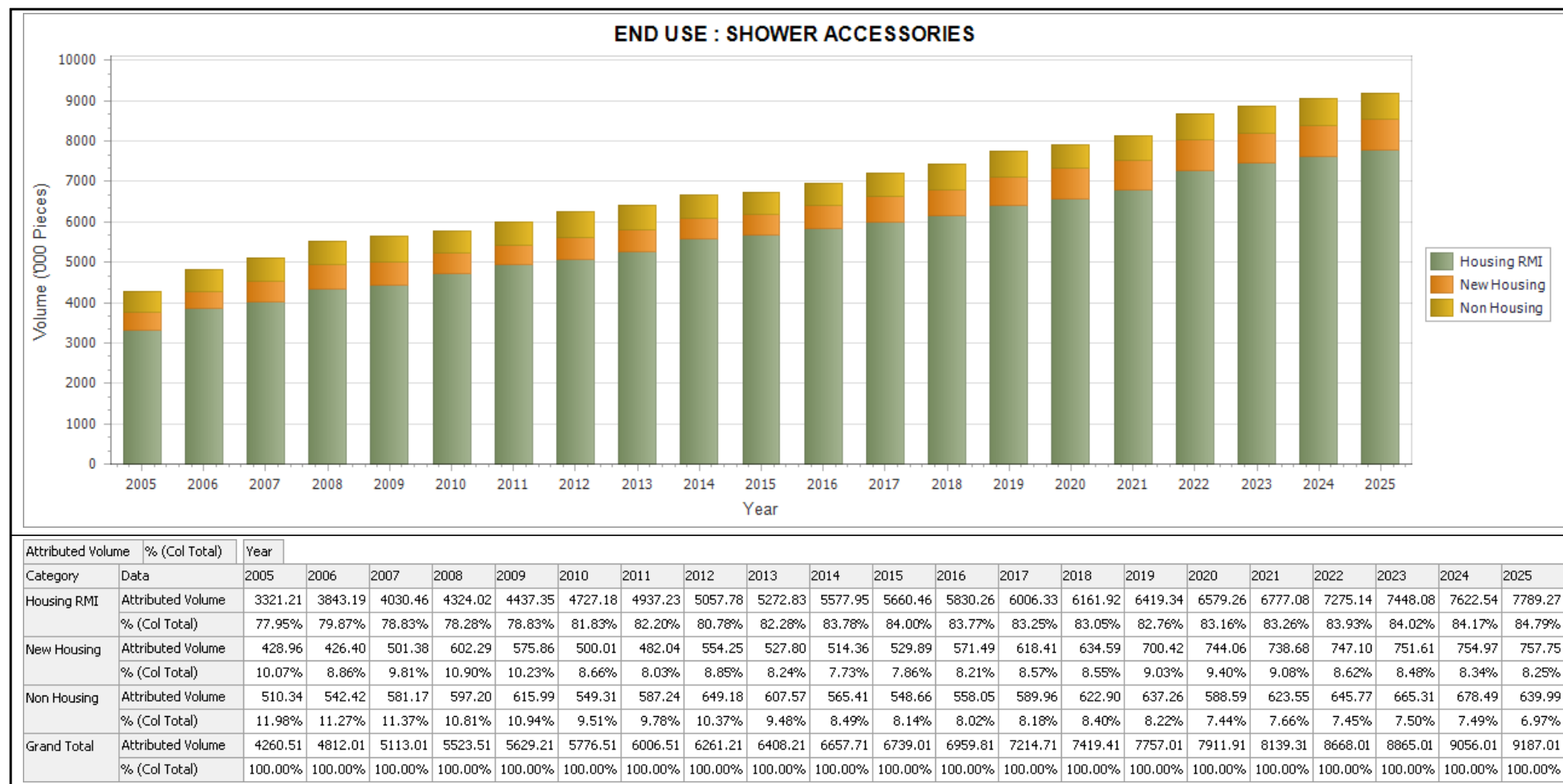


Attribu	% (Co	% (Ro	Year	Category	Data							
			2020							2020 Total		
			Housing RMI			New Housing		Non Housing				
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	3229.92	49.09%	91.51%	161.14	21.66%	4.57%	138.55	23.54%	3.93%	3529.60	44.61%	100.00%
Shower Heads	1845.07	28.04%	73.51%	369.82	49.70%	14.73%	295.12	50.14%	11.76%	2510.00	31.72%	100.00%
Shower Panels	24.65	0.37%	95.55%	0.71	0.10%	2.75%	0.44	0.07%	1.69%	25.80	0.33%	100.00%
Shower Pipes	428.07	6.51%	92.76%	26.98	3.63%	5.85%	6.45	1.10%	1.40%	461.50	5.83%	100.00%
Shower Supports	1051.55	15.98%	75.92%	185.42	24.92%	13.39%	148.04	25.15%	10.69%	1385.00	17.51%	100.00%
Grand Total	6579.26	100.00%	83.16%	744.06	100.00%	9.40%	588.59	100.00%	7.44%	7911.91	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

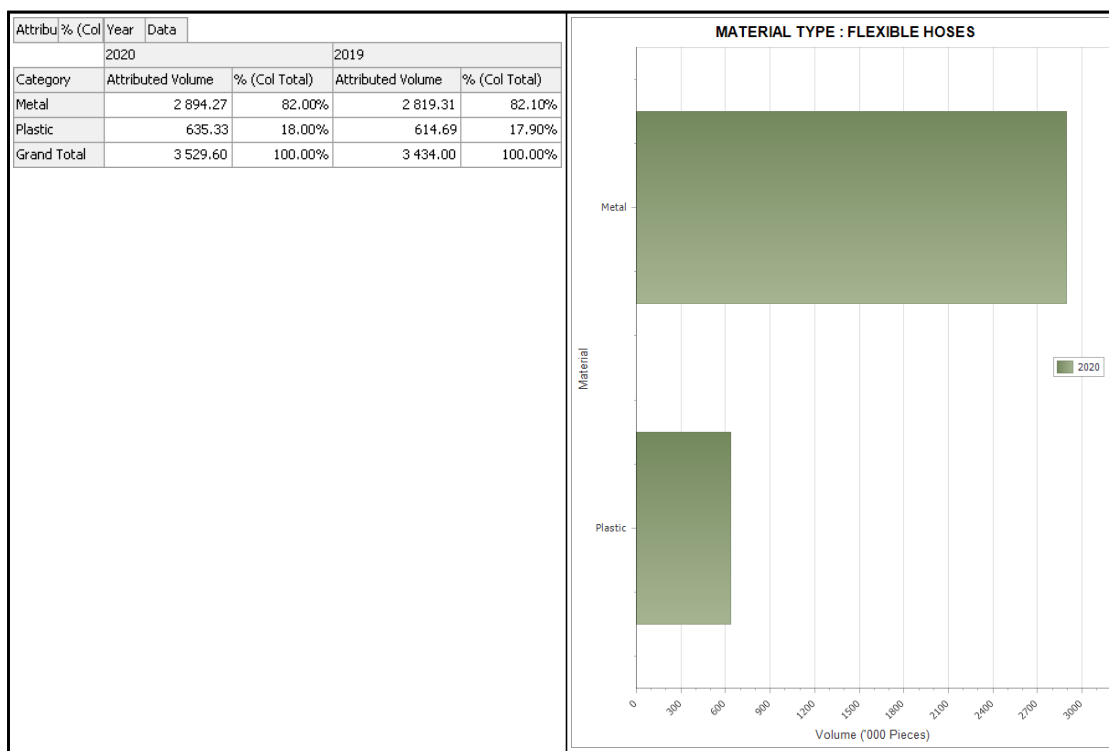
PL - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

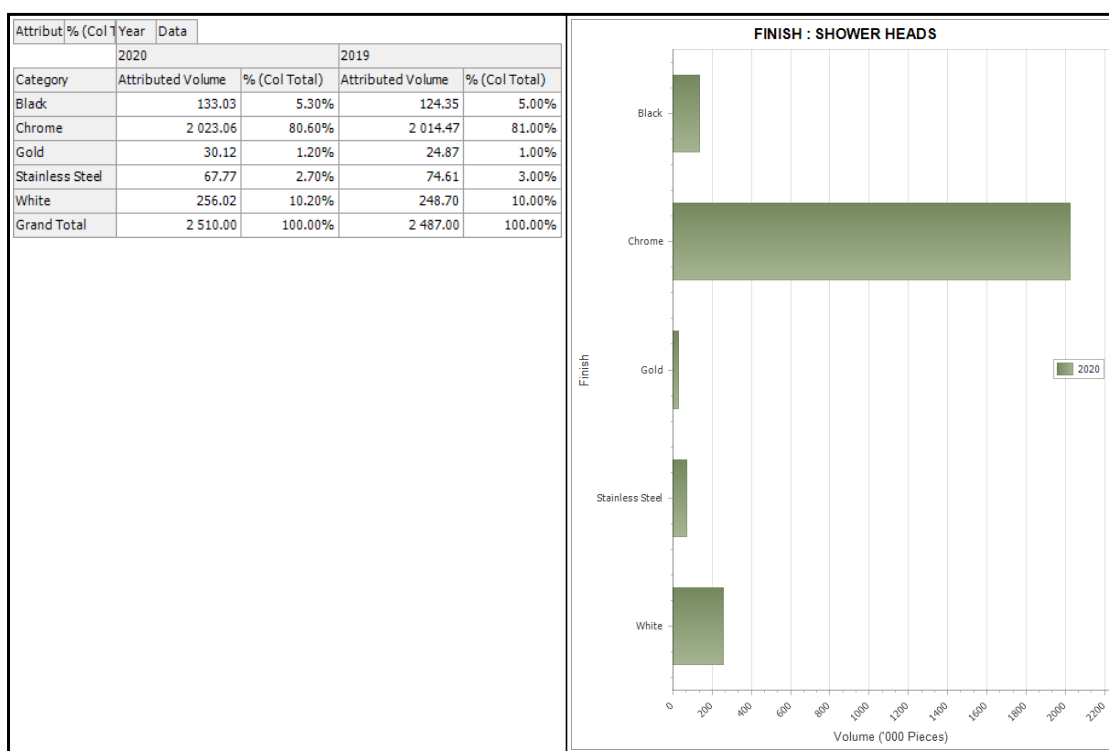
PL - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

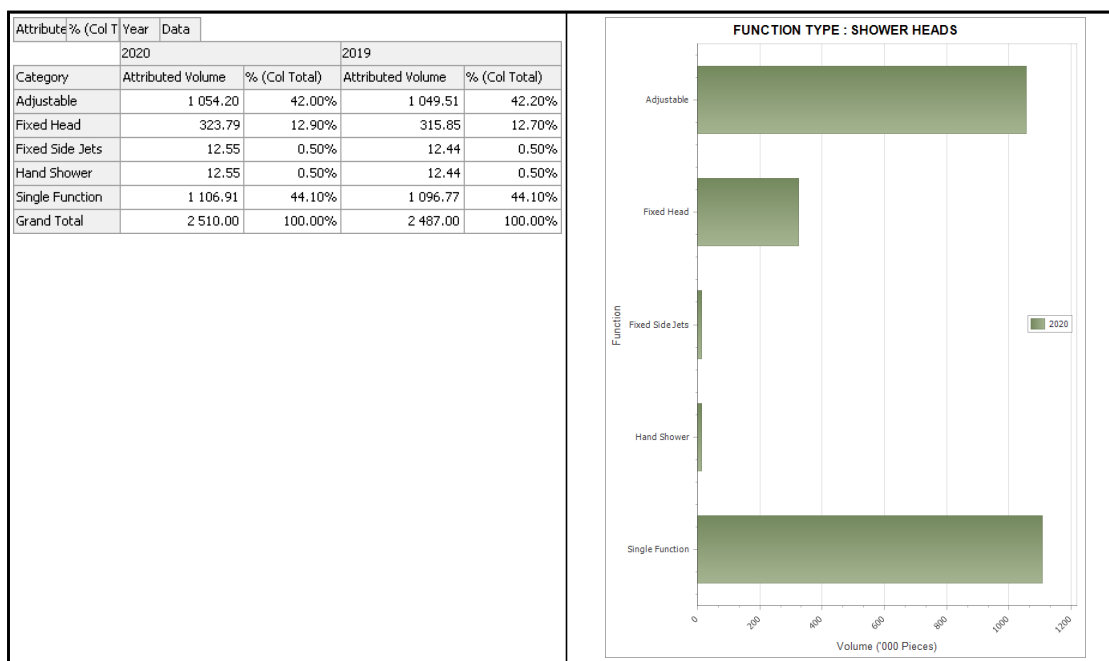
PL - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

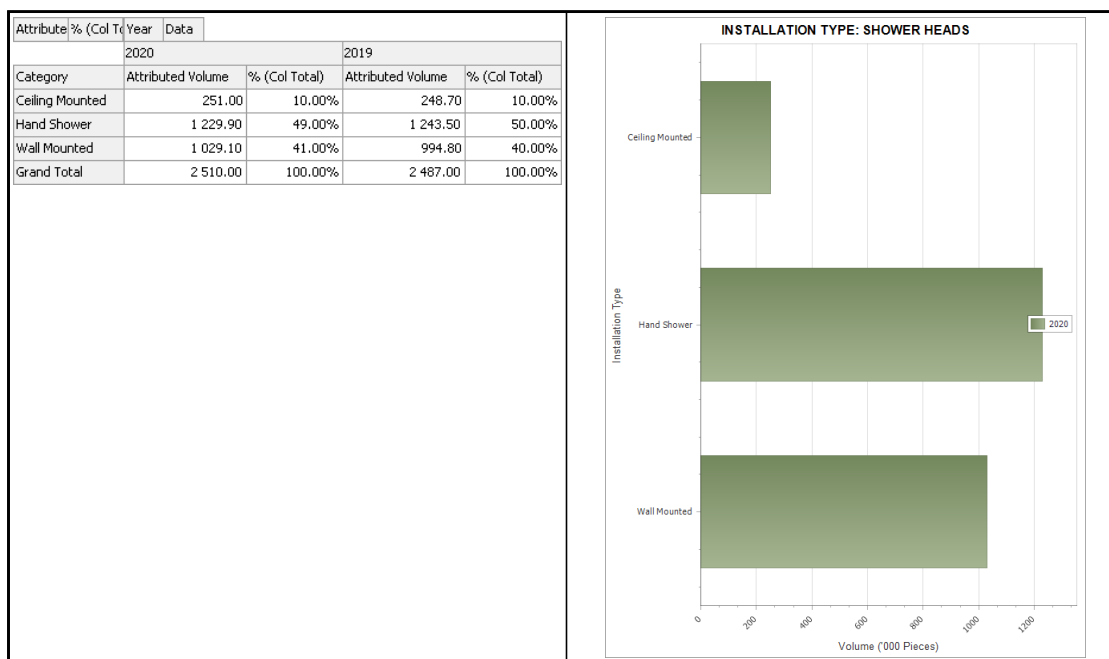
PL - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.6 Sales by Type of Installation : Shower Heads

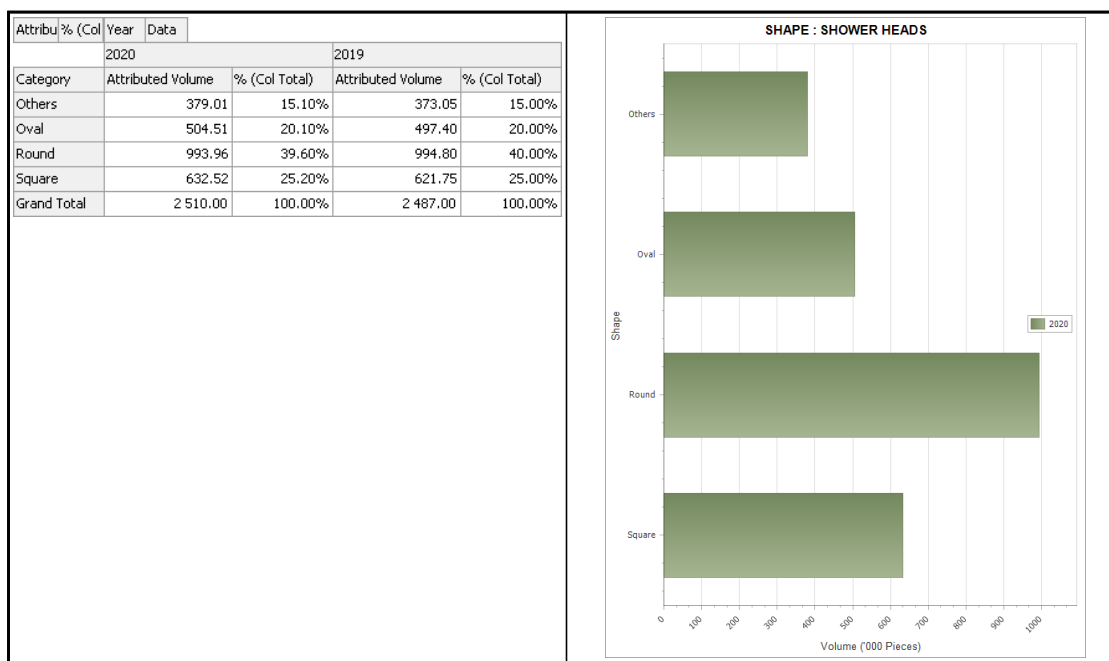
PL - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

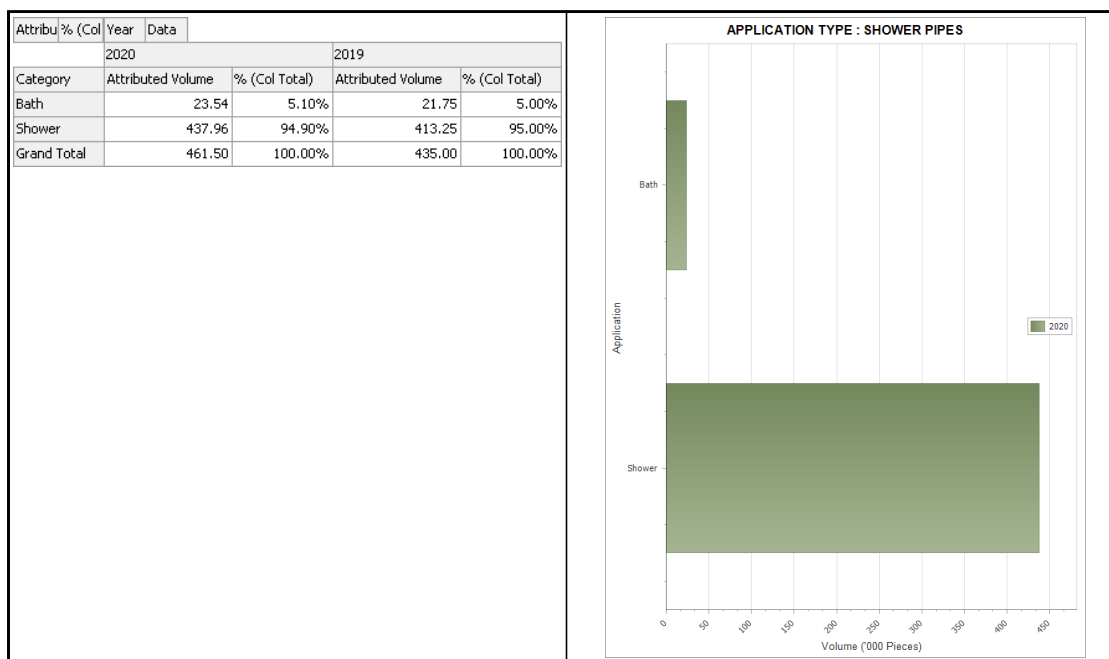
PL - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.8 Sales by Type of Application : Shower Pipes

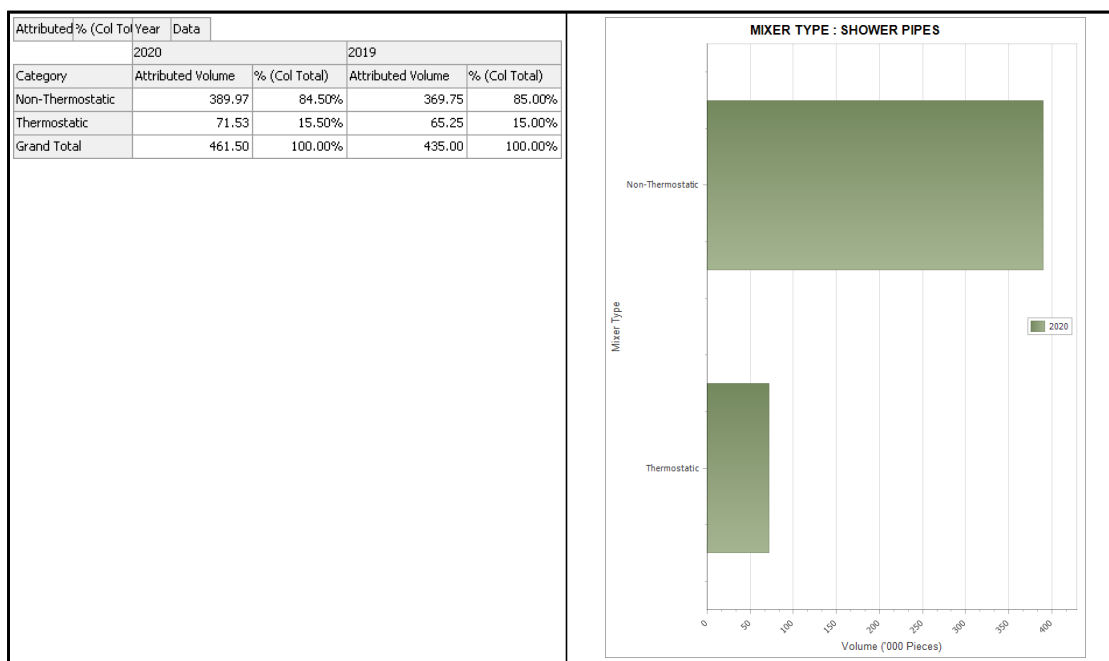
PL - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

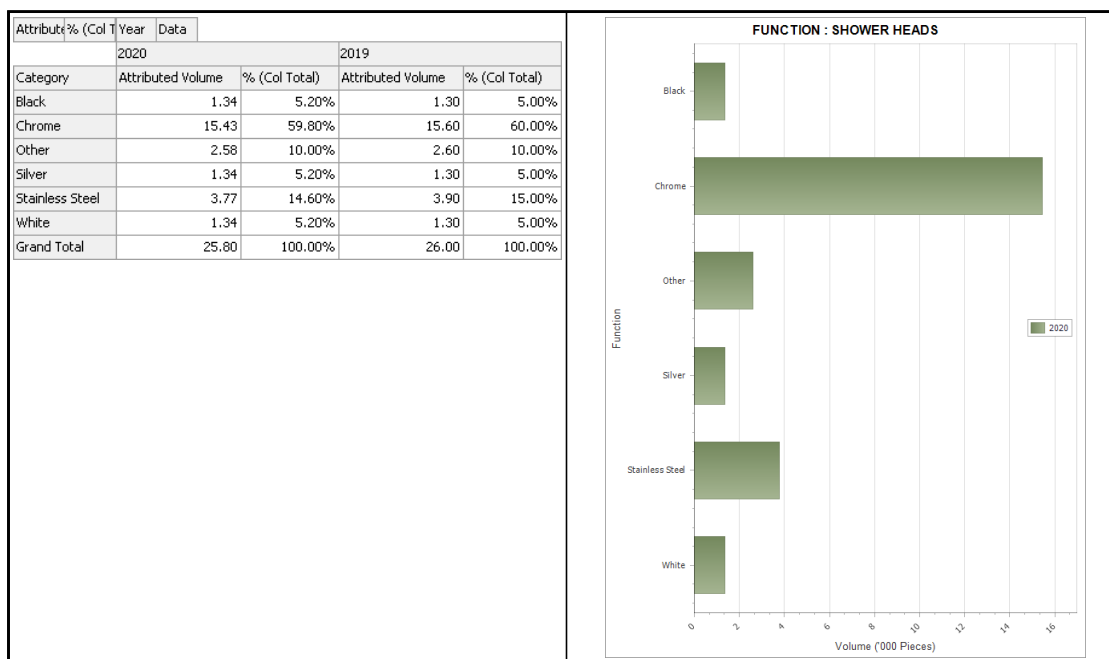
PL - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.10 Sales by Type of Finish: Shower Panels

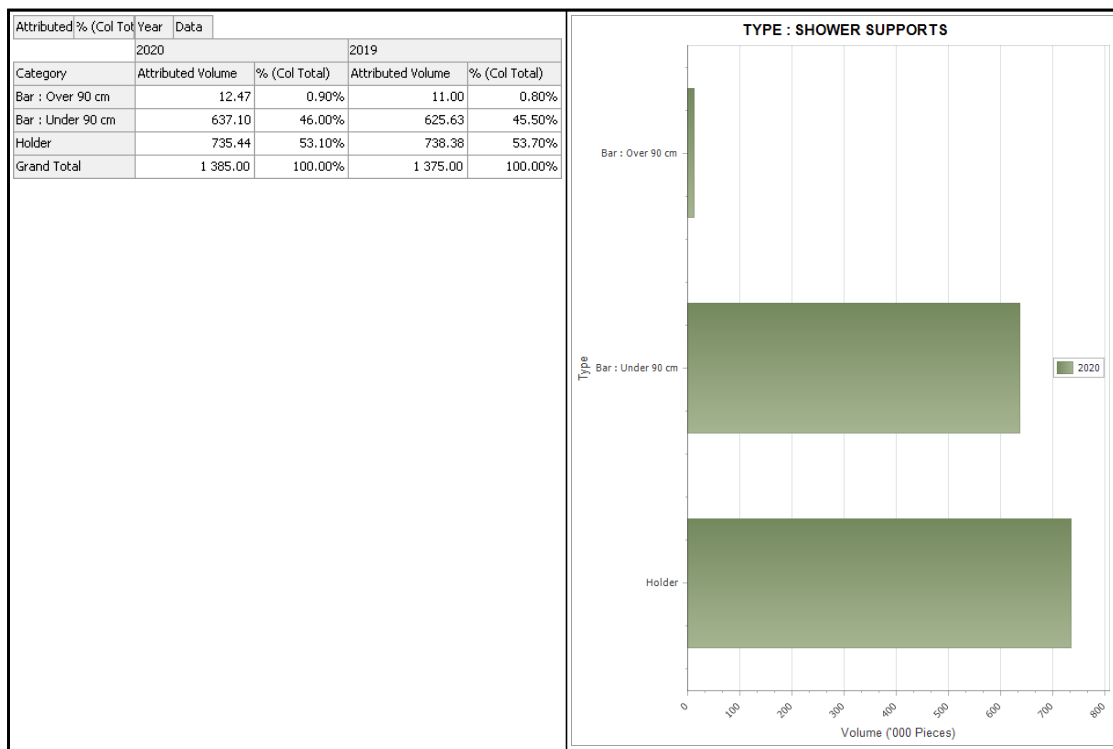
PL - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

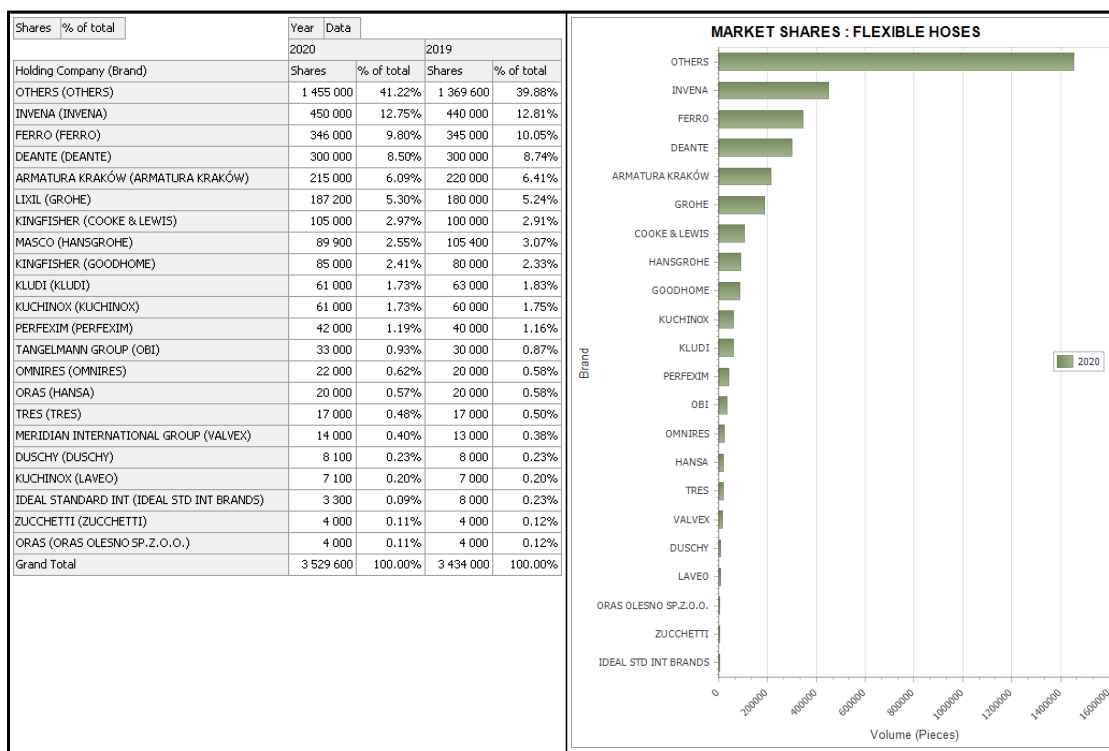
PL - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

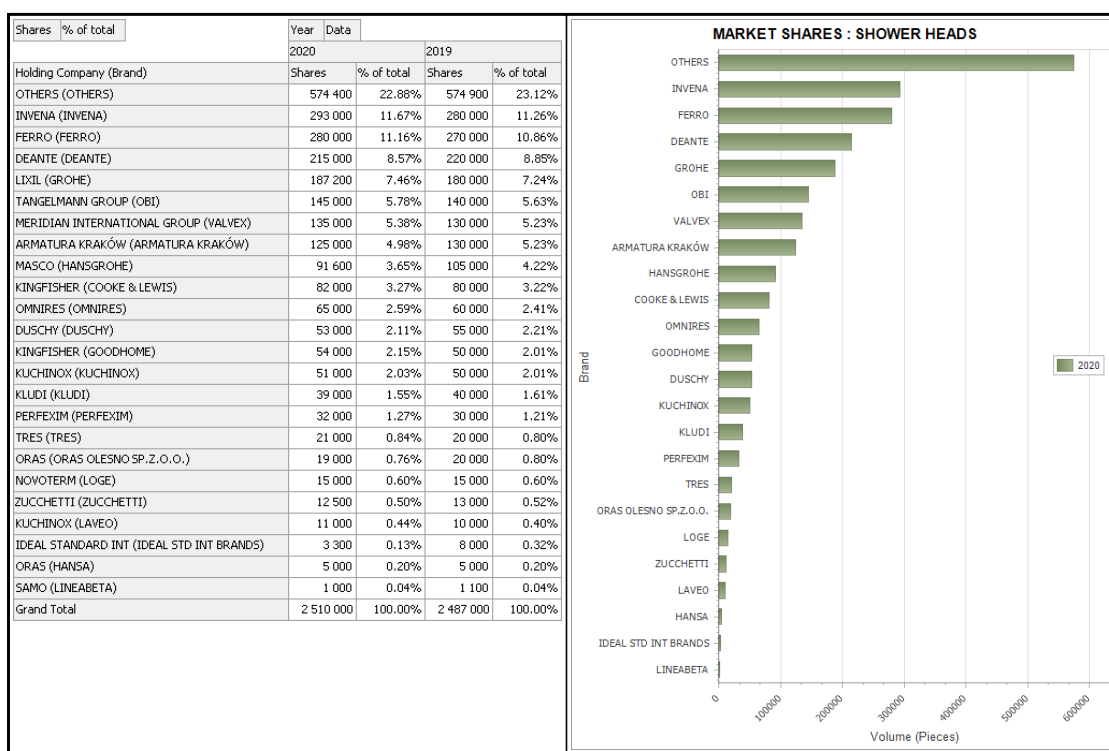
PL - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

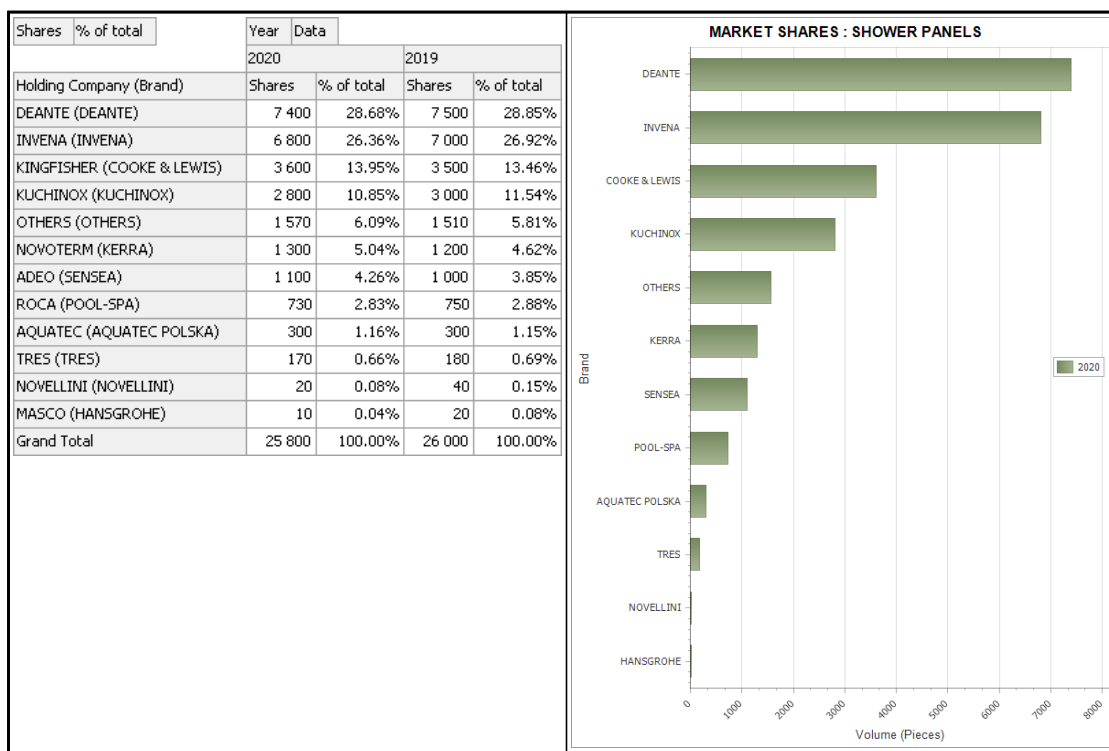
PL - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

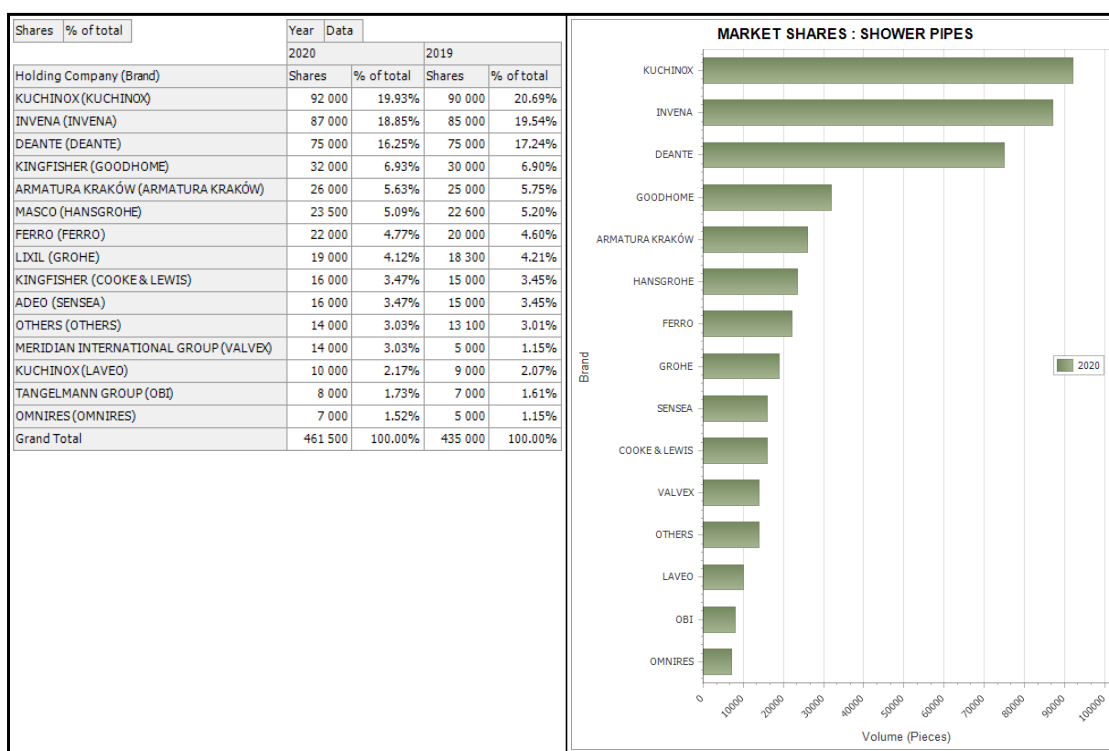
PL - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

PL - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
PL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	61.1%
	Wholesalers / Merchants
	61.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.5%	7.5%	20.1%	22.0%	14.1%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.0%		42.1%		32.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	3.0%	0.5%	1.5%	3.6%
Installers				
9.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.2%	6.6%	10.4%	40.1%	28.0%	7.3%	0.5%	4.0%	0.1%	0.5%	0.5%	1.8%
	Residential						Non-Residential					
	92.6%						7.4%					
New Build			Residential RMI			New Build			Non-Residential RMI			
9.4%			83.2%			3.7%			3.7%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
0.5%	8.9%		1.0%	82.2%		0.3%	3.4%		0.3%	3.4%		

7.6.2

Route to Market: Shower Accessories
PL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.0%
	Wholesalers / Merchants
	59.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.5%	8.0%	22.0%	21.0%	13.5%	17.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.5%		43.0%		31.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	3.0%	0.5%	1.5%	2.5%
Installers				
8.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	5.5%	11.9%	41.0%	28.0%	6.6%	0.5%	4.0%	0.1%	0.5%	0.5%	1.4%
	Residential						Non-Residential					
	93.0%						7.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.2%			84.8%			3.5%			3.5%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	0.5%	7.7%		1.0%	83.8%		0.3%	3.2%		0.3%	3.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

PL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

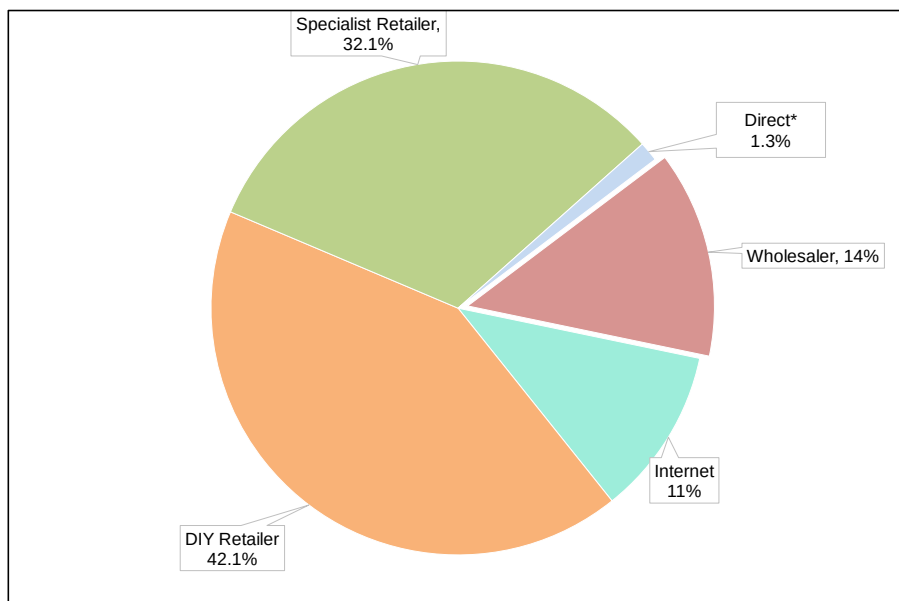
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.6%	11.0%	42.1%	32.1%	1.3%	1.5%	0.6%	91.1%	6.8%
100%					2.1%		97.9%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

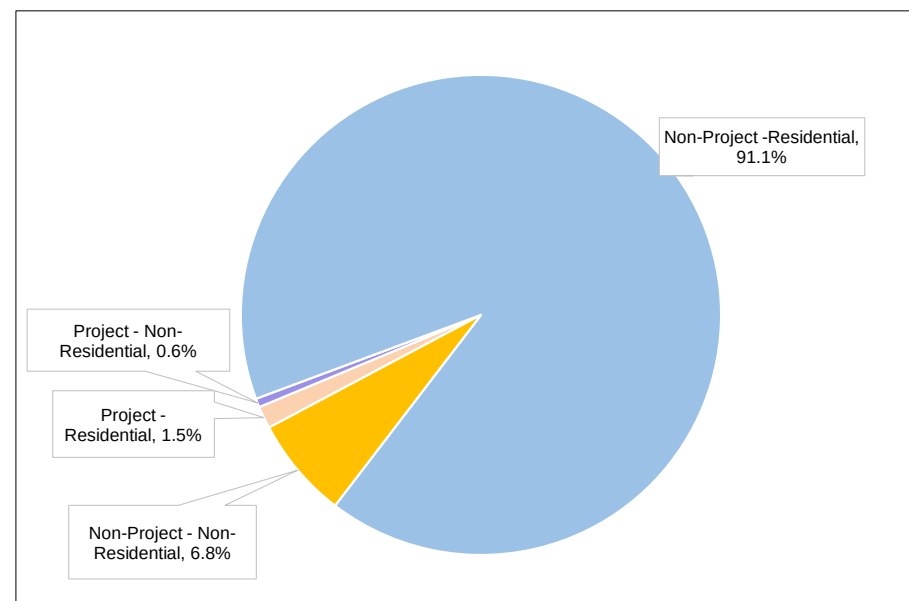
PL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
12.5%	12.5%	43.0%	31.0%	1.0%	1.5%	0.6%	91.5%	6.4%
100%					2.1%		97.9%	

PL - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



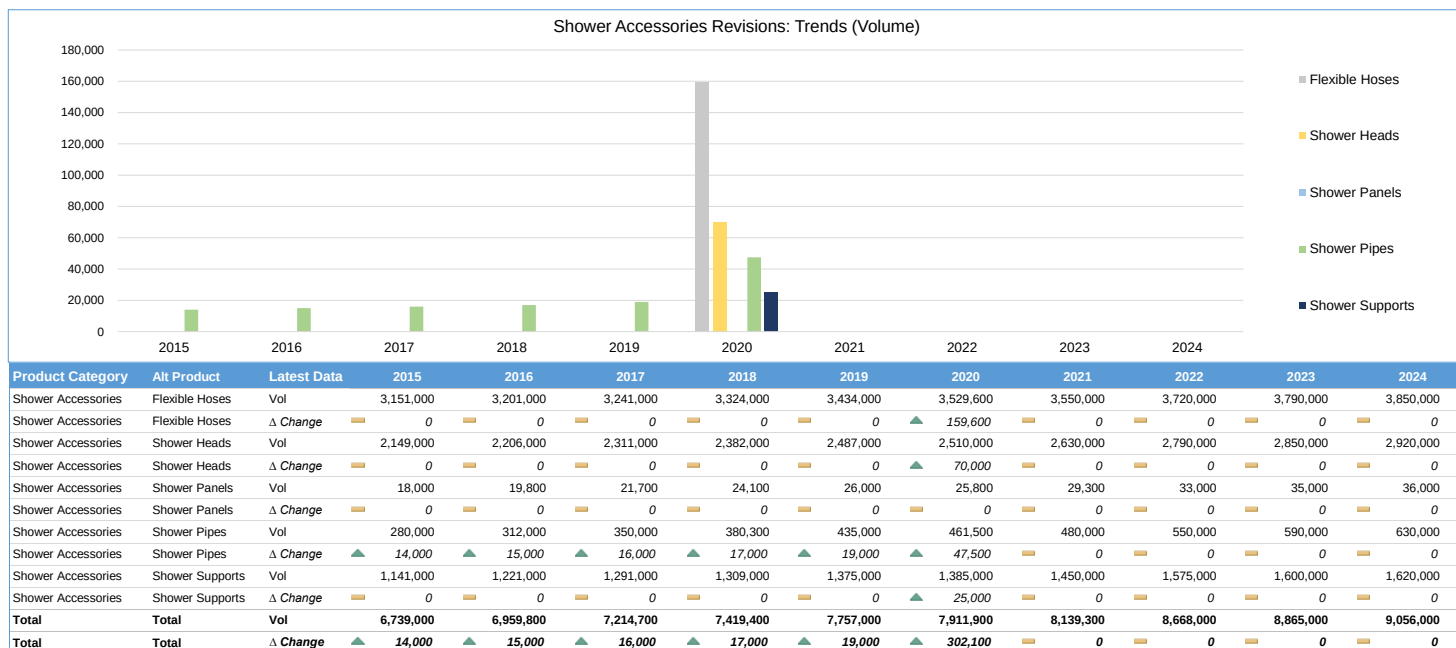
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Polish Shower Accessories Market (April 2021)

PL - REVISIONS IN THE POLISH SHOWER ACCESSORIES MARKET

Data Comparison: October 2020



The 2020 sales volume for flexible hoses has been slightly increased in line with the industry feedback showing higher demand for this product type, primarily in the replacement segment.

The historical MSP values for shower pipes have been revised down based on the information received from the key market players indicating a considerably higher share of products from the economy price bracket in the total volume. In recent years shower pipes have become very popular as replacement for old shower sets, showing very good growth rates, driven, however, primarily by sales of relatively cheap models with non-thermostatic mixers.

POLAND

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

As in most other European countries, demand for kitchen sinks in Poland is largely driven by the construction market and the growing replacement sector. In fact, sales of kitchen sinks to the new housing sector had been growing quickly during the construction boom at the beginning of the 2000s and in the period 2006-2009, until the new construction market declined sharply in 2010 because of the global economic crisis.

In the last decade, the kitchen sink segment showed good growth, driven primarily by sales of stainless steel models, and a growing popularity of synthetic and ceramic products. Both synthetic and ceramic kitchen sinks gradually increased their share in the product mix, although at a rather slow pace as demand for stainless models continued growing in the price-oriented Polish market. In fact, from the beginning of the 1990s the Polish market has been dominated by stainless steel sinks, since Polish consumers initially sought products at reasonably low prices. However, as a result of growing disposable incomes, an increasing number of consumers began to gradually shift away from stainless steel to more expensive, synthetic and ceramic kitchen sink models. Also, it is worth mentioning that historically most manufacturers operating on the market back in 1990s were either domestic or from the post-Soviet Union countries. New product lines were largely introduced to the market with the emergence of foreign DIY retailers, such as LEROY MERLIN, PRAKTIKER, OBI and IKEA.

Kitchen refurbishment has always been the major driver for sales of kitchen sinks to the housing RMI sector. Polish consumers renovate their kitchens, on average, once every 20 to 30 years. Growth in the replacement market for kitchen sinks was rather sluggish during the early to mid-1990s due to a shift away from a centrally planned to an open market economy, which resulted in high unemployment rates and rapid increases in the prices of goods. The economic environment improved somewhat at the end of the 1990s with the market entries of foreign capital, a gradual increase in employment and continuous growth in the disposable incomes of the middle class consumers seeking comfort. These factors led to a growing number of bathroom and kitchen renovations, which benefited sales of kitchen sinks going to housing RMI.

Recent Market Trends

After good growth recorded by the kitchen sink market in Poland in 2019, in 2020 a slight decline in sales could be observed, primarily due to lower budgets for home improvement, resulting from the uncertainty caused by the COVID-19 outbreak, amplified by a decrease in investments in non-housing, which was not offset by good growth seen in sales to the new residential segment.

In regard to product mix, sales of stainless steel inset sinks continued to account for the vast majority of the overall kitchen sink market, followed by inset synthetic

sinks made of granite – mixed with either quartz or acrylic. In addition, the market experienced increased consumer demand for apron-front ceramic sinks, especially from houses with wealthier owners, still this product category remains a niche market.

Prices and Market Values

In 2020, the MSPs for kitchen sinks grew very moderately, typically by 3-4%, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher than in 2019 inflation ratio and increasing production and transport cost. As the kitchen sinks market was moderately affected by the outbreak of the COVID-19 pandemic, fierce competition, like in previous years, made considerable price hikes quite difficult.

Nevertheless, due to dramatically increasing prices of raw materials, such as steel and brass, as well as transport – the cost of shipment from the Far East grew in 2020 by 500-600% – with a weakened local currency, a higher than usual increase in price for kitchen sinks is expected in 2021 and was already applied by several players in the first quarter.

With a very strong position of DIYs, focusing on sales of products from the budget price segment, including the DIYs' own brands, and a fierce competition among the players, the shift towards products from higher price brackets has been very slow and the market remains price-oriented with the average MSPs considerably lower than those seen in Western Europe, lower also than the average values from many other Eastern European EU members.

New Housing

The overall number of dwelling completions continued to grow in 2020, which was reflected in a good growth rate recorded in sales of kitchen sinks to the new housing sector as the market for kitchen sinks is related to the overall performance of the residential construction output, with one kitchen sink per dwelling on average.

In terms of product mix, demand for stainless steel models remained dominant. However, sales of this type of kitchen sink continued to face increasing competition from ceramic and synthetic models. Especially synthetic kitchen sinks have become more and more in demand, with their increasing availability and growing competition amongst the manufacturers which considerably affects their prices.

Housing RMI

Due to the high maturity of the kitchen sink market, housing RMI represents the vast majority of overall sales of kitchen sinks in Poland. As renovation activity in existing dwellings recorded in 2020 a decline, due to reduced budgets for home improvement following the COVID-19 outbreak, sales of kitchen sinks to RMI showed a minor decrease. Only ceramic kitchen sinks are believed to record a

slight increase as they are typically purchased by wealthier customers for displacement of old steel sinks, overall accounting for a marginal portion of the market, which in terms of product mix is led by stainless steel kitchen sinks, followed by synthetic models.

Non-Housing

Overall, the non-housing market accounts for a relatively low portion of total sales of kitchen sinks. The COVID-19 outbreak in March 2020 negatively affected investments in non-housing, including both new buildings and modernisation projects. According to the GUS, the office segment recorded a slight increase in terms of commercial area (thanks to a couple of large projects which had begun well before the pandemic and were completed in 2020); however, the segments of hotels and tourist accommodation, as well as trade/service (including restaurants) saw considerable declines, being among the worst hit by the pandemic. As a result sales of kitchen sinks to the non-housing market saw a decline.

In terms of product mix, the market remained dominated by stainless steel kitchen sinks, as combined sales of other product types accounted for just about one quarter of all kitchen sink sales to the non-residential market.

Supply Structure

The Polish market for kitchen sinks is relatively fragmented, with a fair share remaining in the hands of foreign and OEM manufacturers, although domestic manufacturers also control a considerable portion of the market. In 2020, overall, the largest share in terms of volume was held by the Swiss FRANKE, followed by the domestic player, DEANTE, which among others manufactures its sinks locally, selling to local clients, as well as abroad. The third largest player was KUCHINOX, followed by KINGFISHER's COOKE & LEWIS, both believed to sell imports from Turkey and China. OEM manufacturers from these two countries also produce kitchen sinks for other domestic players, including FERRO.

In fact, the market for stainless steel kitchen sinks continues to be dominated by models imported from Turkey, China, Slovenia, Greece, Italy and Germany. Sales of some manufacturers comprised parts of imports from Slovenia, while all kitchen sinks sold by KOVINOPLASTIKA (ALVEUS) in Poland were in fact produced at the company's production site in Stari Trg pri Ložu, Slovenia. Some of the sinks sold by the largest player, FRANKE, are also imported from countries such as China, Italy, Germany and Slovakia.

The stainless steel segment was dominated by FRANKE, followed by KUCHINOX, offering its products also under the brand LAVEO, and DEANTE.

The major share of the market for synthetic kitchen sinks also remains in the hands of FRANKE, followed by KINGFISHER, DEANTE and KOVINOPLASTIKA. The stout performance of the DIY brand was due to a strong presence of the CASTORAMA network on the Polish market, as well as in online retailers'

portfolios.

Moreover, COOKE & LEWIS has continued to offer good quality models at low prices, suiting the needs of price-driven Polish consumers. The Polish KUCHINOX, on the other hand, has continued to increase sales of its brand LAVEO. Based on industry feedback, LAVEO synthetic kitchen sinks resemble upper-priced products and, therefore, target a rapidly growing group of middle-income consumers.

Like in previous years, in 2020 over 40% of ceramic kitchen sinks were supplied by COOKE & LEWIS and FRANKE. The segment remains relatively small, primarily due to high prices.

The market for cast iron kitchen sinks remains almost non-existent. Demand for this type of sink is usually met by small local distributors, who often sell vintage, second-hand models.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3%, to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in January 2021 was practically offset in February. A certain decline was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

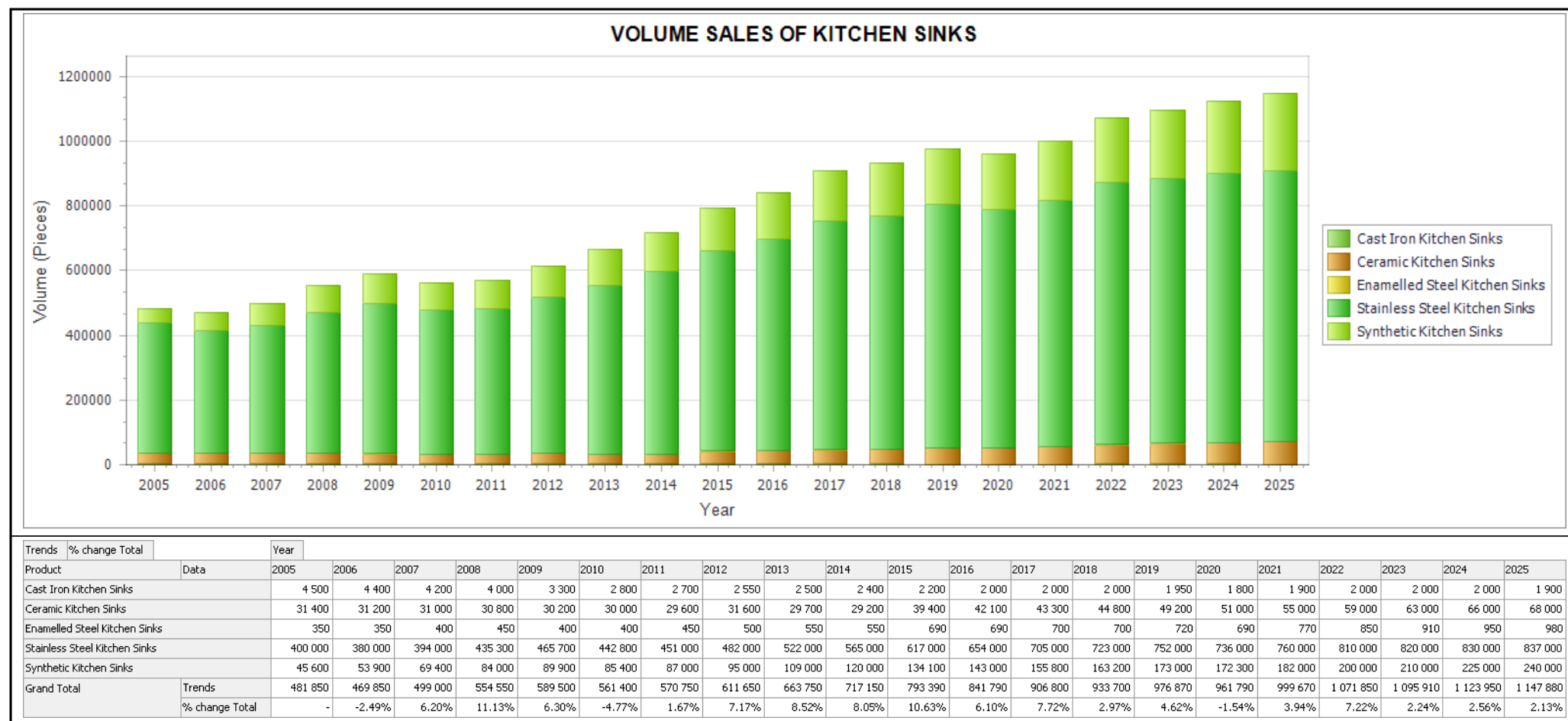
With a relatively soft impact of the pandemic on the Polish kitchen sink market, BRG expects that in 2021 sales of kitchen sinks should show a good growth rate

across the board, with growth driven mostly by stainless steel models. In 2022, acceleration in sales is likely to be seen due to postponed projects been carried out with moderate growth rates anticipated in the medium to long term.

In terms of product mix, the sales of stainless steel models are anticipated to be strong and this product is likely to represent the bulk of the market, although synthetic and ceramic models are likely to gradually increase their shares.

8.2 Historical Trends and Forecasts : Kitchen Sinks

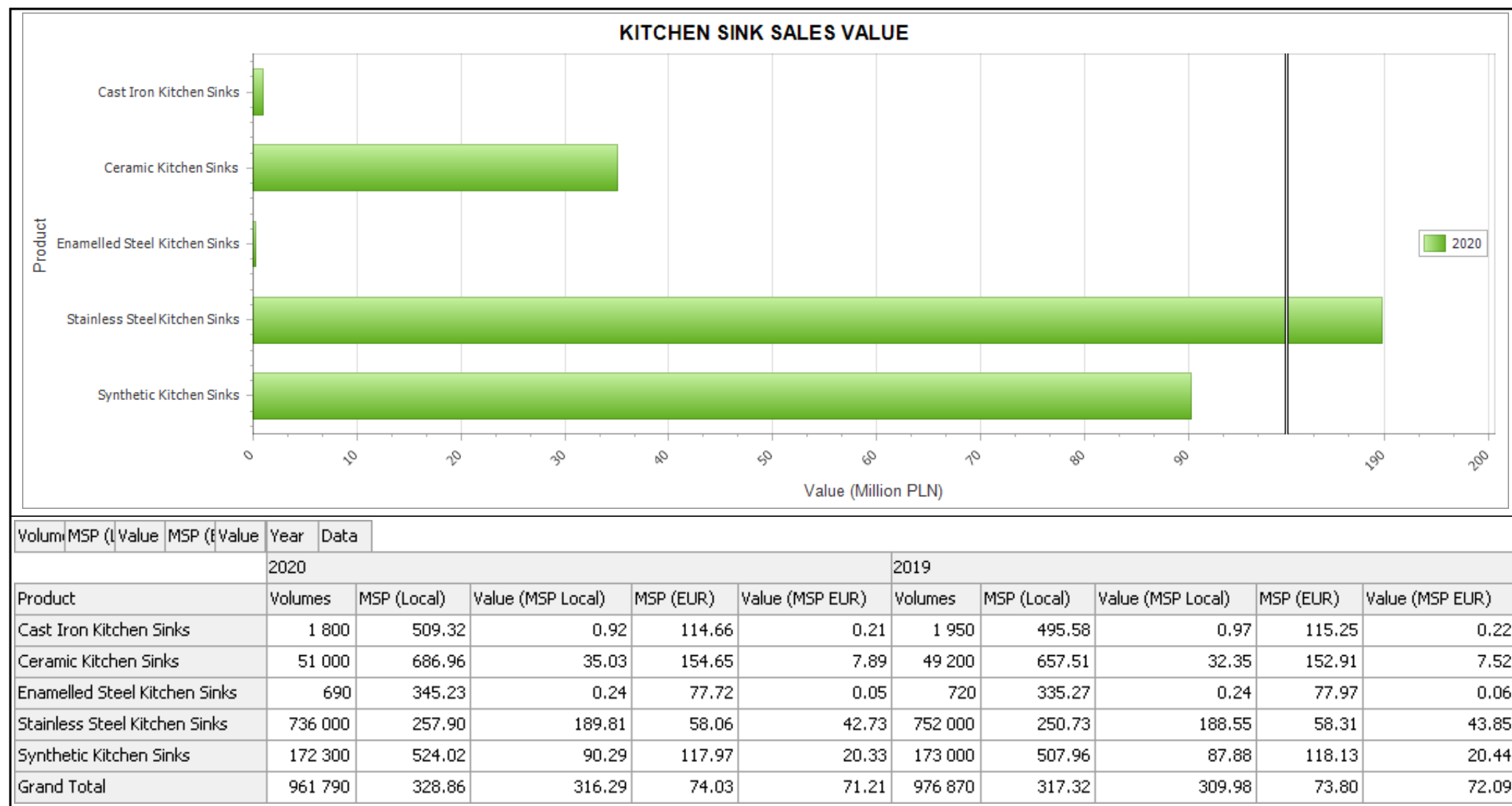
PL - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

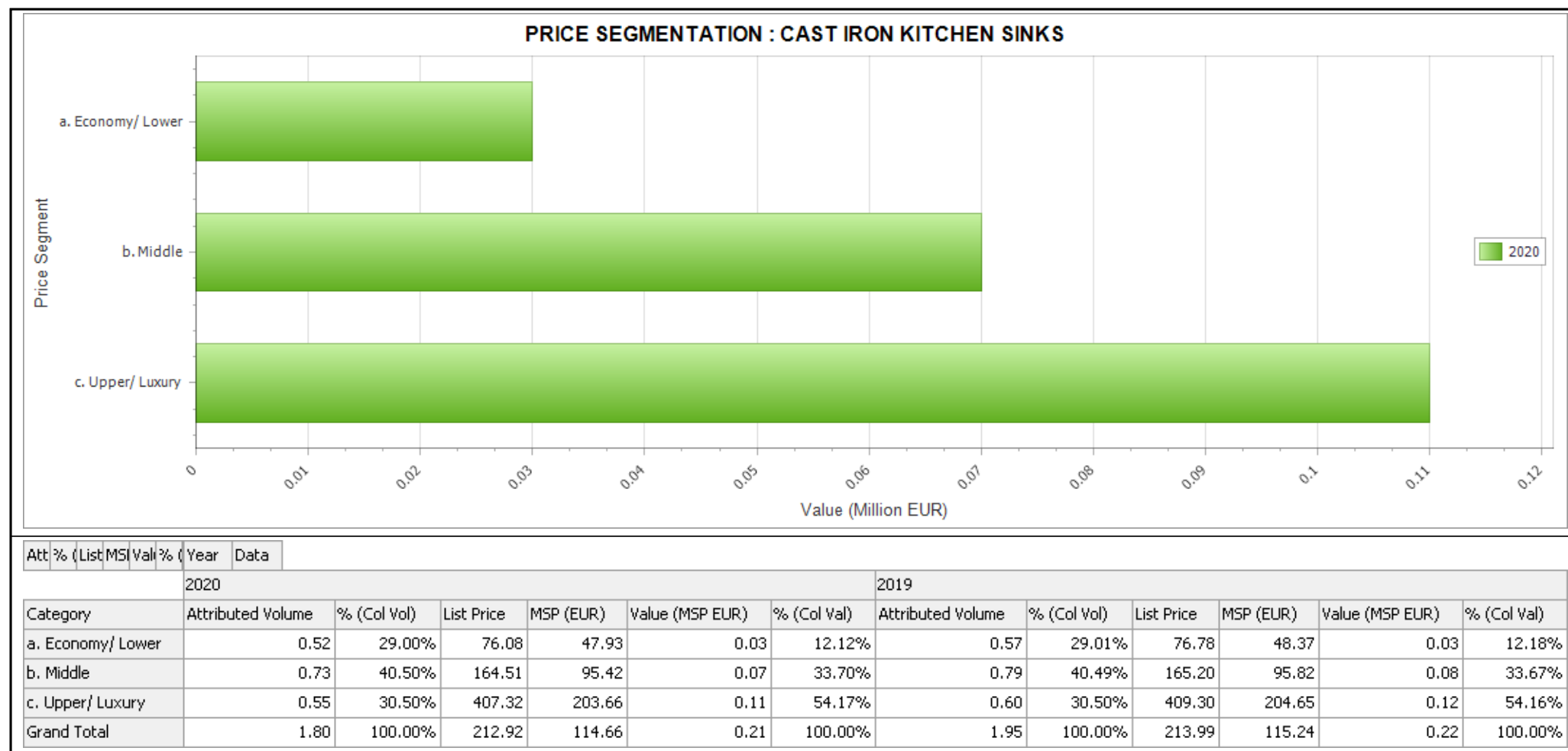
PL - ESTIMATED VALUES OF THE KITCHEN SINK MARKET



Source: BRG based on industry interviews. Local Prices Shown in PLN. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Cast Iron Kitchen Sinks

PL - ESTIMATED PRICE SEGMENTATION FOR CAST IRON KITCHEN SINKS

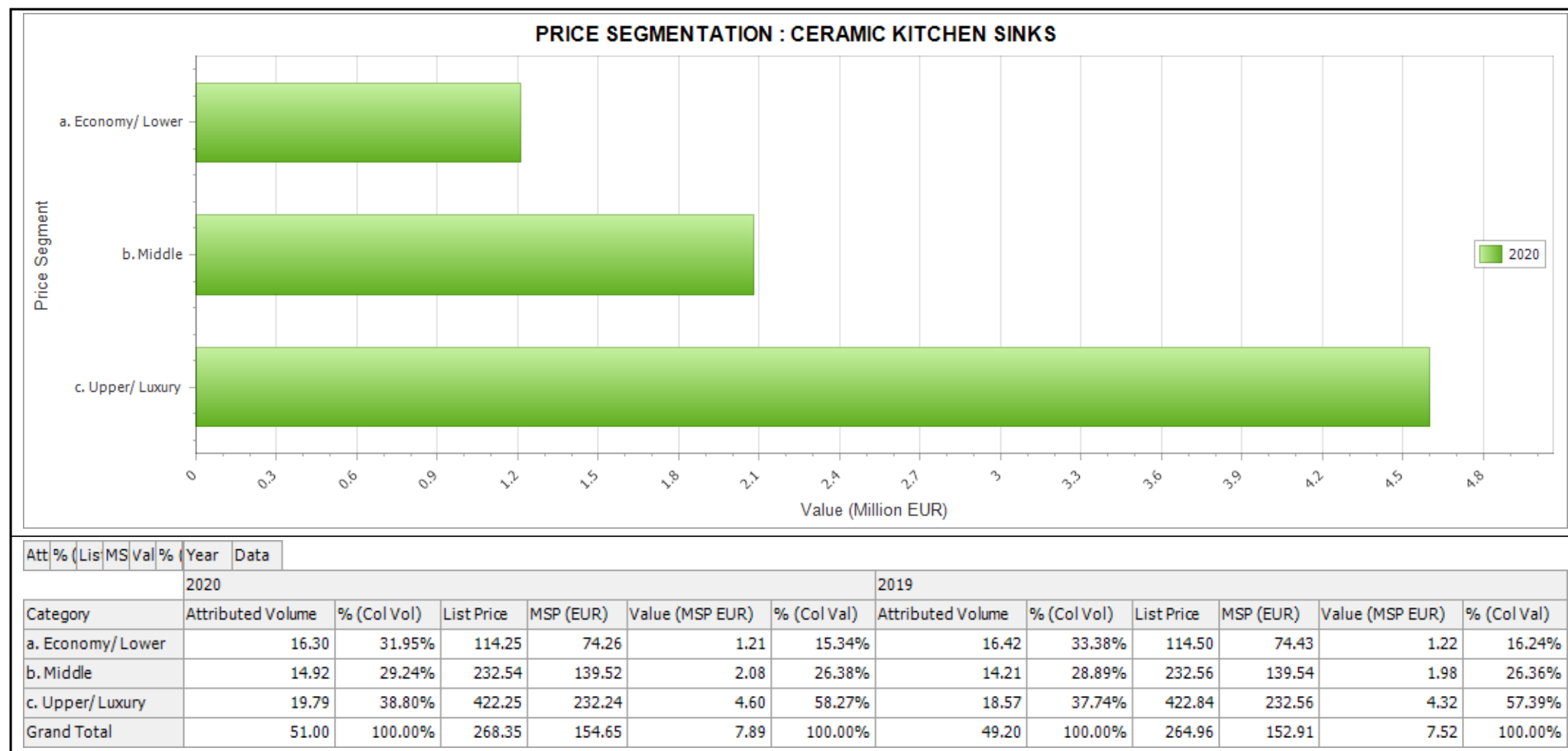


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.3 Price Segmentation : Ceramic Kitchen Sinks

PL - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

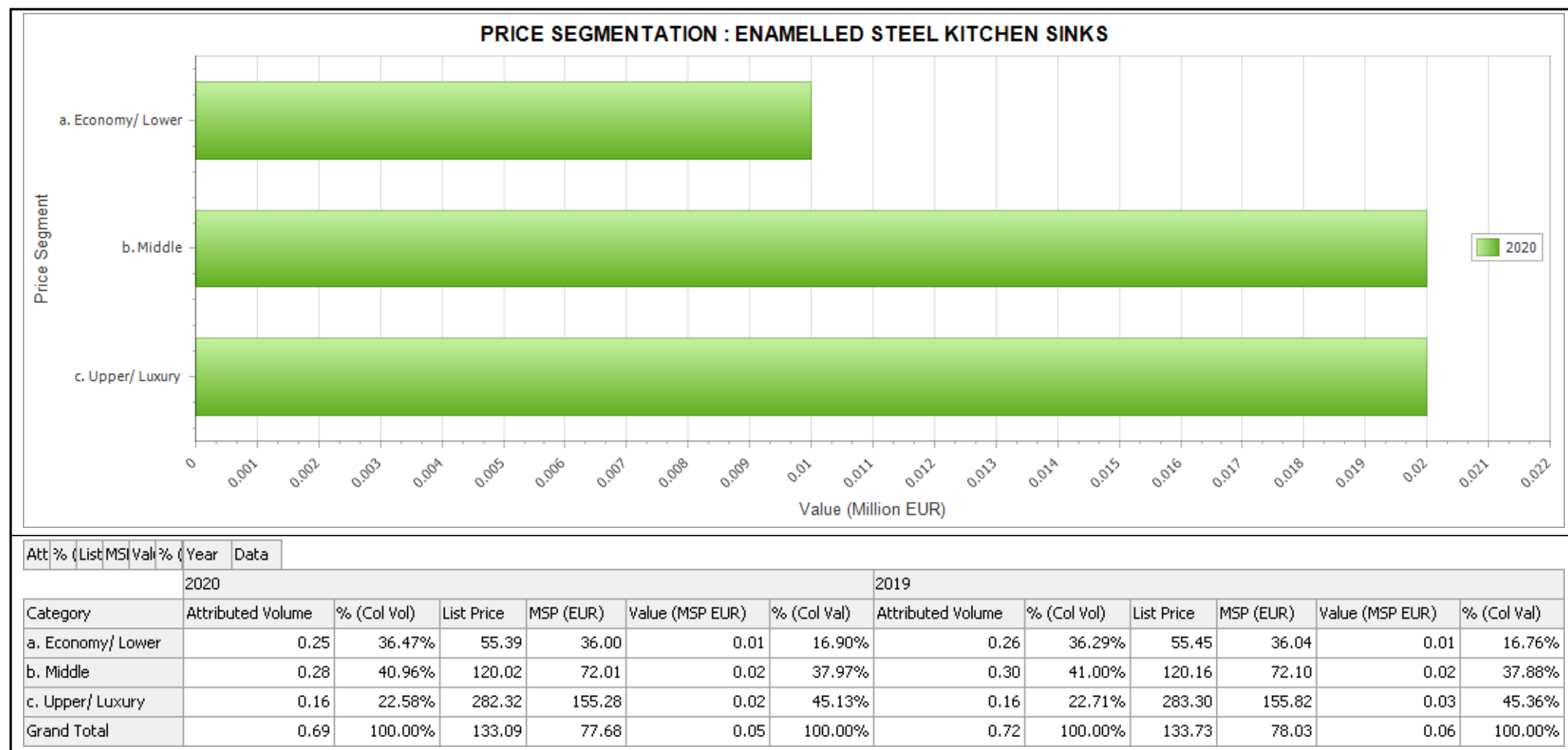


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€150, Upper/ Luxury >€150

8.3.4 Price Segmentation : Enamelled Steel Kitchen Sinks

PL - ESTIMATED PRICE SEGMENTATION FOR ENAMELLED STEEL KITCHEN SINKS

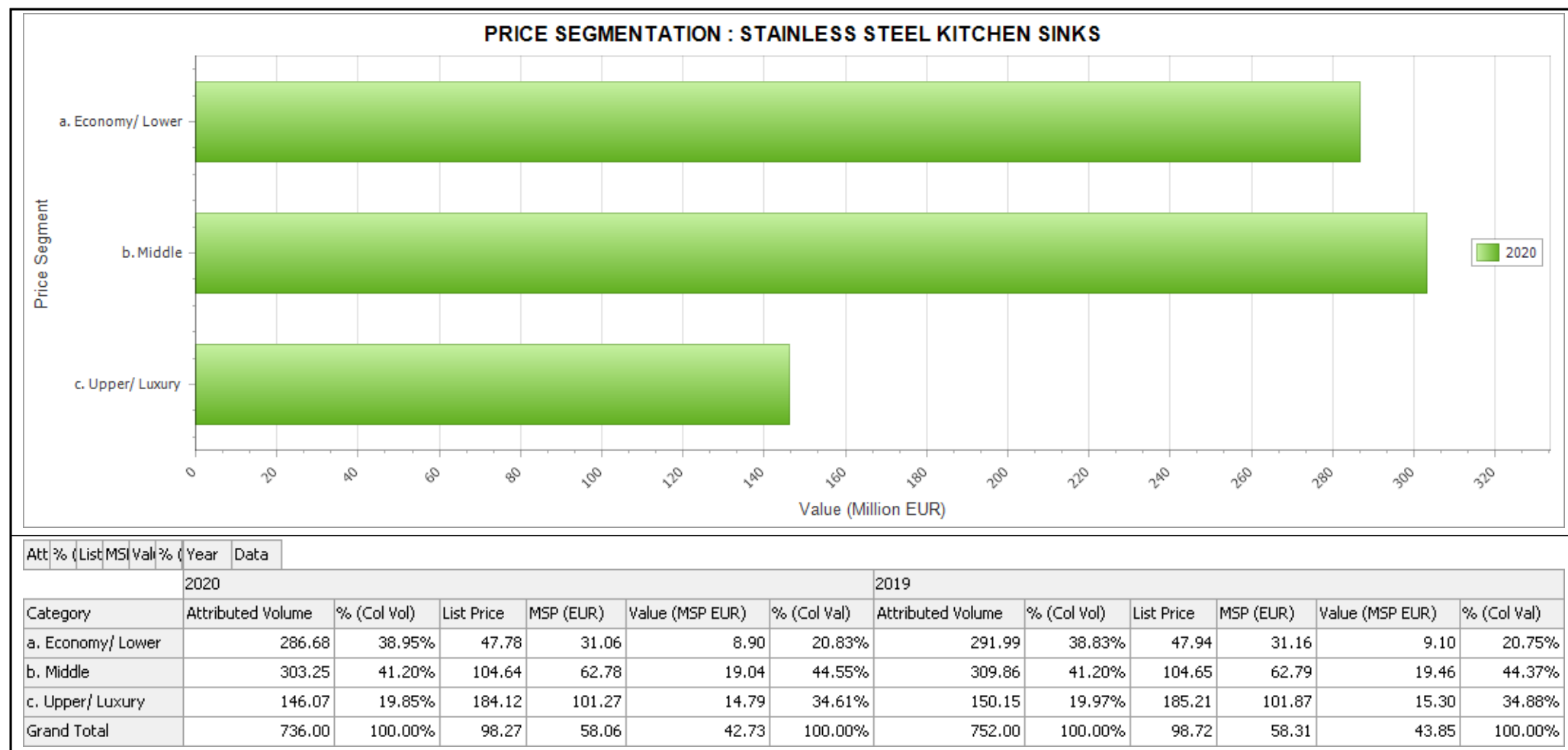


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

8.3.5 Price Segmentation : Stainless Steel Kitchen Sinks

PL - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

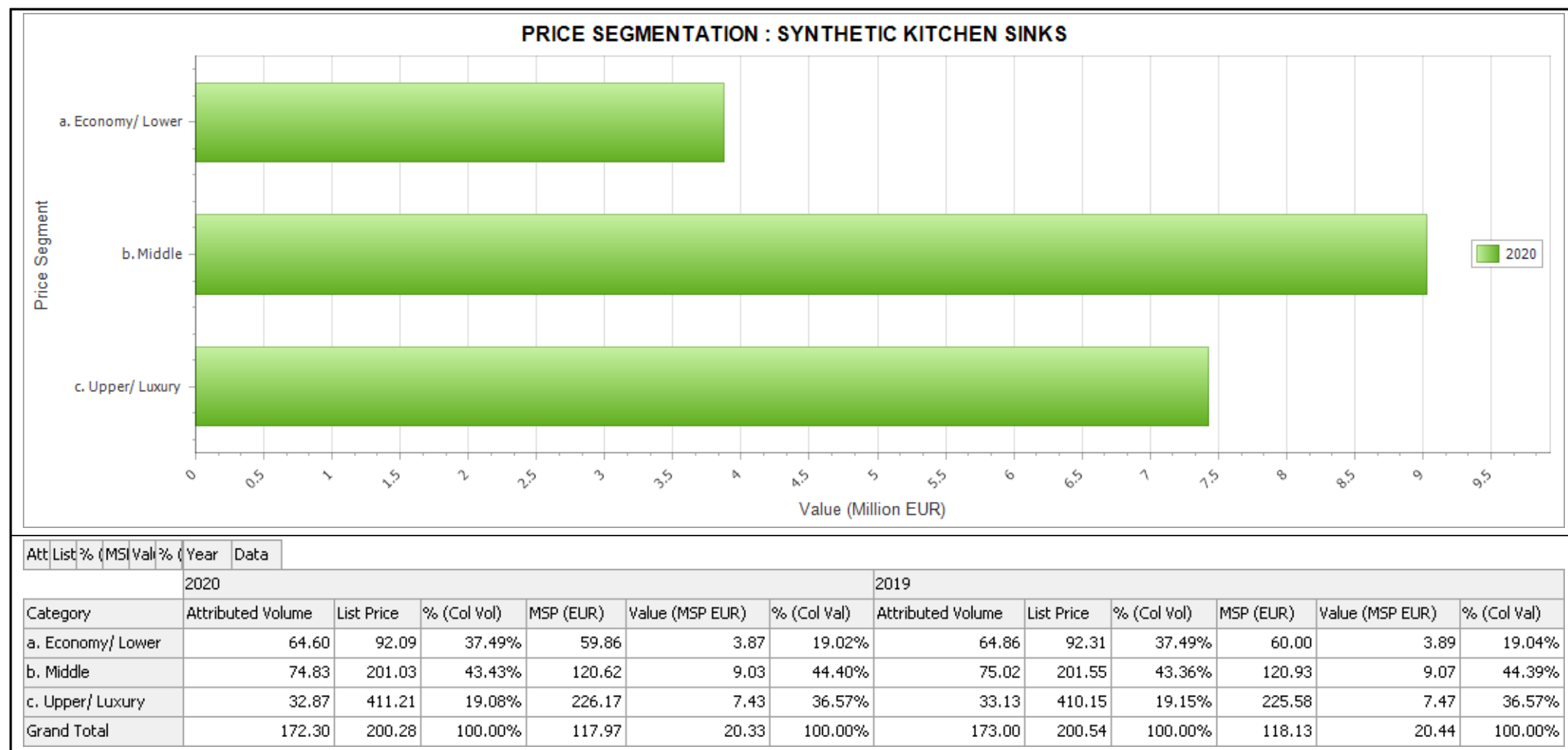


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€90, Upper/ Luxury >€90

8.3.6 Price Segmentation : Synthetic Kitchen Sinks

PL - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

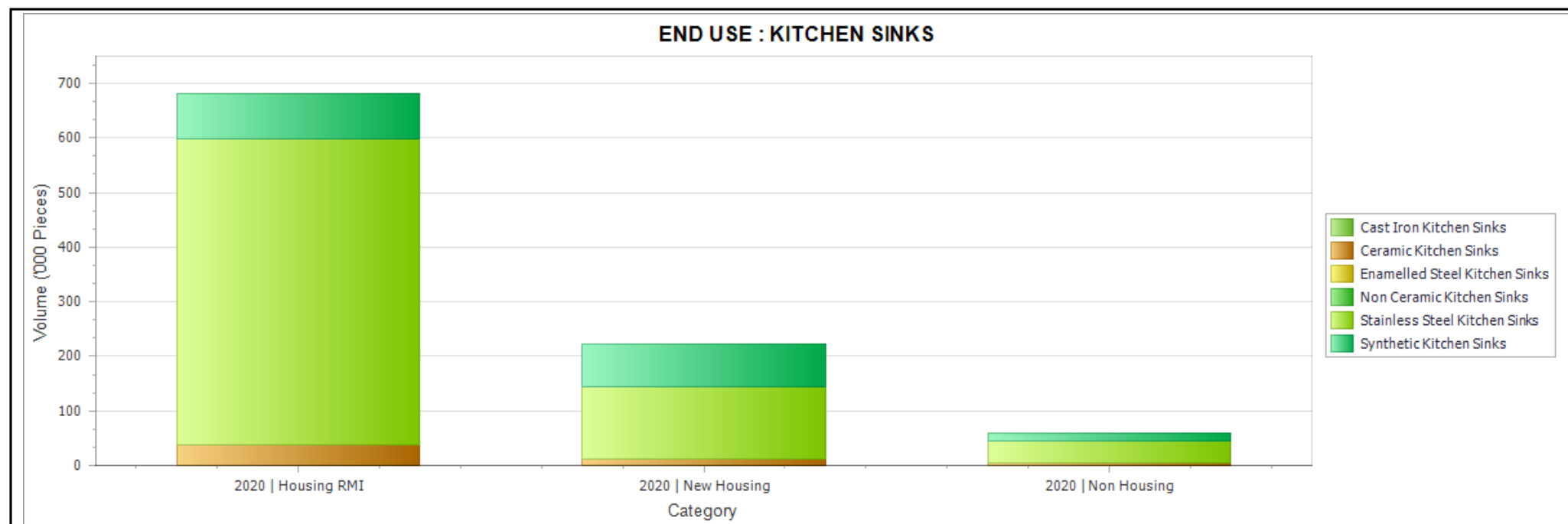


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.4.1 End Use : Base Year

PL - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)

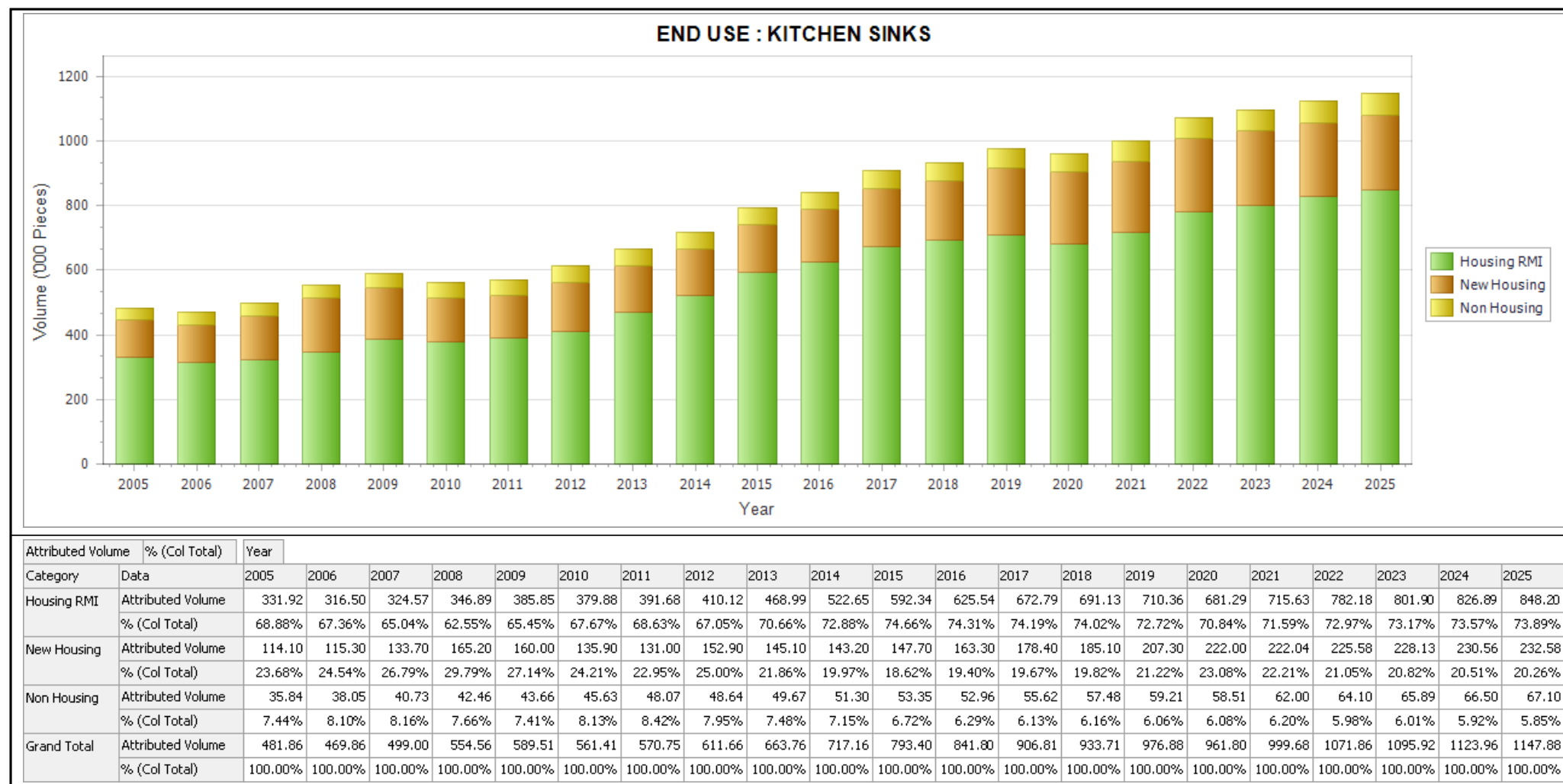


Attributed	% (Col Tot)	% (Row)	Year	Category	Data							
			2020							2020 Total		
			Housing RMI			New Housing			Non Housing			
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Cast Iron Kitchen Sinks	0.53	0.08%	29.30%	0.68	0.31%	37.90%	0.59	1.01%	32.80%	1.80	0.19%	100.00%
Ceramic Kitchen Sinks	37.39	5.49%	73.31%	10.36	4.66%	20.30%	3.26	5.57%	6.39%	51.00	5.30%	100.00%
Enamelled Steel Kitchen Sinks	0.69	0.10%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.69	0.07%	100.00%
Non Ceramic Kitchen Sinks	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%
Stainless Steel Kitchen Sinks	560.66	82.29%	76.18%	133.26	60.03%	18.11%	42.08	71.92%	5.72%	736.00	76.52%	100.00%
Synthetic Kitchen Sinks	82.02	12.04%	47.60%	77.70	35.00%	45.10%	12.58	21.50%	7.30%	172.30	17.91%	100.00%
Grand Total	681.29	100.00%	70.84%	222.00	100.00%	23.08%	58.51	100.00%	6.08%	961.80	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

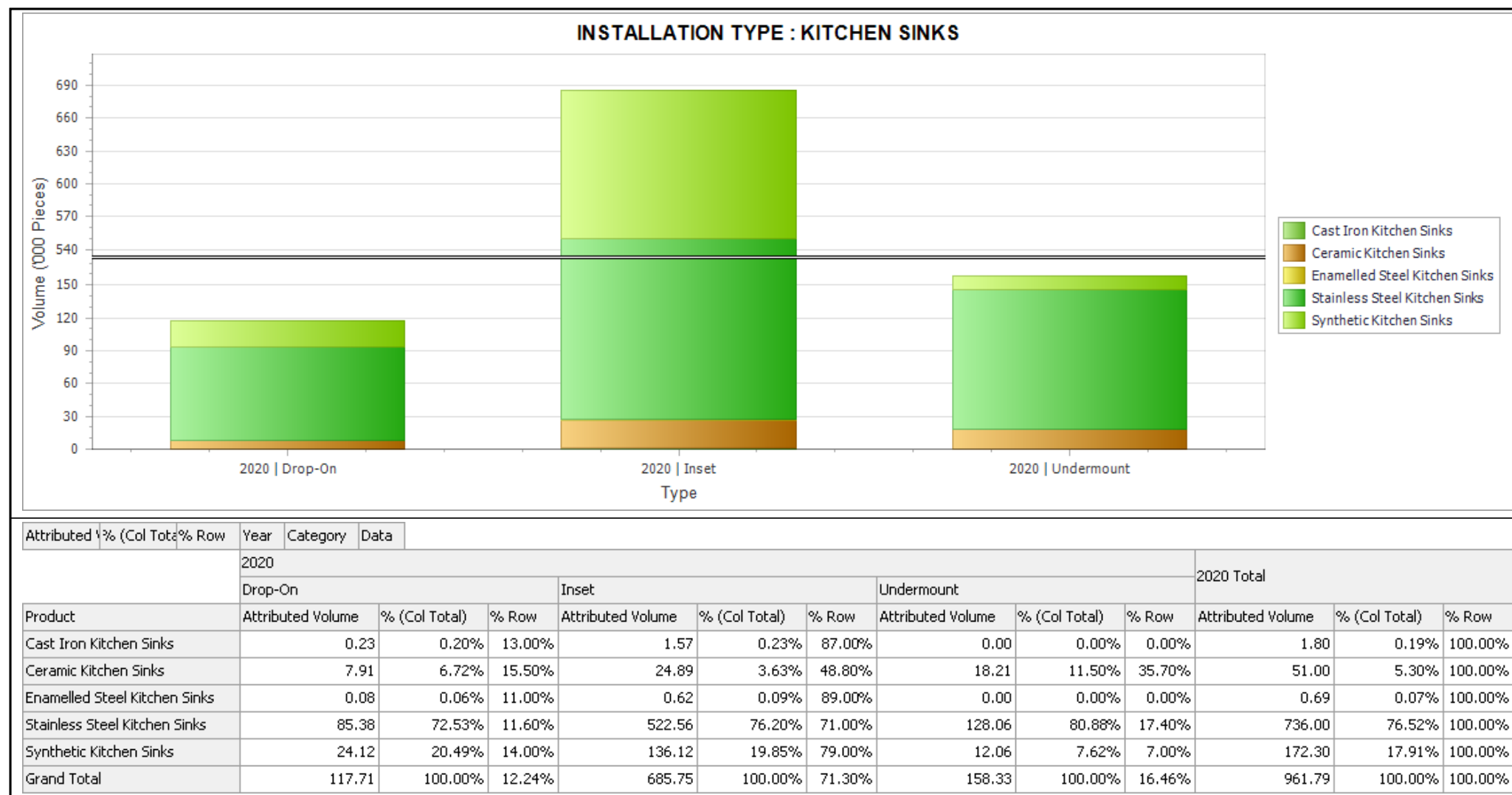
PL - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

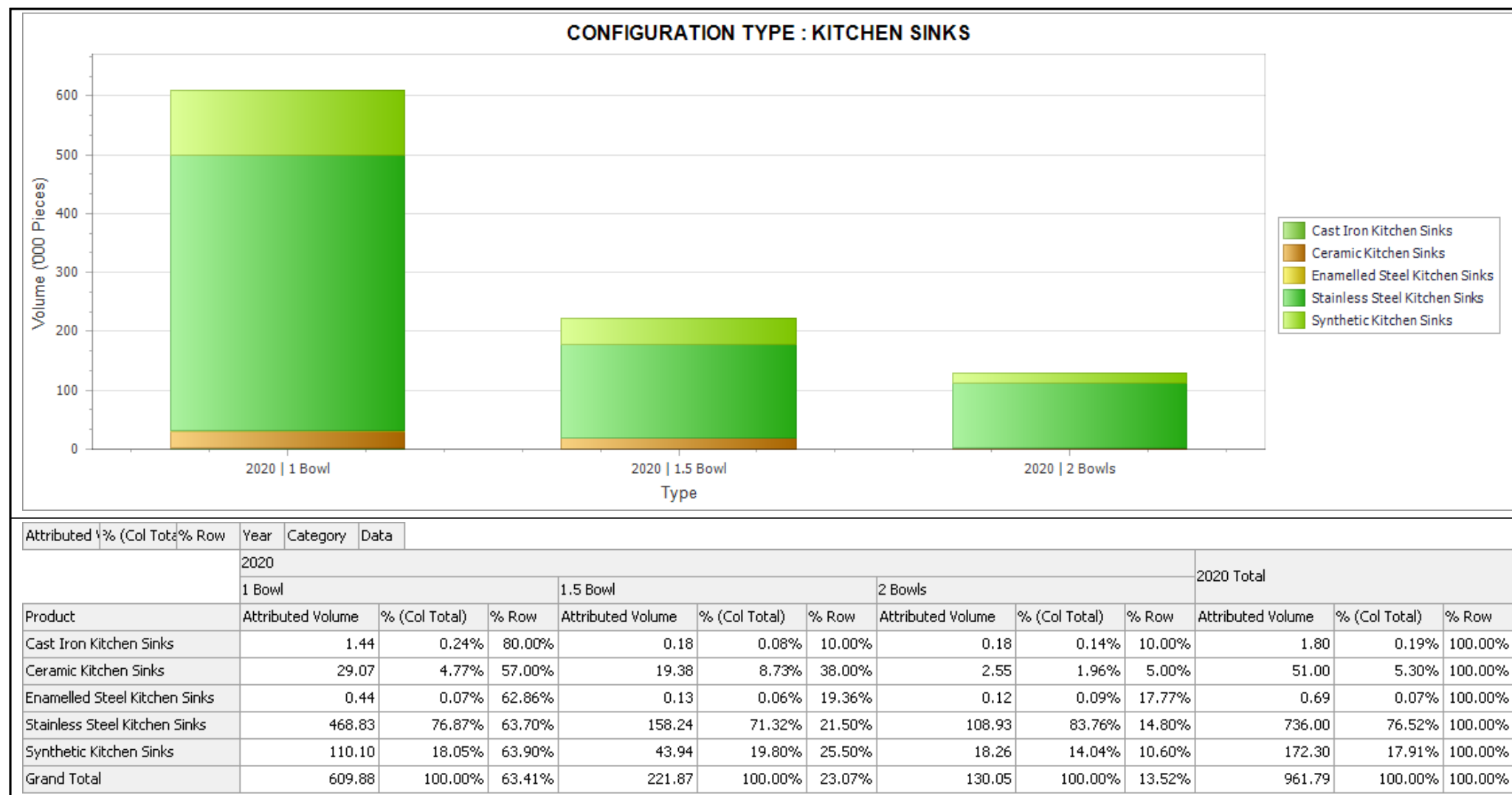
PL - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

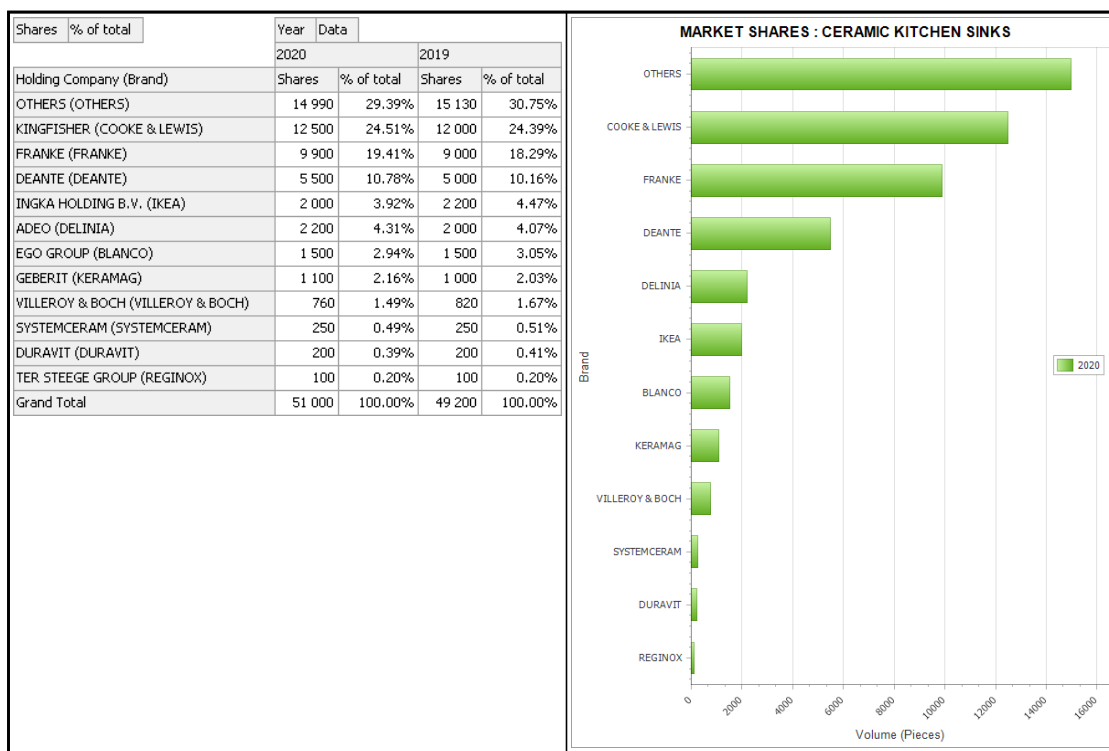
PL - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

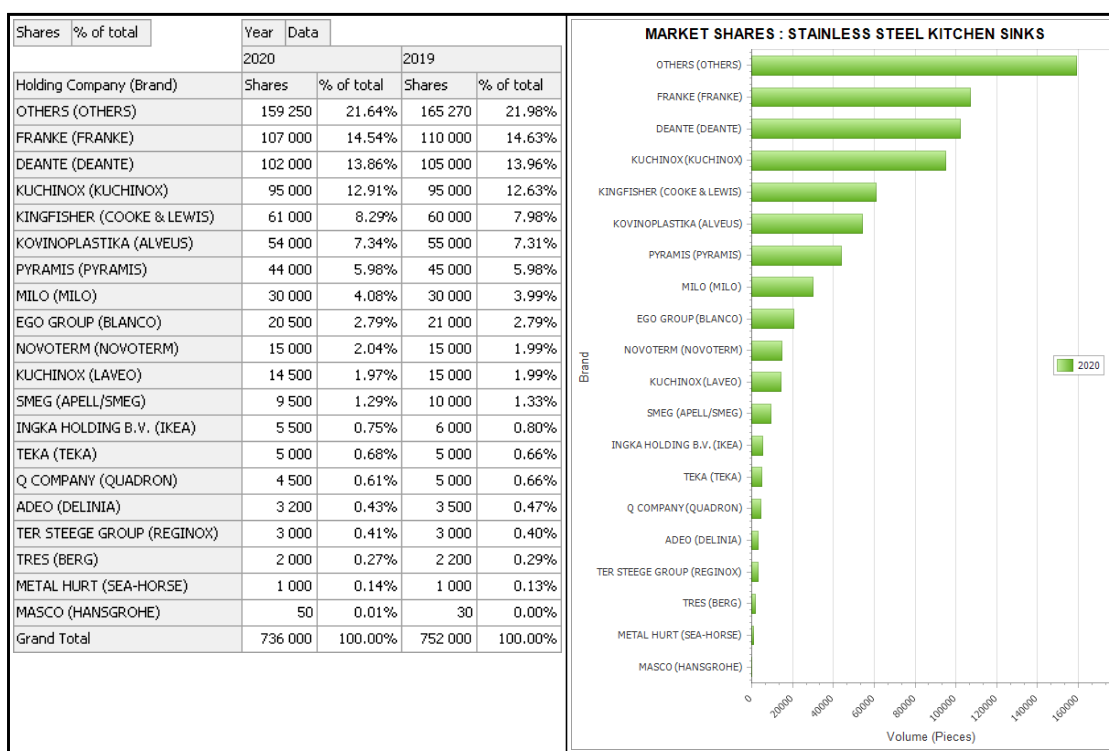
PL - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

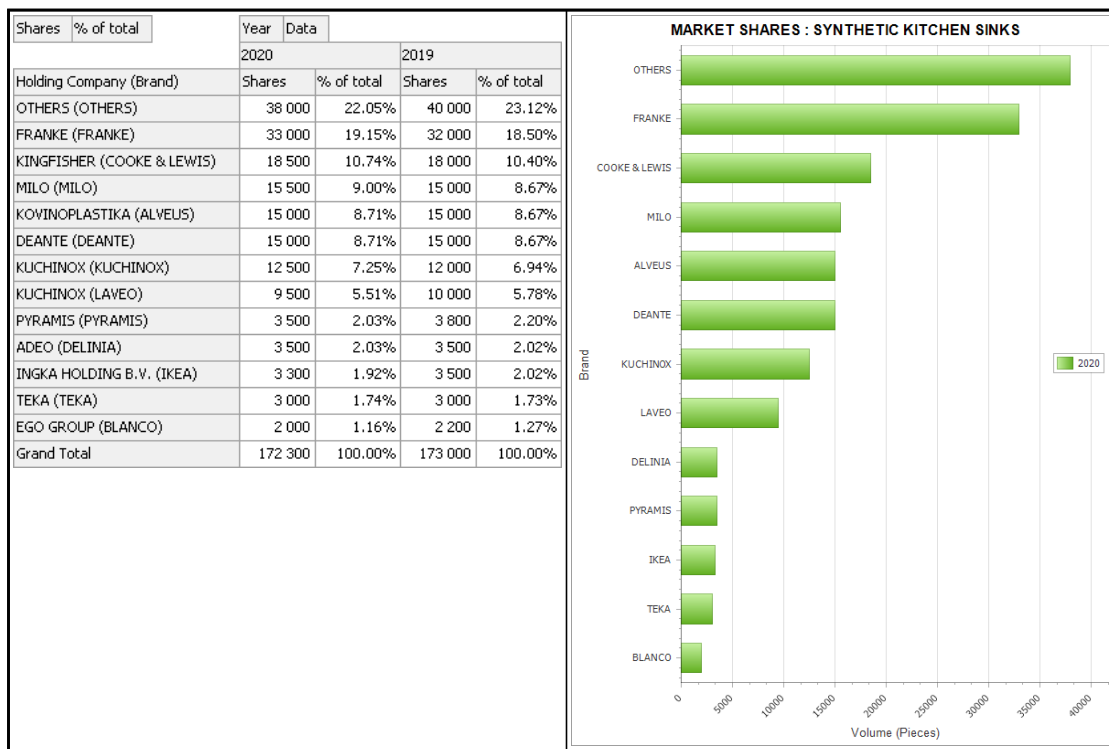
PL - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

PL - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
PL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

4.0%
Worktop Manufacturers
4.0%

Wholesale Level

Manufacturers	Worktop Manufacturer
70.0%	0.5%
Wholesalers / Merchants	
70.5%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
2.3%	0.3%	5.0%
Internet Retailers		
7.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
14.5%	1.0%	23.0%
DIY Retailers		
38.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
7.5%	0.8%	23.5%
Specialist Retailers		
31.8%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	0.5%	7.5%	1.0%	4.0%	4.5%
Installers					
18.2%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.8%	8.5%	6.5%	34.2%	27.0%	16.6%
Residential						
93.9%						
New Build				Residential RMI		
23.1%				70.8%		
Project		Non-Project		Project		Non-Project
0.5%		22.6%		0.5%		70.3%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	0.1%	3.0%	0.1%	0.3%	0.3%	1.6%
Non-Residential						
6.1%						
New Build				Non-Residential RMI		
3.1%				3.0%		
Project		Non-Project		Project		Non-Project
0.3%		2.8%		0.3%		2.7%

8.6.2

Route to Market: Kitchen Sinks
PL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

6.0%
Worktop Manufacturers
6.0%

Wholesale Level

Manufacturers	Worktop Manufacturer
66.0%	2.0%
Wholesalers / Merchants	
68.0%	

Manufacturer	Worktop Manufacturer	Wholesaler
2.0%	0.6%	6.0%
Internet Retailers		
8.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
16.5%	1.3%	21.5%
DIY Retailers		
39.3%		

Manufacturer	Worktop Manufacturer	Wholesaler
8.0%	1.0%	23.5%
Specialist Retailers		
32.5%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	0.2%	6.5%	1.0%	4.5%	5.7%
Installers					
18.5%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.8%	8.0%	7.5%	34.5%	26.5%	16.5%
Residential						
94.2%						
New Build				Residential RMI		
20.3%				73.9%		
Project		Non-Project		Project		Non-Project
0.5%		19.8%		1.5%		72.4%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.1%	2.5%	0.1%	0.3%	0.3%	2.0%
Non-Residential						
5.8%						
New Build				Non-Residential RMI		
2.9%				2.9%		
Project		Non-Project		Project		Non-Project
0.2%		2.7%		0.2%		2.7%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

PL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

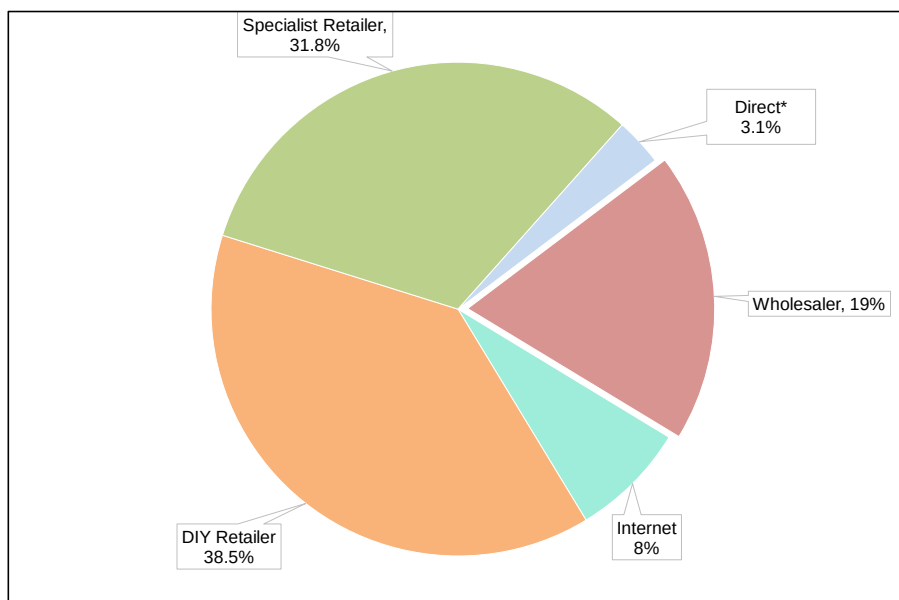
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.0%	7.6%	38.5%	31.8%	3.1%	1.0%	0.6%	92.9%	5.5%
100%					1.6%		98.4%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

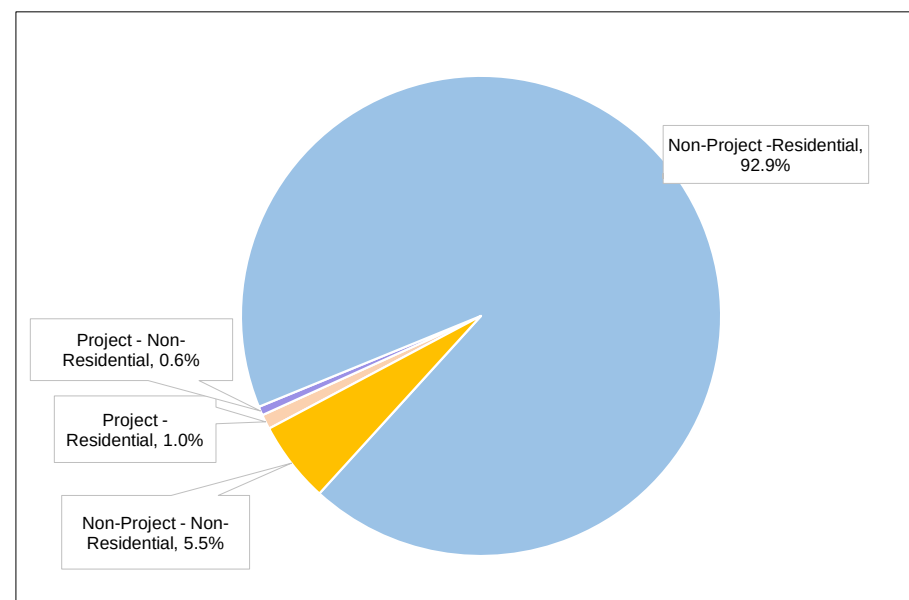
PL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.0%	8.6%	39.3%	32.5%	2.6%	2.0%	0.4%	92.2%	5.4%
100%					2.4%		97.6%	

PL - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



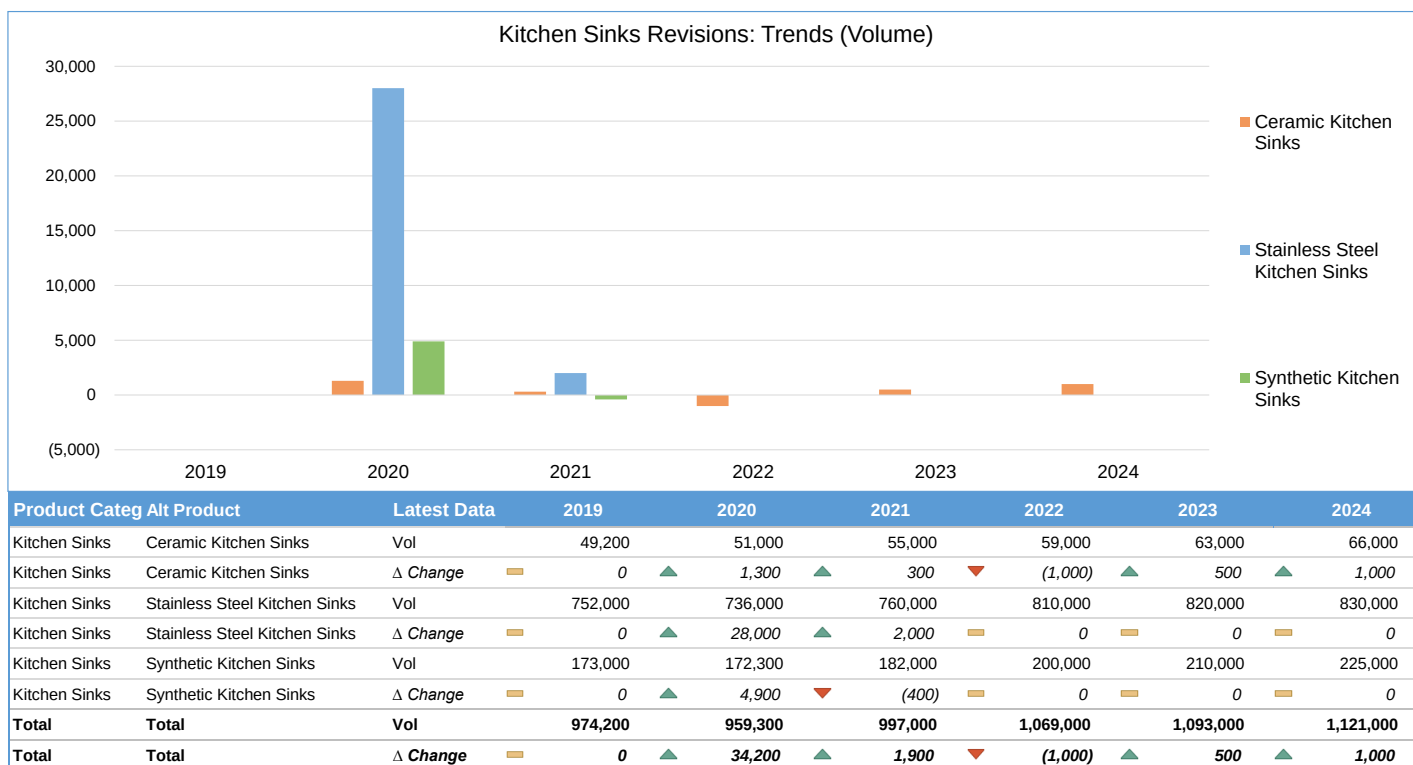
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Polish Kitchen Sinks Market (April 2021)

PL - REVISIONS IN THE POLISH KITCHEN SINKS MARKET

Data Comparison: October 2020



No or only minor changes were made to the volume and values of kitchen sinks market.

POLAND

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The kitchen taps and mixers market performed very well in the period 2003-2009 until it contracted in 2010 in the aftermath of the global crisis. Although it regained momentum in the beginning of the last decade, most recent years saw a stagnation with lower demand from the RMI segment. Sales, however, did not drop as much as in some European countries, and manufacturers recovered quickly, although the market has so far not reached its pre-crisis sales levels again.

Historically, the Polish market for kitchen taps and mixers was characterised by sales of two head models, the chunk of which had been manufactured by the domestic ARMATURA, which had been a state-owned company before Poland shifted from a centrally planned to an open market economy at the beginning of the 1990s (the state still keeps a stake in the company through its sole owner, PZU). However, with the market entry of foreign manufacturers and the rapid emergence of DIY stores in the second half of the 1990s, Polish consumers began to opt for more practical one head mixers. In fact, sales of this type of kitchen mixer currently account for over three quarters of overall sales of kitchen taps and mixers

Furthermore, it is worth mentioning that sales of kitchen taps and mixers, middle-priced in particular, are strongly linked to sales of kitchen sinks. This is due to Polish consumers who opt for a complete solution and often purchase a bundle of one mixer and one sink at DIY stores. However, this trend is palpable with regards to sales to new housing and replacement when the overall kitchen renovation takes place.

In Poland, sales of kitchen pillar and electronic taps have always remained at the residual levels. Most pillar taps are used for cold water applications in non-housing, and are installed particularly in restaurant kitchens for food cleaning purposes, while electronic kitchen taps and mixers are usually purchased by the upper income group of consumers and installed in residential dwellings. On the other hand, most one and two head kitchen mixers are sold to housing RMI and new housing, and are usually made of chrome.

As kitchen taps and mixers are in contact with potable water, each model has to be tested and approved with the hygiene certificate issued by the Polish National Institute of Public Health (NARODOWY INSTYTUT ZDROWIA PUBLICZNEGO – PASTWOWY ZAKLAD HIGIENY). The hygiene certificate usually loses its validity after three years counted from the date of issue, or in the case of changes in composition or in technology of production. Moreover, mechanical sanitary mixers need to meet the requirements of the norm PN-EN 817:2008.

Recent Market Trends

Overall sales of kitchen taps and mixers in 2020 recorded a very slight decrease. The COVID-19 outbreak resulted in a high level of uncertainty felt by many which led to revision to home improvement plans, often including reduction of the renovation budget, postponing or even cancelling such projects. As a result, sales to RMI recorded a drop, which was amplified by declining sales to non-housing, which overall was not offset by good growth in demand seen in the new housing market.

One head mixers remained dominant with regards to the product mix in 2020, accounting for over three quarters of total sales. Moreover, sales of one head mixers grew significantly, while demand for two head mixers declined further, suggesting that Polish consumers find these models outdated.

Sales of pillar and electronic kitchen taps remained at the residual levels, given the overall size of the market in 2020. Sales of electronic mixers in 2020 continued to grow due to GROHE, which introduced new models at the beginning of 2017.

In terms of installation, deck mounted models remained more popular than wall mounted, in fact slightly increasing their segment share.

Distribution patterns of sanitary and kitchen taps and mixers are similar, as most manufacturers channel a significant portion of their sales through DIY. Moreover, sanitary and kitchen taps and mixers remained the most commonly purchased building product online in 2020, as many online retailers continue to introduce new kitchen taps to their portfolios and offer a wide range of models at relatively low prices when compared to traditional retailers. Therefore, internet sales of these products continued to increase, driven by low average prices, as internet wholesalers do not incur any additional costs of renting and maintaining space where taps and mixers are exposed, as opposed to traditional wholesalers and specialist retailers.

In addition, it is worth mentioning that, like in previous years, also in 2020 most kitchen taps purchased on-site and online were made of brass with chrome coating. In terms of colour chrome remains predominant, however, other colours are gradually growing in popularity, particularly black and gold.

Prices and Market Values

In 2020, despite worsening economic conditions in Poland, as well as practically in all economies around the world, not to mention a higher inflation ratio and increasing production and transport cost, prices for kitchen taps and mixers grew moderately, by 3-4% on average.

Like in previous years, the fierce competition seen in the price-oriented Polish market, amplified by growing sales of own brands introduced by distributors, makes any considerable price hikes rather difficult. Before the end of 2020 only a few

manufacturers decided to apply an extra price increase. However, due to dramatically increasing prices of raw materials, such as steel and brass, as well as transport – the cost of shipment from the Far East grew in 2020 by 500-600% – a higher than usual increase in price for bathroom products is expected in 2021 and was already applied by several players in the first quarter.

This particularly applies to the kitchen taps and mixers segment as the vast majority of these products sold in Poland are imports from China. Additionally, the kitchen taps and mixers prices may be affected by the weakening of the local currency, the zloty.

Like in previous years, a shift from the economy/lower price category towards more expensive models could be observed. The shift in consumer preference is, however, rather slow, for which reason the market remains price-oriented with average MSPs well below the values they have in Western Europe, below even those observed in many other Eastern European markets.

New Housing

Good growth seen in 2020 in the new housing market positively affected sales of kitchen taps and mixers to the new build sector.

Increased dwelling completions particularly drove demand for one head models. It is also worth mentioning that Polish consumers tend to opt for complete sets for their new dwellings and often purchase both one kitchen mixer and kitchen sink in a bundle.

Housing RMI

The Polish market for kitchen taps and mixers is saturated, and remains driven by replacement demand, which in 2020 recorded a slight decrease in the aftermath of the COVID-19 outbreak which led to postponing or cancelling many renovation projects, often resulting in reduction of the budget for home improvement, including replacement of bathroom and kitchen equipment.

The drop was rather small due to relatively affordable prices for kitchen mixers, and ease of their installation. Like in the market for sanitary taps and mixers, the replacement of old kitchen mixers continues to remain relatively easy. Thus, a large number of consumers still purchase and install bathroom mixers without involving professional installers, which was of help during the times with distancing rules in place.

Non-Housing

Sales to non-housing account for a relatively small portion of the total kitchen taps and mixers sales volume. The COVID-19 outbreak in March 2020 had a negative impact on investments in non-housing, including both new buildings and modernisation projects. According to the GUS, the office segment recorded a slight

increase in terms of commercial area (thanks to a couple of large projects which had begun well before the pandemic and were completed in 2020); however, the segments of hotels and tourist accommodation, as well as trade/service (including restaurants) saw considerable declines, being among the businesses worst hit by the pandemic. As a result sales of kitchen mixers to non-housing declined.

Supply Structure

The structure of the Polish market for kitchen taps and mixers changed in 2020 with FERRO taking over the leading position in terms of volume, after ARMATURA experienced yet another year with declining sales deepened by the logistics problem it had to face regarding the production and shipments from the Far East. The two largest players, ARMATURA and FERRO, hold together over one third of the market for one head mixers. The former manufacturer remained in the hands of PZU (PZU FUNDUSZ INWESTYCYJNY ZAMKNIETY AKTYWÓW NIEPUBLICZNYCH BIS 2), and after restructuring in 2017-2018, during which among others all taps and mixers production was moved to China, continued to lose its share, although at much slower rate. DIY remained the largest distribution channel of ARMATURA, as most of its kitchen mixers are of the economy and lower-price range.

FERRO, one of the largest manufacturers of mixers and installation fixtures in CEE, since 2010 has been listed on the Warsaw Stock Exchange. As of April 2021, its largest shareholders were: NATIONALE NEDERLANDEN OFE, AVIVA OFE and PKO BP BANKOWY OFE. Although the company has its headquarters and warehousing-logistics centre in Skawina, near Kraków, a substantial number of its cheaper models are produced by the subsidiary AMG JUST VALVE GRUPA FERRO, located in Yuhuan Zhejiang, China.

The Swiss kitchen specialist, FRANKE, was ranked in 2020 the third largest manufacturer, and it was followed by two other local players, DEANTE and KUCHINOX, both importing their products from China. The latter sells models produced by the Chinese RUIANSI HIBOM IMP & EXP, whose production site is located in Rui'an, Zhejiang Province, whereas the former has been manufacturing its taps and mixers, including kitchen models, on its production site in Kantona, China, since 2011. In 2018, DEANTE continued to distribute kitchen taps and mixers through the major wholesalers, such as SAINT-GOBAIN, GRUPA SBS, GRUPA PSB, GRUPA CENTRUM, GRUPA ABG and SANGROUP. With regards to kitchen taps and mixers, the company's portfolio in 2020, like in previous years, remained dominated by one head models, followed by a significant share of two head ones. DEANTE also sells pillar taps for cold water. It grants a seven year warranty for its kitchen taps, regarding both the mechanical system and the castings.

Sales of these manufacturers comprised almost two thirds of the overall sales of kitchen taps and mixers in 2020, with the rest of the market remaining very fragmented.

Forecasts

The outbreak of the COVID-19 pandemic severely hindered the development of the Polish economy in 2020, directly affecting internal demand and supply. Despite the contracted GDP, the impact of the pandemic was considerably less severe in Poland than in most EU countries.

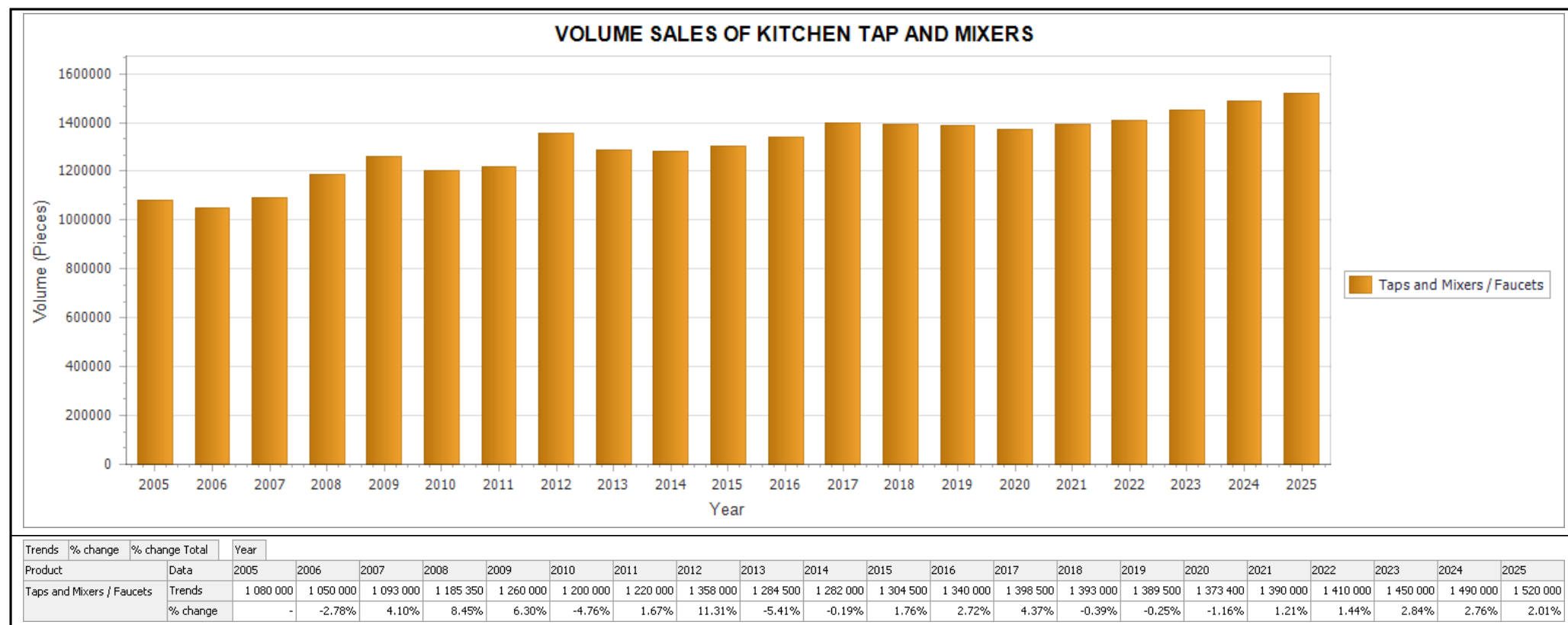
Like many other countries around the world, Poland entered 2021 with several restrictions in place, additionally starting at the end of March a third lockdown, which will take its toll on the economy even though the businesses and people generally seem now better prepared to operate under such circumstances. Nevertheless, the country's economy is anticipated to show an overall positive momentum in 2021 with projections for the GDP growth rate around 3%, to be driven mostly by private consumption and export, and an even better outlook for the mid-term. The most important factor for the 2021 rebound is the speed and effectiveness of re-starting the economy in the second quarter of 2021, as well as the progress made in vaccination of the country's population with yet another lockdown being at stake.

In 2020, new residential construction proved highly resilient to the difficult conditions, and even the drop which occurred due to the return of a cold winter in January 2021 was practically offset in February. A certain decline was recorded in 2020 in the RMI market, with people more concerned with investments in renovations. However, at a relatively soft impact of the pandemic on the labour market, as observed in 2020 and in the beginning of 2021, the RMI segment may likely come back strong once the pandemic is under control with the postponed renovations carried out. Also the non-housing market, worst hit in 2020, after the pandemic is expected to return to growth with investors gradually regaining confidence.

With a relatively soft impact of the pandemic on the Polish kitchen taps and mixers market, BRG expects that in 2021 sales of kitchen mixers should return to growth with moderate growth rates expected for 2022-2025 driven primarily by demand from the RMI segment. One head models are anticipated to continue to account for the bulk of the sales volume, gradually increasing their share to the detriment of two head mixers. Sales of electronic models should grow, still, due to their relatively high price, overall sales are likely to remain marginal.

The market is bound to remain price driven with a relatively slow shift in consumer preference towards the products from the middle and upper price brackets. By 2020 many DIY networks managed to increase considerably the share of their own brand products in the offerings; however, they remain popular practically only in the economy price bracket as customers buying higher-priced mixers typically choose well-known brands.

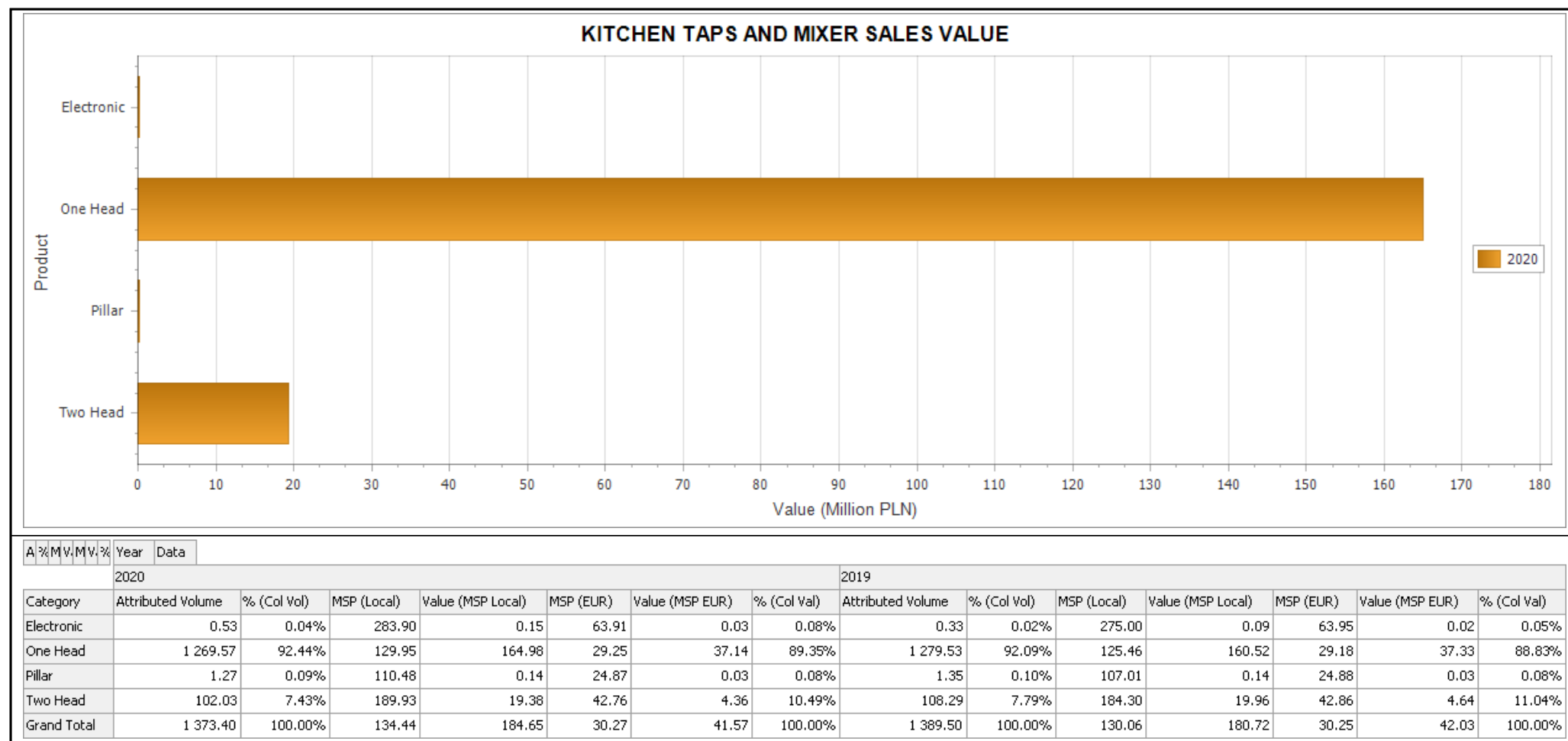
9.2 Historical Trends and Forecasts : Kitchen TM
 PL - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

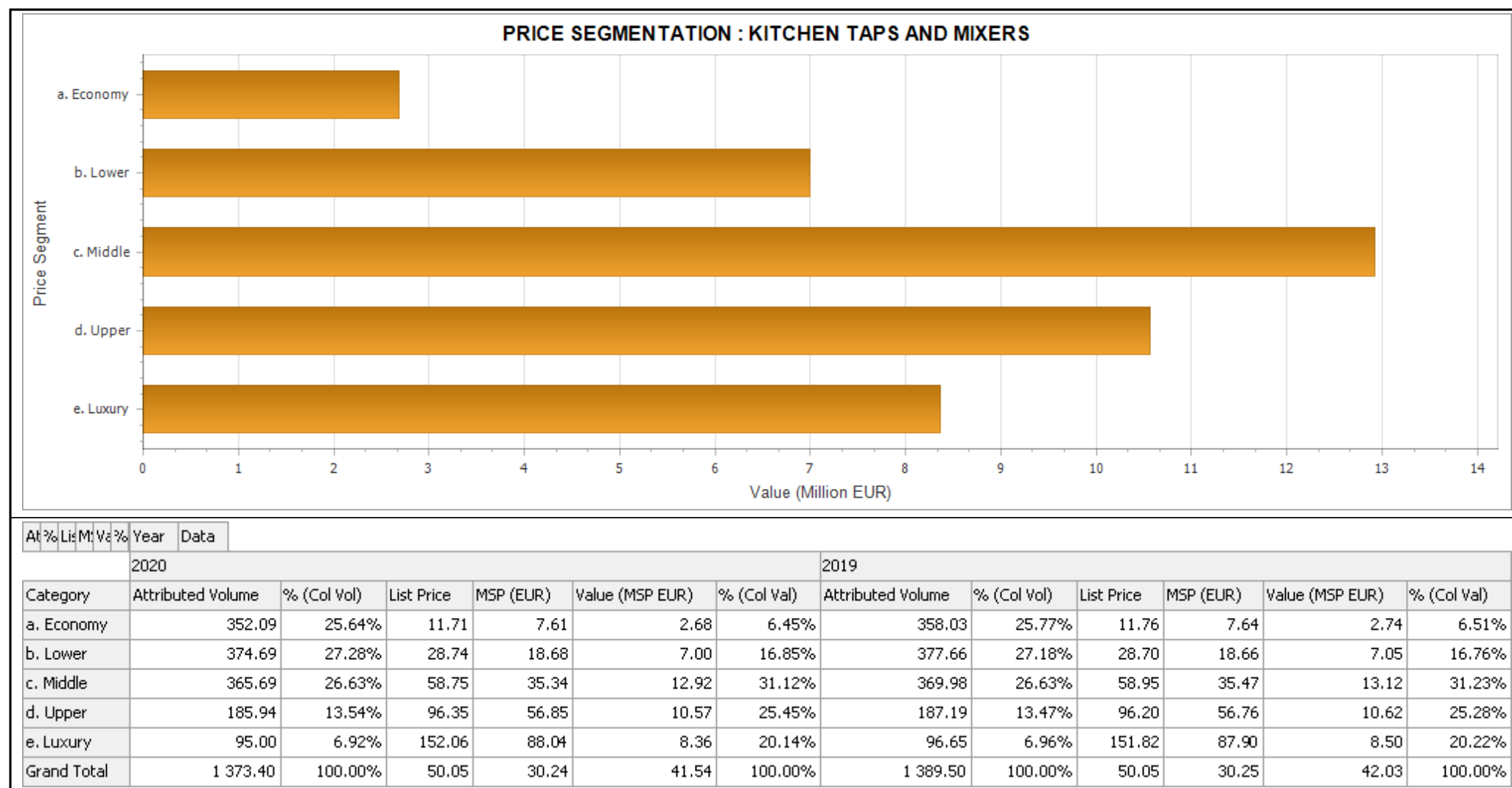
PL - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in PLN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

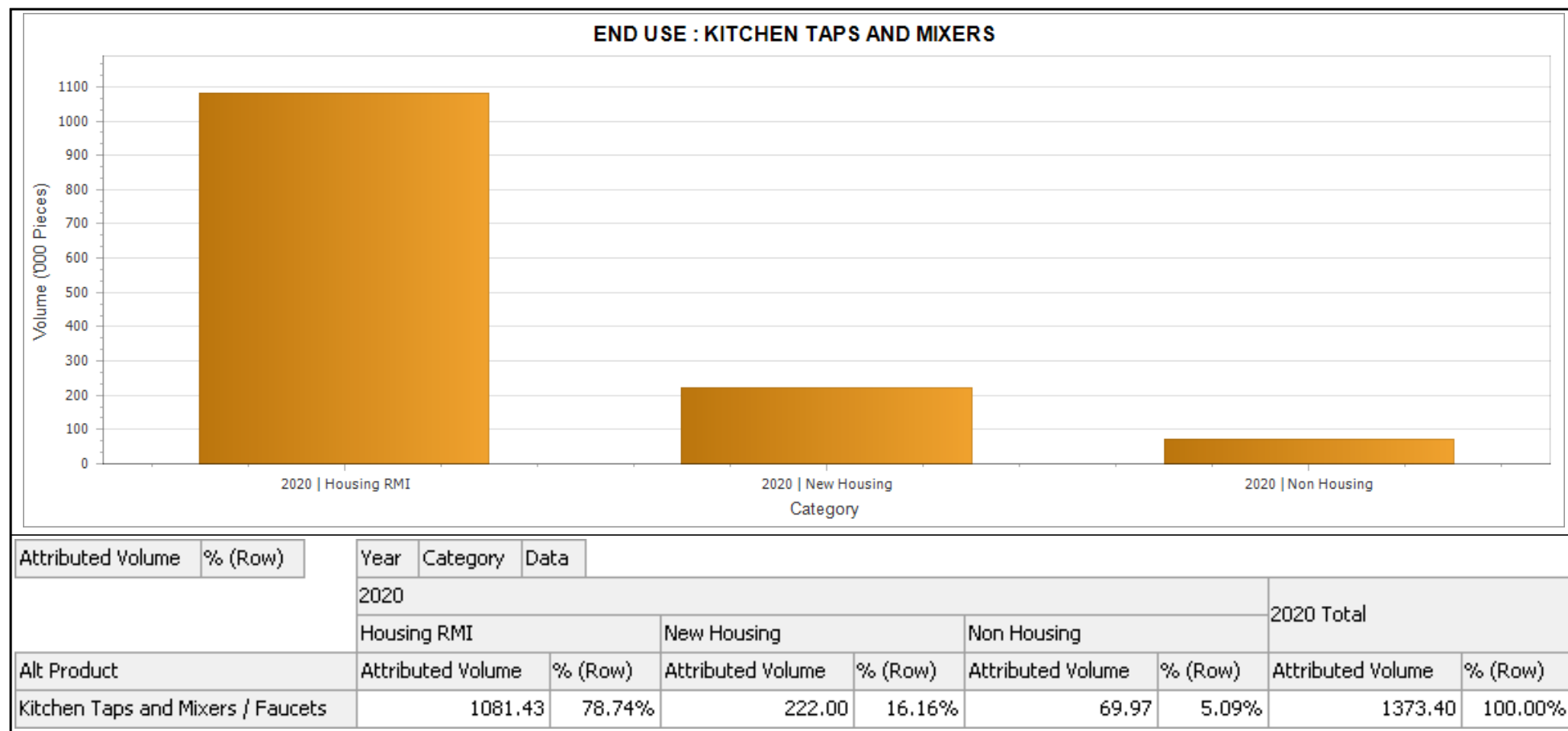
PL - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

9.4.1 End Use : Base Year

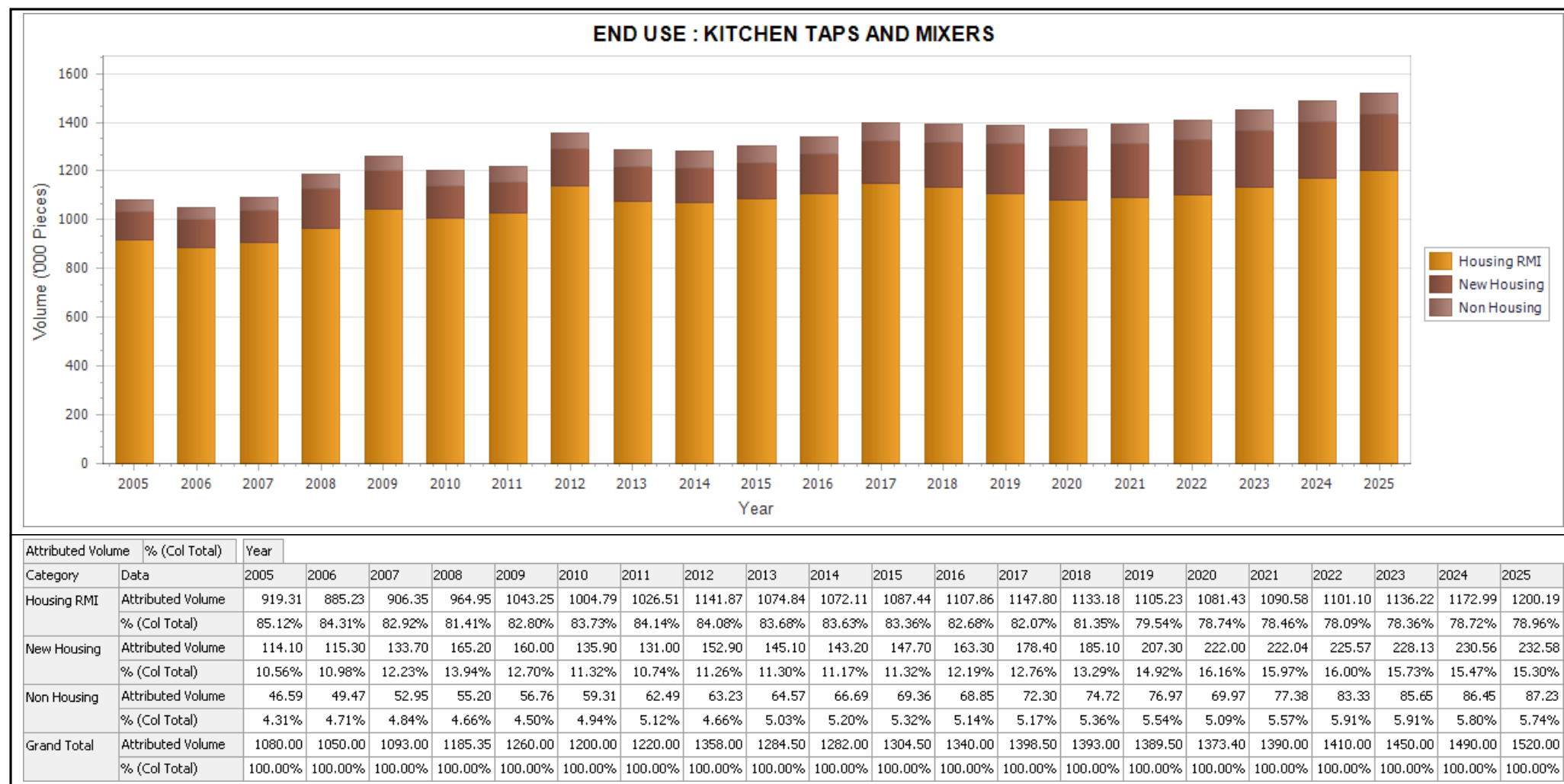
PL - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

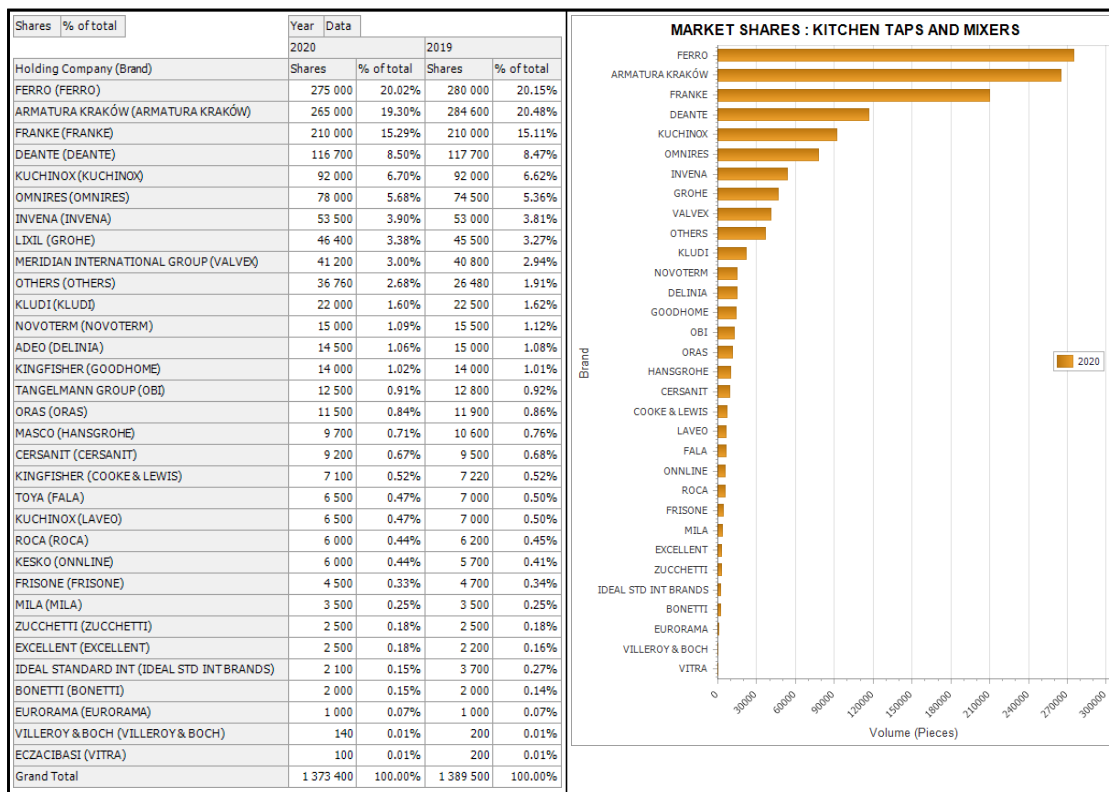
PL - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5 Market Shares : Kitchen Taps & Mixers

PL - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.0%
	Wholesalers / Merchants
	65.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.3%	8.0%	18.5%	22.0%	12.5%	19.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.3%		40.5%		32.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	5.0%	2.5%	4.0%	5.3%
Installers				
17.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	7.7%	7.7%	36.2%	26.4%	16.6%	0.6%	2.8%	0.1%	0.3%	0.3%	1.0%
	Residential						Non-Residential					
	94.9%						5.1%					
New Build			Residential RMI			New Build			Non-Residential RMI			
16.2%			78.7%			2.6%			2.5%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
0.5%	15.7%		1.5%	77.2%		0.3%	2.3%		0.3%	2.2%		

9.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	63.0%
	Wholesalers / Merchants
	63.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.5%	9.5%	20.5%	20.0%	12.0%	19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.0%		40.5%		31.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	6.0%	3.0%	5.0%	4.2%
Installers				
18.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.9%	6.5%	8.9%	35.0%	26.5%	16.5%	0.5%	2.0%	0.1%	0.5%	0.3%	2.3%			
	Residential						Non-Residential								
	94.3%						5.7%								
New Build				Residential RMI				New Build				Non-Residential RMI			
15.3%				79.0%				4.9%				0.8%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
0.5%		14.8%		2.0%		77.0%		0.5%		4.4%		0.5%		0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

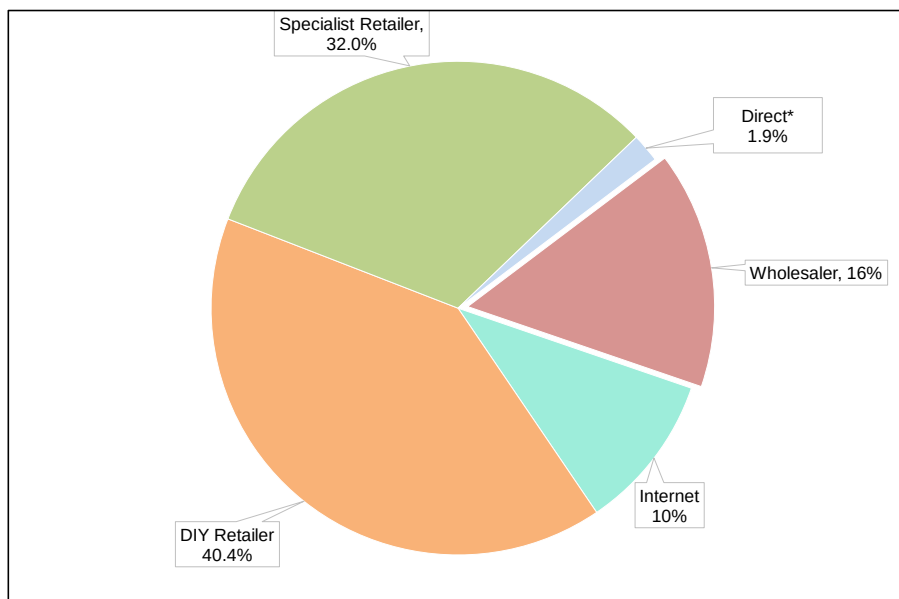
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.5%	10.3%	40.4%	32.0%	1.9%	2.0%	0.6%	92.9%	4.5%
100%					2.6%		97.4%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

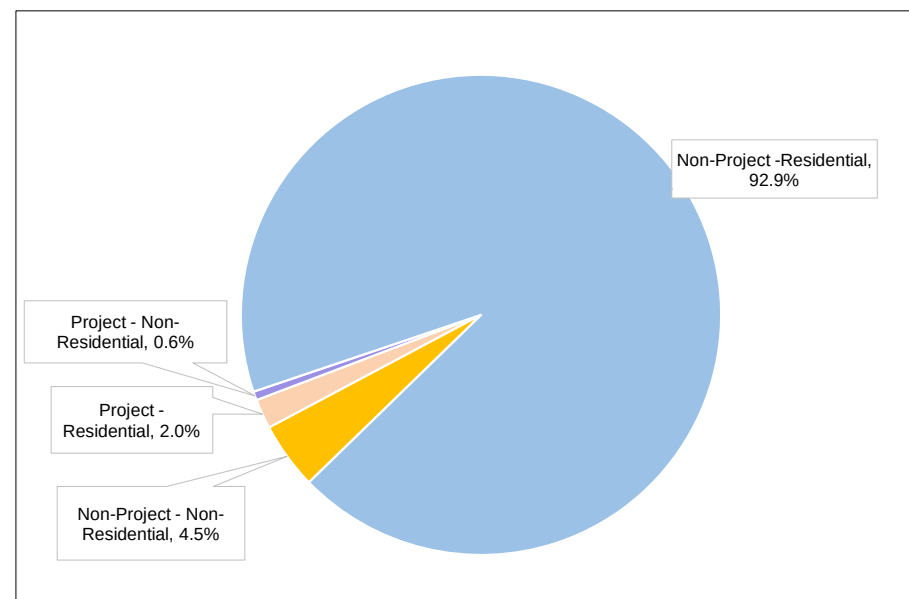
PL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.5%	12.0%	40.5%	31.0%	2.0%	2.5%	1.0%	91.8%	4.7%
100%					3.5%		96.5%	

PL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



PL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



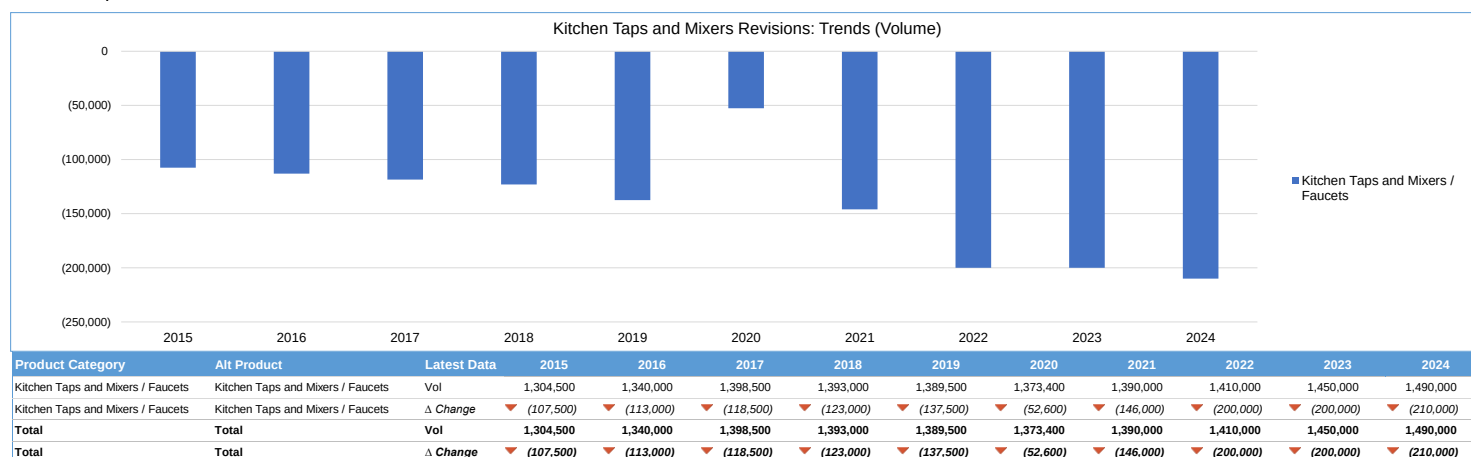
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Polish Kitchen Taps and Mixers Market (April 2021)

PL - REVISIONS IN THE POLISH KITCHEN TAPS AND MIXERS MARKET

Data Comparison: October 2020



The historical volumes of kitchen T&M market has been revised downwards. This was largely based on input from manufacturers as well as thorough analysis of import data. Most notably, the replacement rate of these products within housing RMI market was previously overestimated.

In line with the changes made to the overall T&M market, the MSPs for kitchen T&M were revised downwards across all years. Industry feedback indicated that the share of economy and middle priced products was previously underestimated. The DIY networks hold the lion's share of the Polish taps and mixers market, selling mostly less expensive products, the bulk of which are imports from the Far East. Moreover, in recent years the main DIY networks have been actively marketing their own brands, which gained considerable shares in several segments. Although the DIY own-brand offerings often include models from the upper price bracket, these higher-priced products account for a relatively small portion of the revenues.